

Management of Global Marketing

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W. Machowiak

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Preface

For M.Com. and MBA students studying international or global marketing, Global Marketing is a valuable text. Multinational corporations must adapt their management practises and organisational structures as the level of global competition rises. The ultimate objective is to strengthen their current position so they may seize chances in the global market. There are numerous strategic decisions involved with developing, implementing, and maintaining suitable business procedures, regardless of whether your firm is currently international or you are a domestic company considering overseas expansion.

"Marketing on a global scale, reconciling or taking commercial advantage of global operational differences, similarities and opportunities in order to meet global objectives" is the definition of global marketing. To offer clients in local markets, national markets, foreign markets, and the entire world worthwhile goods, solutions, and services, global marketing is also a discipline of study in general company management.

Export, franchising, joint ventures, or full direct entry of a company's goods or services into another nation are all examples of international marketing. This can be done by a corporation exporting its goods to another country, entering the country through a joint venture with another company there, or through foreign direct investment. Along with variations in how much attention is placed on important elements of the global market for trade, the research emphasis within the field has varied.

Students who study global marketing management graduate with the knowledge and abilities to steer firms through the complex and tough global commercial environment and make important management decisions. This book will provide a high-level overview of the planning and organisation marketing leaders must deal with when thinking about expanding their company's product sales into a new nation.

Author

Introduction

Global marketing is “marketing on a worldwide scale reconciling or taking commercial advantage of global operational differences, similarities and opportunities in order to meet global objectives”. Global marketing is also a field of study in general business management to provide valuable products, solutions and services to customers locally, nationally, internationally and worldwide.

International marketing is the export, franchising, joint venture or full direct entry of an organization’s product or services into another country. This can be achieved by exporting a company’s product into another location, entry through a joint venture with another firm in the target country, or foreign direct investment into the target country. The development of the marketing mix for that country is then required - international marketing. It can be as straightforward as using existing marketing strategies, mix and tools for export on the one side, to a complex relationship strategy including localization, local product offerings, pricing, production and distribution with customized promotions, offers, website, social media and leadership. Internationalization and international marketing meets the needs of selected foreign countries where a company’s value can be exported and there is inter-firm and firm learning, optimization and efficiency in economies of scale and scope.

A firm does not need to export or enter all world markets to be considered an international marketer. According to American Marketing Association (AMA) “International marketing is the multinational process of planning and executing the conception, pricing, promotion and distribution of ideas, goods and services to create exchanges that satisfy individual and organisations goals”.

WORLDWIDE COMPETITION

One of the product categories in which global competition has been easy to track in U.S. is automotive sales. The increasing intensity of competition in global markets is a challenge facing companies at all stages of development in international markets. As markets open up, and become more integrated, the pace of change accelerates, technology shrinks distances between markets and reduces the scale advantages of large firms, new sources of competition emerge, and competitive pressures mount at all levels of the organization. Also, the threat of competition from companies in countries such as India, China, Malaysia, and Brazil is on the rise, as their own domestic markets are opening up to foreign competition, stimulating awareness of international market opportunities and of the need to be internationally competitive. Companies which previously focused on protected domestic markets are entering into markets in other countries, creating new sources of competition, often targeted to price-sensitive market segments. Not only is competition intensifying for all firms regardless of their degree of global market involvement, but the basis for competition is changing. Competition continues to be market-based and ultimately relies on delivering superior value to consumers. However, success in global markets depends on knowledge accumulation and deployment. Today, more and more marketing companies specialize in translating products from one country to another.

EVOLUTION TO GLOBAL MARKETING

Global marketing is not a revolutionary shift, it is an evolutionary process. While the following does not apply to all companies, it does apply to most companies that begin as domestic-only companies. International marketing has intensified and is evident for approximately nearly all aspects of consumer's daily life. Local regions or national boundaries no longer restricted to the competitive forces. To be successful in today's globalized economy, it is a must for the companies to simultaneously be responsive to local as well as global market conditions and varying aspect's related to the international marketing process. Hence, international marketing skills are an important ingredient for every company, whether or not it is currently involved in exporting the activities for the endorsement of the brand or the company.

The internationalized marketplace has been transformed very quickly in recent years by shifts in trading techniques, standards and practices. These changes have been reinforced and retained by new technologies and evolving the economic relationships between the companies and the organizations which are working for the trade across the globe. This assignment project work is just an attempt to get integrate these developments and attempts in the field of the market journalism into the burgeoning literature on international marketing process as well as on recent research findings on the International marketing. The research emphasis within the subject has evolved alongside changes in the stress given to key aspects of international trade market. The pre-occupation of early researchers with exports and selling is being replaced by a

more balanced view which gives increasing weight to other aspects of international marketing such as licensing, joint ventures, and overseas subsidiaries. In effect, the traditional ethnocentric conceptual view of international marketing trade is being counterbalanced by a more accurate global view of markets. This process of change is tracked in this paper and the growing importance of a strategic and organizational approach to international marketing is emphasized. Focused attention is paid to the heterogeneous nature of international marketing process. The diversity of the globalized situations is matched by the variety of enterprises which play a vital part in the marketing exploration process. There is also explanation focuses on the matching of the available company resources and marketing goals in successful international marketing trade. The concept which unveils the paper brings out the importance of effective marketing procedures to success in international markets and trade over the international markets.

DOMESTIC MARKETING

A marketing restricted to the political boundaries of a country is called 'Domestic Marketing'. A company marketing only within its national boundaries only has to consider domestic competition. Even if that competition includes companies from foreign markets, it still only has to focus on the competition that exists in its home market. Products and services are developed for customers in the home market without thought of how the product or service could be used in other markets. All marketing decisions are made at headquarters. The biggest obstacle these marketers face is being blindsided by emerging global marketers. Because domestic marketers do not generally focus on the changes in the global marketplace, they may not be aware of a potential competitor who is a market leader on three continents until they simultaneously open 20 stores in the Northeastern U.S. These marketers can be considered ethnocentric as they are most concerned with how they are perceived in their home country.

The domestic market is a large market that every nation needs. These markets are all restricted to be under control of certain boundaries in that company or country. This type of marketing is the type of marketing that takes place in the headquarters. In domestic markets it helps reduce the cost of competition. By reducing competition the company has a better shot of being more successful in the long run. Also if the company's competition is not a big factor that will affect their business, they have a good shot at making prices higher and people will still purchase that product.

A firm operating in a domestic market also gets the opportunity to operate in different areas and this gives the company an opportunity to have bigger markets to advertise to. Even in domestic markets, businesses are still trying to trade with each other to promote their business to other businesses in the area. An advantage to marketing domestically is that the firm may be entitled to tax benefits for offering jobs to the nation and for giving people opportunities for work. A firm that markets domestically helps countries by offering more jobs, bringing in additional business to the market and stimulates trading within the market.

Global Marketing

Global marketing is a firm's ability to market to almost all countries on the planet. With extensive reach, the need for a firm's product or services is established. The global firm retains the capability, reach, knowledge, staff, skills, insights, and expertise to deliver value to customers worldwide. The firm understands the requirement to service customers locally with global standard solutions or products, and localizes that product as required to maintain an optimal balance of cost, efficiency, customization and localization in a control-customization continuum to best meet local, national and global requirements to position itself against or with competitors, partners, alliances, substitutes and defend against new global and local market entrants per country, region or city. The firm will price its products appropriately worldwide, nationally and locally, and promote, deliver access and information to its customers in the most cost-effective way. The firm also needs to understand, research, measure and develop loyalty for its brand and global brand equity (stay on brand) for the long term.

At this level, global marketing and global branding are integrated. Branding involves a structured process of analyzing "soft" assets and "hard" assets of a firm's resources. The strategic analysis and development of a brand includes customer analysis (trends, motivation, unmet needs, segmentation), competitive analysis (brand image/brand identity, strengths, strategies, vulnerabilities), and self-analysis (existing brand image, brand heritage, strengths/capabilities, organizational values).

Further, Global brand identity development is the process establishing brands of products, the firm, and services locally and worldwide with consideration for scope, product attributes, quality/value, uses, users and country of origin; organizational attributes (local vs. global); personality attributes (genuine, energetic, rugged, elegant) and brand customer relationships (friend, adviser, influencer, trusted source); and importantly symbols, trademarks metaphors, imagery, mood, photography and the company's brand heritage. In establishing a global brand, the brand proposition (functional benefits, emotional benefits and self-expressive benefits are identified, localized and streamlined to be consistent with a local, national, international and global point of view. The brand developed needs to be credible. A global marketing and branding implementation system distributes marketing assets (website, social media, Google PPC, PDFs, sales collateral, press junkets, kits, product samples, news releases, local mini-sites, flyers, posters, alliance and partner materials), affiliate programmes and materials, internal communications, newsletters, investor materials, event promotions and trade shows to deliver an integrated, comprehensive and focused communication, access and value to the customers, that can be tracked to build loyalty, case studies and further establish the company's global marketing and brand footprint.

ELEMENTS OF THE GLOBAL MARKETING

Not only do standard marketing approaches, strategies, tactics and processes apply, global marketing requires an understanding of global finance, global operations and

distribution, government relations, global human capital management and resource allocation, distributed technology development and management, global business logic, interfirm and global competitiveness, exporting, joint ventures, foreign direct investments and global risk management.

The standard “Four P’s” of marketing: product, price, place, and promotion are all affected as a company moves through the five evolutionary phases to become a global company.

Ultimately, at the global marketing level, a company trying to speak with one voice is faced with many challenges when creating a worldwide marketing plan. Unless a company holds the same position against its competition in all markets (market leader, low cost, etc.) it is impossible to launch identical marketing plans worldwide.

Product

A global company is one that can create a single product and only have to tweak elements for different markets. For example, Coca-Cola uses two formulas (one with sugar, one with corn syrup) for all markets. The product packaging in every country incorporates the contour bottle design and the dynamic ribbon in some way, shape, or form. However, the bottle can also include the country’s native language and is the same size as other beverage bottles or cans in that same country.

Luxury products, high-tech products, and new innovations are the most common products in the global marketplace. They are easier to market in a standardized way than other products because there are no traditional cultural values attached to their meanings.

Price

Price will always vary from market to market. Price is affected by many variables: cost of product development (produced locally or imported), cost of ingredients, cost of delivery (transportation, tariffs, etc.), and much more. Additionally, the product’s position in relation to the competition influences the ultimate profit margin. Whether this product is considered the high-end, expensive choice, the economical, low-cost choice, or something in-between helps determine the price point.

Place

How the product is distributed is also a country-by-country decision influenced by how the competition is being offered to the target market. Using Coca-Cola as an example again, not all cultures use vending machines. In the United States, beverages are sold by the pallet via warehouse stores. In India, this is not an option. Placement decisions must also consider the product’s position in the market place. For example, a high-end product would not want to be distributed via a dollar store in the United States. Conversely, a product promoted as the low-cost option in France would find limited success in a pricey boutique.

Promotion

After product research, development and creation, promotion (specifically advertising) is generally the largest line item in a global company's marketing budget. At this stage of a company's development, integrated marketing is the goal. The global corporation seeks to reduce costs, minimize redundancies in personnel and work, maximize speed of implementation, and to speak with one voice. If the goal of a global company is to send the same message worldwide, then delivering that message in a relevant, engaging, and cost-effective way is the challenge.

Effective global advertising techniques do exist. The key is testing advertising ideas using a marketing research system proven to provide results that can be compared across countries. The ability to identify which elements or moments of an ad are contributing to that success is how economies of scale are maximized. Market research measures such as flow of attention, flow of emotion and branding moments provide insights into what is working in an ad in any country because the measures are based on visual, not verbal, elements of the ad.

ADVANTAGES AND DISADVANTAGES

Advantages

The advantages of global market include:

- Economies of scale in production and distribution
- Lower marketing costs
- Power and scope
- Consistency in brand image
- Ability to leverage good ideas quickly and efficiently
- Uniformity of marketing practices
- Helps to establish relationships outside of the "political arena"
- Helps to encourage ancillary industries to be set up to cater for the needs of the global player
- Benefits of eMarketing over traditional marketing.

Reach

The nature of the internet means businesses now have a truly global reach. While traditional media costs limit this kind of reach to huge multinationals, eMarketing opens up new avenues for smaller businesses, on a much smaller budget, to access potential consumers from all over the world.

Scope

Internet marketing allows the marketer to reach consumers in a wide range of ways and enables them to offer a wide range of products and services. eMarketing includes, among other things, information management, public relations, customer service and

sales. With the range of new technologies becoming available all the time, this scope can only grow.

Interactivity

Whereas traditional marketing is largely about getting a brand's message out there, eMarketing facilitates conversations between companies and consumers. With a two way communication channel, companies can feed off of the responses of their consumers, making them more dynamic and adaptive.

Immediacy

Internet marketing is able to provide an immediate impact. With traditional print media, it's not that easy for the consumer to take the step from hearing about a product to actual acquisition. With eMarketing, it's easy to make that step as simple as possible, meaning that the product is just a few mouse clicks away. All of this can happen regardless of normal office hours. Effectively, Internet marketing makes business hours 24 hours per day, seven days per week for every week of the year. By closing the gap between providing information and eliciting a consumer reaction, the buying cycle is sped up.

Demographics and Targeting

The demographics of the Internet are a marketer's dream. Internet users, considered as a group, have greater buying power and could be considered a population group skewed towards the middle-classes. Buying power is not all though. The nature of the Internet is such that its users will tend to organize themselves into focused groupings. Marketers can easily find access to niche markets they wish to target. Marketing messages are most effective when they are presented directly to the audience most likely to be interested. The Internet creates the perfect environment for niche marketing to targeted groups. Teenagers, for example, share common characteristics even if they are from different cultures and nations. This youth market generally has more money to spend and is affluent. However, this market is difficult to target because they are always one step ahead – they are more aware of marketing tactics and are very cynical. They are trendsetters that define themselves in opposition to the establishment. Since the youth market is growing, it would benefit the company to target them, as it would bring in more revenue. Youths are also highly active on social media and in the recent years, many advertising campaigns have gone viral through social media. With the constant flow of media and information, brands continue to increase their awareness, and increase consumer consumption. Targeting the youth market is beneficial because they are more open-minded, have international contacts, and travel more.

Cross Cultural Negotiation

The dimensions of culture, such as power distance, the context of the culture and the local work ethic is an area of marketing and social science that is closely related to

Global marketing. The ability to discern cultural differences through initial assessment of another market is considered a critical enabler to progress in Global marketing.

Effective marketing requires adapting to cultural values, and Hofstede's five cultural dimensions theory helps compare practices of consumption and consumer motivations for buying products and services. When a company can advertise effectively to its foreign markets, it brings benefits to both sides. The company gains more revenue and relations, and the foreign markets have access to better products and services. Hofstede, through the five cultural dimensions, reveals how cultures are different and value different things. Typically, the west is different from the rest. The west typically values individualism, high need for autonomy, modernity, and a more explicit use of sexuality whereas eastern values include family oriented, respect for elderly, submission to authority, traditional collectivism, and Confucianism. When designing an advertisement, cultural value differences must be considered to be effective since advertising campaigns do not work the same way in different countries.

Adaptivity and Closed Loop Marketing

Closed Loop Marketing requires the constant measurement and analysis of the results of marketing initiatives. By continuously tracking the response and effectiveness of a campaign, the marketer can be far more dynamic in adapting to consumers' wants and needs. With eMarketing, responses can be analyzed in real-time and campaigns can be tweaked continuously. Combined with the immediacy of the Internet as a medium, this means that there's minimal advertising spend wasted on less than effective campaigns. Maximum marketing efficiency from eMarketing creates new opportunities to seize strategic competitive advantages. The combination of all these factors results in an improved ROI and ultimately, more customers, happier customers and an improved bottom line.

Disadvantages

- Differences in consumer needs, wants, and usage patterns for products
- Differences in consumer response to marketing mix elements
- Differences in brand and product development and the competitive environment
- Differences in the legal environment, some of which may conflict with those of the home market
- Differences in the institutions available, some of which may call for the creation of entirely new ones (*e.g.*, infrastructure)
- Differences in administrative procedures
- Differences in product placement
- Differences in the administrative procedures and product placement can occur.

Neoliberal economists advocated reliance on markets to keep the international economy healthy and growing. They championed was the liberation of international currency. The market should work but doesn't. It's out of the hands of the public and

belongs to the above mentioned multinational corporate title-holders. Popular support position involved above all else a cultural campaign couched in terms of freedom.

GLOBAL MARKETING MANAGEMENT

As global competition increases, multinational companies must change how they manage and alter their organizational structures accordingly. The ultimate goal is to enhance their current position to take advantage of opportunities existing in the global marketplace.

Whether your company is already multinational, or you are domestic company looking into foreign expansion, there are many strategic decisions involved with planning, implementing and maintaining appropriate business processes. For instance, will you use a standardized or adapted marketing approach, expand in a concentrated vs. dispersed manner, or have integrated vs. independent operations? It makes no difference what industry you are involved with or the size of your organization. Marketers must fully understand the nature of competition, planning requirements and market-entry options from a global perspective. This post will identify elements that are present in the most successful international and global organizations.

WHAT DOES GLOBAL MARKETING MEAN TODAY

Throughout the past few decades, there has been much debate over whether global homogenization of consumer tastes allows for standardization of the marketing mix. To refresh, understand that there are differences between global marketing and international marketing. Global marketing implies that your organization standardizes its marketing programmes, coordinates across markets and practices global integration. Today, many companies have trouble deciding whether using a truly global marketing strategy is right for them.

There is a slight trend back toward localization due to new efficiencies of customization made possible by technology, the Internet, and new manufacturing processes. “Mass Customization” has now taken the place of “Mass Production.” In today’s world, the customer does not always respond to a “one size fits all” approach.

What are the benefits of Global Marketing? The number of companies that can have a truly global marketing strategy is limited, however if carried out successfully, global marketing offers the following benefits:

- When a large market segment can be identified across major regions, better economies of scale can be achieved and can create a competitive advantage for a multinational company
- The transfer of knowledge and experience across countries results in improved communication and coordination of marketing activities. Global diversity in a marketing team can also lead to new approaches that may not have normally been utilized, creating a stronger local presence contributing to a more powerful global brand as a whole.

- Marketing globally can gain access to the toughest customers. Pleasing customers in product and services categories that are normally hard to reach means winning business that the competition cannot.
- Diversifying your markets means more financial stability. Spreading out your company's portfolio means that if financial, legal or economic conditions suffer in one area, they can be balanced out by others.

How do I Plan for a Global Market

If your company chooses to go global, planning is essential and is one area that business-owners are often not disciplined enough to do. International business can be much more complex than doing business domestically. Planning is a tool that allows you to relate to the future. It is an attempt to control the effects of the internal, external and customer environments in such a way that the firm can set and meet goals. When goals are solidified and a commitment is made to specific resources, growth is more likely. There are 3 types of planning related to international business: corporate, strategic or tactical.

- *Corporate planning* is long-term, and includes generalized goals for the whole firm
- *Strategic planning* is conducted at highest management levels and deals with products, capital, research and the long and short-term goals of the company
- *Tactical planning, or market planning*, are specific actions and the allocation of resources used to carry out strategic goals in given markets.

Whether you are marketing in many countries or entering a foreign market for the first time, the International Planning Process is essential.

How do I Organize Internally

Do not underestimate the importance internal communication and organizational structure for your MNC (multinational corporation). In order to go global, organizations must reflect upon a number of company-specific factors, such as:

- Size
- Level of policy decisions
- The length of chain of command
- Staff support
- Sources of natural and personnel resources
- Degree of organizational control
- Cultural differences in decision-making styles
- Centralization
- Type or level of marketing involvement

There are three ways companies usually choose to structure themselves:

- *Global product divisions* are responsible for product sales throughout the world
- *Geographic divisions* are responsible for all products and functions within a defined area

- A *matrix organization* consists of either of these structures with an additional centralized sales and marketing run by a functional staff, or a combination of area operations and global product management

Considerations must also be made involving who makes decisions and for whom. Management must decide which decisions are made at corporate headquarters, at international headquarters, at regional levels, national levels and even local levels.

There are three major types of organizational patterns used by MNC's.

- *Centralized:* Most decisions are made by corporate headquarters. Advantages are that all experts are in one location and can exercise a high degree of control in planning and implementing. Records and information are stored accessible in the same place, which can ease communication.
- *Regionalized:* Very large corporations may use these structures, where decision-makers are grouped by similar regions. For example, a European headquarters and North American headquarters may have similar functions but express control over different areas.
- *Decentralized:* Is used when there is a belief that hiring competent local managers and giving them full responsibility of their organizations will ensure that those with the most direct contact with their market are making the best business decisions.

Although formally a firm may have a chosen structure, it is important to remember that informally there may be aspects of different structures affecting the organization. For example, many companies have a highly centralized Product/Service structure, but may have decentralized Pricing, Promotion and Distribution structures. On a global level, marketers must work to have a broad company view that can optimize the performance of each individual market segment and location.

THE SCOPE OF INTERNATIONAL MARKETING

International marketing that is also known as global marketing has earned a great scope today. No business can survive in international market until they don't have internal marketing plan. Thanks to globalization, the marketing strategies of today are not limited to stay confined within the borders of a country. Instead, the world is like an open market for marketers and they can enter whichever market they want. In other words, the scope of international marketing has grown wildly than it was in the past. Promoting a product internationally is rising up Indonesia, China, India, Mexico, Korea, Chile, Argentina, and Brazil in the form of new and potential markets.

Moreover, increased power of purchasing and ever changing customer taste along with the assistance in gaining the knowledge about these taste has changed the shape of the world altogether.

Since the number of potential markets is growing, so it is important for any brand for having complete information about how messy it can get for them out there, if they are not fully aware of how far they can go for promoting their product. That's why we

wrote a full-fledged article for fulfilling the purpose of making you understand the limits and freed of international businesses.

SCOPE OF INTERNATIONAL MARKETING

Imports

Importing products for a brand works the same way like as it does for a whole country. Businesses buy up the products so that they can resale it to potential customer base inland that they have gathered with a lot of hard work and passing through tough times. But most of the times, companies take help from imports for their own use – creation and improving their own production line. They do so when they are pretty sure that using the product can let them achieve their objective or can be helpful in putting up a unique solution.

Exports

Exporting is similar in terms of concept for a brand as it is for a country. Companies export their finalized products to international markets or on to their other franchises in far off markets where they can sell the products to their localities for generating huge revenues. Not just this, even semi-finalized products are exported for getting an extra boost for the brand's treasury. This revenue generated through exports is then used for paying up the costs of imports, covering up the costs of development as well as ripening profits. Both the imports and exports help in expanding the reach of the companies.

Contractual Agreements

Whenever, business moves out to international level, its scope of international marketing exposes it to greater chances of doing a lot more business. In fact, the fun part starts there when you see your company making contractual agreements with many others. Those agreements can either be in terms of licensing or co-production or even of technical assistance.

Licensing then moves further down the road and includes even more agreements in the form of trademarks, patents, secrets of the brand and brand names, too, which those companies are allowed to use only if the fee is paid. Well! The fee part surely scares some of the traders but it's better to give one-time sacrifice and once your business starts running normally, the fee for such licenses can be automatically covered.

Joint Venturing

Joint Venture is the name of a collaborative association of two brands for a reasonable period of time. This association then gives birth to an even new firm that works individually and pursues goals other than parent companies. This new firm works under the banner of both the “venturing” brands and the division of profits and losses takes places between both in a certain ratio.

Most of the time, joint venture comes into being when a local company is of great interest for an investor out of the game field or sometimes, the case can go totally opposite. This technique is of extreme value to companies are interested in doing business in the countries where outsiders are not allowed to have their owned businesses and thus, raises the scope of international marketing.

Contract Manufacturing

Contract manufacturing is one of the most used tactics and is pretty awesome as well since it reduced the costs of productions for the companies or better said the company takes off the responsibility of assembling the products, itself. The other company, with which the contract is made, assembles the product and keeps product marketing. This is what a manufacturing contract is called. This process cuts half the both the price and risk while encouraging easy exit at the same time.

Fully Owned Manufacturing

This aspect of the scope of international marketing comes into play when it is in the best interests of the company to take full control over both the production and promotion in the target markets.

For the purpose, the company sets up its own facilities for the creation and assembling the product (if possible). This lets the brand to work for long term interests instead of pursuing short term goals and keeping the quality and prices under their own consideration without having to rely on others.

Well! There are many other factors also that would force the company to take charge of everything. Such factors include trade barriers (and that, too, at their maximum extent), governmental policies and cost differences.

Strategic Alliances

Gaining a long term competitive advantage over the competitors is not an easy task. But at that point, it's important for you to learn that what you can't achieve alone, you can do so by making some friends. It works just like the concept which says that enemy of your enemy can be your friend. It's capabilities of increasing the innovative flow while boosting up the flexibility for making the responses back to the market and that's what makes this thing to be included among the important points of the scope of international marketing.

Management Contracts

There is yet another point that's describable among the scope of international marketing and that's the existence of management contracts. These contracts are helpful in achieving a skilled labour force for the brand from the brand with comparatively experienced workers. In this way, the company can save itself from greater dangers easily with that skill-filled package supplied by the supplier as the par contract.

DIFFERENCE BETWEEN DOMESTIC AND INTERNATIONAL MARKETING



Marketing is defined as the set of activities which are undertaken by the companies to provide satisfaction to the customers through value addition and making good relations with them, to increase their brand value. It identifies and converts needs into products and services, so as to satisfy their wants. There are two types of marketing namely, domestic and international marketing. Domestic marketing is when commercialization of goods and services are limited to the home country only.

On the other hand, International marketing, as the name suggests, is the type of marketing which is stretched across several countries in the world, *i.e.*, the marketing of products and services is done globally. In this chapter excerpt you can find the difference between domestic and international marketing in detail.

DOMESTIC MARKETING VS INTERNATIONAL MARKETING

Table. Comparison Chart

Basis for Comparison	Domestic Marketing	International Marketing
Meaning	Domestic marketing refers to marketing within the geographical boundaries of the nation.	International marketing means the activities of production, promotion, distribution, advertisement and selling are extend over the geographical limits of the country.
Area served	Small	Large
Government interference	Less	Comparatively high
Business operation	In a single country	More than one country
Use of technology	Limited	Sharing and use of latest technology.
Risk factor	Low	Very high
Capital requirement	Less	Huge
Nature of customers	Almost same	Variation in customer tastes and preferences.
Research	Required but not to a very high level.	Deep research of the market is required because of less knowledge about the foreign markets.

DEFINITION OF DOMESTIC MARKETING

Domestic Marketing refers to the marketing activities employed on a national scale. Marketing strategies were undertaken to cater customers of a small area, generally

within the local limits of a country. It serves and influences the customers of a specific country only. Domestic Marketing enjoys a number of privileges like easy to access data, fewer communication barriers, deep knowledge about consumer demand, preferences and taste, knowledge about market trends, less competition, one set of economic, social & political issues, etc. However, due to the limited market size, the growth is also limited.

DEFINITION OF INTERNATIONAL MARKETING

International Marketing is when the marketing practices are adopted to cater the global market. Normally, the companies start their business in the home country, after achieving the success they proceed their business to another level and become a transnational company, where they seek to enter in the market of several countries. So, the company must be known about the rules and regulations of that country.

International marketing enjoys no boundaries, keeping the focus on the worldwide customers. However, some disadvantages are also associated with it, like the challenges it faces on the path of expansion and globalisation. Some of which are socio-cultural differences, changes in foreign currency, language barriers, differences in buying habits of customers, setting and international price for the product and so on.

Key Differences Between Domestic and International Marketing

The significant differences between domestic and international marketing are explained below:

- The activities of production, promotion, advertising, distribution, selling and customer satisfaction within one's own country is known as Domestic marketing. International marketing is when the marketing activities are undertaken at the international level.
- Domestic marketing caters a small area, whereas International marketing covers a large area.
- In domestic marketing, there is less government influence as compared to the international marketing because the company has to deal with rules and regulations of numerous countries.
- In domestic marketing, business operations are done in one country only. On the other hand, in international marketing, the business operations conducted in multiple countries.
- In international marketing, there is an advantage that the business organisation can have access to the latest technology of several countries which is absent in case domestic countries.
- The risk involved and challenges in case of international marketing are very high due to some factors like socio-cultural differences, exchange rates, setting an international price for the product and so on. The risk factor and challenges are comparatively less in the case of domestic marketing.

- International marketing requires huge capital investment, but domestic marketing requires less investment for acquiring resources.
- In domestic marketing, the executives face less problem while dealing with the people because of similar nature. However, in the case of international marketing, it is quite difficult to deal with customers of different tastes, habits, preferences, segments, etc.
- International marketing seeks deep research on the foreign market due to lack of familiarity, which is just opposite in the case of domestic marketing, where a small survey will prove helpful to know the market conditions.

INTERNATIONAL MARKETING VS GLOBAL MARKETING

Here are some of the key differences between the two terms that show that these are not similar:

SERVICE OR PRODUCT OFFERING

In global marketing, a company provides the exact product or service offerings to the customers in all countries that it operates. For example, banks, insurance companies and big retail chains such as Wal-Mart. In international marketing however, each of the individual market is served with specific tailored products especially suited to the customers in that market only. Let's talk about the Sharia finance products that are only offered to Muslim customers in Muslim countries or non-Muslim countries for that matter.

MARKETING PERSONNEL

The marketing staffs of companies employing the global marketing strategy work at the company's head office and are generally quite different from each other in terms of ethnicity, age, gender and also nature of work. They have distinct skills from each other which when combined produce effective results for the company and its global view.

On the other hand, in international marketing, there is much less dissimilarity amongst the team members and hail generally from the country of origin of the company itself.

MARKETING BUDGET

The marketing budget of a company adopting the global marketing policy is finalized and approved from the corporate headquarters. For example, Nike finalizes a said amount of budget at its headquarters which then drops down to local branch offices subsequently.

However, in international marketing, the budget gets segregated into each of the subsidiary offices which can also formulate its own budget as well. For example, McDonald's runs ads in local languages and according to local traditions that can be found in those regions only.

PROMOTION TACTICS

In global marketing, the company tries to make and air (on TV and radio) ads that are in sync with the worldwide audience and similarly does other marketing efforts. An appropriate example for this would be the ads that were aired on television during the 2014 FIFA World Cup. It was a mix of all: global event, passionate viewers and the game of football. In international marketing, all the marketing efforts including television commercials are tailored for the local market.

MARKETING AUTONOMY

In global marketing, every marketing strategy is devised and implemented from the corporate headquarters whereas in international marketing the marketing efforts are generated from within the domestic markets.

USE OF SOCIAL MEDIA

Just by reviewing their social media pages, one can contemplate as to what type of marketing policy the company has adopted. For example, brands like McDonald's have separate Facebook pages for numerous countries such as Malaysia, Brazil, Italy and Spain. Whereas, companies like Nike and Caterpillar have just a solitary Facebook page for their customers irrespective of any region or country.

CUSTOMERS' ENGAGEMENT

Customers' engagement is more visible in International Marketing. A company can better connect with its customers by installing in place better communication channels. Global marketing is also as effective when it comes to customers' engagement only the international marketing strategies are little different. However, it is proved that international marketing seems to create greater amount of engagement than global marketing does.

ADVERTISING

In the global marketing concept the advertisements are typically aired on worldwide mediums; however in international marketing companies tend to air the advertisements in local markets or markets with similar characteristics. There are some global marketing products which respond well to global advertising, however there are others that which cannot exist in certain countries due to legal restrictions.

R&D AND MARKETING RESEARCH

In real terms, marketing research and R&D are as thorough and widespread in global marketing as they are in international marketing. There are some instances when companies don't do their international marketing research properly and thus their products fail miserably in the global market. For example, the Ben-Gay Aspirin, McDonald's Arch Deluxe, and Redux Beverages' Cocaine Energy drink.

HYBRID STRUCTURE

This point is not a direct comparison between global and international marketing but it emphasizes the fact that a hybrid structure of the two forms of marketing can be very useful for companies. For example, in the early days Coca-Cola successfully adopted this tactic and now every company seems to be following it. For example, Frito-Lay, Proctor and Gamble, McDonald and Mercedes Benz, all have taken to this approach.

DEFINITION OF INTERNATIONAL MARKETING

International market is the marketing approach in which a company sells International marketing products in more than one country.

Marketing Environment of International Marketing:

- *The Political Environment:* These kinds of government comprise the political & ethical base such as democracy, socialism, dictatorship, monarchy, or consumerism.
- *The Legal Environment:* The ruling of goods and services by the administration is very important to an international marketing organization. If the market is driven by the law, then it supports the price and circulation of products and services.
- *Cultural Factor:* The culture of any country is hugely significant in international marketing since it helps the organization to know the international marketing features that they must keep in purview. In the event of developing countries this is not the case, as foreign goods are highly liked as compared with locally made ones.

GLOBAL MARKETING DEFINITION

Global marketing discusses the marketing actions coordinated and assimilated across numerous markets. Jonny K Johansson has defined Global Marketing as “a bigger brother to international marketing” *i.e.*, it’s just an extension to international marketing. Muhlbacher, Helmuth, and Dahringer have defined it as “Global/transnational Marketing focuses upon leveraging a company’s assets, experience and products globally and upon adapting to what is truly unique and different in each country”.

Global Marketing Advantages

- Whenever a business turns global, it is empirical that it should take advantage of the myriad opportunities that Internet can bestow upon it.
- Apart from the limitless sales potential which the business eventually enjoys by keeping a worldwide existence, a particular brand must also invest on Internet resources which the customers can readily relate to irrespective of where they might be.
- Higher profits, increased sales, fresh knowledge and skill-development are also some marked advantages of global marketing.

GLOBAL MARKETING DISADVANTAGES

- The competitive dissimilarities amongst the various brands and manufacturers.
- The differences in customer likings such as needs and desires impacted by their own regions.
- The differences in authorized concerns which may create clashes with that of the native market.
- There may be language barriers, changed mindset of consumers and/or additional costs incurred in production.

Global marketing is actually a great deal different from international marketing. Although, they are perceived to be similar but when a company really decides to expand and create its business it actually needs to know the actual differences between the two. This way, when the company is really prepared to expand it just needs to know which of the two to adopt and it is good to go, without any further worries.

Global marketing has been defined by the Oxford University Press as “marketing on a worldwide scale reconciling or taking commercial advantage of global operational differences, similarities and opportunities in order to meet global objectives.” Thus, global marketing means to sell your products all over the globe. It is really very close in meaning to international marketing but there are many differences between the two.

Global marketing does happen when a company deems the entire worldwide market as one. There is no difference between the local market and the market that is 10000 miles distant in the view of the company. It perceives the entire market with the same eye and makes no distinction between any particular markets. Global marketing is followed by large retail stores that sell certain fixed products. The company would not introduce anything new or as per the religious sentiments of the local people since it's an international brand that is operating in that region as a foreigner. They won't even bring in certain foods and products that are of the host country but would only sell those found in their own country. Each and every product of theirs is the exact same as you would find in the country of their origin or that can be found in any other country for that matter.

To adopt the strategy of global marketing a company must use the '4P's of marketing' that are product, price, place and promotion. A company just can't become a global company overnight, but has to take several steps to become one. First, they must possess a global team. Second, they must possess a universal marketing plan. Naturally, it takes some time (and effort) for a local company to start selling its products on a global level.

International marketing is in many ways different from global marketing. International marketing is when a company that is headquartered in one country decides to start selling its products in another or many other countries. It then opens head offices and manufacturing units in those countries. It is just like opening a new franchise in another country. The company is still in charge of the international marketing business and its operations and marketing goals but the responsibility of the local markets now lies with the local headquartered units of the company which look after them in their own way.

It is still possible to keep a large chain using international marketing. The chain and franchises have the same company logo and missions but sells products that are according to the tastes and religious sentiments of the people of those markets. For example, an American company dealing in international marketing would not just sell American products but French products as well.

International marketing has many advantages too. One of them being the availability of local and competent staff from the country of operation, who have a sound knowledge of the local customs and traditions and thus are of great value to the company.

These kind of franchises can still operate and make their own marketing policies but ultimately have to report to the main headquarter in the country of origin to report all the sales and revenue figures. The decision for a new company, that has just started to operate needing to expand its business activities, whether to adopt global or international marketing, has to be taken after considering its nature of products and other pros and cons.

DIFFERENCE BETWEEN DOMESTIC AND INTERNATIONAL MARKETING

DOMESTIC VS INTERNATIONAL MARKETING

Marketing is the efficient and effective management and utilization of a company's resources to meet the consumers' demands and the company's objectives. It involves selling the company's products to satisfy the needs of consumers.

It includes planning, conception and execution of ideas, pricing, promotion, and distribution of a company's products with the purpose of obtaining the company's objectives and satisfying the consumers.

Marketing can be done within a local or domestic market or across national borders or in the international market. Here are some of the different features of Domestic Marketing and International Marketing:

DOMESTIC MARKETING

Domestic marketing is the selling of a company's products within a local financial market. It deals with only one set of competition and economic issues which make it more convenient to do.

There are no language barriers in domestic marketing and obtaining and interpreting data on local marketing trends and consumer demands is easier and faster to do. It helps the company make decisions and develop marketing strategies that are more effective and efficient. The risks are also lesser with domestic marketing and it needs lesser financial resources.

Local markets are not as broad as the international market though and most companies are aiming at doing business globally.

INTERNATIONAL MARKETING

International marketing is the promotion and sale of a company's products to consumers in different countries. It is very complex and requires a huge amount of financial resources.

Every country has its own laws on business and a company that aims at entering into business in another country must first know about them. Consumer tastes and preferences may also differ so marketing strategies must be formulated to cater to the needs of different consumers.

International marketing requires more time and effort, not to mention its being very risky too. The international market is very uncertain and a company must always be ready for changes that may suddenly occur. It requires a higher level of commitment to succeed in an international market.

Summary:

- Domestic marketing is the production, promotion, distribution, and sale of goods and services in a local market while international market is the production, promotion, distribution, and sale of goods and services in a global market.
- Domestic marketing is less risky and easier to conduct while international marketing is more risky and more complex.
- Domestic marketing requires lesser financial resources while international marketing requires huge financial resources.
- Domestic marketing deals with only a single market while international marketing deals with several different countries and markets.
- Although both use all the basic marketing principles, international marketing is more challenging and requires more commitment from the company because of the uncertainty and differences in laws and regulations in the global market while domestic marketing deals only with the laws and regulations of one country.
- Domestic marketing deals only with one set of consumers while international marketing deals with different types of consumers with different tastes.
- In domestic marketing, the company can have the same policies and strategies while international marketing requires different strategies in the promotion of their products.

How do you define value? can you measure it? What are your products and services actually worth to customers? Remarkably few suppliers in business markets are able to answer those questions. And yet the ability to pinpoint the value of a product or service for one's customer has never been more important. Customers—especially those whose costs are driven by what they purchase—increasingly look to purchasing as a way to increase profits and therefore pressure suppliers to reduce prices. To persuade customers to focus on total costs rather than simply on acquisition price, a supplier must have an accurate understanding of what its customers value, and would value. Put yourself, for a moment, in the role of a commercial grower. Two suppliers are trying to sell you

mulch film: thin plastic sheets that are placed on the ground to hold in moisture, prevent weed growth, and allow melons and vegetables to be planted closer together. The first supplier comes to you with this proposition: “Trust us—our mulch film will lower your costs. We’ll provide superior value for your money.” The second supplier says, “We can lower the cost of your mulch film by \$16.83 per acre,” and offers to show you exactly how. Which proposition would you find more convincing?

Many customers, like the commercial grower, understand their own requirements but do not necessarily know what fulfilling those requirements is worth to them. To suppliers, this lack of understanding is an opportunity to demonstrate persuasively the value of what they provide and to help customers make smarter purchasing decisions.

A small but growing number of suppliers in business markets draw on their knowledge of what customers value, and would value, to gain marketplace advantages over their less knowledgeable competitors. These suppliers have developed what we call *customer value models*, which are data-driven representations of the worth, in monetary terms, of what the supplier is doing or could do for its customers.

Customer value models are based on assessments of the costs and benefits of a given market offering in a particular customer application. Depending on circumstances, such as availability of data and a customer’s cooperation, a supplier might build a value model for an individual customer or for a market segment, drawing on data gathered from several customers in that segment.

Customer value models are not easy to develop. But the experiences of suppliers that have built and used them successfully suggest several guidelines that we believe will be useful to any company attempting to define and measure value for its customers.

A COMMON DEFINITION OF VALUE

To measure value in practice, it is crucial to have a shared understanding of exactly what value *is* in business markets. Before we go into any detail about building value models, we need to provide a brief explanation of what we mean by *value*. Value in business markets is the worth in monetary terms of the technical, economic, service, and social benefits a customer company receives in exchange for the price it pays for a market offering. We will elaborate on some aspects of this definition.

First, we express value in monetary terms, such as dollars per unit, guilders per liter, or kroner per hour. Economists may care about “utils,” but we have never met a manager who did! Second, by benefits, we mean net benefits, in which any costs a customer incurs in obtaining the desired benefits, except for purchase price, are included. Third, value is what a customer gets in exchange for the price it pays. We see a market offering as having two elemental characteristics: its value and its price. Thus raising or lowering the price of a market offering does not change the value that such an offering provides to a customer. Rather, it changes the customer’s incentive to purchase that market offering. Finally, considerations of value take place within some context. Even when no comparable market offerings exist, there is always a competitive alternative. In

business markets, one competitive alternative may be that the customer decides to make the product itself rather than purchase it.

We can capture the essence of this definition of value in the following equation:

$$(\text{Value}_s - \text{Price}_s) > (\text{Value}_a - \text{Price}_a)$$

Value_s and Price_s are the value and price of the supplier's market offering, and Value_a and Price_a are the value and price of the next best alternative. The difference between value and price equals the customer's incentive to purchase. Simply put, the equation conveys that the customer's incentive to purchase a supplier's offering must exceed its incentive to pursue the next best alternative.

BUILDING CUSTOMER VALUE MODELS

Field value assessments (also known by other names, such as value-in-use or cost-in-use studies) are the most commonly used—and, we believe, the most accurate—method for building customer value models. Field value assessments call for suppliers to gather data about their customers firsthand whenever possible. Clearly, however, conducting such direct research isn't always an option. In cases where field value assessments are not feasible, it is possible to gain a worthwhile understanding of value through such methods as direct and indirect survey questions, conjoint analysis, and focus groups, all of which rely primarily on customers' perceptions of the functionality, performance, and worth of a supplier's offering.

Get Started

Without a doubt, the most difficult customer value model that a supplier will build is its first one. Indeed, gaining a comprehensive understanding of the value of a market offering in a particular customer setting may appear monumentally difficult. But it can be done. The first step is putting together the right kind of value research team. The team should include people with product, field engineering, and marketing experience, and two or three forward-thinking salespeople. Having salespeople involved at the start is particularly important. They know the customer and how the offering is used; they also know which customers might be willing to cooperate in value research. Salespeople who are part of a value assessment initiative from the outset are also more likely to understand and appreciate it. They will, therefore, support the approach and can then persuasively relate their experiences to others in the sales force.

Selecting the right market segment to target is the next step. Because the supplier will need to conduct value assessments with at least two and perhaps up to a dozen customers to build an initial value model, it's a good idea to start with a segment in which the supplier has particularly close, collaborative relationships with customers, extraordinary knowledge of how customers use the offering in question, or relatively simple offerings. Before approaching a customer, the team should think through what it will need from the customer and what the customer will gain, and be prepared to offer an incentive. For example, the supplier might offer to provide the resources to gather

the data at no charge to the customer and guarantee to share all findings. For most companies, the promise of shared research findings among participating customers in an aggregated or disguised manner is an irresistible incentive because it allows them to benchmark. W.W. Grainger, a major distributor of maintenance, repair, and operating supplies in North America, offered both incentives for the 15 companies that participated in its initial model-building effort.

Generate a Comprehensive List of Value Elements

Value elements are anything that affect the costs and benefits of the offering in the customer's business. These elements may be technical, economic, service, or social in nature and will vary in their tangibility. How well a pigment disperses in a coating, for example, would be a technical element; providing a consolidated monthly invoice rather than a separate invoice for each purchase would be an economic element; design assistance would fall under the service heading; and ease of doing business with the supplier would be social. As it is generating the list, the team should consider the entire life cycle of the offering in question, from how the customer acquires and uses it to how the customer disposes of it when it is no longer needed. The list should capture all the potential effects that doing business with a supplier might have on the customer's business.

It's important to be as inclusive as possible. Leaving out elements, particularly those that might make the supplier's market offering look unfavorable next to the incumbent or next-best-alternative offering, will undermine the project's credibility.

By identifying as many elements as possible, the team will be able to gauge more accurately the differences in functionality and performance its offering provides relative to the next best alternative. Broadly stated categories, such as the cost of an hour of downtime in a customer's plant, may be easier to identify. But they tend to leave out cost elements, producing less valid estimates of worth. A bottle breaking in a filling line causes downtime, certainly, but it also generates costs in scrap, discards, disposal, maintenance labour, cleaning and sanitizing chemicals, and so on, many of which tend to be buried in various plant-overhead accounts.

Often, the value research team will have to make trade-offs between relying on a customer's perception of what all the relevant elements are and actually observing firsthand the ways in which the supplier's offering affects the customer. The customer's management may not have an accurate understanding of all the value elements associated with a particular offering. Believing that this was frequently the case, Alcoa Aerospace developed a programme in which the company trained its salespeople in field-value-assessment methods and then gave them an assignment in which they had to comprehensively chart all the steps a customer took in acquiring, converting, and disposing of an Alcoa offering. Interestingly, the programme gave salespeople a reason to approach customers: to ask them to cooperate in letting them do their assignments. The promise of enhanced knowledge of their own businesses provided an incentive for

those customers.

Alcoa's initiative paid off. At the end of a two-month period, the sales-people got together and presented their findings to one another. The presentations allowed participants to learn from others' experiences and to exchange ideas about various customers' situations and the potential for future sales. The customers benefited because they learned about cost and benefit elements they had previously been unaware of—elements they could now factor into their own assessments of suppliers' proposals.

Gather Data

With a comprehensive list of value elements in hand, the next step is obtaining initial estimates for each element and finding out what each one is worth in monetary terms. Sometimes, suppliers find it useful to gather data by placing a team member in a key functional area of the customer's organization for a week or two in order to gain a better understanding of what is actually being done and where things can go wrong during the day. For example, a supplier might have a team member work in the customer's receiving department. To allay any concerns on the part of the employee, customer management should tell them that the person is there to help out and to learn.

Frequently, the customer doesn't know that it has the data or information the supplier is looking for. The customer may think the information does not exist. In fact, the kind of data that needs to be pulled together in the analysis may reside on six or seven databases or systems in different functional areas.

Frequently, the customer doesn't know that it has the data or information the supplier is looking for.

Sometimes, the only way to find the data is for team members to ask around until they come across the individual who knows where the information is.

Focus groups made up of representatives from each functional area in a company can also be an effective mechanism for uncovering data. The Proaction Group, a Chicago-based consulting and strategy implementation company, recently conducted four internal focus groups at a customer company for exactly that purpose. To prepare themselves and the prospective focus-group participants, Proaction consultants met individually with each prospective participant before the session, learning what the issues might be and gathering some initial data. During the session, participants were asked what kinds of information they thought should be used in a value model and then where in the organization to look for that information. The consultants discovered sources of data in places that neither they nor the customer's management had previously identified.

The value research team also needs to be creative in finding other sources of information. Independent industry consultants or knowledgeable personnel within the supplier company can be good sources of initial estimates. San Diego-based Qualcomm, a supplier of satellite-based mobile communications systems for truck fleets, for example, drew on the American Trucking Association's research studies to provide ranges for some of the elements in the value model it developed for its OmniTRACS mobile

communications system. When a supplier provides a service that mitigates the customer's risk, it can be useful to tap actuarial consultants to estimate what the cost of the potential difficulty would be.

The ease with which the team can establish monetary estimates for its value elements will vary. The value of social elements such as greater peace of mind, for example, is generally very difficult to express in monetary terms. In fact, most suppliers do not even attempt to assign monetary amounts to social elements. Instead, they put those elements aside and discuss them with the customer in a qualitative way after presenting quantitative results. Qualcomm does not assign monetary amounts to many less-tangible elements but still includes them in its analysis as "value placeholders." In this way, Qualcomm conveys to its customers that those elements are worth something and leaves open the possibility that a specific monetary amount might be ascertained in the future.

In any field value assessment, suppliers will find that some assumptions must be made in order to complete an analysis. These assumptions might be about the functionality or performance a market offering actually provides in the customer's specific setting, particularly for elements that are extraordinarily difficult or costly to measure. Or they might be about the monetary worth of perceived or measured differences in functionality or performance that an offering provides in the customer's setting. It is critical for the supplier to be explicit about any assumptions it makes. If the customer doesn't know how or why the team assigned a certain value to an element—or is not encouraged to offer its own rationale if it disagrees with the supplier's estimates and then to join the supplier in researching a mutually acceptable solution—the supplier's credibility will be compromised.

Validate the Model and Understand Variance in the Estimates

After building the initial value model, the supplier should validate it by conducting additional assessments with other customers or potential customers in the market segment. Conducting further assessments enables the supplier to refine its value estimates and to understand better how the value of its market offering varies across customers' applications, capabilities, and usage.

What's more, as the supplier conducts additional value assessments, it will develop a greater understanding of where it needs to use firsthand data and where it can rely on customers' perceptions. (In soliciting perceptions, the supplier should remember that people are generally better at making comparative judgments [more or less than] than absolute judgments [it's worth X]. In other words, the supplier should provide the initial estimate and ask the informants whether that element is more or less valuable to them than the estimate.)

In conducting additional assessments, the supplier will also learn how the value its offerings provide varies across kinds of customers. The supplier can then build a database that contains value estimates—and the individual customer characteristics, which we call *descriptors*, that might affect those estimates—from all participating companies.

Looking at all of the data together, the supplier can then determine which descriptors have more impact than others on the value customers receive from the offering in question. As a result, the supplier can choose to pursue those customers and prospective customers for which its offering will provide superior value.

Create Value-based Sales Tools

Suppliers can not only use value models to inform and guide their own decision making but also to create persuasive sales tools. One common sales tool is a value case history. Value case histories are written accounts that document the cost savings or added value that a customer receives from its use of a supplier's market offering. Sonoco Products Company's protective packaging division, for example, tracks the savings its customers gain from implementing an offering it calls *total packaging solutions*. Rather than selling customers the more commonly marketed corrugated-cardboard packaging materials, Sonoco offers packaging systems that, it maintains, are stronger, lighter, and smaller. The major elements in Sonoco's value model thus include savings from reduced product damage, packaging costs, shipping costs, and storage costs. When a customer has used these "solutions" for a year, Sonoco constructs a case study about the cost savings and reports the findings to the customer. Sonoco maintains a file of these case studies, which its salespeople draw on when making proposals to other prospects. The studies persuasively convey the cost savings that the prospects themselves would likely realize.

Value assessment can also become a service that suppliers offer as part of a consultative selling approach. For example, a supplier can develop a spreadsheet software application that salespeople can use on-site with a laptop computer to evaluate the potential value of the offering to a particular customer.

PUTTING AN UNDERSTANDING OF VALUE TO USE

Suppliers can use their understanding of value to strengthen performance and create competitive advantage in several ways. For example, a supplier can use its knowledge to tailor supplementary services, programmes, and systems in its current market offerings and to guide the development of new offerings. Integrating everything it has learned about value into its marketing efforts, it can also gain new customers. Finally, it can better sustain customer relationships by documenting its delivery of superior value over time and by discovering new ways to update and reinvigorate those relationships.

Managing Market Offerings

In the article "Capturing the Value of Supplementary Services" (HBR January–February 1995), we argued that suppliers can capitalize on the inevitable variation in customers' requirements within market segments and increase their profitability by providing flexible market offerings. Doing so entails constructing what we call *naked solutions with options*. Naked solutions consist of just those product and service elements

that all customers within a market segment value. We said that suppliers should strive to sell naked solutions at the lowest possible price that will yield a profit. Then suppliers should “wrap” those solutions with options-specific product and service elements that some, but not all, customers value.

A company’s ability to manage flexible market offerings successfully rests on its understanding of the value each component of an offering creates as well as its associated cost. An understanding of how customers value those components—and what they cost the supplier to deliver—enables suppliers to identify and eliminate what we call *value drains*. These are services that cost the supplier more to provide than they are worth to the customers receiving them and that have no strategic significance.

Consider this: A producer of chemicals used in extracting oil from wells routinely performed a field analytic monitoring service for its customers to determine when, and in what amounts, they should apply its products. A salesperson visiting one of the company’s small, less sophisticated customers noticed the reports stacked in a corner of the production shed. When asked about their usefulness, the customer replied that he was not using the information at all and instead just had the producer’s truck driver pump a few gallons of the chemicals into each well whenever the truck came by. Learning this, the supplier offered to discontinue the service and, in exchange, give the customer a 7% per-gallon price reduction. The customer readily agreed, and the profitability of that account jumped from minus 6% to 32%!

Rather than finding value drains by chance, as in the example, suppliers can set out to detect them by using field value assessment in conjunction with activity-based-costing analysis. Identifying and eliminating value drains results in better allocation of resources and improved profitability. Virtually always, the results more than pay for the cost of doing the field-value-assessment research.

Guiding the Development of New or Improved Products and Services

Most market research that is conducted to provide an understanding of a customer’s requirements and preferences does not address the question: “If we do X, what is it worth to that customer?” Knowing that an improvement in some functionality is important does not tell a supplier if the customer is willing to pay for it. Value models provide that information.

Knowing that an improvement in some functionality is important does not tell a supplier if a customer is willing to pay for it.

In cases where the supplier’s new offering will introduce technology into the market, for example, a value model can demonstrate to prospective customers how the technology can provide greater value for them. That’s an especially critical point when the new technology makes the market offering itself higher priced than the alternative choices, which may use more established and familiar technologies. At the same time, a model allows the supplier to see how the value of its new technology varies across applications, customer capabilities, and usage situations.

When a supplier is developing a new offering in response to customers' requests or demands, it can use value assessments to determine what improvements are worthwhile and which ones have the highest priority. For example, the supplier could ask managers in different functional areas of customer companies to evaluate potential improvements. One chemical pigment supplier asked managers in its customer's production and R&D areas to perform a conjoint analysis for potential changes in its offering. Specifically, the supplier wanted to know how the customer would value some near-term-achievable changes in technical attributes, such as gloss or dispersibility. At the same time, the supplier asked the customer's general managers and purchasing managers to consider the potential value of changes in the products' commercial attributes, such as the supplier's delivery service and payment terms. Although the findings largely conformed to the supplier's management expectations, there was at least one important discovery: the relatively high value the customers placed on improved dispersibility. Subsequent field investigation confirmed that the supplier's customers were indeed having many troubles with "flocking," the clumping that can sometimes occur as a dry pigment is dispersed into a liquid solution.

Gaining Customers

Knowledge of how their market offerings specifically deliver value to customers enables suppliers to craft persuasive value propositions. Consider the case of Greif Brothers Corporation, which produces fiber drums, plastic drums, and intermediate bulk containers for food products and chemicals manufacturers. Rather than competing on a price-per-container basis, Greif markets complete packaging systems. That is, Greif stays involved with its customers throughout the life cycle of the containers—monitoring how the customer uses the container, following the container's path to the end user and retrieving it when it is empty, and disposing of it or reconditioning it. Greif's value proposition—total-cost-based packaging—promises that its systems can significantly reduce a customer's total packaging costs.

How does Greif develop its propositions? First, a Greif strategic account manager, together with a representative from the customer, builds a value model to understand total costs. (Greif developed its current model based on information from 20 major customers.) Key elements include the costs associated with tracking and retrieving the drums, cleaning and maintaining them, testing and recertifying recycled drums, and all the associated paperwork.

Greif has found that customers—both existing and potential—can readily assign monetary values to some elements but that other elements are more difficult to pin down. For those elements that are harder to quantify, Greif takes its analysis to a deeper level. Consider the benefit of environmental stewardship. To get a handle on the value of that element, Greif determines what percentage of its customers' customers' locations (that is, the end users' locations) are in landfill-restricted areas, where the cost of disposing of the containers is higher than at other locations. Greif's service—which, as

we said, includes retrieving the containers—not only eliminates this cost but also indemnifies its customers against improper disposal by the end users, protecting them from fines levied by the Environmental Protection Agency. While these analyses do not account for all the reasons that environmental stewardship would be worth something to a customer, such as the value added to the customer's reputation, they nonetheless make environmental stewardship worth something to the customer in monetary terms.

Using the value model to construct several viable total-cost-based packaging solutions, Greif's strategic account manager and a team of Greif experts from logistics, handling systems, and computer services then give a comprehensive presentation to the prospective customer's senior managers. During the presentation, they discuss the merits and prices of each solution.

Sustaining Customer Relationships

At the core of all successful working relationships are two essential characteristics: trust and commitment. To demonstrate their trustworthiness and commitment to customers, progressive suppliers periodically provide evidence to customers of their accomplishments. Sales managers at Greif, for example, give customers quarterly reviews that document actual cost savings. Applied Industrial Technologies (AIT), a major distributor of specialty replacement bearings, power transmission components, and fluid power products in the United States and Canada, provides another good example.

AIT primarily serves maintenance, repair, and operating (MRO) supplies markets within the primary metals, mining, pulp and paper, utilities, chemical processing, textiles, food processing, and agricultural industries. It operates more than 337 branch locations across the United States. In 1990, the company began to market a value proposition promising to help its customers improve productivity rather than simply selling them parts at a low price. Through value assessment, the company began to work with its customers to help them save money in areas such as maintenance, inventory, and energy consumption—any measurable area other than purchasing. The results were collected in what AIT calls *documented value-added savings*, which is now the cornerstone of the company's partnering efforts.

AIT trains all of its employees—from branch managers to field associates to delivery drivers—to look for ways to improve customers' operations, and the company rewards them for their successes. And to support their efforts, the company has developed a customized software programme that calculates cost savings. Sales representatives can run the programme on laptops while visiting customers. Working with customers' managers, representatives input data for potential value-adding and cost-reduction variables—variables that AIT and the customer have previously agreed on. Then, either on a quarterly or a semiannual basis, AIT presents each customer with a report that documents the savings, allowing customers to assess firsthand the value AIT has delivered.

In order to establish credibility for its reports, AIT asks customers to sign and return a copy. The company keeps track of the performance of each cost-savings initiative and aggregates the totals. AIT calculates that last year it provided more than \$100 million in cost savings to its customers.

DELIVERING SUPERIOR VALUE AND GETTING AN EQUITABLE RETURN

Understanding value in business markets and doing business based on value delivered gives suppliers the means to get an equitable return for their efforts. The essence of customer value management is to deliver superior value and get an equitable return for it, both of which depend on value assessment. W.W. Grainger, the MRO supplies distributor, is an excellent example of a company that has realized the benefits of measuring and monitoring value for its customers. The company has even established a consulting arm, Grainger Consulting Services, specifically to help customers understand the total cost of MRO supplies management.

MARKETING ENTRY STRATEGIES

FOREIGN MARKETING INVOLVEMENT

The foreign marketing involvement of a manufacturing company may widely vary from a state of no direct involvement to a state of total involvement. Several types of involvement are generally observed, even though they are not mutually exclusive nor sequentially progressive.

Depending on the kind and degree of its involvement in foreign marketing, a firm has to re-orient and re-organize its activities to cope with different levels of operational responsibilities inherent in such involvement. To throw some light on the issue, some guidelines are available from what is called EPRG orientation. The EPRG framework attempts, four broad types of orientation of a firm towards foreign marketing. They are:

- *Ethnocentric Orientation:* The ethnocentric orientation of a firm considers that the products, marketing strategies and techniques applicable in the home market are equally so in the overseas market as well. In such a firm, all foreign marketing operations are planned and carried out from home base, with little or no difference in product formulation and specifications, pricing strategy, distribution and promotion measures between home and overseas markets. The firm generally depends on its foreign agents and export-import merchants for its export sales.
- *Regiocentric Orientation:* In regiocentric approach, the firm accepts a regional marketing policy covering a group of countries which have comparable market characteristics. The operational strategies are formulated on the basis of the entire region rather than individual countries. The production and distribution facilities are created to serve the whole region with effective economy on operation, close control and co-ordination.

- *Geocentric Orientation:* In geocentric orientation, the firms accept a world wide approach to marketing and its operations become global. In global enterprise, the management establishes manufacturing and processing facilities around the world in order to serve the various regional and national markets through a complicated but well co-ordinated system of distribution network. There are similarities between geocentric and regiocentric approaches in the international market except that the geocentric approach calls for a much greater scale of operation.
- *Polycentric Operation:* When a firm adopts polycentric approach to overseas markets, it attempts to organize its international marketing activities on a country to country basis. Each country is treated as a separate entity and individual strategies are worked out accordingly. Local assembly or production facilities and marketing organisations are created for serving market needs in each country. Polycentric orientation could be most suitable for firms seriously committed to international marketing and have its resources for investing abroad for fuller and long-term penetration into chosen markets. Polycentric approach works better among countries which have significant economic, political and cultural differences and performance of these tasks are free from the problems created primarily by the environmental factors.

Global Marketing Strategy

Global marketing is defined as the process of adjusting the marketing strategies of your company to adapt to the conditions of other countries. Of course, global marketing is more than selling your product or service globally. It is the full process of planning, creating, positioning, and promoting your products in a global market.

Big businesses usually have offices abroad for countries they market to. Currently, with the proliferation of the internet, even small businesses can reach consumers anywhere in the world. If a business chooses not to extend internationally, it can face domestic competition from international companies that are extending their international presence. The presence of this competition almost makes it a requirement for many businesses to have an international presence.

There are many benefits of global marketing, when it is done right:

- First, it can improve the effectiveness of your product or service. This is because the more you grow, the more you learn, and the faster you learn, you become more effective at producing new product or service offerings.
- Second, you are able to have a strong competitive advantage. It is easy enough for companies to be competing in the local market. But there are very few companies who can do so on the worldwide arena. Hence, if you can compete in the worldwide market and your competitors cannot, you have become a strong force in your industry!
- Third, you increase consumer awareness of your brand and product or service. Through the internet, consumers can keep track of your progress in the world.
- Finally, global marketing can reduce your costs and increase your savings. In focusing on other markets, you can attain economies of scale and range by

standardizing your processes – not to mention the savings that you get when you leverage the internet!

Companies evolving towards global marketing are actually quite gradual. The first stage has the company concentrating on the domestic side, with its activities focused on their home market. Stage two has the company still focusing domestically but has exports. By stage three, the company has realized that they need to adapt their marketing geared towards overseas. The concentration moves from multinational. Thus, adaption has become crucial. The fourth and last stage has the company creating value when it extends its programmes and products to serve worldwide markets. Definitely, there are no definite time periods to this evolution process. After defining global marketing (including its uses and evolution), this chapter will be discussing the different aspects of global marketing: its strategies, campaign development, issues and mistakes, as well as standout examples.

GLOBAL MARKETING STRATEGIES

Global marketing strategies are actually important parts of a global strategy. In order to create a good global marketing strategy, you must be able to answer: “What I am trying to achieve in an international market?” “What are my company’s strengths and weaknesses for that market?” “How can I counter challenges in the market?” “What potential will I have in this market?” Moreover, a good global marketing strategy incorporates all the countries from all regions of the world and coordinates their marketing efforts accordingly. Of course, this strategy does not always cover all the countries but should be applied for particular regions. For example, you can break down regions like North America, Latin America, Europe and the Middle East, Asia and the Pacific, and Africa.

Beyond its breakdown per country or region, a global marketing strategy almost always consists of several things:

- Uniform brand names;
- Identical packaging;
- Similar products;
- Standardized advertising messages;
- Synchronized pricing;
- Coordinated product launches; and
- Harmonious sales campaigns.

As a whole, these two are the most well known global marketing strategies used by companies expanding internationally:

- *Create a consistent and strong brand culture:* Creating a strong and consistent brand that always seems familiar to customers is a priority for companies growing internationally. With the ever-more rising and expanding internet, brand structure has become more of a brand culture. To be more specific, it has become more prevalent nowadays that the brand you support reflects your culture. It

can be damaging if you compromise your brand culture. For example, Google found out the hard way when it launched a self-censored search engine in China, even though China subjects its new media to government blocks. Google's brand has been known to make the world access information at anytime. How can Google set up something in China against its own culture? As a result, customer backlash versus Google was substantial.

- *Market as if there were no borders:* Due to the proliferation of digital platforms, brands cannot always adopt different strategies per country. In a way, due to the internet, companies have to adopt a marketing approach that is more or less unified.

GLOBAL MARKETING CAMPAIGN DEVELOPMENT

In order to develop your campaign globally, there are a few things you should keep in mind. You have to know the market, you have to create a marketing plan, you should tailor fit your approach to marketing, and you should localize your communications.

KNOW YOUR MARKET

As soon as your company decides to extend your marketing worldwide, you have to understand the context of where you will be working. Every region has various behaviors and norms as it deals with marketing messages; how people would like to be contacted; and what is appropriate for that place, and the like. You have to make sure that you research how the market will respond to the marketing strategy you have, so you can get much leverage from your new market.

CREATE A MARKETING PLAN

Becoming successful worldwide is not merely altering your language. You have to make your global marketing plan consistent with your local efforts. Yet it still needs to be customized, according to your regional knowledge. Once you have an insight of the global environment, draft a marketing plan that details your actions. First, identify your objectives and goals. As soon as that has been established, draw a map that covers the overall strategy and techniques to attain those objectives.

TAILOR FIT YOUR APPROACH

Keep in mind that what may have worked for your local audience may not translate as well to your foreign audience. Try to adapt your initiatives to your audience, giving them a tailor fit experience. Definitely, what works for one country may not work for another.

LOCALIZE YOUR COMMUNICATIONS

It is not only relevant to know the language and cultural hurdles and adjusting your communications for every market, it is also critical to know all the cultural references

and relevant holidays and events. You need to create a more personalized experience. But make sure not to make international marketing mistakes when translating your brand message.

GLOBAL MARKETING ISSUES AND MISTAKES

Companies, especially their marketing teams, often face the following issues and mistakes when expanding worldwide. These can become hurdles in achieving international success.

NON-SPECIFICATION OF COUNTRIES

Many businesspersons usually think of foreign markets vaguely, like they want to shift to Asia or they want to increase their growth by offering their products to Europe. It is problematic to take things too simply. Europe can mean the European Union, Western Europe, Eastern Europe, and so on and so forth. Consumers always identify themselves at the local level and marketing teams have to remember that each country has its own norms, laws, payment types, and particular business practices.

By being specific in the start, companies can prioritize the markets they want to get into, generate a staffing plan, and allocate the budget. These are all important for a business to attain its global objectives.

NO FOCUS ON INTERNAL INFORMATION

You have to conduct specialized and complicated market research when you are going to create a global market entry strategy. You would need to consider the potential opportunity in the market, how easy or hard it would be for your business to work in that market, and how successful you already are in the market.

There are a lot of companies that concentrated on outside data to help their decision-making, as described above. Nonetheless, you can simply use your own internal information to get the data, on whether there is a strong fit between your product or service and the market. Remember that data from third parties do not understand your company or even know your consumer. Only you have the best input on this.

LACK OF ADAPTATION OF SALES AND MARKETING CHANNELS

Most Western companies think that they can go into new markets by doing the same things that brought them success domestically.

As previously mentioned, it is important to have brand consistency, but differing markets would like particular marketing approaches. Moreover, marketers have to consider at which channels it would be best to market, based on market behaviour.

Case in point, for Brazil, marketing campaigns are more successful through Facebook because of its popularity there. However, in Latin America, you can draw in a bigger audience through Twitter. Hence, you may need to check which channels give you the best results through market research.

NO ADAPTATION OF PRODUCT OFFERINGS

Business can only attain a fit between their product and the market one at a time. However, more often than not, businesses attempt to launch the same products in varying markets. In essence, they are ignoring that they are interacting with a different set of consumers.

Case in point, if a tech company sells a similar product abroad that it sells domestically and if the new customers do not know the advanced features of the product, the company could be in trouble. Alternatively, the company should begin with the basic version.

On the same note, a market that is more advanced might need additional features than what the product already has.

NON-USAGE OF LOCAL TEAM LEADS

Perhaps one of the usual mistakes companies make in global marketing is failing to consider the input of strong and competent employees in their foreign markets, especially when establishing strategic decisions.

These individuals are significant because they know their country and your company. Since one of the biggest issues businesses face when including local input is communication, the marketing team must have a system that guarantees that local perspectives are gathered and distributed often.

LACK OF KNOWLEDGE ON GLOBAL LOGISTICS

Marketers often make use of software that allows them to publish website content, send email, publish updates on social media, and accomplish other marketing-related activities. However, these tools do not always support each market. For example, you have payment solutions only for a couple of countries, but your customer relationship management system has many contacts coming from a hundred countries.

Marketers have to guarantee that they could market to customers in the countries they are entering. They should consider how to display the local currency, how to email consumers in particular time zones, and how to support the languages of the consumers.

GLOBAL MARKETING EXAMPLES

If you are searching for inspiration on how to market your company successfully in the international arena, check out these examples from well known companies.

AIRBNB

Airbnb is for people who book and list accommodations all over the world. Generally, it is a community marketplace that has more than a million listings in more than 34,000 cities in the world. Airbnb became very successful globally because of social media. In 2015, Airbnb began a social media campaign using the #OneLessStranger hashtag. This social experiment had Airbnb asking its community to do random acts of hospitality for people they did not know and take a photograph or video with them and share by

making use of the hashtag. In only 3 weeks after the campaign was launched, more than 3 million people created content, engaged, or talked about the campaign.

COCA-COLA

Even though Coca-Cola is a big corporation, it also concentrates on programmes in small communities and infuses a lot of funds and time in small charities. Case in point, Coca-Cola built 650 clean water installations in Beni, Suef in Egypt and sponsored meals (Ramadan) for children in the Middle East. Moreover, the brand goes with an emotion that everyone knows — happiness.

DOMINO'S

Domino's positioned menu innovation in the forefront to increase its international awareness and interest. They have consistent items for the pizza in all markets like their sauce, bread, and cheese, where it works anywhere. They just update the toppings for every market. If it is Asia, they have fish and seafood, for example.

DUNKIN' DONUTS

Did you know that Dunkin' Donuts China has seaweed and dry pork donuts? With thousands of stores in over 30 countries worldwide, Dunkin' Donuts updated its menus to satisfy its international consumers.

In Lebanon, they have the Mango Chocolate Donut; in South Korea, they have the Grapefruit Coolatta; and in Russia, they have Dunclairs!

H&M

H&M almost always increases its store openings by 10 to 15 percent each year. One of the secrets of their global expansion is maximizing their online experience.

INNOCENT DRINKS

A leading smoothie company in the United Kingdom, Innocent Drinks can be found in 13 countries all over Europe. Even with its wide reach, they still maintain consistent branding.

KENTUCKY FRIED CHICKEN

Kentucky Fried Chicken was able to do something quite interesting. In Japan, they were able to connect their products with Christmas. So every Christmas, Japanese line up at their nearest KFC for some chicken!

MCDONALD'S

Even though McDonald's keeps its branding consistent, McDonald's tries to bring in some local flavour to particular menu items. McDonald's has the McArabia in the Middle East—this is a flatbread sandwich. It also introduced France to its macaroons

and included the McSpaghetti in the Philippines. In Mexico, they have a green chili cheeseburger and in South Korea, they have bulgogi burgers.

NIKE

Nike has evolved his international presence by carefully selecting international sponsorships. Even though spending for sponsorships is quite unpredictable, demand costs usually rise sharply because of triggers such as tournaments and championships. This has captured the attention of the international arena.

RED BULL

One of Red Bull's successful techniques is hosting extreme sports in the world. They have the Red Bull Air Race in the U.K., the Red Bull Soapbox Race in Jordan, and the Red Bull Indianapolis Grand Prix.

STARBUCKS

Starbucks adjusts its menu for local tastes. For Hong Kong, they have Dragon Dumplings, for example. The company has had a wide reputation for the engagement of local cultures.

UNGER AND KOWITT

Unger and Kowitt is a law firm that focuses on traffic tickets in Fort Lauderdale, Florida. Although its focus is in Florida, the business knows that the U.S. has many languages and cultures. So its website is translated to English, Portuguese, Spanish, and Creole.

WORLD WILDLIFE FOUNDATION

The World Wildlife Foundation or the WWF is known for its Earth Hour initiative and moved it to the mobile audience of Norway. Earth Hour is an international voluntary event wherein participants turn their lights off for 1 hour to show the ease of fighting climate change. Since Norway experiences long daylight hours, it is a great candidate for WWF's initiative. By using Mobiento, a digital agency, the WWF positioned their Blackout Banner on the top media sites of Norway. When someone would finger swipe on the black screen, it would gradually show the countdown for Earth Hour. This banner got around a million impressions. The campaign also received marketing awards for its ingenuity.

THE BENEFITS OF A GLOBAL MARKETING STRATEGY

Is a global marketing strategy really necessary for your business? If you were to develop an ad campaign in the United States, do you think the same campaign would be

effective in France? Here we examine why it's important to create a global marketing strategy for your business (no matter what size it is) and what the benefits are to crafting one.

First, let's examine what global marketing isn't. It's not a standardized process that you take global.

Some aspects can be standardized, such as a logo, but others, such as packaging or advertising strategy, may or may not be used to develop a global marketing strategy.

A global marketing strategy is one component of a global strategy. To be effective, it must incorporate all functional aspects of a business – from finance to operations to R&D. It must also carry a well-defined objective because without officially declaring where you are going, you will never get there. Be honest with yourself and your team. Ask: What are you trying to accomplish in an overseas market? What are the weaknesses and strengths in that market? How will you overcome them? What upside potential do you have? Then together sit still, answer the questions and begin to draft a global marketing strategy.

The more detailed the objective, the clearer and more focused the global marketing strategy becomes. For example, when a target market is selected (*e.g.*, France), the market mix already in place locally — comprising of price, package, and promotion — must be evaluated to determine what parts can be standardized and what parts must be adapted to meet the target overseas market requirements.

Don't think for a moment that you can minimize country-to-country differences! Embrace them and develop your strategy in such a way as to complement the differences.

If a global marketing strategy is done right, it can have many benefits for an organization. Here are four.

IMPROVED PRODUCT AND SERVICE EFFECTIVENESS

The more you grow, the faster you learn, and the more you learn, the more effective you become at rolling out a new and improved product and service offerings.

With Facebook's recent IPO, the company has done a remarkable job servicing the needs of the North American market and making money. Its next expansion effort will be in India. What's already been discovered is that Internet advertising makes up just 3 percent of India's advertising market, compared to 17 percent in the United States. For Facebook to develop a global marketing strategy in India, they must improve on their already existing North American strategy to monetize all the users in India in terms of their revenue base.

STRONGER COMPETITIVE ADVANTAGE

Many companies are naturals at competing on a local basis. But how many companies do you know that can compete on a global basis? If your local competitors can't compete on a global basis and you can, what does that make you? A global force not to be reckoned with!

As you move forward with your global strategy and provided it's well-articulated, everyone gets on board, allowing for a better-informed and more focused organization as a whole worldwide. Further, it allows you to adapt quickly wherever needed and largely based on customer demands or trends in the global marketplace.

HEIGHTENED CUSTOMER AWARENESS

With the Internet, customers can track the progress or lack thereof of a product all over the world.

Apple has a uniform and consistent message with its products – that of delivering exceptional design and experience through superb user interfaces. The “WOW” factor also plays into the heightened customer awareness throughout the world.

COST REDUCTION AND SAVINGS

By focusing on new markets, you can achieve economies of scale and scope through standardization in some areas. Need we mention the savings in leveraging the Internet to go global? Customers from all corners of the world can find you, and you can reach potential customers with one single point of contact such as a website, blog or Facebook page. The cost savings can help you serve customers better worldwide.

Whether you run a one-person shop or an organization with three hundred employees, open and honest conversations about where you are going help you create a global marketing strategy, builds collective commitment and is one of the many secrets to running a great, enduring global enterprise.

GLOBAL MARKETING STRATEGIES FOR COMPANIES

Global Marketing Strategies – ‘Think globally, act locally’ is a popular strategy that is becoming more and more relevant in a globalized world where there are no boundaries when it comes to movement of goods and global marketing services. Now it has become evident that companies cannot insulate itself from Global marketing competition by remaining in the domestic market or a few select markets.

Several global brands such as MacDonald's, Coca-Cola, Domino's Pizza, Red Bull energy drink, KFC, Nike, Starbucks have done it with great success. Global marketing goes through the same process as in local marketing strategies – as the four P's are relevant in any market-Product, Price, Place and Promotion.

GLOBAL MARKETING STRATEGIES

Global marketing strategies require considerable investment in money, resources, manpower to understand various markets, the country, cultures, local tradition, manners and etiquette. Here are some strategies for companies to follow:

One Size doesn't Fit All, Add Local Flavour

When it comes to consumer tastes, preferences and interests, there is nothing universal about it. They differ from country to country, climatic zones, GDP levels (Gross Domestic Product), customs and traditions. The food industry has successfully used 'local flavoring' strategy with good success.

In much of Asia Domino's Pizza uses sea food for its toppings while in India they use curry. Dunkin Donuts have used flavours according to local preferences- in Russia it's marketed as Dunclairs, in Korea as Grapefruit Coolata and Mango Chocolate Donut in Lebanon while in China they serve dry pork and seaweed donuts. MacDonald's varies its menu according to local tastes- the Green Chilli Cheeseburger (Mexico), bulgogi burgers (South Korea), McArabia (for Arab nations).

Japanese automobile manufacturer Suzuki has come up with several variants of its SX-4 model first as a hatch back for European markets, then as an SUV in US markets, subsequently as Sedan in India and S-Crossover in different markets. The engine power, fuel variants, design specifications were all altered in different countries to suit local tastes. This has made it the much talked about automobile in the past 10 years since its launch in 2006.

Understand the Cultural Differences

When going for branding across different countries, it is better to do some global marketing research on what the word or words mean in that country. In Spain, Chevrolet's Nova failed miserably not because it was a bad product but No-Va means 'no-go' in Spanish. Colgate toothpaste brand Cue couldn't make much headway in France as it was the name of a popular pornographic magazine, Vicks cough drops was a failure in Germany as 'V' is pronounced as 'F' making it slang for sexual intercourse. Nike had to recall its products that featured an illustration resembling Allah in Arabic. An improper brand name in a particular cultural or linguistic milieu can cause huge damage to the company and its marketing efforts may go down the drain.

T-shirt campaign by Abercrombie been dubbed racist and led to protests by consumers in US while Fitch also had similar campaign. 'Two Wong's can make it White was seen as offensive while 'Get Your Buddha slogans on the Floor resulted in consumer boycotts. Naming liquor in the name of Hindu gods also had invited ire of the large Asian community in USA leading to recall of such brands.

Tie-up with a Local Partner Who Understands the Local Market

In many countries, it is not mass media campaign, money pumped into marketing and distribution that will bring result. A good understanding of the local market is a pre-requisite for success and the best way to ensure is through a joint venture global marketing partnerships or marketing tie-up with a local partner in the same business. This will enable the global firm to attain market supremacy at a much rapid pace. Honda, Renault, Suzuki, Swedish firm Forbes launched vacuum cleaner in India in

1980's (Eureka Forbes through a joint venture in India) Starbucks (Tatas), Sharp (Kalyani) and several global brands by established their foothold in India through tie-ups with local companies. Tie-ups can be in the form of 50:50 joint ventures, or marketing tie-up. Companies confident of going ahead on its own can set up fully-owned subsidiaries. The joint venture arrangements can be for a specified period after which both companies are at liberty to launch their own brands. When Hero severed its ties with Honda for two wheelers, Renault for cars with Mahindra, the companies concerned launched their own products.

Production, Marketing, Logistics

Until a few years ago, it was not easy to have multi-locational operations to deliver a product. With advances in technology, better logistics and economies of scale, it is possible for the parent company to design a product in their headquarters or in an emerging market, get them fabricated in a different country, do the manufacturing there and export it other countries. Many global brands such as HP, Toshiba, Acer follow the strategy of manufacturing in China, Taiwan, Thailand or some other nation where it is cheaper to manufacture. And it is shipped to the consuming country and still enable good margins on sale of products.

Plan the Global Campaign

Once a product is launched the global campaign has to begin. It has to be undertaken by a global marketing agency. They have to take care of the creative, media planning, hoardings and other mass publicity campaigns in association with the marketing team in the global marketing company. The campaigns have to be translated, localized and relevant new ones created for specific markets.

It is important to set key metrics and goals such as CTR (click-through-rates), impressions per 1000 pages for web based advertising, return on investment for global ads, social media campaign targets. It is essential that the marketing team has got the budget for all these including campaigns in electronic media and got approval from the headquarters. The marketing teams across the globe should be in constant communication between themselves to evolve strategies.

Sometimes, the global campaign should not be restricted to pushing more sales but to inspire to embrace a concept. Unilever did that for Dove Soap with Campaign for Real Beauty. The global marketing company focussed on raising the self-esteem of women and aligning the product with it. Email campaigns, conferences, website promotions and person-to-person interactions were all part of the integrated strategy of Unilever to achieve the objective.

Utilise the Power of Social Media

On a global scale none is more power than social media to reach a wide audience. For campaigns with picture, video and lesser text, FaceBook would be the appropriate

medium while for sharing industry global marketing news, especially those involving B2B products Twitter marketing may be effective. Paid campaigns can create good reach, even YouTube videos can be shared effectively to reach a large audience. All major consumer products marketed globally have good social media presence including Coca-Cola, Samsung, Pepsi, Unilever, Glaxo among others.

Pearse Trust having operations in UK, USA and Canada, a globally renowned for advising on corporates and trusts has used the FaceBook campaign that features announcement on webinars on various topics and the various services they undertake.

Events and Promotions

Sports and entertainment events are the best avenues for promoting brands and Samsung, Sony, Lenovo, Coco-Cola, Pepsi, and other trans national companies have used it to boost their brand value. Red Bull Energy drink has also successfully sponsored sports globally using it effectively for branding. Red Bull Indianapolis Grand Prix, UK's Red Bull Air Race, Jordan's Soap Box race are all examples to study and implement.

Pricing and Packaging

Prices are very sensitive in emerging markets while it may not be so in developed markets. For example, shampoos and oils are normally sold in bottles of 250 or 500 ml, but in emerging markets like India, China, Philippines, Korea and Indonesia it may be better to have smaller sachet packs of 50 or 100 ml to cater to lower income segments or those living in rural areas. Many MNC 's have already adopted such localization techniques effectively. Sample tooth paste sachet packs with 50 gm content are now being marketed in such regions. In US and European markets, KFC or MacDonald's may not be considered expensive but not so in emerging markets. India, it may be possible to have tea and snacks for fifteen rupees but the simplest snack in KFC may cost fifty rupees or more.

Utilise Local Strengths

In many countries, large malls or commercial centres are yet to emerge but there is a strong network of small shops or kiranas as they are called in India or Kombini in Japan, the convenience stores that are essential part of their life. No marketing strategy can ignore the strength of these sales networks. Amazon markets its products in online in Japan but are delivered through the local kombinis or convenience stores. In India, too the power of kiranas to drive sales has been proven again and again. The retailer has the power to put up point-of-purchase (POP) leaflets and hangers and also act as advisors for regular customers to choose the best products available.

Global Marketing is not for Big Players Alone

There is a myth that global scale marketing can only be undertaken by large companies. A translation services company in UK, Lingo24 went global by opening

offices in four continents. It also localized its web content into language of the region and there boost its total revenue from global operations to 50%. Many of the company's getting good business in software services are not big players but medium and small players who offer better rates and expertise in some niche verticals or seen to be operating from major techno parks in India.

PROS AND CONS OF A GLOBAL MARKETING STRATEGY

To be successful these days, even small businesses must plan their marketing strategies to attract consumer interest outside of their local markets. Although there are risks involved, there also are plenty of advantages to expanding a business worldwide. If you don't offer a product on the world market, a competitor probably will.

Some types of businesses are more appropriate than others for global market expansion. But any type of business can benefit as long as it requires few changes in its marketing strategy to reach consumer markets anywhere in the world. Even small businesses that have a Web site can connect with potential customers in other countries. Taking a business worldwide lets you find new markets for your company's products or services, reach new consumers overseas, and go into markets with little competition.

PROS

The main benefit of globalization is that it lets you reach a lot more customers. As long as there is demand in an overseas market for a product or service your business offers, there is a customer base. A product that sells successfully at home will often do well in international markets, says Wesley Johnston, a marketing professor at Georgia State University. Electronics and other tech products are examples of consumer goods that sell well on the global market.

TAKING ADVANTAGE OF OPPORTUNITIES

Small businesses can take advantage of global market opportunities in several ways. One option is to franchise your business. Franchising is a fast, cost-effective way to expand a business into new markets. The franchisee typically takes on the financial burden, paying you a fee for the right to own one of your franchises. Another option is to partner with businesses based in other countries. For example, if you manufacture a product, you can partner with a distributor in another country and split the proceeds.

CONS

Before taking your business worldwide, make sure there is a market for it. Consumers in other countries often have different preferences and needs and might not have much interest in buying your product. For example, if you sell Canadian flags, you might not find much demand in countries outside Canada. Another risk of going global is that it

can be costly. This is especially true if you decide to set up operations in other countries. Finally, different countries have different regulatory standards. Products that can be made and sold freely in some markets might run up against stiff regulatory hurdles in other countries.

A LOCALIZED GLOBAL MARKETING STRATEGY

Finding the balance between standardization and localization of the web content is one of the preeminent dilemmas that companies face when tapping international markets. Many times companies, either due to lack of coherent global marketing strategy or for cost/efficiency reasons choose to standardize their marketing mix for international markets. Rationales for standardization strategy are many including:

Standardization seems to be a cost-driven strategy for marketers, as it leads to leveraging the same template/product/service configuration globally, creating economies of scale and cost savings.

Standardization can also lead to development of single and unified brand and corporate identity worldwide. This can lead to better global recognition and provide global competitive advantage over competitors.

Standardization can lead to having a rationalized product line which includes only a few core global brands instead of multiple localized brands and brand extensions. This could lead to a better allocation of resources, higher efficiencies, consistent marketing, and higher profits

When implementing a standardization strategy, companies assume homogenized consumer needs. Thus investments in international market research related to modifying the marketing mix are minimal. The marketing mix includes company efforts related to four basic P's of marketing: Product, Price, Place (distribution), and Promotion.

Companies following a standardized approach to marketing tend to have a centralized global marketing programme, and thus the need for coordinating, managing, and controlling local subsidiaries for local marketing strategy is minimized.

However, both research and business experience suggests that standardization strategy may not be the most effective way to meet international market demands. The complex nature of the international marketing environment promotes diversity in terms of physical environment, political and legal systems, cultures, product usage conditions, and economic development. For example, Intel ads promoting a microprocessor experienced severe backlash in the US for showing black men bowing in front of a white man; this imagery evoked feelings of the dark practice of slavery.

Localization or "adaptation strategy" takes into account the inherent diversity that exists in international markets and treats individuals as "cultural beings" whose values and behaviors are shaped by the unique culture in which they live. Localization strategy is geared toward understanding local consumer preferences and other locale-specific requirements and then adapting the marketing mix and other business strategies to best satisfy consumer needs and wants. Several companies have created standardized products

and communications that have offended people in international markets. There is a long list of companies, including Pepsi, Electrolux, Chevrolet, Colgate, and Gerber, whose non-localized messages were misinterpreted in various countries. While several of the publicized marketing blunders came from US or other developed-country multinationals, we are now seeing multinationals from China, India, Brazil, and other countries making the same mistakes. The Chinese automobile industry is growing fast and is poised for global expansion, but the industry faces international barriers related to poor quality perceptions of Chinese cars.

Even the Chinese car brand names seem to be less global. I asked my students what they thought of Chinese car brands such as Geely or Cherry; they responded that they sound too feminine. Another brand name that got a lot of giggles in my class was “Bimbo bread,” for obvious reasons. Bimbo bread is being marketed in the US by Bimbo Bakeries, which is a part of Grupo Bimbo, a Mexican company. The lack of localization strategy can mean missing the consumer sweet spot or, even worse, making costly errors that result in sanctions, product recalls or even consumer boycotts.

SO WHY LOCALIZE

Proper localization can save a company millions. Why? Because the cost of offending a group of consumer by insensitive marketing messages can be very expensive and in some cases permanent, leading to costly efforts in terms of re-positioning. In 2002, Abercrombie & Fitch’s T-shirts with Asian stereotypes led to consumer protests in the US, especially among the Asian-American community. T-shirt slogans such as “Two Wong’s can make it White” or “Get your Buddha on the Floor” were widely condemned and led to petitions for consumer boycotts.

Localizing brand names into other languages without compromising brand identity is a crucial international marketing challenge for many companies. This becomes more of a problem when brand names need to be localized for languages wherein phonetic and semantic issues pose a challenge. The most common example is when companies use transliteration strategies to localize their English brand name to a completely different writing system, as in the case of Chinese script. For example, Carrefour chose its Chinese brand name (Jia-le-fu) based on how it sounds (phonetic appeal), and its positive meaning in Chinese: It means “home/family-happy-fortunate”. The famous example of a bad brand name translation into Chinese is that of Coca Cola: The translation of ko-kä-kö-la meant something like ‘bite a wax tadpole.’

Leaders of India’s Jewish community expressed outrage over a line of bedspreads called “The Nazi Collection” from a Mumbai (Bombay)-based home furnishing company that used swastikas in its promotional material.

Even a simple thing such as the use of a number in a culturally inappropriate way can derail product sales. A golf ball manufacturing company packaged golf balls in packs of four for convenient purchase in Japan. Unfortunately, pronunciation of the word “four” in Japanese sounds like the word “death” and items packaged in fours are

unpopular. Similarly, in the US, the number 420 is associated with the cannabis culture, and in India 420 spoken in Hindi refers to a conman or con-woman and has negative connotation.

Thus, these are just few examples of how lack of consideration for local culture, norms, practices etc. can lead to major business blunders. To better target their international audiences, many companies have proactively adapted or localized their products and marketing mix. Some examples are Nabisco, McDonald's, and KFC.

Yum! Brands, the parent company of KFC, Taco Bell, Pizza Hut, and Long John Silver's, has become a success story in China by adapting its menus and food retailing strategies. Now Yum! Brands is experimenting with the idea of East Dawning, a quick-service restaurant brand, providing authentic Chinese food to the Chinese customer that leverages the successful KFC business model.

A company's products and communication are not the only areas that need adaptation; prices may also need to be adjusted to meet local market needs. For example, McDonald's and KFC might be considered inexpensive fast food in the US but in India and China they are considered higher-priced alternatives to local cuisine. For example, in India, the menu items for KFC and McDonald's range from Rs 20 to more than Rs 300, which is still more money that Indians pay for food from street vendors.

Some of the food alternatives available from street vendors and local shops in India cost less than half of these prices. Thus, these American brands have localized their pricing effectively to match the Indian consumers' perception of relatively higher-end family dining.

On the other hand, in an attempt to reach rural markets in countries such as India, Indonesia, Philippines, and other emerging markets, various multinationals are creating product packaging and product sizes that can be sold at cheaper prices. The goal is to enable populations with low monthly incomes to afford their products. For example, Colgate sells economically priced small "sachets" of tooth paste and small containers of tooth powder to appeal to the price-sensitive rural population of India and other south Asian countries.

Companies need to localize their distribution, logistics, retailing infrastructure, and even merchandising based on local consumer preferences. Logistics and distribution infrastructure vary globally. In India, major multinationals such as Coke, Colgate, Nestle, and others use non-traditional channels of distribution to reach the vast majority of the Indian population that resides in small towns and villages.

Some of the distribution and retailing methods used to reach consumers in rural India include rickshaws, bullock carts, boats, cycles, trucks, and dukandaars (small mom and pop stores).

In Japan, companies leverage the extensive network of corner stores to achieve maximum market penetration. "Konbini Commerce" represents the merger of Japanese convenience store and e-commerce. There are more than 50,000 Konbini or Japanese convenience stores across Japan. Konbini are an integral part of Japanese shopping

culture and daily life. They are also an integral part of Japanese e-commerce as they allow the consumer to order online and pick up and pay for the merchandise at the store.

7-Eleven is the largest chain, followed by Lawson and FamilyMart. 7-Eleven Co. Ltd has set up a shopping site, 7dream.com, where Japanese shoppers can purchase from more than 100,000 items and then pay and collect the orders at the nearest 24-hour 7-Eleven store.

Similarly, Amazon Japan (amazon.co.jp) allows its Japanese customers to shop online and pay at their local convenience stores such as 7-Eleven, Sunkus, FamilyMarts, Daily Yamazaki, and others. McDonald's in India has localized its delivery service with the introduction of a "McDelivery" option in some cities: Indian consumers can order online or call 6600666 for home delivery.

Thus, it is neither desirable nor feasible for firms in several industries to achieve standardization of their marketing activities. Even when dealing with industries or product categories that do not seem to need localization, there is a chance that a certain element of the marketing mix may need adaptation if the product(s) will be marketed internationally. Could companies really standardize customer service, distribution, pricing, and products when global variations in institutions, cultures, and other peculiarities are considered?

INTERNATIONAL MARKETING MARKET SELECTION

After the decision has been made to expand the business internally, a preliminary examination and analysis of the firm is done. The first question to be answered is how to select the market or markets in which to begin the transactions or functions and where should an entrepreneur's marketing efforts be focused on.

Proper selection of the markets after completely examining the platform where we want to export our product and services is one of the most important aspects towards the achievement of the internationalization process and in some cases one can choose the future viability of the expansion strategy.

This is a basic but major decision because of the impact on resources and effort included, mainly in the case of small and medium-sized enterprises.

For a company to expand its business into every country in the world, it is suggested that the global market should be analyzed properly. The initial selection for analyzing the global market can be conducted with the help of the following criteria “

ENVIRONMENT AND MARKET ANALYSIS

It is an essential step in understanding the external, local, national or international forces that might affect your small business. This also ensures concentration on the target countries.

ANALYSIS OF THE COMPETITION

It is very important to identify the main competitors and their description. How the competitors economically evolved over the past few years should also be analyzed. The price structure of their products, their networks, market maturity, financial position, plans and expansion strategies and development potential should also be analyzed.

DISTRIBUTION CHANNELS

The entrepreneur should gain complete information regarding the supply chain of the product. From the beginning to the end, consumer should be clear about who the intermediate operators are and the rates they are charging.

Therefore, the existing sales structure in the country should be analyzed in order to select the type of distribution that best adapts to the characteristics of your product or service and the market. The choice of distribution channel will determine the expansion of the company in the market.

DEMAND ANALYSIS

The entrepreneur should perform an examination of the present and potential demand regarding the product and service would have in source markets. Its profile and its expected evolution, among other aspects should also be examined.

All this data should be utilized to assure that the pre-selection process was successful. The market or markets selected are suitable for launching the products and/or services of business.

INTERNATIONAL MARKETS SELECTION

One of most important decisions in international marketing is market selection. The global market, made up of well over 200 independent nations with their own distinctive characteristics is too vast indeed.

It would be very difficult for a company to operate in all these markets. There are barriers which make entry to a number of markets impossible or very difficult. There may be markets which are not profitable or are worth the trouble. Further, there may be markets which are very risky due to political or other reasons.

Moreover, the company resources may not permit the operation in a large number of countries. There are of course companies which operate in majority of the countries of the world. These companies have not achieved such a massive expansion overnight. It has been a gradual expansion achieved over a long period. Further, all types of business do not lend themselves for such substantial international expansion.

A company which wants to enter many markets should do it systematically. Too fast an expansion without the resource and organizational strength for such an expansion could be suicidal. The Bulova Watch Company expanded into one hundred countries. It spread itself too thin, made profits in only two countries and lost around \$40 million.

All these factors highlight the need for market selection. Even a company with

ambitious plans and good prospects for global expansion has got to rank the markets for prioritization of the expansion plans. Market selection is based on a thorough evaluation of the different markets with reference to certain well defined criteria, given the company resources and objectives. Marketing research therefore becomes necessary to obtain the data required for evaluating the markets.

It is also necessary to prepare a profile of the selected markets to help the company to formulate the marketing strategy. It may be noted that many of the items of information contained in the market profile are collected for the purpose of evaluation of the markets for market selection.

INTERNATIONAL MARKETING OBJECTIVES

The first step in any management decision making process is to determine/ ascertain the objectives.

The market selected to serve a particular international marketing objective need not necessarily be the best suited to achieve some other international marketing objective. Various markets may have different degrees of attractiveness from the point of view of different objectives. More about this is stated under the subtitle firm related factors little later in this chapter.

PARAMETERS FOR SELECTION

For proper evaluation and selection of the markets, it is essential to clearly lay down the parameters and criteria for evaluation. Important parameters often used for market selection.

PRELIMINARY SCREENING

After determining the criteria for market selection, the next important step in market selection process is to conduct a preliminary screening of the markets. The objective of the preliminary screening process is to eliminate the markets which are obviously not potential enough as revealed by a cursory look.

The parameters used for the preliminary screening may vary from product to product. However, parameters like the size of population, per capita income, structure of the economy, infrastructural factors, political conditions etc. are commonly used. Information about some of the factors would enable a company to eliminate certain markets from its consideration. For example, in a country where there is no telecasting, there is obviously no market for TV sets. Similarly if the rural areas are not electrified, there may be no demand for electrical agricultural pump sets. If the household income of the majority of a country with a small population is very low, the demand for costly consumer durable will be limited. Further, there may be countries which should be omitted due to political reasons, including government policies. A lot of information required for the preliminary screening is available from such publications as the Statistical Year Book of the United Nations and the World Bank's World Development Report.

SHORT LISTING OF MARKETS

Preliminary screening enables to eliminate markets which obviously do not merit consideration at the very outset. There would be a large number of markets left even after preliminary screening. They are further screened with the help of more information than was used at the preliminary screening stage. The objective is to distill out a small number of markets which are likely to satisfy the company's criteria for market selection for detailed analysis for ranking them and final selection.

EVALUATION AND SELECTION

A thorough evaluation of the short listed markets is done with reference to the specific parameters and criteria and the markets are ranked on the basis of their overall attractiveness. One or more market(s) is/are selected from the rank list.

INTERNATIONAL MARKET SELECTION PROCESS

Market selection plays a crucial role at the international level. Market selection is based on a thorough evaluation of the different markets with reference to certain well-defined criteria, given the company resources and objectives.

The following are the steps involved in the market selection process:

- *International Marketing Objectives:* The first step in market selection process is to determine or ascertain the export marketing objectives of the organization. The market selected to serve a particular international marketing objective need not necessarily be the best suited to achieve some other international marketing objective.
- *Parameters for Selection:* For proper evaluation and selection of the markets, it is essential to clearly lay down the parameters and criteria for evaluation. The different parameters for the selection of a market are firm's resources, international environment, market situation, nature of competition, government policy, etc.
- *Preliminary Screening:* The objective of the preliminary screening is to eliminate the markets which are not potential. The parameters used for the preliminary screening may vary from product to product. However, parameters like the size of population, per capita income, structure of the economy, infrastructural factors and political conditions are commonly used.
- *Short Listing of Markets:* Preliminary screening enables to eliminate markets which obviously do not meet consideration at the very outset. There would be a large number of markets left even after the preliminary screening. They are further screened with the help of more information than was used at the preliminary screening stage
- *Evaluation and Selection:* The short listed markets are further evaluated with reference to the cost-benefit analysis and feasibility study. They are then, ranked on the basis of their overall attractiveness. Of the markets, the best one is chosen

for the launching of product considering the company's resources and external environment

- *Test Marketing:* Initially, the market is tested on a smaller scale by launching the product in a part of the markets. This provides a feedback to the producer about the market. At the same time, it helps the producer in assessing overall response of the consumers from a specific market, after tested success, the production can be undertaken on a mass scale.
- *Commercial Production:* Once the product is tested "in the selected market, the company goes ahead with mass production. Minor modifications, if any, are introduced in the product mix during this stage.

ADVANTAGES AND DISADVANTAGES OF GLOBAL STRATEGIC ALLIANCES

What is a global strategic alliance? Well if you've reached a point that you feel you've gotten about as far as you can on your own in charting your export strategy, it's a good time to consider joining forces with another company of similar size and market presence that is located in a foreign country where you are already doing business, or would like to. That's a global strategic alliance. Before you can move ahead though, it's important to understand exactly how a global strategic alliance works, and what it can and cannot do for you.

A GLOBAL STRATEGIC ALLIANCE IS NOT AN ACQUISITION

A global strategic alliance is usually established when a company wishes to edge into a related business or new geographic market — particularly one where the government prohibits imports in order to protect domestic industry. Typically, alliances are formed between two or more corporations, each based in their home country, for a specified period of time. Their purpose is to share in the ownership of a newly formed venture and maximize competitive advantages in their combined territories.

The cost of a global strategic alliance is usually shared equitably among the corporations involved and is generally the least expensive way for all concerned to form a partnership. An acquisition, on the other hand, offers a faster start in exploiting an overseas market, but tends to be a much more expensive undertaking for the acquiring company — one that is likely to be well out of the reach of a solo operator.

While a global strategic alliance works well for core business expansion and utilizing existing geographic markets, an acquisition works better for immediate penetration to new geographic territories. Hence, an alliance provides a good solution to global marketers that lack required distribution to get into overseas markets.

A global strategic alliance is also much more flexible than an acquisition with respect to the degree of control enjoyed by each party. Depending on your resources, you can structure an equity or non-equity partnership. Within an equity partnership, you can

hold a minority, majority or equal stake. In a non-equity partnership, the host country partner has a greater stake in the deal, and thus holds a majority interest. Yet whom you choose as your partner is arguably more important than how the partnership is structured. For when it gets down to business, you want a partner who will have an active contribution to make, and who is flexible and able to resolve conflicts as the alliance evolves. Even more important, however, is that you keep clearly in mind what you are seeking to gain from the alliance and that you choose a partner whose contribution will enable you to achieve those goals.

Where Should Importers and Exporters Look for Partners

You might be surprised to find that you can build mutually advantageous alliances with some unlikely allies. Many companies make conscious decisions to form partnerships with complementary or even competing companies that can offer them market share in countries they have been struggling to break into for years.

Nokia and Microsoft, for example, have entered into a broad global strategic alliance where they plan to combine assets and develop innovative mobile products on an unprecedented scale. By using their complementary strengths and expertise, these potential competitors thus ensure their mutual survival in the new global mobile ecosystem and marketplace.

Even if you're not an international technology company or world's leading mobile phone supplier, you can follow Nokia's and Microsoft's example and see which of your contacts, colleagues, peers and competitors in the international market might have compatible needs and objectives. You'll probably feel most secure with a company with whom you already have a reasonably long-standing business relationship, especially if you have achieved substantial sales growth together.

It could be your distributor in South Africa, a manufacturer who took on the distribution of your product in China, or that trading company in Japan who can't keep up with consumer demand! Any one of your contacts with a problem you can solve or a need you can fulfill might serve as a potential partner.

ADVANTAGES OF THE GLOBAL STRATEGIC ALLIANCE

There are many specific advantages of a global strategic alliance. Here are ten. You can:

- Get instant market access, or at least speed your entry into a new market.
- Exploit new opportunities to strengthen your position in a market where you already have a foothold.
- Increase sales.
- Gain new skills and technology.
- Develop new products at a profit.
- Share fixed costs and resources.
- Enlarge your distribution channels.

- Broaden your business and political contact base.
- Gain greater knowledge of international customs and culture.
- Enhance your image in the world marketplace.

SIX DISADVANTAGES OF THE GLOBAL STRATEGIC ALLIANCE

There are also some inevitable trade-offs to consider:

- Weaker management involvement or less equity stake.
- Fear of market insulation due to local partner's presence.
- Less efficient communication.
- Poor resource allocation.
- Difficult to keep objectives on target over time.
- Loss of control over such important issues as product quality, operating costs, employees, etc.

For example, if you enter into a global strategic alliance with even a little less equity stake — say, 49% — you lose managerial control. You may end up with that equity percentage because the host government only allows up to 49% for an outsider, because you could only negotiate that amount, or because you were willing to accept a minority stake in exchange for gains (*e.g.*, responsibility for research and development) that you thought important during the negotiation phase. Whatever the reason, what are you going to do if profits plummet, product quality deteriorates, or customers are dissatisfied? You do not have enough interest in the venture to take action. Your 49% can swiftly depreciate when it comes to exercising any control. In any partnership, the majority interest holder tends to dominate, putting their needs first, their partner's last. The ideal situation is a 50-50 partnership which allows both parties to share in mutual successes, but if you do settle for a minority interest, make sure you maintain enough control to accomplish your objectives in the target market.

It's also critical to explore all the legal and financial implications before entering into a partnership with an overseas company. Seek legal counsel that is well-experienced in international trade, acquisitions, joint ventures and divestitures to go over the best and worst-case scenarios with you. You should hire counsel both in your own country and the host country for the maximum protection of your rights. You are not only seeking to ensure the fundamental integrity of the partnership, but to work out crucial entitlements and obligations such as copyrights, trademarks, patents, taxes, antitrust and exchange controls.

FINAL THOUGHTS

You will also need to keep informed about the host country's political and economic stability. Get in touch with the local economic development offices within the host country. They should be able to assess the country's future investment climate and to provide you with past, present and future growth trends. This will give you a better idea of what kind of risks you will incur if you go ahead with the alliance.

SOME GLOBAL STRATEGIC ALLIANCE EXAMPLES IN BUSINESS

Now let us discuss about some examples of successful business partnerships:

- *Cisco and Salesforce:* The Customer Success Platform and the CRM company, entered into a strategic alliance make it possible for business users to be more productive than ever before. The two businesses will jointly develop and market solutions which join Cisco's collaboration, IoT and contact center platforms with Salesforce Sales Cloud, IoT Cloud and Service Cloud. Panduit and Cisco work together across data center, enterprise, and industrial automation applications to offer solutions and architectures which smartly converge logical and physical infrastructure systems. This kind of alliance allows a unified approach which offers:
 - Lowered risk through pre-validated converged systems and architectures
 - Business agility by means of flexible and scalable architectures
 - Efficiency through upfront design consideration of power, cooling, space, and industry standards
 - Easy implementation through pre-configured and integrated physical infrastructure solutions.

In 2001, The Coca-Cola Company and Procter & Gamble declared a joint venture to make use of CocaCola's massive distribution system to improve reach and reduce time to market for the P&G products.

HP and NTT DoCoMo entered into a global strategic partnership to carry out joint research on technology for fourth generation cell phones, combining HP's network infrastructure and computer servers with DoCoMo's wireless broadband technologies.

- *Amazon Web Services and McAfee:* The alliance helps clients adopt Amazon Web Services (AWS) and the public cloud using the same security controls available in a private data center. Clients experience the operational benefits of the cloud without having to worry about a security gap.

Star Alliance is the biggest partnership in the airline sector; its reach extends to One hundred thirty countries and more than 815 locations.

Rockwell Automation and Panduit assist clients create a robust, secure, future-ready physical network infrastructure for industrial environments.

- *Snapchat & Square's Snapcash:* Yet another great *example of global strategic alliances in business*. Square provides the trustworthiness of secure money transfers as well as a young, hip, complementary brand image for the target market of this service. For Square, it adds substantial incremental revenue and a further boost to its innovative, hip brand image with the association with Snapchat.
- *IBM and Schneider Electric:* The alliance brings together Schneider Electric's global leadership in energy management and automation solutions with the

extensive services capabilities of IBM. Jointly, they provide resilient, energy-efficient and cost effective solutions which support present day business environments.

- *McAfee and Wipro*: They work together to assist forward-thinking clients fulfill the security issues of new technologies like cloud computing, the hybrid data center, and the Internet of Things (IoT).

Microsoft & Genesys bring together best-in-class contact center abilities for the contact center and as well as best-in-class unified communications to provide orchestrated customer engagement to every single customer interaction and journey.

- *Infosys and Huawei*: Infosys is an international services partner for Huawei. The partnership has senior executive support across both companies to offer advanced solutions in the area of cloud and infrastructure services, improve client experiences, and create maximum value for business clients. Functioning closely with Infosys, Huawei endeavors to create an efficient and integrated digital logistics system which will improve interconnectivity between people and people, people and things, and things and things – to spark unlimited possibilities and potential for everyone, everywhere.

A good global strategic alliance example is between HP and Microsoft. It is among the list of longest standing global partnerships of its kind in the industry, with more than Twenty five years of combined marketplace leadership dedicated to helping customers and channel partners all over the world improve productivity by using innovative technologies. Branded the HP and Microsoft Frontline Partnership, the businesses share technology, engineering and marketing resources to make and promote solutions based on industry-standard computing platforms which help fix some of the most demanding IT issues.

- *Northwest Airlines and KLM*: Northwest Airlines and Dutch airline KLM entered into a strategic alliance in 1993 which ultimately grew into an alliance with other big air carriers.

Volvo in strategic alliance with Chinese company Dongfeng Motor Group: Merging Dongfeng's strong domestic position and know-how with the Volvo Group's technological expertise and global presence can provide DFCV excellent possibility for growth and profitability in and outside China.

- *Pitney Bowes Global Strategic Alliance With HP*: Cooperation provides solutions which offer impactful communications globally. The collaboration between Pitney Bowes and HP extends the solutions portfolio with industry-leading products like the Pitney Bowes IntelliJet® Printing System, utilized by printers and mailers seeking to boost revenues and streamline operations.

STRATEGIC ALLIANCE

A strategic alliance is an agreement between two or more parties to pursue a set of agreed upon objectives needed while remaining independent organizations. A strategic

alliance will usually fall short of a legal partnership entity, agency, or corporate affiliate relationship. Typically, two companies form a strategic alliance when each possesses one or more business assets or have expertise that will help the other by enhancing their businesses. Strategic alliances can develop in outsourcing relationships where the parties desire to achieve long-term win-win benefits and innovation based on mutually desired outcomes. This form of cooperation lies between mergers and acquisitions and organic growth. Strategic alliances occur when two or more organizations join together to pursue mutual benefits.

Partners may provide the strategic alliance with resources such as products, distribution channels, manufacturing capability, project funding, capital equipment, knowledge, expertise, or intellectual property. The alliance is a cooperation or collaboration which aims for a synergy where each partner hopes that the benefits from the alliance will be greater than those from individual efforts. The alliance often involves technology transfer (access to knowledge and expertise), economic specialization, shared expenses and shared risk.

DEFINITIONS AND DISCUSSION

There are several ways of defining a strategic alliance. Some of the definitions emphasize the fact that the partners do not create a new legal entity, *i.e.*, a new company. This excludes legal formations like joint ventures from the field of Strategic Alliances. Others see joint ventures as possible manifestations of Strategic Alliances. Some definitions are given here:

Definitions Including Joint Ventures

- A strategic alliance is an agreement between two or more players to share resources or knowledge, to be beneficial to all parties involved. It is a way to supplement internal assets, capabilities and activities, with access to needed resources or processes from outside players such as suppliers, customers, competitors, companies in different industries, brand owners, universities, institutes or divisions of government.
- A strategic alliance is an organizational and legal construct wherein “partners” are willing-in fact, motivated-to act in concert and share core competencies. This is especially relevant in strategic outsourcing relationships. To a greater or lesser degree, some alliances result in the virtual integration of the parties through partial equity ownership, through contracts that define rights, roles and responsibilities over a span of time or through the purchase of non-controlling equity interests. Eventually, many result in integration through acquisition.

Definitions Excluding Joint Ventures

- An arrangement between two companies that have decided to share resources to undertake a specific, mutually beneficial project. A strategic alliance is less

involved and less permanent than a joint venture, in which two companies typically pool resources to create a separate business entity. In a strategic alliance, each company maintains its autonomy while gaining a new opportunity. A strategic alliance could help a company develop a more effective process, expand into a new market or develop an advantage over a competitor, among other possibilities.

- Agreement for cooperation among two or more independent firms to work together toward common objectives. Unlike in a joint venture, firms in a strategic alliance do not form a new entity to further their aims but collaborate while remaining apart and distinct.
- Included in this agreement among two or more parties working together for the achievement of common objectives, is the ability to create new value for the parties involved. It cannot be overstated that the achievement of value may come in many forms including new entries to market, speed to market, innovation or new product or process, etc

TERMINOLOGY

Various terms have been used to describe forms of strategic partnering. These include ‘international coalitions’, ‘strategic networks’ and, most commonly, ‘strategic alliances’. Definitions are equally varied. An alliance may be seen as the ‘joining of forces and resources, for a specified or indefinite period, to achieve a common objective’. There are seven general areas in which profit can be made from building alliances.

TPOLOGY

Some types of strategic alliances include:

- Horizontal strategic alliances, which are formed by firms that are active in the same business area. That means that the partners in the alliance used to be competitors and work together In order to improve their position in the market and improve market power compared to other competitors. Research &Development collaborations of enterprises in high-tech markets are typical Horizontal Alliances. Raue & Wieland (2015) describe the example of horizontal alliances between logistics service providers. They argue that such companies can benefit twofold from such an alliance. On the one hand, they can “access tangible resources which are directly exploitable”. This includes extending common transportation networks, their warehouse infrastructure and the ability to provide more complex service packages by combining resources. On the other hand, they can “access intangible resources, which are not directly exploitable”. This includes know-how and information and, in turn, innovativeness.
- Vertical strategic alliances, which describe the collaboration between a company and its upstream and downstream partners in the Supply Chain, that means a

partnership between a company its suppliers and distributors. Vertical Alliances aim at intensifying and improving these relationships and to enlarge the company's network to be able to offer lower prices. Especially suppliers get involved in product design and distribution decisions. An example would be the close relation between car manufacturers and their suppliers.

- Intersectional alliances are partnerships where the involved firms are neither connected by a vertical chain, nor work in the same business area, which means that they normally would not get in touch with each other and have totally different markets and know-how.
- Joint ventures, in which two or more companies decide to form a new company. This new company is then a separate legal entity. The forming companies invest equity and resources in general, like know-how. These new firms can be formed for a finite time, like for a certain project or for a lasting long-term business relationship, while control, revenues and risks are shared according to their capital contribution.
- Equity alliances, which are formed when one company acquires equity stake of another company and vice versa. These shareholdings make the company stakeholders and shareholders of each other. The acquired share of a company is a minor equity share, so that decision power remains at the respective companies. This is also called cross-shareholding and leads to complex network structures, especially when several companies are involved. Companies which are connected this way share profits and common goals, which leads to the fact that the will to competition between these firms is reduced. In addition this makes take-overs by other companies more difficult.
- Non-equity strategic alliances, which cover a wide field of possible cooperation between companies. This can range from close relations between customer and supplier, to outsourcing of certain corporate tasks or licensing, to vast networks in R&D. This cooperation can either be an informal alliance which is not contractually designated, which appears mostly among smaller enterprises, or the alliance can be set by a contract.

Michael Porter and Mark Fuller, founding members of the Monitor Group (now Monitor Deloitte), draw a distinction among types of strategic alliances according to their purposes:

- Technology development alliances, which are alliances with the purpose of improvement in technology and know-how, for example consolidated Research & Development departments, agreements about simultaneous engineering, technology commercialization agreements as well as licensing or joint development agreements.
- Operations and logistics alliances, where partners either share the costs of implementing new manufacturing or production facilities, or utilize already existing infrastructure in foreign countries owned by a local company.

- Marketing, sales and service strategic alliances, in which companies take advantage of the existing marketing and distribution infrastructure of another enterprise in a foreign market to distribute its own products to provide easier access to these markets.
- Multiple activity alliance, which connect several of the described types of alliances. Marketing alliances most often operate as single country alliances, international enterprises use several alliances in each country and technology and development alliances are usually multi-country alliances. These different types and characters can be combined in a multiple activity alliance.

Further kinds of strategic alliances include:

- *Cartels:* Big companies can cooperate unofficially, to control production and/or prices within a certain market segment or business area and constrain their competition
- *Franchising:* A franchiser gives the right to use a brand-name and corporate concept to a franchisee who has to pay a fixed amount of money. The franchiser keeps the control over pricing, marketing and corporate decisions in general.
- *Licensing:* A company pays for the right to use another companies' technology or production processes.
- *Industry Standard Groups:* These are groups of normally large enterprises, that try to enforce technical standards according to their own production processes.
- *Outsourcing:* Production steps that do not belong to the core competencies of a firm are likely to be outsourced, which means that another company is paid to accomplish these tasks.
- *Affiliate Marketing:* Affiliate marketing is a web-based distribution method where one partner provides the possibility of selling products via its sales channels in exchange of a beforehand defined provision.

HISTORICAL DEVELOPMENT OF STRATEGIC ALLIANCES

Some analysts may say that strategic alliances are a recent phenomena in our time, in fact collaborations between enterprises are as old as the existence of such enterprises. Examples would be early credit institutions or trade associations like the early Dutch guilds. There have always been strategic alliances, but in the last couple of decades the focus and reasons for strategic alliances has evolved very quickly:

In the 1970s, the focus of strategic alliances was the performance of the product. The partners wanted to attain raw material at the best quality at the lowest price possible, the best technology and improved market penetration, while the focus was always on the product.

In the 1980s, strategic alliances aimed at building economies of scale and scope. The involved enterprises tried to consolidate their positions in their respective sectors. During this time the number of strategic alliances increased dramatically. Some of these partnerships lead to great product successes like photocopiers by Canon sold

under the brand of Kodak, or the partnership of Toshiba and Motorola whose joining of resources and technology lead to great success with microprocessors. In the 1990s, geographical borders between markets collapsed and new markets were enterable. Higher requirements for the companies lead to the need for constant innovation for competitive advantage. The focus of strategic alliances relocated on the development of capabilities and competencies.

GOALS OF STRATEGIC ALLIANCES

- All-in-one solution
- Flexibility
- Acquisition of new customers
- Add strengths, reduce weaknesses
- Access to new markets+technologies
- Common sources
- Shared risk.

ADVANTAGES/DISADVANTAGES

Advantages

For companies there are many reasons to enter a Strategic Alliance:

- *Shared risk:* The partnerships allow the involved companies to offset their market exposure. Strategic Alliances probably work best if the companies' portfolio complement each other, but do not directly compete.
- *Shared knowledge:* Sharing skills (distribution, marketing, management), brands, market knowledge, technical know-how and assets leads to synergistic effects, which result in pool of resources which is more valuable than the separated single resources in the particular company.
- *Opportunities for growth:* Using the partner's distribution networks in combination with taking advantage of a good brand image can help a company to grow faster than it would on its own. The organic growth of a company might often not be sufficient enough to satisfy the strategic requirements of a company, that means that a firm often cannot grow and extend itself fast enough without expertise and support from partners
- *Speed to market:* Speed to market is an essential success factor In nowadays competitive markets and the right partner can help to distinctly improve this.
- *Complexity:* As complexity increases, it is more and more difficult to manage all requirements and challenges a company has to face, so pooling of expertise and knowledge can help to best serve customers.
- *Innovation:* The parties in an alliance can jointly determine their mutual desired outcomes and craft a collaborative contract that features incentives designed to spur investments in innovation.

- *Costs:* Partnerships can help to lower costs, especially in non-profit areas like research & development.
- *Access to resources:* Partners in a Strategic Alliance can help each other by giving access to resources, (personnel, finances, technology) which enable the partner to produce its products in a higher quality or more cost efficient way.
- *Access to target markets:* Sometimes, collaboration with a local partner is the only way to enter a specific market. Especially developing countries want to avoid that their resources are exploited, which makes it hard for foreign companies to enter these markets alone.
- *Economies of Scale:* When companies pool their resources and enable each other to access manufacturing capabilities, economies of scale can be achieved. Cooperating with appropriate strategies also allows smaller enterprises to work together and to compete against large competitors.

Further Advantages of Strategic Alliance

- Access to new technology, intellectual property rights,
- Create critical mass, common standards, new businesses,
- Diversification,
- Improve agility, R&D, material flow, speed to market,
- Reduce administrative costs, R&D costs, cycle time
- Allowing each partner to concentrate on their competitive advantage.
- Learning from partners and developing competencies that may be more widely exploited elsewhere.
- To reduce political risk while entering into a new market
- An alliance plan will provide the opportunity to manage and achieve defined results from a corporate ecosystems.

Disadvantages

Disadvantages of strategic alliances include:

- *Sharing:* In a Strategic Alliance the partners must share resources and profits and often skills and know-how. This can be critical if business secrets are included in this knowledge.
Agreements can protect these secrets but the partner might not be willing to stick to such an agreement.
- *Creating a Competitor:* The partner in a strategic alliance might become a competitor one day, if it profited enough from the alliance and grew enough to end the partnership and then is able to operate on its own in the same market segment.
- *Opportunity Costs:* Focusing and committing is necessary to run a Strategic Alliance successfully but might discourage from taking other opportunities, which might be beneficial as well.

- *Uneven Alliances:* When the decision powers are distributed unevenly, the weaker partner might be forced to act according to the will of the more powerful partners, even if he or she is actually not willing to do so.
- *Foreign confiscation:* If a company is engaged in a foreign country, there is the risk that the government of this country might try to seize this local business so that the domestic company can have all the market on its own.
- Risk of losing control over proprietary information, especially regarding complex transactions requiring extensive coordination and intensive information sharing.
- Coordination difficulties due to informal cooperation settings and highly costly dispute resolution.

Success Factors

The success of any alliance very much depends on how effective the capabilities of the involved enterprises are matched and whether the full commitment of each partner to the alliance is achieved. There is no partnership without trade-offs, but the benefits of it must preponderate the disadvantages, because alliances are made to fill gaps in each others' capabilities and capacities. Poor alignment of objectives, performance metrics, and a clash of corporate cultures can weaken and constrain the effectiveness of the alliance effectiveness. Some key factors that have to be considered to be able to manage a successful alliance include:

- *Understanding:* The cooperating companies need a clear understanding of the potential partner's resources and interests and this understanding should be the base of set the alliance goals.
- *No time pressure:* During negotiations time pressure must not have an influence on the outcome of the process. Managers need time to establish a working relationship with each other, develop a time plan, set milestones, and design communication channels.
- *Limited alliances:* Some incompatibilities between enterprises might not be avoidable, so the number of alliances should be limited to a necessary amount, which enables the companies to achieve their goals.
- *Good connection:* Negotiations need experienced managers. The managers from large firms need to be connected very well so they have the possibility to integrate different departments and business areas over internal borders, and they need legitimations and support from the top management.
- *Creation of trust and goodwill:* The best basis for a profit-yielding cooperation between enterprises is the creation of trust and goodwill, because it increases tolerance, intensity and openness of communication and makes the common work easier. Further it leads to equal and satisfied partners.
- *Intense Relationship:* Intensifying the partnership leads to the fact that partners get to know each other better, each other's interests and operating styles and increases trust.

Further Important Factors

- Ability to meet performance expectations
- Clear goals
- Partner compatibility
- Commitment to long term relationship
- Alignment
- Measuring the effectiveness of the Alliance, Balanced Scorecard is being increasingly relied upon to keep abreast of all of an alliance's tangible and intangible metrics and goals. It ensures an alliance stays on the road to achieving overarching company goals and uncovers potential obstacles before they can thwart an alliance completely.

RISKS

Using and operating strategic alliances does not only bring chances and benefits. There are also risks and limitations that have to be taken in consideration. Failures are often attributed to unrealistic expectations, lack of commitment, cultural differences, strategic goal divergence and insufficient trust.

Some of the risks are listed below:

- Partner experiences financial difficulties
- Hidden costs
- Inefficient management
- Activities outside scope of original agreement
- Information leakage
- Loss of competencies
- Loss of operational control
- Partner lock-in
- Partner product or service failure
- Partner unable or unwilling to supply key resources
- Partner's quality performance
- Partner takes advantage of its position.

COMMON MISTAKES

Many Companies struggle to operate their alliances in the way they imagined it and many of these partnerships fail to reach their defined goals. There are some very "popular" mistakes which can be seen again and again.

Some are mentioned here:

- Low commitment
- Inappropriate Company Culture
- Poor operating/planning integration
- Strategic weakness
- Rigidity/ poor adaptability

- Too strong focus on internal alliance issues instead on customer value
- Not enough preparation time
- Hidden agenda leading to distrust, lack of value created negotiation
- Lack of understanding of what is involved
- Unrealistic expectations
- Wrong expectation of public perception leading to damage of reputation
- Underestimated complexity
- Reactive behaviour instead of prepared, proactive actions
- Overdependence
- Legal problems.

IMPORTANCE OF STRATEGIC ALLIANCES

Strategic Alliances have developed from an option to a necessity in many markets and industries. Variation in markets and requirements leads to an increasing use of Strategic Alliances. It is of essential importance to integrate Strategic Alliance management into the overall corporate strategy to advance products and services, enter new markets and leverage technology and Research & Development. Nowadays, global companies have many alliances on inland markets as well as global partnerships, sometimes even with competitors, which leads to challenges such as keeping up competition or protecting own interests while managing the Alliance.

So nowadays managing an alliance focuses on leveraging the differences to create value for the customer, dealing with internal challenges, managing daily competition of the alliance with competitors and Risk Management which has become a company-wide concern. Statistics show that the percentage of revenues for the top 1000 U.S. public corporations generated by Strategic Alliances increased from 3-6% in the 1990s up to 40% in the year 2010, which shows the fast changing necessity to align in partnerships.

The number of equity-based alliances has dramatically increased in the last couple of years, whereas the number of acquisitions has decreased by 65% since the year 2000. For a statistically examination over 3000 announced alliances in the USA have been reviewed in the years 1997 to 1997 and results showed that only 25% of these alliances were equity based. In the years 2000 until 2002 this percentage increased up to 62% equity-based alliances among 2500 newly formed alliances.

LIFE CYCLE OF A STRATEGIC ALLIANCE

Analysis and Selection

In the analysis phase performance goals for the partnership are defined. these goals are used to determine the broad operational capabilities that will be required. In the selection phase those performance goals are used as some of the criteria to evaluate and select potential alliance partners.

The activities most often associated with the Analysis phase are:

- Outline tentative performance goals
- Establish preliminary requirements and measures
- Gather internal and external benchmarking data
- Develop summary of performance objectives

The activities most often associated with Selection phase are:

- Develop the ideal partner profile
- Create initial list of potential partners
- Establish and Communicate the selection process
- Check references
- Conduct interviews
- Conduct due diligence
- Make the selection.

Formation

Forming a Strategic Alliance is a process which usually implies some major steps that are mentioned below:

- *Strategy Development:* In this stage the possibility of a Strategic Alliance is examined with respect to objectives, major issues, resource strategies for production, technology and people. It is necessary that objectives of the company and of the alliance are compatible.
- *Partner Assessment:* In this phase potential partners for the Strategic Alliance are analyzed, in order to find an appropriate company to cooperate with. A company must know the weaknesses and strengths and the motivation for joining an alliance of another company. Besides that appropriate criteria for the partner selection are defined and strategies are developed how to accommodate the partner's management style.
- *Contract Negotiations:* After having selected the right partner for a Strategic Alliance the contract negotiations start. At first all parties involved discuss if their goals and objectives are realistic and feasible. Dedicated negotiation teams are formed which determine each partner's role in the alliance like contribution and reward, penalties and retaining companies' interests.

Operation

In this phase in the life of a Strategic Alliance, an internal structure occurs under which its functions develop. While operating it, the alliance becomes an own new organization itself with members from the origin companies with the aim of meeting all previously set objectives and improving the overall performance of the alliance which requires effective structures and processes and a good, strong and reliable leadership. Budgets have to be linked, as well as resources which are strategically most important and the performance of the alliance has to be measured and assessed.

Alliance Structuring and Governance

This phase focuses on creating frameworks both legally and organizational for the strategic alliance relationship, on agreeing and finalizing operational plans, making sure that key leadership is in place, and creating a formula for risk-and-reward that will motivates both parties to make the relationship a success. This phase ends with the contract being signed.

Steps include:

- Governance, Integration, and Control
- Organizational Structure and Support
- Win-Win Business Analysis
- Legal Agreements.

End/ Development

There are several ways how a Strategic Alliance can come to an end:

- *Natural End:* When the objectives, the Strategic Alliance was founded for have been achieved, and no further cooperation is necessary or beneficial for the involved enterprises the alliance can come to a natural end. An example for such a natural end is the alliance between Dassault and British Aerospace which was founded to manufacture the Jaguar fighter aircraft. After the end of the programme no further jets were ordered so the involved companies ended their cooperation.
- *Extension:* After the end of the actual reason for the alliance, the cooperating enterprises decide to extend the cooperation for following generations of a respective product or expand the alliance to new products or projects. Renault for example worked together with Matra on three successive generations of their Espace minivan, whereas Airbus expanded its cooperation to include a complete family of airplanes.
- *Premature Termination:* In this case the Strategic Alliance is ended before the actual objectives of its existence have been achieved. In 1987 Matra-Harris and Intel broke up their Cimatel partnership before one of the planned VLSI chips was manufactured.
- *Exclusive Continuation:* If one partner decides to get out of the alliance before the common goals have been achieved, the other partner can decide to continue the project on its own. This happened when Saab decided to continue with the designing of a commuter aircraft (SF-340), after the partner Fairchild had to cancel the alliance because of internal problems. After Fairchild left the project it was named Saab 340.
- *Takeover of Partner:* Many equity alliances end by Mergers and Acquisitions that one partner buys out the stake of the other partner. This may even have been foreseen from the very beginning to grant an sales and/or put option. Strong companies sometimes have the opportunity to take over smaller partners.

If one firm acquires another the strategic alliance comes to an end. After almost ten years of cooperation in the field of mainframe computers a British computer manufacturer, named ICL, was taken over by Fujitsu in 1990.

STRATEGIC PARTNERSHIP

A strategic partnership is a relationship between two commercial enterprises, usually formalized by one or more business contracts. A strategic partnership will usually fall short of a legal partnership entity, agency, or corporate affiliate relationship. Strategic partnerships can take on various forms from shake hand agreements, contractual cooperation's all the way to equity alliances, either the formation of a Joint venture or cross-holdings in each other.

Typically, two companies form a strategic partnership when each possesses one or more business assets or have expertise that will help the other by enhancing their businesses. Strategic partnerships can develop in outsourcing relationships where the parties desire to achieve long-term “win-win” benefits and innovation based on mutually desired outcomes.

One common strategic partnership involves one company providing engineering, manufacturing or product development services, partnering with a smaller, entrepreneurial firm or inventor to create a specialized new product. Typically, the larger firm supplies capital, and the necessary product development, marketing, manufacturing, and distribution capabilities, while the smaller firm supplies specialized technical or creative expertise.

Another common strategic partnership involves a supplier/manufacturer partnering with a distributor or wholesale consumer. Rather than approach the transactions between the companies as a simple link in the product or service supply chain, the two companies form a closer relationship where they mutually participate in advertising, marketing, branding, product development, and other business functions. As examples, an automotive manufacturer may form strategic partnerships with its parts suppliers, or a music distributor with record labels.

Strategic partnerships also have emerged to solve many company business problems. The book *Vested: How P&G, McDonald's and Microsoft are Redefining Winning in Business Relationships* profiles strategic partnerships in large scale business process outsourcing relationships, public-private infrastructure projects, facilities management and supply chain relationships. Contemporary strategic sourcing and procurement processes enable organizations to use Performance-Based or Vested sourcing business models for establishing strategic supplier relationships.

There can be many advantages to creating strategic partnerships. As Robert M. Grant states in his book *Contemporary Strategy Analysis*, “For complete strategies, as opposed to individual projects, creating option value means positioning the firm such that a wide array of opportunities become available”. Firms taking advantage of strategic partnerships can utilize other company's strengths to make both firms stronger in the

long run. Strategic partnerships raise questions concerning co-inventorship and other intellectual property ownership, technology transfer, exclusivity, competition, hiring away of employees, rights to business opportunities created in the course of the partnership, splitting of profits and expenses, duration and termination of the relationship, and many other business issues. The relationships are often complex as a result, and can be subject to extensive negotiation. The University of Tennessee has done significant research into strategic partnerships, especially in the area of strategic outsourcing relationships.

Global Marketing Components

Global marketing strategy is to identify global market opportunities and market potential through marketing research, specifying country and developing appropriately marketing mix consisting of four areas.

- *Product strategy:* The things or materials which satisfies the human wants is called product. This is an important component of marketing strategy. No activities of marketing can be done with out the existence of the product. Product mix includes the components like design of the product, quality, variety, features, branding, packaging, service, warranty etc. Product plan and development, standardization, grading etc. should be seriously considered in this strategy. Only attractiveness in looking does nothing, the product should also be of good quality. Otherwise, it can't compete in the globe market. Similarly, branding, packaging and labeling of the product also plays important role in the market. The name or brand of the product should be short, attractive and easily memorable and packaging should reflect the features o the product. Besides, the packaging should be attractive and cost effective. And at the last warranty should be given in order to increase the demand of the product.
- *Place/ Distribution strategy:* Place is the important component of the marketing strategy. The sum of different activities undertaken to supply the product to the targeted market is called place mix. Mainly, the channels of distribution and the activities related to the physical distribution are included in the place mix. Distribution channels includes agent, dealers, whole sellers and retailers whereas order processing, warehousing, material handling, inventory management and

transportation are included in the physical distribution. Physical distribution should be made according to the nature of the product through proper channels. Order should be processed immediately after it is received and proper means of transport should be used. Considerable quantity of stock should be kept. So, all these functions are performed in place strategy.

- *Price strategy:* The amount to be paid by customers for any goods or services is called price. Price is the measure of the exchange. The price of any should agree with the quantity of the goods. Price is another important component of marketing strategy. The price of goods directly affects the quantity of sale. If the price of goods is low, sales become high and if the price of goods is high, sales becomes low. So, the price of the goods should be minimize by minimizing the production cost as far as possible. As the customers pay for the quality, the utility of the goods should be equal to the price of the products. Otherwise, the goods can't get popularity in the global market and also can't compete with the substitution goods. While determining the price of any product all the components affecting it should be analyzed. Price strategy includes discount, terms and condition of sale, price cost, production cost, price of substitute goods etc.
- *Promotion strategy:* The another important component of the marketing strategy promotion strategy. All the activities and efforts to be made in order to increase sale quantity as a whole is called promotion mix. This includes advertisement, publicity, personal selling, exhibition, free sample etc. The task sale promotion is creative as well as artistic one. Success can be achieved in the competitive market by increasing sale quantity through sale promotion activities. The customers should be persuaded to realize the need and be motivated to buy goods. Otherwise, goods of whatever the best quality they can't be taken out from the warehouse. It is also said that those who became active and dynamic can get success but those who are lazy can get nothing. Even if the goods are bad, promotional activities can create demand for them.

GLOBAL BRANDING

According to the phillipkotler," Branding is the name, term symbol or design or a combination or services of one seller or group of sellers and to differentiate them from those of competitors." After purchasing goods, producer provides sign or mark justify ownership of the products. The same sign or marks is called brand. Branding of the product plays an important role to identify the goods of any producing company or firm.

Branding reflects the feature of the product. This makes both customer and producers feel easy in dealing. The combined activity of brand name, brand mark and trade mark is called branding of product. Global branding is the brand fame and have access the world's mega markets. It is perceived the same brand by the customers. They are

standardized and in some cases product may be slightly modified to adapt a local condition. Branding of product gives satisfaction to customers besides enhancing image of the company. As only quality products are given brand name it has more importance. The reasons for branding are as follows:

Product identification: The customer can easily identify branded products. They can easily buy branded product whichever they want. They don't become bewildered to buy. There does not remain possibility to be cheated. So, the product should be branded for the protection of the customers.

Price stability: The price of the product is fixed by the production company itself. The price of the product does not fluctuate frequently. So, the price of such products remains stable.

Quality stability: The producers give brand name only to the quality product. The quality of branded product does not decline. If any fluctuation in quality appears the customers try another brand.

Time saving: Branded products don't take long time for selection. Customers can give prompt purchase order by mentioning brand of the products which ever they like. As adequate information can be found in the branded products, selection of product becomes fast and time is saved.

Prestige: Branded product heightens the customer's prestige. Branded products increase customer's dignity in the society. So, producers give brand name to their products to help to increase customer's prestige and dignity.

COMPONENTS OF A GLOBAL BUSINESS PLAN

Global business plans resemble local and regional business plans in format. Global business plans differ from other business plans by serving as a company's communications vehicle for its global operations. Components of a global business plan, which differ from other focus on global customers, global pricing and currency issues, and international market legal factors, to name a few distinctions listed by Allegro Invest. The University of Houston Small Business Development Center offers workshops and seminars on all aspects of small business development, including creating business plans.

EXECUTIVE SUMMARY COMPONENT

An executive summary describes the owner's goals and targets. An executive summary includes components, including but not limited to, a business overview, which describes the company, the projected market and the intended product or service. Include financial results, such as capital growth and profits, advises Allegro Invest. Provide any investment requirements for business operations. In an example offered by the website, BPlansWest, Pacific Marketing opens its Executive Summary, "West Pacific Marketing Consultants aims to provide marketing services to targeted business environments in Indonesia, Asia, and the west Pacific region."

MARKET DESCRIPTION

A market description for a global business reflects an in-depth international market study and offers analysis of the study findings. Key factors in a market description for an international company include “market size, share positioning of products, and competition, explains Allegro Invest. Allegro Invest advises entrepreneurs and executives to energetically research their targeted international market.

OPERATIONS AND MANAGEMENT COMPONENT

An Operations and Management Plan discusses operation factors. Operations components include, but are not limited to supply, production, marketing and distribution. This chapter will distinguish itself from a non-global business plan. You will discuss your research into the complexities of the global markets you are targeting, including how you plan to supply your product or service in targeted countries. If you plan to produce your product overseas, explain that dynamic here. Explain how you plan to market to the countries you will initially introduce your company. Include your management plan with strategies for global growth and successful attainment of international goals. For example, if you plan to start in one country and grow over time into other regions, discuss that plan.

ORGANIZATIONAL STRUCTURE

The section of your global business plan on organizational structure describes your management model. Detail your organization’s hierarchy of personnel, Allegro Invest advises. Potential investors want to know that their investments go to qualified executives and management. The people at the helm of your company must be savvy in your kind of business at an international level. Provide each person’s credentials.

PRODUCT DECISIONS

Decisions regarding the product, price, promotion and distribution channels are decisions on the elements of the “marketing mix”. It can be argued that product decisions are probably the most crucial as the product is the very epitome of marketing planning. Errors in product decisions are legion. These can include the imposition of a global standardised product where it is inapplicable, for example large horsepower tractors may be totally unsuitable for areas where small scale farming exists and where incomes are low; devolving decisions to affiliated countries which may let quality slip; and the attempt to sell products into a country without cognisance of cultural adaptation needs. The decision whether to sell globally standardised or adapted products is too simplistic for today’s market place. Many product decisions lie between these two extremes. Cognisance has also to be taken of the stage in the international life cycle, the organisation’s own product portfolio, its strengths and weaknesses and its global objectives. Unfortunately, most developing countries are in no position to compete on the world stage with many manufactured value-added products. Quality, or lack of it, is

often the major letdown. As indicated earlier, most developing countries are likely to be exporting raw materials or basic and high value agricultural produce for some time to come.

BASIC CONCEPTS

A product can be defined as a collection of physical, service and symbolic attributes which yield satisfaction or benefits to a user or buyer. A product is a combination of physical attributes say, size and shape; and subjective attributes say image or “quality”. A customer purchases on both dimensions. As cited earlier, an avocado pear is similar the world over in terms of physical characteristics, but once the label CARMEL, for example, is put on it, the product’s physical properties are enhanced by the image CARMEL creates. In “postmodernisation” it is increasingly important that the product fulfills the image which the producer is wishing to project. This may involve organisations producing symbolic offerings represented by meaning laden products that chase stimulation-loving consumers who seek experience - producing situations. So, for example, selling mineral water may not be enough. It may have to be “Antarctic” in source, and flavoured. This opens up a wealth of new marketing opportunities for producers.

A product’s physical properties are characterised the same the world over. They can be convenience or shopping goods or durables and nondurables; however, one can classify products according to their degree of potential for global marketing:

- *Local products:* Seen as only suitable in one single market.
- *International products:* Seen as having extension potential into other markets.
- *Multinational products:* Products adapted to the perceived unique characteristics of national markets.
- *Global products:* Products designed to meet global segments.

Quality, method of operation or use and maintenance (if necessary) are catchwords in international marketing. A failure to maintain these will lead to consumer dissatisfaction. This is typified by agricultural machinery where the lack of spares and/or foreign exchange can lead to lengthy downtimes. It is becoming increasingly important to maintain quality products based on the ISO 9000 standard, as a prerequisite to export marketing.

Consumer beliefs or perceptions also affect the “world brand” concept. World brands are based on the same strategic principles, same positioning and same marketing mix but there may be changes in message or other image. World brands in agriculture are legion. In fertilizers, brands like Norsk Hydro are universal; in tractors, Massey Ferguson; in soups, Heinz; in tobacco, BAT; in chemicals, Bayer. These world brand names have been built up over the years with great investments in marketing and production. Few world brands, however, have originated from developing countries. This is hardly surprising given the lack of resources. In some markets product saturation has been reached, yet surprisingly the same product may not have reached saturation in other

similar markets. Whilst France has long been saturated by avocados, the UK market is not yet, hence raising the opportunity to enter deeper into this market.

PRODUCT DESIGN

Changes in design are largely dictated by whether they would improve the prospects of greater sales, and this, over the accompanying costs. Changes in design are also subject to cultural pressures. The more culture-bound the product is, for example food, the more adaptation is necessary. Most products fall in between the spectrum of “standardisation” to “adaptation” extremes. The application the product is put to also affects the design. In the UK, railway engines were designed from the outset to be sophisticated because of the degree of competition, but in the US this was not the case. In order to burn the abundant wood and move the prairie debris, large smoke stacks and cowcatchers were necessary. In agricultural implements a mechanised cultivator may be a convenience item in a UK garden, but in India and Africa it may be essential equipment. As stated earlier “perceptions” of the product’s benefits may also dictate the design. A refrigerator in Africa is a very necessary and functional item, kept in the kitchen or the bar. In Mexico, the same item is a status symbol and, therefore, kept in the living room.

Factors encouraging standardisation are:

- Economies of scale in production and marketing
- Consumer mobility - the more consumers travel the more is the demand
- Technology
- Image, for example “Japanese”, “made in”.

The latter can be a factor both to aid or to hinder global marketing development. Nagashima (1977) found the “made in USA” image has lost ground to the “made in Japan” image. In some cases “foreign made” gives advantage over domestic products. In Zimbabwe one sees many advertisements for “imported”, which gives the product advertised a perceived advantage over domestic products. Often a price premium is charged to reinforce the “imported means quality” image. If the foreign source is negative in effect, attempts are made to disguise or hide the fact through, say, packaging or labelling. Mexicans are loathe to take products from Brazil. By putting a “made in elsewhere” label on the product this can be overcome, provided the products are manufactured elsewhere even though its company maybe Brazilian.

Factors encouraging adaptation are:

- *Differing usage conditions:* These may be due to climate, skills, level of literacy, culture or physical conditions. Maize, for example, would never sell in Europe rolled and milled as in Africa. It is only eaten whole, on or off the cob. In Zimbabwe, kapenta fish can be used as a relish, but will always be eaten as a “starter” to a meal in the developed countries.
- *General market factors:* Incomes, tastes etc. Canned asparagus may be very affordable in the developed world, but may not sell well in the developing world.

- *Government:* Taxation, import quotas, non tariff barriers, labelling, health requirements. Non tariff barriers are an attempt, despite their supposed impartiality, at restricting or eliminating competition. A good example of this is the Florida tomato growers, cited earlier, who successfully got the US Department of Agriculture to issue regulations establishing a minimum size of tomatoes marketed in the United States. The effect of this was to eliminate the Mexican tomato industry which grew a tomato that fell under the minimum size specified. Some non-tariff barriers may be legitimate attempts to protect the consumer, for example the ever stricter restrictions on horticultural produce insecticides and pesticides use may cause African growers a headache, but they are deemed to be for the public good.
- *History:* Sometimes, as a result of colonialism, production facilities have been established overseas. Eastern and Southern Africa is littered with examples. In Kenya, the tea industry is a colonial legacy, as is the sugar industry of Zimbabwe and the coffee industry of Malawi. These facilities have long been adapted to local conditions.
- *Financial considerations:* In order to maximise sales or profits the organisation may have no choice but to adapt its products to local conditions.
- *Pressure:* Sometimes, as in the case of the EU, suppliers are forced to adapt to the rules and regulations imposed on them if they wish to enter into the market.

PRODUCTION DECISIONS

In decisions on producing or providing products and services in the international market it is essential that the production of the product or service is well planned and coordinated, both within and with other functional area of the firm, particularly marketing. For example, in horticulture, it is essential that any supplier or any of his “outgrower” (sub-contractor) can supply what he says he can. This is especially vital when contracts for supply are finalised, as failure to supply could incur large penalties. The main elements to consider are the production process itself, specifications, culture, the physical product, packaging, labelling, branding, warranty and service.

Production Process

The key question is, can we ensure continuity of supply? In manufactured products this may include decisions on the type of manufacturing process - artisanal, job, batch, flow line or group technology. However in many agricultural commodities factors like seasonality, perishability and supply and demand have to be taken into consideration. Table 8.1 gives a checklist of questions on product requirements for horticultural products as an example. Quantity and quality of horticultural crops are affected by a number of things. These include input supplies (or lack of them), finance and credit availability, variety (choice), sowing dates, product range and investment advice. Many of these items will be catered for in the contract of supply.

Table. Checklist of questions on product requirements by market

Existing sources of supply	Recommendations for new suppliers, or increased supply
Current important suppliers?	Best period of supply?
Seasonality of supply, start of season, peak season and end of season?	Type and size of packaging material?
Packaging specifications, weight of produce per packaging unit, type of packaging?	Grading and quality standards:
Grading and quality standards?	*acceptable size ranges?
Prices obtained and net profit returned to farmer, average price, maximum and minimum prices, effect of different quality standards on price?	*whether different sized produce should be packed separately or jumble-packed?
Problems with existing suppliers and produce?	*state of ripeness and should produce of the same ripeness be packed together?
Volumes sold daily, monthly, annually?	*acceptable level of blemishes?
Popularity trend?	*important appearance characteristics such as colour, variety, shape, presence of stalks, bunch size?
Types of buyers and consumers?	Budget gross and net prices?
Use of crop?	Volumes required?
Factors affecting sales, e.g. weather, special festivals, day of arrival in market?	Frequency of shipment, best day and arrival time on market?
Is the crop stored; if so where and by whom?	Transport arrangements, e.g. whose responsibility is it to arrange transport?
	Storage arrangements, if any?
	Potential and techniques for developing sales?

Specification

Specification is very important in agricultural products. Some markets will not take produce unless it is within their specification. Specifications are often set by the customer, but agents, standard authorities (like the EU or ITC Geneva) and trade associations can be useful sources. Quality requirements often vary considerably. In the Middle East, red apples are preferred over green apples. In one example French red apples, well boxed, are sold at 55 dinars per box, whilst not so attractive Iranian greens are sold for 28 dinars per box. In export the quality standards are set by the importer. In Africa, Maritim (1991), found, generally, that there are no consistent standards for product quality and grading, making it difficult to do international trade regionally.

Culture

Product packaging, labeling, physical characteristics and marketing have to adapt to the cultural requirements when necessary. Religion, values, aesthetics, language and material culture all affect production decisions.

Physical Product

The physical product is made up of a variety of elements. These elements include the physical product and the subjective image of the product. Consumers are looking for benefits and these must be conveyed in the total product package. Physical characteristics include range, shape, size, colour, quality, quantity and compatibility. Subjective attributes are determined by advertising, self image, labelling and packaging. In manufacturing or selling produce, cognisance has to be taken of cost and country legal requirements.

Again a number of these characteristics is governed by the customer or agent. For example, in beef products sold to the EU there are very strict quality requirements to be observed. In fish products, the Japanese demand more “exotic” types than, say, would

be sold in the UK. None of the dried fish products produced by the Zambians on Lake Kariba, and sold into the Lusaka market, would ever pass the hygiene laws if sold internationally. In sophisticated markets like seeds, the variety and range is so large that constant watch has to be kept on the new strains and varieties in order to be competitive.

Packaging

Packaging serves many purposes. It protects the product from damage which could be incurred in handling and transportation and also has a promotional aspect. It can be very expensive. Size, unit type, weight and volume are very important in packaging. For aircraft cargo the package needs to be light but strong, for sea cargo containers are often the best form. The customer may also decide the best form of packaging. In horticultural produce, the developed countries often demand blister packs for mangetouts, beans, strawberries and so on, whilst for products like pineapples a sea container may suffice. Costs of packaging have always to be weighed against the advantage gained by it.

Increasingly, environmental aspects are coming into play. Packaging which is non-degradable - plastic, for example - is less in demanded. Bio-degradable, recyclable, reusable packaging is now the order of the day. This can be both expensive and demanding for many developing countries.

Labelling

Labelling not only serves to express the contents of the product, but may be promotional (symbols for example Cashel Valley Zimbabwe; HJ Heinz, Africafe, Tanzania). The EU is now putting very stringent regulations in force on labelling, even to the degree that the pesticides and insecticides used on horticultural produce have to be listed. This could be very demanding for producers, especially small scale, ones where production techniques may not be standardised. Government labelling regulations vary from country to country. Bar codes are not widespread in Africa, but do assist in stock control. Labels may have to be multilingual, especially if the product is a world brand. Translation could be a problem with many words being translated with difficulty. Again labelling is expensive, and in promotion terms non-standard labels are more expensive than standard ones. Requirements for crate labelling, etc. for international transportation will be dealt with later under documentation.

BRANDING AND TRADEMARKS

It is difficult to protect a trademark or brand, unless all countries are members of a convention. Brand “piracy” is widespread in many developing countries.

Other aspects of branding include the promotional aspects. A family brand of products under the Zeneca (ex ICI) label or Sterling Health are likely to be recognised worldwide, and hence enhance the “subjective” product characteristics.

Warranty

Many large value agricultural products like machinery require warranties. Unfortunately not everyone upholds them. It is common practice in Africa that if the original equipment has not been bought through an authorised dealer in the country, that dealer refuses to honour the warranty. This is unfortunate, because not only may the equipment have been legitimately bought overseas, it also actually builds up consumer resistance to the dealer. When the consumer is eventually offered a choice, the reticent dealer will suffer.

Service

In agricultural machinery, processing equipment and other items which are of substantial value and technology, service is a prerequisite. In selling to many developing countries, manufacturers have found their negotiations at stake due to the poor back-up service. Often, this is no fault of the agent, distributor or dealer in the foreign country, but due to exchange regulations, which make obtaining spare parts difficult. Many organisations attempt to get around this by insisting that a Third World buyer purchases a percentage of parts on order with the original items. Allied to this problem is the poor quality of service due to insufficient training. Good original equipment manufacturers will insist on training and updating as part of the agency agreement. In order to illustrate the above points, cotton can be used as an example. Cotton is a major foreign exchange earner for Zimbabwe. In 1990/91, 52,000 tonnes were sold overseas at a value of Zim\$ 238 million.

As the spinners, particularly those in the export market, are in a highly competitive industry, it is essential that the raw material is as clean as possible. Also today's spinning equipment is highly technical and the spinner wishes to avoid costly breakdowns by all means.

Product Strategies

There are five major product strategies in international marketing.

Product Communications Extension

This strategy is very low cost and merely takes the same product and communication strategy into other markets. However it can be risky if misjudgments are made. For example CPC International believed the US consumer would take to dry soups, which dominate the European market. It did not work.

Extended Product - Communications Adaptation

If the product basically fits the different needs or segments of a market it may need an adjustment in marketing communications only. Again this is a low cost strategy, but different product functions have to be identified and a suitable communications mix developed.

Product Adaptation - Communications Extension

The product is adapted to fit usage conditions but the communication stays the same. The assumption is that the product will serve the same function in foreign markets under different usage conditions.

Product Adaptation - Communications Adaptation

Both product and communication strategies need attention to fit the peculiar need of the market.

Product Invention

This needs a totally new idea to fit the exclusive conditions of the market. This is very much a strategy which could be ideal in a Third World situation. The development costs may be high, but the advantages are also very high.

The choice of strategy will depend on the most appropriate product/market analysis and is a function of the product itself defined in terms of the function or need it serves, the market defined in terms of the conditions under which the product is used, the preferences of the potential customers and the ability to buy the product in question, and the costs of adaptation and manufacture to the company considering these product - communications approaches.

Table. International strategic alternatives

Product Strategy	Communications Strategy	Product/functions Met	Conditions of Product Use	Examples
Extension	Extension	Same	Same	Pepsi
Extension	Adaptation	Different	Same	Soups
Adaptation	Extension	Same	Different	Agriculture chemicals
Adaptation	Adaptation	Different	Different	Farm implements
Invention	New	Same	–	Tyson turbine water pump Thailand tuna

PRODUCT DECISION MAKING IN GLOBAL MARKETING MANAGEMENT

The important product decisions needed to be taken in global marketing management are as follows:

Identification of Products for International Market

The firm has to carry out preliminary screening, that is, identification of markets and products by conducting market research. A poorly conceived product often leads to marketing failures. It was not a smooth sailing in the Indian market for a number of transnational food companies after the initial short-lived euphoria among Indian

consumers. Kellogg's, Pizza Hut, McDonald's, and Domino's Pizza have all run into trouble in the experienced the troubled waters in Indian market at one point of time or the other.

The basic mistakes that these firms made were:

- *Gross Overestimation of Spending Patterns of Indian Consumers:* Despite the ability to buy products, the customers in South Asia are very cautious and selective when spending. They look for value for money in their purchase decisions far more than their Western counterparts do.
- *Gross Overestimation of the Strength of their Transnational Brands:* These MNCs estimated their brand image very high in the international markets and the globalization of markets was considered to be a very potent factor for getting a large number of customers for their products, as happened in African and other East Asian countries.
- *Gross Underestimation of the Strength of Ethnic Indian Products:* As Indian food is traditionally prepared on a small scale, and mass manufacturing and organised mass-marketing of Indian products was missing, it was wrongly believed that the food products manufactured by the multinationals would change the traditional eating habits of the Indian consumers. They failed to recognize the variety and strength of ethnic Indian foods. India is not only the largest producer of milk in the world with an 80 million metric ton output, that is, about 20 million tons ahead of the US but also home to hundreds of varieties of sweets.

Developing Products for International Markets

Various approaches followed for developing products for international markets are as follows:

- *Ethnocentric Approach:* This approach is based on the assumption that consumer needs and market conditions are more or less homogeneous in international markets as a result of globalization. A firm markets its products developed for the home market with little adaptation. Generally, an exporting firm in the initial phases of internationalization relies too heavily on product expansion in international markets.

This market extension approach of product development facilitates cost minimization in various functional areas and a firm gains rapid entry into international markets. However, the ethnocentric approach does not always lead to maximization of market share and profits in international markets since the local competitors are in a relatively better position to satisfy consumers' needs.

- *Polycentric Approach:* An international firm is aware of the fact that each country market is significantly different from the other. It therefore adopts separate approaches for different markets. In a polycentric approach products are developed separately for different markets to suit local marketing conditions.

- *Regiocentric Approach:* Once an international firm establishes itself in various markets the world over, it attempts to consolidate its gains and tries to ascertain product similarity within market clusters. Generally, such market clusters are based on geographical and psychic proximity.
- *Geocentric Approach:* Instead of extending the domestic products into international markets, a firm tries to identify similarities in consumption patterns that can be targeted with a standard product around the world. Psychographic segmentation is helpful in identifying consumer profiles beyond national borders.

In a geocentric approach to product development, there is a high degree of centralization and coordination of marketing and production activities resulting in higher economies of scale in the various constituents of the marketing mix. However, it needs meticulous and consistent researching of international markets.

Market Segment Decision

The first product decision to be made is the market segment decision because all other decisions—product mix decision, product specifications, and positioning and communications decisions—depend upon the target market.

Product Mix Decision

Product mix decision pertains to the type of products and product variants to be offered to the target market.

Product Specifications

This involves specification of the details of each product item in the product mix. This includes factors like:

- *Product Attributes:* Some of the key characteristics and features of a product are its quality, styling, and performance. These characteristics are affected by consumer needs, conditions of product use, and ability to buy. The factors that affect product attributes change from country to country.
- *Packaging:* The main concerns in packaging a product are product protection and promotion. For example, in a hot and humid climate product deteriorate rapidly. Special packaging is necessary to minimize the deterioration of the product. An international marketer has to pay attention to this aspect in designing the packaging material for the product.

In designing the packaging material for promotion, an international marketer has to consider different aspects, such as colour, size, appearance, disposable income, and shopping habits. When designing packaging for a low-income market, it must be ensured that packaging costs less and the goods are packaged in smaller amounts and sizes. When the product is meant for a high-income market the packaging must be in large amounts and must be durable, because, high-income buyers, in general, go for shopping very infrequently.

- *Labelling:* The primary role of labelling is to provide information. Often the host governments determine the information requirements. The information the manufacturer may be asked to provide includes description of weight, contents, ingredients, product dating, name of the manufacturer, and unit price information. Language difference is a barrier for a firm operating in international markets. When it is operating in overseas markets the labels have to be translated into local languages. Alternatively, the firm can use internationally recognized symbols or multilingual labels.
- *Service Policies:* Services of physical products can be classified into pre-sale services and post-sale services. Pre-sale services include delivery, technical advice, and postal services. Post-sale services include repair services, maintenance, and operating advice. The level of service necessary depends upon the complexity of the product.

The more complex the product the greater the demand for pre-and post-sales service. When an international firm appoints foreign distributors and agents for providing service it has to train them adequately to meet its after sales needs. The emphasis it lays on service support must be proportionate to the value the customer attaches to the service support.

- *Warranties:* A warranty is a written guarantee of a manufacturer's responsibility when a product fails to perform. Through warranties a firm takes responsibility for repair and replacement of defective products. Warranties must conform to local laws both in terms of product standards and a manufacturer's liability.

Local consumers in many countries view the products manufactured by a foreign firm as less dependable. Providing a strong warranty can go a long way in assuring the local consumers about the trustworthiness of the product. The international firm can in fact use the superior warranty protection as a promotional tool.

Positioning and Communications Decisions

Positioning is the image projected for the product. Communication refers to the promotional message designed for the product. Obviously, both positioning and marketing communication are very much interrelated. For the same product, sometimes the positioning and communication strategies differ between markets.

Product Elimination

Product Elimination is one of the most important product related decision. Too many product introductions can risk overburdening the firm's marketing system. There is a constant need for a regular review of the range and for elimination decisions to be made where a product is either in its decline stage or simply failing to generate sufficient profit. The international perspective, however, means that decision-making is more difficult, since a product may be manufactured principally in a plant in one country, be a 'cash cow' in one market and a 'dog' in another. Careful analysis is therefore needed

before the product elimination decision is taken. The identification of overlaps in the product range or poor performance of specific products may necessitate elimination of products if they are in the declining stage of the product life cycle, have been duplicated or have been replaced by a newer product.

Product Diversification

Diversification means seeking unfamiliar products or unfamiliar markets, or both, for the purpose of expansion. Diversification requires substantially different and unfamiliar knowledge, thinking skills, and processes. Thus, diversification is at best a risky strategy, and a company should choose this path only when current product/market orientation seems to provide no further opportunities for growth.

GLOBAL MARKETING MIX: CONSUMER PRODUCTS

One of the most important tasks for the global marketer today are the decisions surrounding the product and service mix. There has never been a greater or more diverse demand for consumer products and services. Industrialized and emerging markets present challenges that companies must face to succeed internationally. Purchasing power is increasing, which indicates that the buyer has more sophistication and preference in how, when and why they spend money. The Internet has allowed consumers to access information on all available options, resulting in greater competition between firms.

GLOBAL PRODUCT/SERVICE MIX FOR CONSUMER GOODS (B2C)

For today's consumer, purchasing decisions are driven by getting the best quality products for most affordable price. Consumers have a unprecedented level of knowledge concerning the products and services they pay for. Nowadays, companies compete more intensely to gain a prospects attention, which stresses the importance of innovation. For the global marketer, maintaining quality products may require physical or mandatory changes be made in order to adapt to the legal, economic, political, technological or climatic requirements of a local marketplace. These adjustments may be as minor as new packaging, or as complex as the total redesign of a core product. In many countries, this term is known as product homologation, describing mandated changes by local product and service standards. Green marketing, or the marketing of products in the most environmsentally-friendly way, is also a large concern for international product development. There are many guidelines issued by country that force companies to cooperate with environmental regulations. Overall, the global marketer must remember to have predetermined and specific processes for product adaptation in new markets.

Culture is the other factor that separates a standardized product from an adapted one. Although cultural influences may not cause a product to change by law, they certainly play a role in how customers perceive the value associated with goods and services.

The challenges related to adapting your products to a new country or region are similar to introducing a new product in your home country. The product must be presented in a way that it meets the needs, tastes, and patterns life of the target market. Consumers must first accept the idea of the product, and then actually make use of it. For a global marketer, it is key to study the culture of your intended market. Develop and market the products or services *your customer wants*, not just what has worked for others in the past.

The use of innovation can be crucial to a global product mix. When entering a new market, innovative products must diffuse through a society; that is they must be communicated through a series of channels, over time, among members of social system, that establish them as desirable. Basically, the more innovative a product is, the more difficult it is to gain market acceptance. Truly innovative products may not catch on, and companies need to assess the risks involved in going global.

Lastly, it is essential to understand that a product or service is not just one “thing.” An organization must analyze all of the different components that may undergo change. When considering your global product mix, make sure you understand how each of the following components will perform in a new market. Always identify components that are potential weaknesses in your product.

BRANDING, LABELING, AND PACKAGING

What comes to mind when someone says Coke or Nike or Microsoft? According to *BusinessWeek* magazine, the Coca-Cola brand is the *strongest* brand in the world. However, a global study of consumers sponsored by Reuters found that Apple has the *best* brand. What is a “brand” and what do these studies mean when they report that one brand is the strongest or the best?

BRANDING

We have mentioned brands periodically throughout this chapter. But what is a brand? A brand is a name, picture, design, or symbol, or combination of those items, used by a seller to identify its offerings and to differentiate them from competitors’ offerings. Branding is the set of activities designed to create a brand and position it in the minds of consumers. Did you know that The Beatles started a recording studio called Apple? When Apple Computer (the iPod company) was formed, Apple Corp., Ltd. (the Beatles’ recording studio), sued Apple Computer because two companies with the same name can create confusion among consumers. This wasn’t much of a problem when Apple was only selling computers, but following the release of the iPod and launch of Apple’s iTunes programme, a case could be made that the companies’ offerings are similar enough for consumers to confuse the two companies and their products. In fact, it wasn’t until very recently that the lawsuit over the name was settled, some thirty years after the initial lawsuit was filed. Nonetheless, the situation signifies how important brand names are to the companies that own them.

A successful branding strategy is one that accomplishes what Coke and Apple have done—it creates consumer recognition of what the brand (signified by its name, picture, design, symbol, and so forth) means. Consequently, when marketing professionals are considering whether a potential new offering fits a company's image, they are very concerned about whether the offering supports the organization's brand and position in the mind of the consumer. For this reason, many consider branding to be much more than how the product is packaged or labeled, and they are right. Characteristics of the offering, such as pricing and quality, have to support the brand's position. If Apple (the brand) stands for innovation, then products and services have to be innovative. But branding itself refers to strategies that are designed to create an image and position in the consumers' minds.

A brand name, like Apple, is the spoken part of a brand's identity. A brand mark is the symbol, such as Coke's wave or Apple Computer's multicolor apple (not to be confused with Apple Records' green apple), associated with a brand. Brand names and brand marks are important to companies because consumers use them to make choices. That's why it was important to sort out the Apple brand. Each company wanted to make sure that consumers were getting what they wanted and would know what each brand meant.

An important decision companies must make is under which brand a new offering will be marketed. For example, Black & Decker makes power tools for consumers under its Black & Decker brand, while tools for more serious do-it-yourselfers and professionals are under its Dewalt brand. If Black & Decker decided to add to its Dewalt line new products such as coolers, portable radios, CD players, and other accessories construction professionals might find useful at a job site, the company would be creating a brand extension. A brand extension involves utilizing an existing brand name or brand mark for a new product category.

Why would Black & Decker add these accessories to the Dewalt line? If the company did, it would be because Dewalt already has a good reputation for high quality, long-lasting durability, and performance among construction professionals. These same professionals would trust the Dewalt brand to deliver. For now, let's consider whether it is better for a company to market a new product via a brand extension or create an entirely new brand for the product.

One thing firms have to consider when they're branding a new offering is the degree of cannibalization that can occur across products. Cannibalization occurs when a firm's new offering eats into the sales of one of its older offerings. (Ideally, when you sell a new product, you hope that all of its sales come from your competitors' buyers or buyers that are new to the market.) A completely new offering will not result in cannibalization, whereas a line extension likely will. A brand extension will also result in some cannibalization if you sell similar products under another brand. For example, if Black & Decker already had an existing line of coolers, portable radios, and CD players when the Dewalt line of them was launched, the new Dewalt offerings might

cannibalize some of the Black & Decker offerings. Some marketers argue that cannibalization can be a good thing because it is a sign that a company is developing new and better offerings. These people believe that if you don't cannibalize your own line, then your competitors will.

PACKAGING DECISIONS

Another set of questions to consider involves the packaging on which a brand's marks and name will be prominently displayed. Sometimes the package itself is part of the brand. For example, the curvaceous shape of Coca-Cola's Coke bottle is a registered trademark. If you decide to market your beverage in a similar-shaped bottle, Coca-Cola's attorneys will have grounds to sue you.



Fig. Sometimes the package itself is part of a licensed brand. Coke's curvaceous bottle is an example.

Packaging has to fulfill a number of important functions, including:

- Communicating the brand and its benefits;
- Protecting the product from damage and contamination during shipment, as well as damage and tampering once it's in retail outlets;
- Preventing leakage of the contents;
- Presenting government-required warning and information labels.

Sometimes packaging can fulfill other functions, such as serving as part of an in-store display designed to promote the offering.



Fig. A single wholesale unit of a product, such as these empty cartons shown here, is an example of secondary packaging. Each of these boxes might hold, for example, twenty-four cans of car polish or thirty-six cans of bug spray.

Primary packaging holds a single retail unit of a product. For example, a bottle of Coke, a bag of M&Ms, or a ream of printer paper (five hundred sheets) are all examples of primary packages. Primary packaging can be used to protect and promote products and get the attention of consumers. Primary packaging can also be used to demonstrate the proper use of an offering, provide instructions on how to assemble the product, or any other needed information. If warning or nutrition labels are required, they must be on the primary packaging. Primary packaging can be bundled together as well. Consumers can buy bottles of Coke sold in six-packs or cans of Coke in twelve-packs, for example.

Secondary packaging holds a single wholesale unit of a product. A case of M&M bags is an example, as are cartons of reams of paper. Secondary packaging is designed more for retailers than consumers. It does not have to carry warning or nutrition labels but is still likely to have brand marks and labels. Secondary packaging further protects the individual products during shipping.

Tertiary packaging is packaging designed specifically for shipping and efficiently handling large quantities. When a Coca-Cola bottler ships cases of Cokes to a grocery store, they are stacked on pallets (wooden platforms) and then wrapped in plastic. Pallets can be easily moved by a forklift truck and can even be moved within the grocery store by a small forklift.



Fig. This product is bound in tertiary packaging so that mass quantities of it can be stacked on pallets and moved with a forklift.

A product's packaging can benefit the customer beyond just protecting the offering while it's being shipped. No-spill caps, for example, can make it easier for you to use your laundry detergent or prevent spills when you're adding oil to your car's engine. And, as we have noted, secondary packaging (and also tertiary packaging) can serve as part of an in-store display, thereby adding value for your retailers.

GLOBAL MARKETING MIX: PRICE

Pricing is one of the most critical parts of the marketing mix for international firms. Pricing, above all other elements of the marketing mix, is what creates revenue for the

firm. The remaining “P’s (Product, Placement, and Promotion), contribute to cost for a company. It can be observed that pricing technique can either make or break expansion efforts. Marketers must work cooperatively with other organizational departments, mainly Finance, to integrate finance, accounting, manufacturing, tax and legal components into the chosen pricing strategy. One of the biggest obstacles for multinational firms to overcome is how to set prices across different countries. There are many factors to consider to ensure that parallel trade or gray market situations do not occur.

DRIVERS IN FOREIGN MARKET PRICING

Many different factors come into play when setting prices for the same product in different countries.

Major influencers are labeled the 4 C’s:

- *Company* (costs, company goals)
- *Customers* (price sensitivity, segments, consumer preferences)
- *Competition* (market structure and intensity of competition)
- *Channels* (of distribution).

The 4 C’s can explain why both business and consumer products may vary in price depending on where they are sold. The chart below is an example of how products can be priced differently by market.

Item	New York	Hong Kong	Seoul	Paris	London	Sydney
Listerine Mouthwash	\$4.72	\$4.37	\$3.60	\$7.75	5.93	\$5.41
BlackBerry Bold 9000	\$571	\$657	\$666	\$656	\$735	\$754

It is interesting to see how even in the European market, where geographic location is close, prices can still vary a great deal.

International Pricing Issues

- *Export Price Escalation:* Exporting products requires more steps and higher risks than selling products domestically. To make up for incremental costs, such as shipping, insurance and tariffs, foreign retail prices may often become much higher than prices in the home country of where a product is produced. The most important questions to ask yourself as a marketer are: will my customers pay an inflated price for our products/services? and will the price of our product make allow us to compete successfully with other firms? – If the answer to these questions are negative, then there are 2 approaches to dealing with price escalation. The first way is find a way to cut the export price, and the second is to position the product as a exclusive or premium brand.
- *Inflation:* Intense and unrestrained inflation rates in countries can become a huge obstacle for multinational corporations. In places where inflation rates are rampant, setting prices and controlling costs are imperative, often involving complete dedication by marketing and financial divisions of an organization. There are many alternatives to protect against the affects of inflation. Common

plans include modifying components of products or packaging materials, getting raw materials from low-cost suppliers, shortening credit terms, including escalator clauses in long-term contracts (used in many b2b situations), quoting prices in stable currencies and pursuing rapid inventory turnovers. When governments impose price controls, which may accompany wage freezes, companies must also adapt several plans of action. Often in these circumstances, businesses will alter their product lines to minimize negative affects from price controls, change defined market segments, launch new products, spark negotiations with the government, and try to better predict when pricing controls may occur. In extreme cases, companies may choose to exit foreign markets when inflation or pricing controls become too costly to the company. If, however, a company can better manage these challenges, they will gain a long-term competitive advantage by creating higher barriers to entry for potential new competitors.

- *Currency Movements:* Exchange rates represent how much one form of currency is worth in terms of another. Political and economic conditions cause exchange rates to constantly fluctuate. With these rates so unstable, setting a price strategy that can combat these changes can be difficult. The two main pricing issues for managers are how much of the exchange rate gain or loss should be transferred to customers (the pass-through issue), and deciding what currency price quotes are given in.
- *Transfer Pricing:* Another challenge facing organizations operating globally is how they handle sales transactions between related parts of the same company. Transfer pricing are the prices charged for transactions involving the trade of raw materials, components, finished goods, or services. Transfer pricing decisions involve the need to balance the interests of a variety of stakeholders including: the parent company, local country managers, host governments, domestic governments, and joint-venture partners. Some of the factors that influence transfer pricing decisions are the following: tax regimes, local market conditions, market imperfections, joint venture partners and the morale of local country managers. There are two major transfer pricing strategies, market-based transfer pricing and nonmarket-based pricing. To read much more about transfer pricing, [click here](#).
- *Anti-dumping Regulations:* Dumping occurs when imports are sold at an unfair price. Recently the removal of trade barriers (tariffs, quotas) has caused countries to switch to non-tariff barriers such as anti-dumping laws in order to protect their local industries. It is important for multinational corporations to take into account anti-dumping laws when they determine their global pricing policy. If firms price too aggressively, this may cause anti-dumping measures that will hurt their competitive position. It is important to monitor how anti-dumping laws affect similar companies in your industry.

- *Price Coordination:* The last issue that affects pricing in the global environment is price coordination. Price coordination is the relationship that exists between prices charged in different countries. Although the laws of economics indicate that prices should vary across region so that overall profits are maximized, reality is just not that simple. In the majority of instances, markets cannot be separated perfectly, and too much price differentiation creates gray markets. So, when deciding on how to coordinate your pricing strategy, consider these factors:
 - The nature of your customers
 - The amount of product differentiation
 - Nature of your distribution channels
 - Nature of your competition
 - Market Integration
 - Characteristics of your internal organization
 - Government regulations.

Countertrade

The international marketer can use countertrade to gain rewards when conducting business globally. Countertrade describes many unconventional trade-financing transactions that involve some form of non-cash compensation. In recent times, countertrade has become more popular. The most common forms of countertrade are barter, clearing arrangements, switch trading, buyback, counterpurchases and offsets. The most important idea to remember from countertrade is that its benefits may cause short-term or long-term benefits for your company, but there are potential risks involved.

GLOBAL DISTRIBUTION SYSTEM

A global distribution system (GDS) is a computerised network system owned or operated by a company that enables transactions between travel industry service providers, mainly airlines, hotels and car rental companies and travel agencies. The GDS mainly uses *real-time inventory* (for e.g. no. of hotel rooms available, no. of flight seats available, or no. of cars available) to service providers, mainly Travel agencies. Travel Agencies traditionally relied on GDS for services, products & rates in order to provision travel-related services to the end consumers. Thus, A GDS can link services, rates and bookings consolidating products and services across all three travel sectors: *i.e.*, airline reservations, hotel reservations, car rentals.

GDS is different from a computer reservations system, which is a reservation system used by the service providers (also known as vendors). Primary customers of GDS are travel agents (both online and office-based) to make reservation on various reservation systems run by the vendors. GDS holds no inventory; the inventory is held on the vendor's reservation system itself. A GDS system will have real-time link to the vendor's database. For example, when a travel agency requests a reservation on the service of a particular

airline company, the GDS system routes the request to the appropriate airline's computer reservations system. This enables a travel agent with a connection to a single GDS to choose and book various flights, hotels, activities and associated services on all the vendors operating in the same route who are part of that GDS network.

EXAMPLE OF A BOOKING FACILITATION DONE BY AN AIRLINE GDS

A mirror image of the passenger name record (PNR) in the airline reservations system is maintained in the GDS system. If a passenger books an itinerary containing air segments of multiple airlines through a travel agency, the passenger name record in the GDS system would hold information on their entire itinerary, each airline they fly on would only have a portion of the itinerary that is relevant to them. This would contain flight segments on their own services and inbound and onward connecting flights (known as info segments) of other airlines in the itinerary. *e.g.*, if a passenger books a journey from Amsterdam to London on KLM, London to New York on British Airways, New York to Frankfurt on Lufthansa through a travel agent and if the travel agent is connected to Amadeus GDS. The PNR in the Amadeus GDS would contain the full itinerary, the PNR in KLM would show the Amsterdam to London segment along with British Airways flight as an onward info segment. Likewise the PNR in the Lufthansa system would show the New York to Frankfurt segment with the British Airways flight as an arrival information segment. The PNR in British Airways system would show all three segments. One as a live segment and the other two as arrival and onward info segments.

Some GDS systems (primarily Amadeus CRS and SABRE) also have a dual use capability for hosting multiple computer reservations system, in such situations functionally the computer reservations system and the GDS partition of the system behave as if they were separate systems.

FUTURE OF GDS SYSTEMS AND COMPANIES

GDS in the travel industry originated from a traditional legacy business model that existed to inter-operate between airline vendors and travel agents. During the early days of computerized reservations systems flight ticket reservations were not possible without a GDS. As time progressed, many airline vendors (including budget and mainstream operators) have now adopted a strategy of 'direct selling' to their wholesale and retail customers (passengers). They invested heavily in their own reservations and direct-distribution channels and partner systems. This helps to minimize direct dependency on GDS systems to meet sales and revenue targets and allows for a more dynamic response to market needs. These technology advancements in this space facilitate an easier way to cross-sell to partner airlines and via travel agents, eliminating the dependency on a dedicated global GDS federating between systems. Also, multiple price comparison websites eliminate the need of dedicated GDS for point-in-time prices and inventory for both travel agents and end-customers. Hence some experts argue that these changes in business models may lead to complete phasing out of GDS in the

Airline space by the year 2020. Lufthansa Group announced in June 2015 that it was imposing an additional charge of €16 when booking through an external Global Distribution System rather than their own systems. They stated their choice was based upon that the costs of using external systems was several times higher than their own. Several other airlines including Air France–KLM and Emirates also stated that they are following the development.

However, hotels and car rental industry continue to benefit from GDS, especially last-minute inventory disposal using GDS to bring additional operational revenue. GDS here is useful to facilitate global reach using existing network and low marginal costs when compared to online air travel bookings. Some GDS companies are also in the process of investing and establishing significant offshore capability in a move to reduce costs and improve their profit margins to serve their customer directly accommodating changing business models.

Foreign Markets and Export Marketing Process

FOREIGN MARKETS

Investments in foreign markets are made to build wealth. As part of this process, investors must recognize the cultural nuances that separate foreign markets from their domestic base. From there, it is critical for you to understand how the mechanics of the foreign exchange market affect your bottom line. Lastly, recognize effective risk-management techniques to preserve global profits.

IDENTIFICATION

Foreign markets exist outside of your home nation's political borders. Global markets introduce increased populations that can be targeted for higher sales and profits. Overseas markets also might offer a more accommodating sales environment because of fewer entrenched competitors.

Foreign markets can be categorized into developed and emerging markets. Industrialized nations, such as the United States, Germany and Japan, represent mature markets, with relatively stable political regimes and commercial environments. Emerging markets are identified by their higher profit potential and heightened risk levels.

For example, Nigeria is an emerging market where portions of its abundant oil reserves are often shut out from the global economy because of rebel warfare.

FEATURES

Larger businesses gain entry into foreign markets by establishing overseas operations. Coca-Cola and McDonald's are examples of multinational corporations that maintain formidable global presences.

Multinational companies can thrive overseas by making small cultural adjustments to their current brand. For example, in the United States Nike focuses on football and basketball advertisements, but it often rolls out expansive soccer advertising campaigns in Europe.

Smaller investors can enter foreign markets through financial exchanges. These savers can buy shares of stock in multinational firms such as Coca-Cola, or can buy into global mutual fund shares for international exposure.

CONSIDERATIONS

Foreign exchange facilitates global commerce. Foreign exchange describes the process of trading domestic currency for international banknotes to make and receive payments. Foreign exchange rates describe currency valuations, and they calculate the amount of one currency that is required to trade for one unit of a competing currency.

Consumers prefer higher exchange rates for domestic currency, which increases their buying power for foreign goods. However, businesses want lower domestic exchange rates. At that point, their exported wares become cheaper to overseas buyers, and profits denominated in foreign exchange translate into higher cash flow at home.

WARNING

Advanced information technology and increasingly dependent commercial relationships exposes the global economy to contagion risks. "Contagion" describes the ability of one isolated economic event to make a transition to regional and worldwide financial panic.

For example, Russian sovereign debt default would cause the Russian ruble to collapse. From there, all entities doing business within Russia would suffer large losses. These groups would then liquidate international assets to raise cash and finance themselves. The heavy sales activity would cause global asset values and stock markets to crash.

STRATEGY

Global businesspeople can manage risks with diversification and derivatives. Financial diversification—by asset class, industry and geography—limits the impact that the failure of one profit source might have on your portfolio.

Sophisticated investors manage risks further with currency derivatives. Currency derivatives, such as futures, options and forwards, establish set exchange rates over certain time frames.

SELECTING THE FOREIGN LOCATION OF INTERNATIONAL OPERATIONS AND THE ENTRY MODE

Companies have many reactive and proactive reasons to “go international”, such as competition, demand, cost saving, economies of scale and expansion. Defining the company’s mission and objectives, scanning the foreign market environment for threats and opportunities, assessing internal strengths and weaknesses lays the path for the plans and international entry strategy for the firm. Companies have a wide variety of strategy choices to implement their global expansion efforts. Each alternative has its pros and cons. There is no one perfect model that fits all solutions. Many firms use a single or a combination of entry modes depending on the firm’s strategy, objectives, and competitive position. Sometimes, within the same industry, companies and rivals can adopt different approaches to enter new markets to expand overseas depending on the industry and market strategy. Machine makers and car makers, for instance, expand their operations through acquisitions or, prefer strategic alliance through joint venture operations to create synergy and gain market share. Companies often adopt a phased entry strategy; they start off with a minimal risk strategy then they either switch to a higher commitment mode, such as a wholly owned venture. Or to evade possible risks they keep their commitment low, give up control, and operate through licensing, franchising or outsourcing, depending on the firm’s objectives and strategy. To compete more effectively in the global arena, more and more companies use cross-border strategic alliance to build up their muscle.

MARKET SELECTIONS AND MACRO ENVIRONMENT ANALYSIS

For organizations interested in conducting business internationally, the selection of the foreign location (where) and entry mode (how) is a complex interconnected decision. Managers must select local market-entry modes that are consistent with the organizations strategy (intended foreign business unit, product) and the resources available to the firm.

Conducting business internationally differs from domestic business because the foreign business environment changes according to the desired location. The differences across borders include unique government systems, laws, regulations, currencies, taxes, cultures, and practices. In order to understand the potential foreign business environment and the implications for doing business there, it is necessary to understand the context within which a country’s political, economic, and social institutions have emerged as well as its current state. The market potential and growth, attitude of the government toward foreign firms, general stability of the political, social, and economic conditions, competition (size, intensity, relative market share, rate of growth, technological sophistication) as well as distribution channels (availability, level of interrelationships with their members, and a company’s distribution objectives) all influence the

attractiveness of different market-entry locations. Due to the level of risk associated with increasing distance, the geographic space between the home market of a firm and its targeted country market can affect the market-entry decision. Managers must assess the conditions of the local operating environment, which will lead to the examination of appropriate market-entry modes.

P.E.S.T ANALYSIS AND ENVIRONMENTAL ASSESSMENT

Once the potential countries are identified, organizations must decide on the appropriate mode of entry into a foreign market in order to make the best use of their resources. Conducting market research and analysis is crucial to foreign expanding. A PEST (Political, Economic, Social and Technological) analysis and environmental assessment can be conducted to identify the issues that create both business opportunity and threats in the countries being considered.

INFLUENTIAL FACTORS IN CHOOSING THE MODE OF ENTRY

Regarding entry modes, companies normally face a tradeoff between the benefits of increased control and the costs of resource commitment and risk. Several decision criteria influence the choice of entry mode: Market size and growth; Risk; Government regulations: Tax laws, tariffs, market entry barriers, trade regulations; Competitive environment; Cultural distance; Need for control; Flexibility; Internal resources, assets and capabilities; Transaction cost economies; Resource based view; Local infrastructure: The physical infrastructure of a country refers to the country's distribution system, transportation network and communication systems, which are critical factors determines the choice of entry mode.

The poorer the local infrastructure, the more reluctant the company is to commit major resources. Company objectives are the key influence in choosing entry modes. Small firms that have limited aspirations will prefer entry modes that entail a minimum of commitment. Proactive companies and MNGs on the other hand, have ambitious strategic objectives will usually pick entry modes that give them flexibility and control they need to achieve their goals.

Considerations must be made regarding the risks and the critical environmental factors when deciding a firm's entry strategy. Firms considering countries with high risk location factors such as country risk: political instability, currency instability, and nationalism; high tariffs and quotas; cultural distance; little knowledge of the local market; low potential of the local market; and high local competition, may want to decide on an entry strategy that presents lower risks such as exporting, licensing, or franchising.

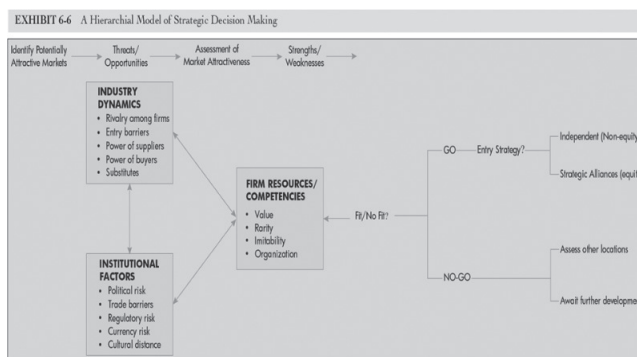
Firms considering countries with lower country risks, quotas and tariffs, cultural distance, local market competition and higher knowledge of local market and potential of local market may want to decide to take more risks and use contract manufacturing, offshoring, service sector outsourcing. Firms considering countries that have the least

amount of location factor risks could realize substantial benefits by engaging in entry strategies such as turnkey operations, management contracts, international joint ventures, and wholly owned subsidiaries. The previous examples describe how location can determine the mode of entry. In a scenario where the entry mode determines the location, for example, if the firm is relatively small and only has exporting as an option for international business, the firm must seek locations with low trade barriers, tariffs, quotas, and other trade restrictions.

ENTRY STRATEGY ALTERNATIVES

Critical evaluation of advantages and disadvantages of entry modes to firm's capabilities and environmental factors of the country will determine the choice of location. After considering the influential factors and entry choice, a firm should decide which factors are more important to firm than others, such as relating the firm factors itself, the industry, location and venture specific.

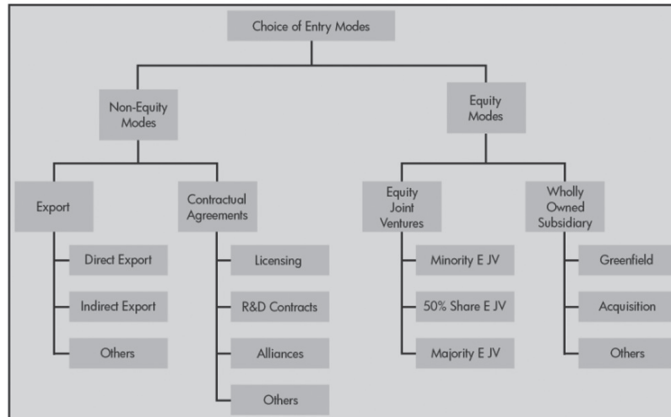
- *Firm factors:* International experience, core competencies and capabilities, national and corporate culture, strategy goals and motivation.
- *Industry factors:* Industry globalization, industry growth rate, technical intensity.
- *Location factors:* Country risk, cultural distance, knowledge and skill workers, potential of local market, competition.
- *Venture specific factors:* Value of firm - assets to risk, know-how, cost of contracts with local partners, size of planned venture.



Managers also assess their strategic choice of countries based on their classified market attractiveness: *Platform countries* can be used to gather intelligence and establish a network, such as Hong Kong, Singapore. *Emerging countries* in which the major goal is to build up an initial presence via liaison office, such as Vietnam, Philippines. *Growth countries* offer early mover advantages to companies to capitalize on market opportunities such as China and India.

Maturing and established countries like Canada, Japan, and South Korea have far fewer market growth prospects than other type of markets; however, they offer modern distribution and transportation systems and technological infrastructures and they also offer skilled worker, low financial and political risk and strong currency.

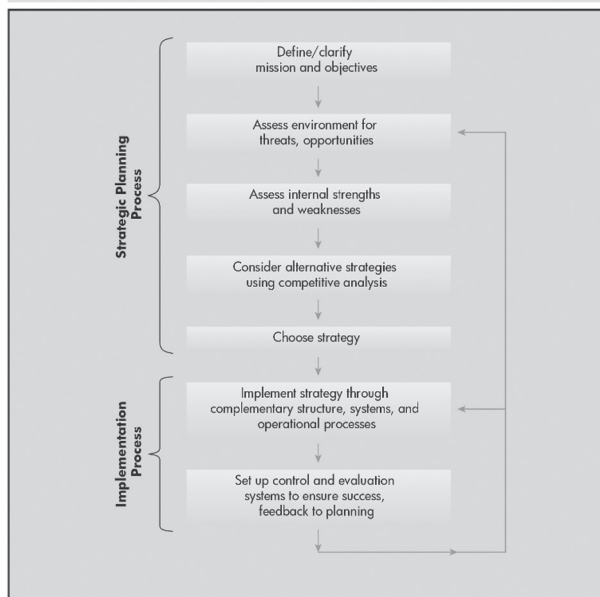
EXHIBIT 6-10 A Hierarchical Model of Choice of Entry Modes



STRATEGIC CHOICE

Although many companies move very quickly to the stage of global integration through merger or acquisition, some companies evolve into multinational corporations by going through the entry strategies in stages taking length of time. Most companies and small businesses start their international expansion by exporting or licensing.

EXHIBIT 6-2 The Strategic Management Process



- *Exporting*: Low risk, no long term assets, easy market access and exit
- *Licensing*: No asset ownership risk, fast market access, avoids regulations and tariffs.
- *Franchising*: Little investment or risk, fast market access, small business expansion.

- *Contract manufacturing/Offshoring*: Limited cost and risk, short term commitment.
- *Outsourcing*: Labour cost and risk advantages, quick access to market, low quality and standard.
- *Turnkey operations*: Access to high skills and market, revenue from know-how and technology
- *Management contracts*: Low risk access to further strategies.
- *Joint ventures*: Quick access to local markets and local resources, but lack of control and trust.
- *Wholly owned subsidiaries*: Control all revenues and access to local market, high commitment.

Time of entry and market exit strategies are also critical decisions that companies should be taken carefully.

FACTORS AFFECTING THE SELECTION OF INTERNATIONAL MARKET ENTRY MODE

Factors affecting the selection of entry mode are as follows:

EXTERNAL FACTORS

- *Market Size*: Market size of the market is one of the key factors an international marketer has to keep in mind when selecting an entry mode. Countries with a large market size justify the modes of entry with long-term commitment requiring higher level of investment, such as wholly owned subsidiaries or equity participation.
- *Market Growth*: Most of the large, established markets, such as the US, Europe, and Japan, has more or less reached a point of saturation for consumer goods such as automobiles, consumer electronics. Therefore, the growth of markets in these countries is showing a declining trend. Therefore, from the perspective of long-term growth, firms invest more resources in markets with high growth potential.
- *Government Regulations*: The selection of a market entry mode is to a great extent affected by the legislative framework of the overseas market. The governments of most of the Gulf countries have made it mandatory for foreign firms to have a local partner. For example, the UAE is a lucrative market for Indian firms but most firms operate there with a local partner.
- *Level of Competition*: Presence of competitors and their level of involvement in an overseas market is another crucial factor in deciding on an entry mode so as to effectively respond to competitive market forces. This is one of the major reasons behind auto companies setting up their operations in India and other emerging markets so as to effectively respond to global competition.

- *Physical Infrastructure:* The level of development of physical infrastructure such as roads, railways, telecommunications, financial institutions, and marketing channels is a pre-condition for a company to commit more resources to an overseas market. The level of infrastructure development (both physical and institutional) has been responsible for major investments in Singapore, Dubai, and Hong Kong. As a result, these places have developed as international marketing hubs in the Asian region.
- *Level of Risk:* From the point of view of entry mode selection, a firm should evaluate the following risks:
 - *Political Risk:* Political instability and turmoil dissuades firms from committing more resources to a market.
 - *Economic Risk:* Economic risk may arise due to volatility of exchange rates of the target market's currency, upheavals in balance of payments situations that may affect the cost of other inputs for production, and marketing activities in foreign markets. International companies find it difficult to manage their operations in markets wherein the inflation rate is extremely high.
 - *Operational Risk:* In case the marketing system in an overseas country is similar to that of the firm's home country, the firm has a better understanding of operational problems in the foreign market in question.
- *Production and Shipping Costs:* Markets with substantial cost of shipping as in the case of low-value high-volume goods may increase the logistics cost.
- *Lower Cost of Production:* It may also be one of the key factors in firms deciding to establish manufacturing operations in foreign countries.

INTERNAL FACTORS

- *Company Objectives:* Companies operating in domestic markets with limited aspirations generally enter foreign markets as a result of a reactive approach to international marketing opportunities. In such cases, companies receive unsolicited orders from acquaintances, firms, and relatives based abroad, and they attempt to fulfill these export orders.
- *Availability of Company Resources:* Venturing into international markets needs substantial commitment of financial and human resources and therefore choice of an entry mode depends upon the financial strength of a firm. It may be observed that Indian firms with good financial strength have entered international markets by way of wholly owned subsidiaries or equity participation.
- *Level of Commitment:* In view of the market potential, the willingness of the company to commit resources in a particular market also determines the entry mode choice. Companies need to evaluate various investment alternatives for allocating scarce resources. However, the commitment of resources in a particular market also depends upon the way the company is willing to perceive and respond to competitive forces.

- *International Experience:* A company well exposed to the dynamics of the international marketing environment would be at ease when making a decision regarding entering into international markets with a highly intensive mode of entry such as Joint ventures and wholly owned subsidiaries.
- *Flexibility:* Companies should also keep in mind exit barriers when entering international markets. A market which presently appears attractive may not necessarily continue to be so, say over the next 10 years. It could be due to changes in the political and legal structure, changes in the customer preferences, emergence of new market segments, or changes in the competitive intensity of the market.

FOREIGN MARKET ENTRY MODES

Critically discuss the various modes of entry for which an organisation can internationalise their operations. Is there one mode that is preferred above others?

INTRODUCTION TO FOREIGN MARKET ENTRY MODES

An organisation has a number of different entry modes to choose from when it internationalizes its operations. This essay will focus on the different types of foreign entry modes organisations have to choose from. As well as what organisational circumstances, goals, and objectives are best suited to the types of different entry modes. Examples will also be given of organisations which have used these different entry modes when going international. There is no one entry mode that is superior to another, instead the organisations circumstances, goals, and objectives will be best suited to a certain entry mode. An organisation's internal resources and capabilities, and the environment of the country of entry are other important considerations when choosing the foreign entry mode.

CHANGES LEADING TO INTERNATIONALIZATION

Changes in the internal and external environment have meant that more and more firms are expanding their operations across country borders. External factors such as: the removal of trade barriers, free trade agreements between countries, and an emerging middle class has made the idea of going global more attractive to organisations across the world. Internal factors such as: increasing profits, increasing market share and becoming a global brand are more drivers for organisations to globalise. Whilst there are a lot of drivers of internationalisation, and hence potential advantages to internationalise, there is no one best entry mode. All organisations will have different reasons for going global, which will have an influence on which entry mode is best suited to them. An organisation will need to determine their desired level of commitment, flexibility, control, presence and risk when going global, in order to choose the entry mode which best suits their situation. A number of foreign entry modes exist, including: exporting, licensing, franchising, joint venture and wholly owned subsidiary.

TYPES OF FOREIGN ENTRY MODES

Exporting

Exporting is a cross border sale of domestically grown or produced goods (Cavusgil, 2004). There are three types of exporting: indirect exporting, direct exporting and cooperative exporting. Indirect exporting is the most low risk entry mode as there is effectively no exposure to the foreign market and its associated risks. The organisation is merely selling their product to an agent in the foreign market who then sells the product on to an intermediary. Exporting is a common method used by organisations when they first enter a new market. Organisations choose this options as it's low risk, it requires less commitment, and gets their brand exposure to the new market. A number of organisations choose indirect export as an entry mode to see if the foreign market is receptive of their brand. In situations where the foreign market is receptive, an organisation may choose to further ingrain their presence in the foreign market with higher commitment, higher presence, and higher risk foreign entry mode strategies. Exporting has become more prevalent across the globe due to the removal of trade barriers, and transport becoming cheaper and more efficient.

A direct export is the same as an indirect export except that it doesn't involve an agent who sells the good to the intermediary. Direct exporting is a very common entry mode used by organisations who want exposure to a foreign market, but want to limit the risks associated with other types of entry modes. The Austrian energy drink Red Bull entered Australia using direct export as its entry mode. Red Bull is the leading energy drink brand in the Australian market, holding a 36% market share. This case of Red Bull supports that exporting can be a very successful foreign entry mode strategy.

Cooperative exporting is another exporting option that organisations can use as a foreign market entry strategy. Organisations use this entry mode by entering an agreement with another foreign or local organisation to use its distribution network. This entry mode allows organisations reach to the foreign market without the associated risks that come with other entry modes. Cooperative exporting is generally mutually beneficial, provided the goods being exported don't impede the sale of other products being sold. For cooperative exporting to be successful the exported product should complement, as oppose to compete against other products being sold. US chewing gum company Wrigley successfully entered the Indian market using cooperative export as their foreign entry mode. Wrigley entered a cooperative export agreement with Parrys, a local confectionery company, by doing so Wrigley gained access to 250,000 retail outlets.

Licensing

International licensing is a cross border agreement that permits organisations in the target country the rights to use the property of the licensor. This property is generally intangible and includes: trademarks, patents, and production techniques. The licensee is required to pay a fee in exchange for the rights specified in the contract between the

parties. Licensing is commonly chosen because it's low risk, has low exposure to economic and political conditions, has high return on investment and is preferred by local governments. Microsoft Corp and Walt Disney Co are two examples of large multinationals that have had success in foreign markets using licensing as their entry mode. Whilst licensing in these examples have been very successful and undoubtedly the right foreign market entry mode, licensing does have its limitations. Licensing can reduce the potential profit of outright ownership, affect the image of the brand due to lack of control over licensee, and nurture a potential future competitor.

Franchising

Franchising is a foreign market entry strategy where a semi-independent business owner (the franchisee) pays fees and royalties to the franchiser to use a company's trademark and sell its products and/or services. The terms and conditions of a franchise package vary depending on the contract, however it generally includes: equipment, operations and management manual, staff training, and location approval. Franchising is commonly used and a largely successful method of cross border market entry, however organisations pursuing this entry mode need to consider both the positive and negative aspects of franchising.

The most common advantages of franchising are that it capitalises on an already successful strategy, the franchisee generally has local knowledge, it's less risky than equity based foreign entry modes, and the franchisor isn't exposed to risks associated with the foreign market. Subway, 7-Eleven, Pizza Hut, and McDonalds are just a few examples of organisations that have been successful using franchising as their foreign market entry mode. Subway was founded in 1965 in the United States; using franchising as a foreign market entry strategy it has grown to have over 42,000 stores in 107 countries. Subway is now the world's largest franchise and highlights how successful franchising can be. Just like in the case of Subway, franchising allows for rapid expansion that would be unlikely using other foreign entry modes.

Whilst in general, franchising is a popular and successful mode for foreign market entry, there are a few potential shortcomings. These shortcomings include: decreased brand quality due to not having full control over franchises, not maximising profit as franchisor only receives a royalty fee and not the full profit made, and the possibility of nurturing a future competitor. Whilst these potential shortcomings could be detrimental to an organisation, franchising is continually chosen as a foreign market entry mode as franchisors believe that the rewards outweigh the risks.

Joint Venture

An organisation may choose a joint venture as their foreign market entry mode for a number of different reasons, for example: to divide the risk with other parties, to leverage of each other's strengths etc. However if a joint venture is to be successful the two or more organisations that form the joint venture must/should have common objectives in

regards to: the market of entry, acceptable levels of risk/reward of the market entered, the sharing of technology, joint product development and the following of local government laws. Joint ventures often thrive if the following conditions are present between the partners: converging goals, small market share compared to the market leader, and are able to learn from one another without surrendering their competitive advantage or intellectual property.

Under the right circumstances, a joint venture can allow an organisation to gain access to a new market which it previously wouldn't have been able to do so by itself. The main restriction in this situation is generally the local government. A local government may choose to impose restrictions on wholly owned foreign investment for a number of reasons, such as: threat to local players, threat to the environment, threat to the long term prosperity of the industry etc. A real life example of this is Singapore Airlines entering the Indian market. The Indian government imposes restrictions on foreign airlines entering the local airline industry as a wholly owned subsidiary. However Singapore Airlines entered a joint venture with the Tata group, and owns a 49% stake in the SIA/Tata alliance. Whilst SIA wanted to enter the Indian domestic airline market with maximum presence, entering as a wholly owned subsidiary was not possible. Entering as a joint venture in this situation was the best entry mode for SIA as it allowed maximum exposure, maximum commitment, maximum flexibility and maximum potential rewards.

Wholly Owned Subsidiary

A wholly owned subsidiaries is the process where by an organisation enters a foreign market with 100% ownership of the foreign entity. The two ways that wholly owned subsidiaries come about is through either acquisition or greenfield operations. Acquisition is the purchase of a foreign organisation as a way to enter a new market. A greenfield operation is the creation of a new organisation and legal entity in the foreign market. A number of organisations that want to limit their risk, while maximising their exposure to the foreign market will choose acquisition as their entry mode. This is because an acquisition uses an already established brand name and customer base. However neither acquisition or greenfield are seen as superior to one another, the entry mode which is more beneficial is dependent upon the organisations circumstances, goals and objectives.

Wholly owned subsidiaries incur more risks than all the entry modes previously mentioned, however if implemented correctly and in the right circumstances, it generally results in high rewards (profits). An organisation that enters a market as a wholly owned subsidiary has: high control, high commitment, high presence and high risk/reward. A wholly owned subsidiary allows an organisation to reach diverse geographic regions, markets and different industries. Through entering the correct markets and with good management a wholly owned subsidiary is a good hedge against market changes, such as political changes, legal changes and declines in different sectors.

EXPORT

The term export means sending of goods or services produced in one country to another country. The seller of such goods and services is referred to as an *exporter*; the foreign buyer is referred to as an *importer*.

Export of goods often requires involvement of customs authorities. An export's counterpart is an import.

EXPORTING

Many Manufacturing firms began their global expansion as exporters and only later switch to another mode for serving a foreign market.

PROCESS

Methods of export include a product or good or information being mailed, hand-delivered, shipped by air, shipped by vessel, uploaded to an internet site, or downloaded from an internet site. Exports also include the distribution of information that can be sent in the form of an email, an email attachment, a fax or can be shared during a telephone conversation.

BARRIERS

Trade barriers are generally defined as government laws, regulations, policy, or practices that either protect domestic products from foreign competition or artificially stimulate exports of particular domestic products. While restrictive business practices sometimes have a similar effect, they are not usually regarded as trade barriers. The most common foreign trade barriers are government-imposed measures and policies that restrict, prevent, or impede the international exchange of goods and services.

Strategic

International agreements limit trade in and the transfer of, certain types of goods and information *e.g.*, goods associated with weapons of mass destruction, advanced telecommunications, arms and torture, and also some art and archaeological artefacts. Examples include Nuclear Suppliers Group - limiting trade in nuclear weapons and associated goods (currently only 45 countries participate), The Australia Group - limiting trade in chemical & biological weapons and associated goods (currently only 39 countries), Missile Technology Control Regime - limiting trade in the means of delivering weapons of mass destruction (currently only 36 countries) and The Wassenaar Arrangement - limiting trade in conventional arms and technological developments (currently only 40 countries).

Tariffs

A tariff is a tax placed on a specific good or set of goods exported from or imported to a country, creating an economic barrier to trade.

Usually the tactic is used when a country's domestic output of the good is falling and imports from foreign competitors are rising, particularly if there exist strategic reasons for retaining a domestic production capability.

Some failing industries receive a protection with an effect similar to a subsidies in that by placing the tariff on the industry, the industry is less enticed to produce goods in a quicker, cheaper, and more productive fashion. The third reason for a tariff involves addressing the issue of dumping. Dumping involves a country producing highly excessive amounts of goods and *dumping* the goods on another foreign country, producing the effect of prices that are "too low". Too low can refer to either pricing the good from the foreign market at a price lower than charged in the domestic market of the country of origin. The other reference to dumping relates or refers to the producer selling the product at a price in which there is no profit or a loss. The purpose and expected outcome of the tariff is to encourage spending on domestic goods and services.

Tariffs can create tension between countries. Examples include the United States steel tariff of 2002 and when China placed a 14% tariff on imported auto parts. Such tariffs usually lead to filing a complaint with the World Trade Organization (WTO) and, if that fails, could eventually head toward the country placing a tariff against the other nation in spite, to impress pressure to remove the tariff.



Fig. Vessel at Container Terminal Altenwerder (Hamburg)

OVERVIEW

Advantages of Exporting

- Exporting has two distinct advantages. First, it avoids the often substantial cost of establishing manufacturing operations in the host country.
- Second, exporting may help a company achieve experience curve and location economies.

Ownership advantages are the firm's specific assets, international experience, and the ability to develop either low-cost or differentiated products within the contacts of its value chain. The locational advantages of a particular market are a combination of market potential and investment risk. Internationalization advantages are the benefits of retaining a core competence within the company and threading it through the value

chain rather than to license, outsource, or sell it. In relation to the eclectic paradigm, companies that have low levels of ownership advantages do not enter foreign markets. If the company and its products are equipped with *ownership advantage* and *internalization advantage*, they enter through low-risk modes such as exporting. Exporting requires significantly lower level of investment than other modes of international expansion, such as FDI. As you might expect, the lower risk of export typically results in a lower rate of return on sales than possible though other modes of international business.

In other words, the usual return on export sales may not be tremendous, but neither is the risk. Exporting allows managers to exercise operation control but does not provide them the option to exercise as much marketing control. An exporter usually resides far from the end consumer and often enlists various intermediaries to manage marketing activities. After two straight months of contraction, exports from India rose a whopping 11.64% at \$25.83 billion in July 2013 against \$23.14 billion in the same month of the previous year.

DISADVANTAGES OF EXPORTING

Exporting has a Number of Drawbacks

- First off, exporting from the firm's home base may not be appropriate if lower-cost locations for manufacturing the product can be found abroad. It may be preferable to manufacture where the mix of factor conditions is most favorable from a value creation perspective and to export to the rest of the world from that location.
- A second drawback to exporting, is that high transport cost can make exporting uneconomical, particularly for bulk products. One way to fix this, is to manufacture bulk products regionally.
- Another drawback, is that high tariff barriers can make exporting uneconomical and very risky.

For small and medium enterprises (SMEs) with fewer than 250 employees, selling goods and services to foreign markets can be more difficult than serving the domestic market. The lack of knowledge of trade regulations, cultural differences, different languages and foreign-exchange situations, as well as the strain of resources and staff, interact like a block for exporting. Indeed, there are some SMEs which are exporting, but nearly two-thirds of them sell to only one foreign market.

PROCESSING OF AN EXPORT ORDER

In reality, an export exercise is concluded successfully only after the exporter has been able to deliver the consignment in accordance with the export contract and receive payment for the goods. This involves practice of prescribed procedure to be performed. The fact is that one does not need only to be very well informed about his/her export

company, his/her products, his/her suppliers, his/her export chain, his/her market, the world market, but one also needs to know the export rules and terms, the different cultures that one targets and the final customers' needs.

Then comes fulfilling these needs by the most competitive way and by adding value to one's services. This is so because all sell the same products with minor changes, but what makes the difference is the method and the value added services one provides to the ultimate consumers. Simply speaking, that making an export company is an easy process, but making a successful and long lasting export company is a very difficult task.

Therefore, it seems pertinent now to make you learn the various steps' involved in the processing of an export order.

These are listed as follows:

- *Having an Export Order:* Processing of an export order starts with the receipt of an export order. An export order, simply stated, means that there should be an agreement in the form of a document, between the exporter and importer before the exporter actually starts producing or procuring goods for shipment. Generally an export order may take the form of proforma invoice or purchase order or letter of credit.
- *Examination and Confirmation of Order:* Having received an export order, the exporter should examine it with reference to the terms and conditions of the contract. In fact, this is the most crucial stage as all subsequent actions and reactions depend on the terms and conditions of the export order. The examination of an export order, therefore, includes items like product description, terms of payment, terms of shipment, inspection and insurance requirement, documents realising payment and the last date of negotiation of documents with the bank. Having being satisfied with these, the export order is confirmed by the exporter.
- *Manufacturing or Procuring Goods:* The Reserve Bank of India (RBI), under the export credit (interest subsidy) scheme, extends pre-shipment credit to exporter to finance working capital needs for purchase of raw materials, processing them and converting them into finished goods for the purpose of exports. The exporter approaches the bank on the basis of laid down procedures for the pre-shipment credit. Having received credit, the exporter starts to manufacture / procure and pack the goods for shipment overseas.
- *Clearance from Central Excise:* As soon as goods have been manufactured/procured, the process for obtaining clearance from central excise duty starts. The Central Excise and Sale Act of India and the related rules provide the refund of excise duty paid. There are two alternative schemes whereby 100 per cent rebate on duty is given to export products on the submission of the proof of shipment. The first scheme is to make payment of the excise duty at the time of removing the export consignment from the factory and file a claim for

rebate of duty after exportation of goods. The second scheme is to remove goods from factory/warehouse without payment but under an appropriate bond with the excise authorities. The exporter needs to apply on a form known as AR4 or AR4A to the Central Excise Range Superintendent for obtaining excise clearance.

Form A is filed when goods are to be cleared after examination by the excise inspector. In all other cases, form AR4A is filed.

- *Pre-Shipment Inspection:* There are number of goods whose export requires quality certification as per the Government of India's notification. Consequently, the Indian custom authorities will require the submission of an inspection certificate issued by the competent and designated authority before permitting the shipment of goods takes place.

Inspection of export goods may be conducted under:

- Consignment-wise Inspection
- In-process Quality Control, and
- Self-Certification.

The Inspection Certificate is issued in triplicate. The original copy is for the customs verification. The second copy of the certificate is sent to the importer and the third copy remains with the exporter for his reference purpose.

- *Appointment of Clearing and Forwarding Agents:* On completion of the process of obtaining the Inspection Certificate from the custom agencies, the exporter appoints clearing and forwarding agents who perform a number of functions on behalf of the exporter. The main functions performed by these agents include packing, marking and labeling of consignment, arrangement for transport to the port arrangement for shipment overseas, customs clearance of cargo, procurement of transport and other documents. In order to facilitate the exporter in discharging his duties, the following documents are submitted to the agent:
 - Commercial invoice in 8-10 copies
 - Customs Declaration Form in triplicate
 - Packing list
 - Letter of Credit (original)
 - Inspection Certificate (original)
 - G.R. Form (in original and duplicate)
 - AR4/ AR4A (in original and duplicate)
 - GP-1/GP-2 (original)
 - Railway Receipt/Lorry Way Bill, as the case may be.
- *Goods to Port of Shipment:* After the excise clearance and pre-shipment inspection formalities are completed, the goods to be exported are packed, marked and labeled. Proper marking, labeling and packing help quick and safe transportation of goods. The export department takes steps to reserve space on the ship through which goods are to be sent to the importer.

The shipping space can be reserved either through the clearing and forwarding agent or freight broker who works on behalf of the shipping company or directly from the shipping company.

Once the space is reserved, the shipping company issues a document known as Shipping Order. This order serves as a proof of space reservation. If goods are sent through a road carrier to the port, no specific formality is involved. In case, the goods are sent by rail to the port of shipment, allotment of wagon needs to be obtained from the Railway Board. The following documents are submitted to the booking railway yard/station:

- Forwarding Note (A Railway Document)
- Shipping Order
- Wagon Registration Fee Receipt.

Once wagons have been allotted, goods are loaded, for which railways will issue Railway Receipt (RR). Then, this receipt and other documents are sent to the clearing and forwarding agent at the port town. At the same time, the production/export department takes insurance policy in duplicate for risk coverage (internal as well as overseas) for the goods to be exported.

- *Port Formalities and Customs Clearance:* Having received the documents from the export department, the clearing and forwarding agent takes delivery of the cargo from the railway station or the road transport company and stores it in the warehouse. He also obtains customs clearance and permission from the port authorities to bring the cargo into the shipment shed.

The custom department grants permission for export at the office of the customs and physical verification of goods in the shipment shed. The clearance for export is given on the Shipping Bill. The clearing and forwarding agent is required to submit the following documents with the Customs House for obtaining customs clearance and permission:

- Shipping Bill
- Contract Form
- Letter of Credit, if applicable
- Commercial Invoice
- GR Form
- Inspection Certificate
- AR4/AR4A Form
- Packing List, if needed

After receiving documents from the export department, the clearing and forwarding agent presents the Port Trust Document to the Shed Superintendent of the port. He obtains carting order bringing the cargo to the transit shed for physical examination by the Dock Appraiser. The Dock Appraiser is presented the following documents to facilitate him in physical examination of export goods:

- Shipping Bill
- Commercial Invoice
- Packing List
- AR4/ AR4A Form and Gate Pass
- GR Form (duplicate)
- Inspection Certificate (original).

The Dock Appraiser, after making examination, makes 'Let Export' endorsement on the duplicate copy of the Shipping Bill and hands over it to the Forwarding Agent. All these documents are presented to the Preventive Officer who puts an endorsement 'Let Ship' on the duplicate copy of the Shipping Bill. The preventive officer supervises the loading of cargo on board the vessel.

After the goods are loaded on board the vessel, the captain of the ship issues a receipt known as 'Mate's Receipt' to the Shed Superintendent of the port concern. The forwarding agent after paying port charges, takes the delivery of the 'Mate Receipt'. He submits to Shipping Company and requests it to issue the Bill of Lading.

Dispatch of Documents by Forwarding Agent to the Exporter

After obtaining the Bill of Lading from the Shipping Company, the clearing and forwarding agent dispatches all the documents to his / her exporter.

These documents include:

- Commercial Invoice (attested by the customs)
- Export Promotion Copy
- Drawback Copy
- Clean on Board Bill of Lading
- Letter of Credit
- AR4/ AR4A and Gate Pass
- GR Form (in duplicate).

Certificate of Origin

On receipt of above documents from the forwarding agent, the exporter now applies to the Chamber of Commerce for a Certificate of Origin and obtains it. If the goods are exported to countries offering GSP concessions, the exporter needs to procure the GSP Certificate of Origin from the concerned authority like Export Inspection Agency.

Dispatch of Shipment Advice to the Importer

At last, the exporter sends 'Shipment Advice' to the importer intimating the date of shipment of the consignment by a named vessel and its expected time of arrival at the destination port of the importer. The following documents are also sent to the importer to facilitate him for taking delivery of the consignment:

- Bill of Lading (non-negotiable copy)
- Commercial Invoice

- Packing List
- Customs Invoice.

Submission of Documents to Bank

At the end of the process, the exporter presents the following documents to his bank for realisation of his amount due to the importer:

- Commercial Invoice'
- Certificate of Origin
- Packing List
- Letter of Credit
- Marine Insurance Policy
- GR Form
- Bill of Lading
- Bill of Exchange
- Bank Certification
- Commercial Invoice.

Claiming Export Incentives

On completion of the processing of an export order at the three levels of shipment *i.e.*, pre-shipment, shipment and post-shipment, the exporter claims for export incentives admissible to him / her.

PROBLEMS OF FOREIGN TRADE FACED BY DEVELOPING COUNTRIES

Here we detail about the ten problems of foreign trade faced by developing countries of the world.

- *Primary Exporting:* Most of the developing countries, in its initial stage of development are exporting mostly primary products and thus cannot fetch a good price of its product in the foreign market. In the absence of diversification of its export, the developing countries have failed to raise its export earnings.
- *Un-Favourable Terms of Trade:* Another problem of trade faced by these developing countries is that the terms of trade are always going against it. In the absence of proper infrastructure and the quality enhancement initiative, the terms of trade of these countries gradually worsened and ultimately went against the interest of the country in general.
- *Mounting Developmental and Maintenance Imports:* The developing countries are facing the problem of mounting growth of its developmental imports which include various types of machineries and equipment's for the development of various types of industries as well as a huge growth of maintenance imports for collecting intermediate goods and raw materials required for these industries.

Such mounting volume of imports has been creating a serious problem towards round management of international trade.

- *Higher Import Intensity:* Another peculiar problem faced by the developing countries is the higher import intensity in the industries development resulting from import intensive industrialisation process followed in these countries for meeting the requirements of elitist consumption (viz., colour TVs, VCR, Refrigerators, Motor cycle, cars etc.). Such increasing trend towards elitist consumption has been resulting a huge burden of burgeoning imports in these developing countries, resulting serious balance of payment of crisis.
- *BOP Crisis:* The developing countries are facing the problem of burgeoning imports and sluggish growth in its exports resulting in growing deficit in its balance of payments position. In some countries, this deficit has gone to such an extent at a particular point of time that ultimately it led to a serious crisis in its international trade.
- *Lack of Co-ordination:* The developing countries are not maintaining a good co-ordination among themselves through promotion of integration economies grouping, formation of union etc. Thus in the absence of such co-ordination, the developing countries could not realize those benefits of foreign trade which they could have realised as a result of such economic grouping.
- *Depleting Foreign Exchange Reserve and Import Cover:* The developing countries are sometimes facing the problems of depleting foreign exchange reserves as a result of growing volume of imports and continuous balance of payment crisis. Such depleting foreign exchange reserve results in shorter import cover for the country.
- *Steep Depreciation:* Steep depreciation of the currency with dollar and other currencies in respect of developing countries has been resulting in a considerable increase in the value of its imports which ultimately leads to huge deficit in its balance of trade.
- *Higher Prices of POL imports:* The worsening of the current account deficit in balance of payments of the developing countries has been partly on account of higher price of POL imports charged by the oil producing countries especially since the Gulf War.
- *International Liquidity Problem:* Most of the developing countries has been facing all the more serious international liquidity problem. Accordingly, these countries are experiencing chronic deficiency of capital and technology resulting heavy dependence on the developed countries for their scarce resources.

Accordingly, these countries require resources so as to cover their short-term balance of payments, resources and also for meeting long-term capital requirements of economic growth. Thus have seen that the developing countries have been facing some serious problems relating to their foreign trade. They are also making serious efforts to settle these problems either bilateral or multi-lateral means.

PROCESSING OF AN EXPORT ORDER AND ENTERING IN TO EXPORT CONTRACT

The immediate task of the exporter is to acknowledge the export order which is different from its acceptance. Then he should proceed to examine the export order carefully in respect of item, specification, pre-shipment inspection, payment conditions, special packaging labeling and marketing requirements, shipping and delivery date, marine insurance, documentation, arbitration, applicable laws and jurisdiction, etc. The various aspects relating to processing of an export order as are discussed as under:

SCRUTINY

The exporter purchase order should be examined carefully and its contents scrutinized in terms of the Performa invoice / contract sent to the foreign buyer, on the following aspects:

- *Item (product)*: The order has been received for the product for which quotation/ offer was sent and the exporter is still in the position to supply the product.
- *Size and Specifications*: Should be same as per offer / quotation.
- *Pre-shipment inspection*: Should be either by exporter himself or any agency easily available. If the buyer desires the inspection to be done by an agency/ agent of his choice, financial and physical aspects of inspection should be examined and communicated to the buyer. If compulsory pre-shipment inspection by Indian Export Inspection Agency is required, the buyer should be informed about the applicable scheme.
- *Payment Conditions*: Are same and stipulated. A confirmed sight and irrevocable letter of credit (L/C) has been opened, where required.
- *Packaging, Labeling and Marking requirements*: If any should be noted for compliance. Particular attention should be paid to the individual packaging of consumer goods required for direct sale to the consumers. In such a case labels, price tags, poly pack/skin packing etc. would be required and supply be assured.
- *Shipment and delivery date*: It should be in conformity with the exporters plans and whether:
 - Part shipment is allowed.
 - Trans – shipment is permissible or not.
 - Port of shipment/destination is same or changed.
- Documents particularly those which are required with the bill of exchange. These are:
 - Commercial invoice as usual or there is any specific notation required thereon.
 - Certification by an authority on the commercial invoice. For instance, it may require certification by Embassy Consulate of the foreign country.
 - Bill of lading 'straight' or 'to order', 'shipped', or 'received for shipment'.
 Make sure that there is no clause in the contract which asks for the AWB or

B/L. The importers using their influence with the Airlines/Shipping companies manage to release the goods even before the negotiable copy of the AWB or the B/L reaches through normal banking channels.

- Certificate of origin whether the usual one issued by a trade association or chamber of commerce or special ones like that required for availing of GSP concessions or other preference. Also whether necessary certification on commercial invoice would suffice or a separate certification of origin is required.
- Packaging list.
- Insurance policy or certificate.
- Guarantee/Warranty clause should be same as per quotation/offer.
- Force Majeure clause should cover acts of Gods and other acts, beyond the control of exporter as mentioned at quotation / offer stage by exporter.
- Arbitration as per Indian council of Arbitration clause for International contracts or other acceptable international clauses as agreed between the parties.
- Laws applicable and jurisdiction, in case of default / dispute arising during the execution of the contract.

Entering in to Export Contract

Export Contract should be explicit as possible and without any ambiguity regarding the exact specification of goods and terms of sale including export price, mode of payment, storage and distribution method, types of packaging, port of shipment, delivery schedule, etc. All these “terms” have a special connotation and meaning in International trade which must be understood by the parties (seller & buyer).

- *Product Standards and specifications:* The first important element of an exporter contract is to explicitly state the following:
 - Product name including technical name
 - Sizes, if any in which to be supplied
 - Standard / specifications, national or international or according to specific requirements of buyer or as the sample approved by him.
- *Quantity:* Put the quantity both in figures and words clearly specifying whether it is in terms of number, weight or volume. If the quantity refers to goods by weight or measurement, specify the nature of the same.
- *Inspection:* Whereas a number of goods are now subject to pre-shipment inspection by designated agencies, the foreign buyer may still stipulate his own conditions and manner of inspection by any other agency. Hence the parties must clearly states in their contracts the nature, manner, aspects and the agency for inspection of goods, different from those laid down under the Quality Control and Pre-shipment inspection rules.
- *Total Value of the Contract:* The total value of the contract may also be put in both figures and words specifying the currency along with the name of the country.

- *Terms of Delivery:* Also known as type of price, terms of delivery should be clearly incorporated in the contract. It could be f.o.b., c.i.f., c&f. etc.
- *Taxes, Duties and Charges:* The taxes, duties and charges relating to exportation of goods are normally a part of price *i.e.*, terms of delivery quoted by seller. Similarly such levies, if any in the country of importation are to be account of the buyer.
- *Period of Delivery / Shipment:* As distinguished from terms of delivery, period of delivery/shipment relates to the actual dates of delivery/shipment. In addition, it must be place of dispatch and delivery because if it is not designated, the place of the business of the seller is usually deemed to be the place of delivery. It also depends upon the terms of delivery.

Moreover, it should be clarified whether the time for delivery will run from the date of the contract or from the date of receipt of the advance money by the seller or from the date of receipt of the notice of issuance of the import license by the seller, etc. The importers invariably ask for a firm date of the receipt of the goods at the port in the country of import, whereas due to certain circumstances beyond the control of the exporter the goods do not reach the port of destination within the time frame mentioned in the contract. Hence the exporter should make sure that the L/C or contract should have specific date of dispatch from the country of origin, rather than the arrival date in the country of import.

- *Part shipment/Transshipment/Consolidation by Cargo scheme:* The contract must clearly state whether part shipment / transshipment are agreed upon by the parties. In the absence of such stipulations, disputes generally arise when the exporter is unable to ship the goods in one lot or directly to the port of delivery. Also indicate the port of transshipment and the number, if any part shipment agreed upon. In case the goods are likely to be dispatched under the Consolidation of Export – Cargo scheme, do make a reference to the same in the export contract.
- *Packing, Labeling and Marketing:* The exporter contract must be explicit as possible about the type of package and particulars labels and marking requirements. These requirements are normally quite different in case of export consignments and as such involve additional cost necessitating and upward revision in export prices. The language, colour of labels and even marking have to be taken care as of required by the buyer.
- *Terms of Payment – Amount, Mode and Currency:* The mode and manner of payment for the goods to be exported vary from contract to contract depending upon the terms settled between the parties. While quoting different payment terms, the exporter should specify as to whether the prices are based on current rate of exchange of the Indian rupee on the basis of another currency say US Dollar or any other currency.

- *Discounts and Commissions:* Depending upon the source of export enquiry and the intermediary involved, if any in the execution of an order the contract should specify the amount of discount / commission to be paid and by whom *i.e.*, by exporter or importer. The basis of calculation of commission and rate of the same may also be clearly stipulated. The commission / discount may or may not be included in the export price to be quoted / agreed by the exporter / importer.
- *Licenses and Permits:* Normally all exporter/importer transaction involve obtaining the licenses and permits/quotas to the export/import in the country of exportation/importation. The problem with regard to import licenses in the buyer's country is sometime more prominent and acute in different developing countries. The parties should therefore clearly state as to whether the export transaction would involve any export (import) licenses and whose responsibility and expense it would be to obtain the same.
- *Insurance:* The terms of delivery normally take care of the aspects of insurances to be obtained by the buyer/seller. In any case, it is important in international trade contracts to provide for insurance of the goods against loss, damage or destructions during the voyage as it takes a long time before they are received by the buyer. The extent of insurance risk and its incidence needs to be clearly described and proper insurance policies should be obtained.
- *Documentary Requirements:* International Trade transactions usually involve certain special documents which can be broadly divided in to four categories:
 - Documents required for exportation/importation of goods
 - Documents needed by the buyer for taking delivery of the goods
 - Documents relation to the payments.
 - Special documents depending upon the nature of goods and the conditions of the sale.

MARKET ENTRY STRATEGIES

The chapter begins by looking at the concept of market entry strategies within the control of a chosen marketing mix. It then goes on to describe the different forms of entry strategy, both direct and indirect exporting and foreign production, and the advantages and disadvantages connected with each method. The chapter gives specific details on “countertrade”, which is very prevalent in global marketing, and then concludes by looking at the special features of commodity trading with its “close coupling” between production and marketing.

BASIC ISSUES

An organisation wishing to “go international” faces three major issues:

- *Marketing:* Which countries, which segments, how to manage and implement marketing effort, how to enter - with intermediaries or directly, with what information?

- *Sourcing*: Whether to obtain products, make or buy?
- *Investment and control*: Joint venture, global partner, acquisition?

Decisions in the marketing area focus on the value chain. The strategy or entry alternatives must ensure that the necessary value chain activities are performed and integrated.

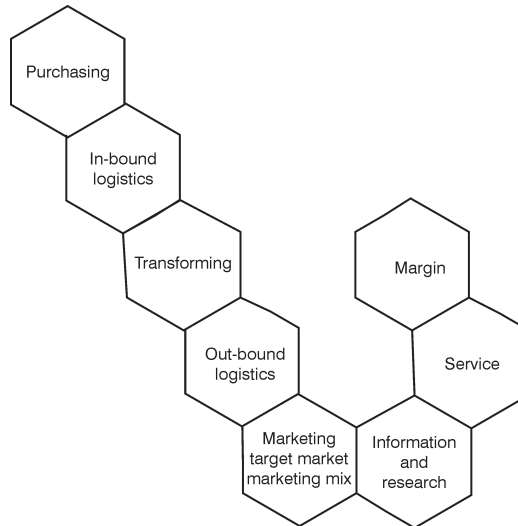


Fig. The value chain -marketing function detail

In making international marketing decisions on the marketing mix more attention to detail is required than in domestic marketing.

Examples of elements included in the export marketing mix:

- Product support
 - Product sourcing
 - Match existing products to markets - air, sea, rail, road, freight
 - New products
 - Product management
 - Product testing
 - Manufacturing specifications
 - Labelling
 - Packaging
 - Production control
 - Market information
- Price support
 - Establishment of prices
 - Discounts
 - Distribution and maintenance of pricelists
 - Competitive information
 - Training of agents/customers

- Promotion/selling support
 - Advertising
 - Promotion
 - Literature
 - Direct mail
 - Exhibitions, trade shows
 - Printing
 - Selling (direct)
 - Sales force
 - Agents commissions
 - Sale or returns
- Inventory support
 - Inventory management
 - Warehousing
 - Distribution
 - Parts supply
 - Credit authorisation
- Distribution support
 - Funds provision
 - Raising of capital
 - Order processing
 - Export preparation and documentation
 - Freight forwarding
 - Insurance
 - Arbitration
- Service support
 - Market information/intelligence
 - Quotes processing
 - Technical aid assistance
 - After sales
 - Guarantees
 - Warranties/claims
 - Merchandising
 - Sales reports, catalogues literature
 - Customer care
 - Budgets
 - Data processing systems
 - Insurance
 - Tax services
 - Legal services
 - Translation

- Financial support
 - Billing, collecting invoices
 - Hire, rentals
 - Planning, scheduling budget data
 - Auditing.

Details on the sourcing element have already been covered in the chapter on competitive analysis and strategy. Concerning investment and control, the question really is how far the company wishes to control its own fate. The degree of risk involved, attitudes and the ability to achieve objectives in the target markets are important facets in the decision on whether to license, joint venture or get involved in direct investment.

Cunningham (1986) identified five strategies used by firms for entry into new foreign markets:

- *Technical innovation strategy:* Perceived and demonstrable superior products
- *Product adaptation strategy:* Modifications to existing products
- *Availability and security strategy:* Overcome transport risks by countering perceived risks
- *Low price strategy:* Penetration price and,
- *Total adaptation and conformity strategy:* Foreign producer gives a straight copy.

In marketing products from less developed countries to developed countries point iii) poses major problems. Buyers in the interested foreign country are usually very careful as they perceive transport, currency, quality and quantity problems. This is true, say, in the export of cotton and other commodities.

Because, in most agricultural commodities, production and marketing are interlinked, the infrastructure, information and other resources required for building market entry can be enormous. Sometimes this is way beyond the scope of private organisations, so Government may get involved. It may get involved not just to support a specific commodity, but also to help the “public good”. Whilst the building of a new road may assist the speedy and expeditious transport of vegetables, for example, and thus aid in their marketing, the road can be put to other uses, in the drive for public good utilities. Moreover, entry strategies are often marked by “lumpy investments”. Huge investments may have to be undertaken, with the investor paying a high risk price, long before the full utilisation of the investment comes. Good examples of this include the building of port facilities or food processing or freezing facilities. Moreover, the equipment may not be able to be used for other processes, so the asset specific equipment, locked into a specific use, may make the owner very vulnerable to the bargaining power of raw material suppliers and product buyers who process alternative production or trading options. Zimfreeze, Zimbabwe is experiencing such problems. It built a large freezing plant for vegetables but found itself without a contract. It has been forced, at the moment, to accept sub optional volume product materials just in order to keep the plant ticking over.

In building a market entry strategy, time is a crucial factor. The building of an intelligence system and creating an image through promotion takes time, effort and money. Brand names do not appear overnight. Large investments in promotion campaigns are needed. Transaction costs also are a critical factor in building up a market entry strategy and can become a high barrier to international trade. Costs include search and bargaining costs.

Physical distance, language barriers, logistics costs and risk limit the direct monitoring of trade partners. Enforcement of contracts may be costly and weak legal integration between countries makes things difficult. Also, these factors are important when considering a market entry strategy. In fact these factors may be so costly and risky that Governments, rather than private individuals, often get involved in commodity systems. This can be seen in the case of the Citrus Marketing Board of Israel. With a monopoly export marketing board, the entire system can behave like a single firm, regulating the mix and quality of products going to different markets and negotiating with transporters and buyers.

Whilst these Boards can experience economies of scale and absorb many of the risks listed above, they can shield producers from information about, and from, buyers. They can also become the “fiefdoms” of vested interests and become political in nature. They then result in giving reduced production incentives and cease to be demand or market orientated, which is detrimental to producers.

Normal ways of expanding the markets are by expansion of product line, geographical development or both. It is important to note that the more the product line and/or the geographic area is expanded the greater will be the managerial complexity. New market opportunities may be made available by expansion but the risks may outweigh the advantages, in fact it may be better to concentrate on a few geographic areas and do things well. This is typical of the horticultural industry of Kenya and Zimbabwe. Traditionally these have concentrated on European markets where the markets are well known.

Ways to concentrate include concentrating on geographic areas, reducing operational variety (more standard products) or making the organisational form more appropriate. In the latter the attempt is made to “globalise” the offering and the organisation to match it. This is true of organisations like Coca Cola and MacDonald’s. Global strategies include “country centred” strategies (highly decentralised and limited international coordination), “local market approaches” (the marketing mix developed with the specific local (foreign) market in mind) or the “lead market approach” (develop a market which will be a best predictor of other markets). Global approaches give economies of scale and the sharing of costs and risks between markets.

ENTRY STRATEGIES

There are a variety of ways in which organisations can enter foreign markets. The three main ways are by direct or indirect export or production in a foreign country.

Exporting

Exporting is the most traditional and well established form of operating in foreign markets. Exporting can be defined as the marketing of goods produced in one country into another. Whilst no direct manufacturing is required in an overseas country, significant investments in marketing are required. The tendency may be not to obtain as much detailed marketing information as compared to manufacturing in marketing country; however, this does not negate the need for a detailed marketing strategy.

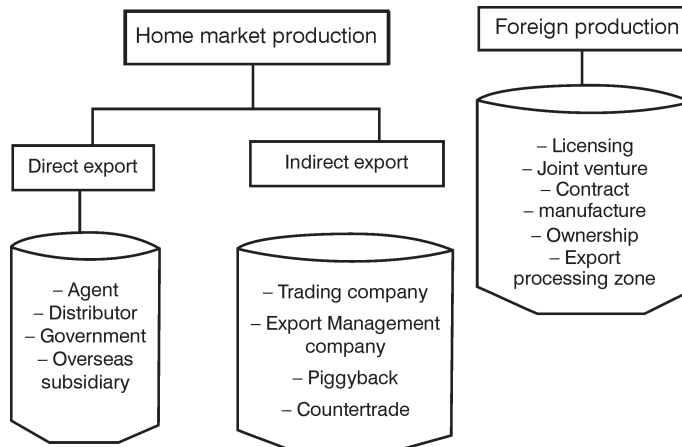


Fig. Methods of foreign market entry

The advantages of exporting are:

- Manufacturing is home based thus, it is less risky than overseas based
- Gives an opportunity to “learn” overseas markets before investing in bricks and mortar
- Reduces the potential risks of operating overseas.

The disadvantage is mainly that one can be at the “mercy” of overseas agents and so the lack of control has to be weighed against the advantages. For example, in the exporting of African horticultural products, the agents and Dutch flower auctions are in a position to dictate to producers.

A distinction has to be drawn between passive and aggressive exporting. A passive exporter awaits orders or comes across them by chance; an aggressive exporter develops marketing strategies which provide a broad and clear picture of what the firm intends to do in the foreign market. Pavord and Bogart (1975) found significant differences with regard to the severity of exporting problems in motivating pressures between seekers and non-seekers of export opportunities. They distinguished between firms whose marketing efforts were characterized by no activity, minor activity and aggressive activity.

Those firms who are aggressive have clearly defined plans and strategy, including product, price, promotion, distribution and research elements. Passiveness versus aggressiveness depends on the motivation to export. In countries like Tanzania and Zambia, which have embarked on structural adjustment programmes, organisations are being encouraged to export, motivated by foreign exchange earnings potential, saturated

domestic markets, growth and expansion objectives, and the need to repay debts incurred by the borrowings to finance the programmes. The type of export response is dependent on how the pressures are perceived by the decision maker. Piercy (1982) highlights the fact that the degree of involvement in foreign operations depends on “endogenous versus exogenous” motivating factors, that is, whether the motivations were as a result of active or aggressive behaviour based on the firm’s internal situation (endogenous) or as a result of reactive environmental changes (exogenous).

If the firm achieves initial success at exporting quickly all to the good, but the risks of failure in the early stages are high. The “learning effect” in exporting is usually very quick. The key is to learn how to minimise risks associated with the initial stages of market entry and commitment - this process of incremental involvement is called “creeping commitment”.

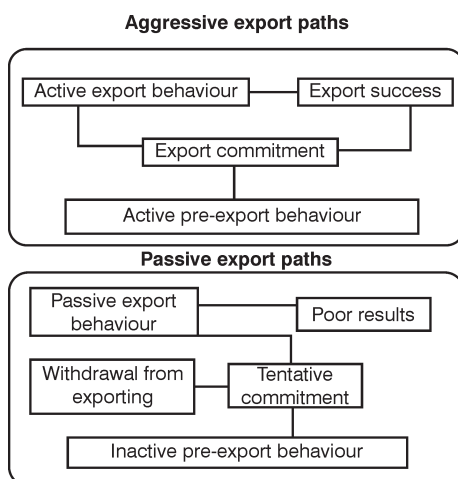


Fig. Aggressive and passive export paths

Exporting methods include direct or indirect export. In direct exporting the organisation may use an agent, distributor, or overseas subsidiary, or act via a Government agency. In effect, the Grain Marketing Board in Zimbabwe, being commercialised but still having Government control, is a Government agency. The Government, via the Board, are the only permitted maize exporters. Bodies like the Horticultural Crops Development Authority (HCDA) in Kenya may be merely a promotional body, dealing with advertising, information flows and so on, or it may be active in exporting itself, particularly giving approval (like HCDA does) to all export documents. In direct exporting the major problem is that of market information. The exporter’s task is to choose a market, find a representative or agent, set up the physical distribution and documentation, promote and price the product. Control, or the lack of it, is a major problem which often results in decisions on pricing, certification and promotion being in the hands of others. Certainly, the phytosanitary requirements in Europe for horticultural produce sourced in Africa are getting very demanding. Similarly, exporters are price takers as produce is sourced also from the Caribbean and Eastern countries. In

the months June to September, Europe is “on season” because it can grow its own produce, so prices are low. As such, producers are better supplying to local food processors. In the European winter prices are much better, but product competition remains.

According to Collett (1991)) exporting requires a partnership between exporter, importer, government and transport. Without these four coordinating activities the risk of failure is increased. Contracts between buyer and seller are a must. Forwarders and agents can play a vital role in the logistics procedures such as booking air space and arranging documentation. A typical coordinated marketing channel for the export of Kenyan horticultural produce.

In this case the exporters can also be growers and in the low season both these and other exporters may send produce to food processors which is also exported.

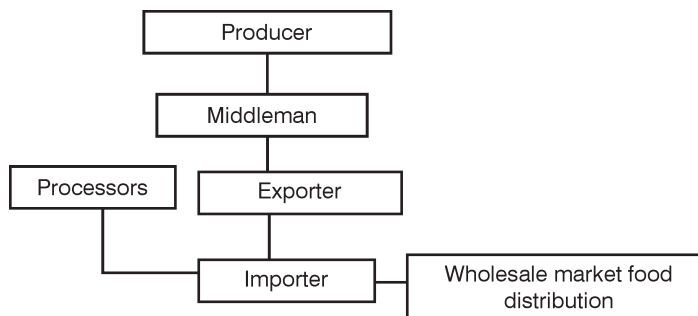


Fig. The export marketing channel for Kenyan horticultural products.

Exporting can be very lucrative, especially ‘if it is of high value added produce. For example in 1992/93 Zimbabwe exported 5 338,38 tonnes of flowers, 4 678,18 tonnes of horticultural produce and 12 000 tonnes of citrus at a total value of about US\$ 22 016,56 million. In some cases a mixture of direct and indirect exporting may be achieved with mixed results. For example, the Grain Marketing Board of Zimbabwe may export grain directly to Zambia, or may sell it to a relief agency like the United Nations, for feeding the Mozambican refugees in Malawi. Payment arrangements may be different for the two transactions.

It is interesting to note that Korey 1986 warned that direct modes of market entry may be less and less available in the future. Growing trading blocks like the EU or EFTA means that the establishment of subsidiaries may be one of the only ways forward in future. Indirect methods of exporting include the use of trading companies (very much used for commodities like cotton, soya, cocoa), export management companies, piggybacking and countertrade.

Indirect methods offer a number of advantages including:

- Contracts - in the operating market or worldwide
- Commission sates give high motivation (not necessarily loyalty)
- Manufacturer/exporter needs little expertise
- Credit acceptance takes burden from manufacturer.

Piggybacking

Piggybacking is an interesting development. The method means that organisations with little exporting skill may use the services of one that has. Another form is the consolidation of orders by a number of companies in order to take advantage of bulk buying. Normally these would be geographically adjacent or able to be served, say, on an air route. The fertilizer manufacturers of Zimbabwe, for example, could piggyback with the South Africans who both import potassium from outside their respective countries.

Countertrade

By far the largest indirect method of exporting is countertrade. Competitive intensity means more and more investment in marketing. In this situation the organisation may expand operations by operating in markets where competition is less intense but currency based exchange is not possible. Also, countries may wish to trade in spite of the degree of competition, but currency again is a problem. Countertrade can also be used to stimulate home industries or where raw materials are in short supply. It can, also, give a basis for reciprocal trade.

Estimates vary, but countertrade accounts for about 20-30% of world trade, involving some 90 nations and between US \$100-150 billion in value. The UN defines countertrade as “commercial transactions in which provisions are made, in one of a series of related contracts, for payment by deliveries of goods and/or services in addition to, or in place of, financial settlement”.

Countertrade is the modern form of barter, except contracts are not legal and it is not covered by GATT. It can be used to circumvent import quotas.

Countertrade can take many forms. Basically two separate contracts are involved, one for the delivery of and payment for the goods supplied and the other for the purchase of and payment for the goods imported. The performance of one contract is not contingent on the other although the seller is in effect accepting products and services from the importing country in partial or total settlement for his exports. There is a broad agreement that countertrade can take various forms of exchange like barter, counter purchase, switch trading and compensation (buyback). For example, in 1986 Albania began offering items like spring water, tomato juice and chrome ore in exchange for a contract to build a US \$60 million fertilizer and methanol complex. Information on potential exchange can be obtained from embassies, trade missions or the EU trading desks.

Barter is the direct exchange of one good for another, although valuation of respective commodities is difficult, so a currency is used to underpin the item's value.

Barter trade can take a number of formats. Simple barter is the least complex and oldest form of bilateral, non-monetarised trade. Often it is called “straight”, “classical” or “pure” barter. Barter is a direct exchange of goods and services between two parties. Shadow prices are approximated for products flowing in either direction. Generally no middlemen are involved. Usually contracts for no more than one year are concluded,

however, if for longer life spans, provisions are included to handle exchange ratio fluctuations when world prices change. Closed end barter deals are modifications of straight barter in that a buyer is found for goods taken in barter before the contract is signed by the two trading parties. No money is involved and risks related to product quality are significantly reduced.

Clearing account barter, also termed clearing agreements, clearing arrangements, bilateral clearing accounts or simply bilateral clearing, is where the principle is for the trades to balance without either party having to acquire hard currency. In this form of barter, each party agrees in a single contract to purchase a specified and usually equal value of goods and services. The duration of these transactions is commonly one year, although occasionally they may extend over a longer time period. The contract's value is expressed in non-convertible, clearing account units (also termed clearing dollars) that effectively represent a line of credit in the central bank of the country with no money involved.

Clearing account units are universally accepted for the accounting of trade between countries and parties whose commercial relationships are based on bilateral agreements. The contract sets forth the goods to be exchanged, the rates of exchange, and the length of time for completing the transaction. Limited export or import surpluses may be accumulated by either party for short periods. Generally, after one year's time, imbalances are settled by one of the following approaches: credit against the following year, acceptance of unwanted goods, payment of a previously specified penalty or payment of the difference in hard currency.

Trading specialists have also initiated the practice of buying clearing dollars at a discount for the purpose of using them to purchase saleable products. In turn, the trader may forfeit a portion of the discount to sell these products for hard currency on the international market. Compared with simple barter, clearing accounts offer greater flexibility in the length of time for drawdown on the lines of credit and the types of products exchanged.

Counter purchase, or buyback, is where the customer agrees to buy goods on condition that the seller buys some of the customer's own products in return (compensatory products). Alternatively, if exchange is being organised at national government level then the seller agrees to purchase compensatory goods from an unrelated organisation up to a pre-specified value (offset deal). The difference between the two is that contractual obligations related to counter purchase can extend over a longer period of time and the contract requires each party to the deal to settle most or all of their account with currency or trade credits to an agreed currency value.

Where the seller has no need for the item bought he may sell the produce on, usually at a discounted price, to a third party. This is called a switch deal. In the past a number of tractors have been brought into Zimbabwe from East European countries by switch deals. Compensation (buy-backs) is where the supplier agrees to take the output of the facility over a specified period of time or to a specified volume as payment. For example,

an overseas company may agree to build a plant in Zambia, and output over an agreed period of time or agreed volume of produce is exported to the builder until the period has elapsed. The plant then becomes the property of Zambia.

Khoury (1984) categorises countertrade as follows: One problem is the marketability of products received in countertrade. This problem can be reduced by the use of specialised trading companies which, for a fee ranging between 1 and 5% of the value of the transaction, will provide trade related services like transportation, marketing, financing, credit extension, etc. These are ever growing in size.

Countertrade has disadvantages:

- Not covered by GATT so “dumping” may occur
- Quality is not of international standard so costly to the customer and trader
- Variety is low so marketing of what is limited
- Difficult to set prices and service quality
- Inconsistency of delivery and specification,
- Difficult to revert to currency trading - so quality may decline further and therefore product is harder to market.

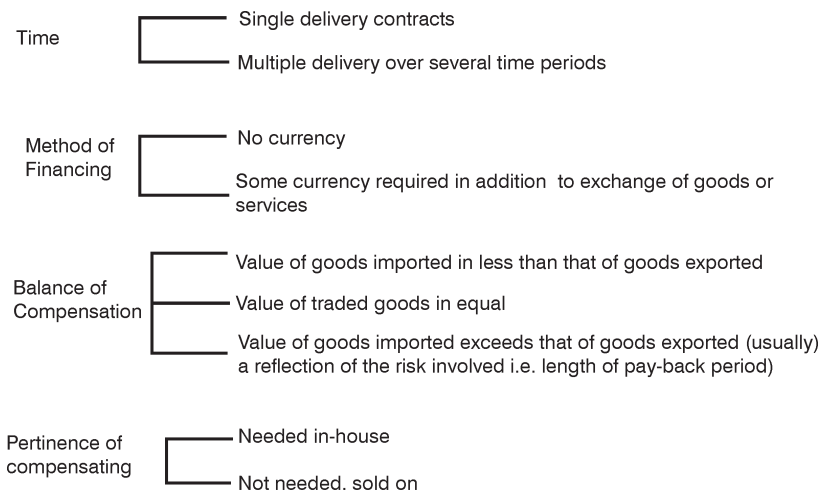


Fig. Classification of countertrade

Shipley and Neale (1988) therefore suggest the following:

- Ensure the benefits outweigh the disadvantages
- Try to minimise the ratio of compensation goods to cash - if possible inspect the goods for specifications
- Include all transactions and other costs involved in countertrade in the nominal value specified for the goods being sold
- Avoid the possibility of error of exploitation by first gaining a thorough understanding of the customer's buying systems, regulations and politics,
- Ensure that any compensation goods received as payment are not subject to import controls.

Despite these problems countertrade is likely “to grow as a major indirect entry method, especially in developing countries.

Foreign Production

Besides exporting, other market entry strategies include licensing, joint ventures, contract manufacture, ownership and participation in export processing zones or free trade zones.

Licensing: Licensing is defined as “the method of foreign operation whereby a firm in one country agrees to permit a company in another country to use the manufacturing, processing, trademark, know-how or some other skill provided by the licensor”.

It is quite similar to the “franchise” operation. Coca Cola is an excellent example of licensing. In Zimbabwe, United Bottlers have the licence to make Coke.

Licensing involves little expense and involvement. The only cost is signing the agreement and policing its implementation.

Licensing gives the following advantages:

- Good way to start in foreign operations and open the door to low risk manufacturing relationships
- Linkage of parent and receiving partner interests means both get most out of marketing effort
- Capital not tied up in foreign operation and
- Options to buy into partner exist or provision to take royalties in stock.

The disadvantages are:

- Limited form of participation - to length of agreement, specific product, process or trademark
- Potential returns from marketing and manufacturing may be lost
- Partner develops know-how and so licence is short
- Licensees become competitors - overcome by having cross technology transfer deals and
- Requires considerable fact finding, planning, investigation and interpretation.

Those who decide to license ought to keep the options open for extending market participation. This can be done through joint ventures with the licensee.

Joint Ventures

Joint ventures can be defined as “an enterprise in which two or more investors share ownership and control over property rights and operation”.

Joint ventures are a more extensive form of participation than either exporting or licensing. In Zimbabwe, Olivine industries has a joint venture agreement with HJ Heinz in food processing.

Joint ventures give the following advantages:

- Sharing of risk and ability to combine the local in-depth knowledge with a foreign partner with know-how in technology or process

- Joint financial strength
- May be only means of entry and
- May be the source of supply for a third country.

They also have disadvantages:

- Partners do not have full control of management
- May be impossible to recover capital if need be
- Disagreement on third party markets to serve and
- Partners may have different views on expected benefits.

If the partners carefully map out in advance what they expect to achieve and how, then many problems can be overcome.

Ownership: The most extensive form of participation is 100% ownership and this involves the greatest commitment in capital and managerial effort. The ability to communicate and control 100% may outweigh any of the disadvantages of joint ventures and licensing. However, as mentioned earlier, repatriation of earnings and capital has to be carefully monitored. The more unstable the environment the less likely is the ownership pathway an option.

These forms of participation: exporting, licensing, joint ventures or ownership, are on a continuum rather than discrete and can take many formats. Anderson and Coughlan (1987) summarise the entry mode as a choice between company owned or controlled methods - “integrated” channels - or “independent” channels. Integrated channels offer the advantages of planning and control of resources, flow of information, and faster market penetration, and are a visible sign of commitment. The disadvantages are that they incur many costs (especially marketing), the risks are high, some may be more effective than others (due to culture) and in some cases their credibility amongst locals may be lower than that of controlled independents. Independent channels offer lower performance costs, risks, less capital, high local knowledge and credibility. Disadvantages include less market information flow, greater coordinating and control difficulties and motivational difficulties. In addition they may not be willing to spend money on market development and selection of good intermediaries may be difficult as good ones are usually taken up anyway.

Once in a market, companies have to decide on a strategy for expansion. One may be to concentrate on a few segments in a few countries - typical are cashewnuts from Tanzania and horticultural exports from Zimbabwe and Kenya - or concentrate on one country and diversify into segments. Other activities include country and market segment concentration - typical of Coca Cola or Gerber baby foods, and finally country and segment diversification.

Another way of looking at it is by identifying three basic business strategies: stage one - international, stage two - multinational (strategies correspond to ethnocentric and polycentric orientations respectively) and stage three - global strategy (corresponds with geocentric orientation). The basic philosophy behind stage one is extension of programmes and products, behind stage two is decentralisation as far as possible to

local operators and behind stage three is an integration which seeks to synthesize inputs from world and regional headquarters and the country organisation. Whilst most developing countries are hardly in stage one, they have within them organisations which are in stage three. This has often led to a “rebellion” against the operations of multinationals, often unfounded.

Export Processing Zones (EPZ)

Whilst not strictly speaking an entry-strategy, EPZs serve as an “entry” into a market. They are primarily an investment incentive for would be investors but can also provide employment for the host country and the transfer of skills as well as provide a base for the flow of goods in and out of the country. One of the best examples is the Mauritian EPZ, founded in the 1970s.

Organisations are faced with a number of strategy alternatives when deciding to enter foreign markets. Each one has to be carefully weighed in order to make the most appropriate choice. Every approach requires careful attention to marketing, risk, matters of control and management. A systematic assessment of the different entry methods can be achieved through the use of a matrix.

Table. Matrix for comparing alternative methods of market entry

Evaluation criteria	Entry mode							
	Indirect export	Direct export	Marketing subsidiary	Counter trade	Licensing	Joint venture	Wholly owned operation	EPZ
Company goals								
Size of company								
Resources								
Product								
Remittance								
Competition								
Middlemen characteristics								
Environmental characteristics								
Number of markets								
Market								
Market feedback								
International market learning								
Control								
Marketing costs								
Profits								
Investment								
Administration personnel								
Foreign problems								
Flexibility								
Risk								

SPECIAL FEATURES OF COMMODITY TRADE

As has been pointed out time and again in this text, the international marketing of agricultural products is a “close coupled” affair between production and marketing and end user. Certain characteristics can be identified in market entry strategies which are

different from the marketing of say cars or television sets. These refer specifically to the institutional arrangements linking producers and processors/exporters and those between exporters and foreign buyers/agents.

Institutional Links between Producers and Processors/exporters

One of the most important factors is contract coordination. Whilst many of the details vary, most contracts contain the supply of credit/production inputs, specifications regarding quantity, quality and timing of producer deliveries and a formula or price mechanism. Such arrangements have improved the flow of money, information and technologies, and very importantly, shared the risk between producers and exporters.

Most arrangements include some form of vertical integration between producers and downstream activities. Often processors enter into contracted outgrower arrangements or supply raw inputs. This institutional arrangement has now, incidentally, spilled over into the domestic market where firms are wishing to target higher quality, higher priced segments.

Producer trade associations, boards or cooperatives have played a significant part in the entry strategies of many exporting countries. They act as a contact point between suppliers and buyers, obtain vital market information, liaise with Governments over quotas etc. and provide information, or even get involved in quality standards. Some are very active, witness the Horticultural Crops Development Authority (HCDA) of Kenya and the Citrus Marketing Board (CMD) of Israel, the latter being a Government agency which specifically got involved in supply quotas. An example of the institutional arrangements involved is given in table 7.3.

Table. Institutional arrangements linking producers with processors/exporters

Commodity	Market co-ordination	Contract co-ordination	Ownership interaction	Association co-ordination	Government co-ordination	Marketing risk reduction
Kenya vegetables	X	X	X			X
Zimbabwe horticulture	X			X	X	X
Israel fresh fruits						
Thailand tuna		XX		X	X	X
Argentina beef		X		X		X

Institutional links between exporters and foreign buyers/agents

Linkages between exporters and foreign buyers are often dominated by open market trade or spot market sales or sales on consignment. The physical distances involved are also very significant.

Most contracts are of a seasonal, annual or other nature. Some products are handled by multinationals, others by formal integration by processors, building up import/distribution firms. In the case of Kenyan fresh vegetables familial ties are very important between exporters and importers. These linkages have been very important in maintaining market excess, penetrating expanding markets and in obtaining market and product change information, thus reducing considerably the risks of doing business. In some

cases, Government gets involved in negotiating deals with foreign countries, either through trade agreements or other mechanisms. Zimbabwe's imports of Namibian mackerel were the result of such a Government negotiated deal. Table 7.4 gives examples of linkages between exporters and foreign buyers/agents.

Table. Linkages between exporters and foreign buyers/agents.

Commodity	Market co-ordination	Contract co-ordination	Ownership interaction	Association co-ordination	Government co-ordination	Marketing risk reduction
Kenya vegetables	X	X	X			X
Zimbabwe horticulture		X		X	X	X
Israel fresh fruits	X	X				X
Thailand tuna	X	XX	XX	X		X
Argentina beef	XX	X	XX	X	X	X

Once again, it can not be over-emphasized that the smooth flow between producers, marketers and end users is essential. However it must also be noted that unless strong relationships or contracts are built up and product qualities maintained, the smooth flow can be interrupted should a more competitive supplier enter the market. This also can occur by Government decree, or by the erection of non-tariff barriers to trade. By improving strict hygiene standards a marketing chain can be broken, however strong the link, by say, Government. This, however, should not occur, if the link involves the close monitoring and action by the various players in the system, who are aware, through market intelligence, of any possible changes.

IMPORTING AND EXPORTING, AND GLOBAL SOURCING

The history of importing and exporting dates back to the Roman Empire, when European and Asian traders imported and exported goods across the vast lands of Eurasia. Trading along the Silk Road flourished during the thirteenth and fourteenth centuries. Caravans laden with imports from China and India came over the desert to Constantinople and Alexandria. From there, Italian ships transported the goods to European ports.

For centuries, importing and exporting has often involved intermediaries, due in part to the long distances traveled and different native languages spoken. The spice trade of the 1400s was no exception. Spices were very much in demand because Europeans had no refrigeration, which meant they had to preserve meat using large amounts of salt or risk eating half-rotten flesh. Spices disguised the otherwise poor flavour of the meat. Europeans also used spices as medicines. The European demand for spices gave rise to the spice trade. The trouble was that spices were difficult to obtain because they grew in jungles half a world away from Europe. The overland journey to the spice-rich lands was arduous and involved many middlemen along the way. Each middleman charged a fee and thus raised the price of the spice at each point. By the end of the journey, the price of the spice was inflated 1,000 percent.

Exporting is defined as the sale of products and services in foreign countries that are sourced or made in the home country. Importing is the flipside of exporting. Importing

refers to buying goods and services from foreign sources and bringing them back into the home country. Importing is also known as global sourcing.

An Entrepreneur's Import Success Story

Selena Cuffe started her wine import company, Heritage Link Brands, in 2005. Importing wine isn't new, but Cuffe did it with a twist: she focused on importing wine produced by black South Africans. Cuffe got the idea after attending a wine festival in Soweto, where she saw more than five hundred wines from eighty-six producers showcased. Cuffe did some market research and learned of the \$3 billion wine industry in Africa. She also saw a gap in the existing market related to wine produced by indigenous African vintners and decided to fill it. She started her company with \$70,000, financed through her savings and credit cards. In the first year, sales were only \$100,000 but then jumped to \$1 million in the second year, when Cuffe sold to more than one thousand restaurants, retailers, and grocery stores. Even better, American Airlines began carrying Cuffe's imported wines on flights, thus providing a steady flow of business amid the more uncertain restaurant market. Cuffe has attributed her success to passion as well as to patience for meeting the multiple regulations required when running an import business.

Exporting is an effective entry strategy for companies that are just beginning to enter a new foreign market. It's a low-cost, low-risk option compared to the other strategies. These same reasons make exporting a good strategy for small and midsize companies that can't or won't make significant financial investment in the international market.

Companies can sell into a foreign country either through a local distributor or through their own salespeople. Many government export-trade offices can help a company find a local distributor. Increasingly, the Internet has provided a more efficient way for foreign companies to find local distributors and enter into commercial transactions.

Distributors are export intermediaries who represent the company in the foreign market. Often, distributors represent many companies, acting as the "face" of the company in that country, selling products, providing customer service, and receiving payments. In many cases, the distributors take title to the goods and then resell them. Companies use distributors because distributors know the local market and are a cost-effective way to enter that market.

However, using distributors to help with export can have its own challenges. For example, some companies find that if they have a dedicated salesperson who travels frequently to the country, they're likely to get more sales than by relying solely on the distributor. Often, that's because distributors sell multiple products and sometimes even competing ones. Making sure that the distributor favors one firm's product over another product can be hard to monitor. In countries like China, some companies find that—culturally—Chinese consumers may be more likely to buy a product from a foreign company than from a local distributor, particularly in the case of a complicated, high-tech product. Simply put, the Chinese are more likely to trust that the overseas salesperson knows their product better.

WHY DO COMPANIES EXPORT

Companies export because it's the easiest way to participate in global trade, it's a less costly investment than the other entry strategies, and it's much easier to simply stop exporting than it is to extricate oneself from the other entry modes. An export partner in the form of either a distributor or an export management company can facilitate this process. An export management company (EMC) is an independent company that performs the duties that a firm's own export department would execute. The EMC handles the necessary documentation, finds buyers for the export, and takes title of the goods for direct export. In return, the EMC charges a fee or commission for its services. Because an EMC performs all the functions that a firm's export department would, the firm doesn't have to develop these internal capabilities. Most of all, exporting gives a company quick access to new markets.

BENEFITS OF EXPORTING: VITRAC

Egyptian company Vitrac was founded by Mounir Fakhry Abdel Nour to take advantage of Egypt's surplus fruit products. At its inception, Vitrac sourced local fruit, made it into jam, and exported it worldwide. Vitrac has acquired money, market, and manufacturing advantages from exporting.

- *Market:* The company has access to a new market, which has brought added revenues.
- *Money:* Not only has Vitrac earned more revenue, but it has also gained access to foreign currency, which benefits companies located in certain regions of the world, such as in Vitrac's home country of Egypt.
- *Manufacturing:* The cost to manufacture a given unit decreased because Vitrac has been able to manufacture at higher volumes and buy source materials in higher volumes, thus benefitting from volume discounts.

Risks of Exporting

There are risks in relying on the export option. If you merely export to a country, the distributor or buyer might switch to or at least threaten to switch to a cheaper supplier in order to get a better price. Or someone might start making the product locally and take the market from you. Also, local buyers sometimes believe that a company which only exports to them isn't very committed to providing long-term service and support once a sale is complete. Thus, they may prefer to buy from someone who's producing directly within the country. At this point, many companies begin to reconsider having a local presence, which moves them toward one of the other entry options.

Ethics in Action

Particular products, especially foods and drugs, are often subject to local laws regarding safety, purity, packaging, labeling, and so on. Companies that want to make a product that can be sold in multiple countries must comply with the highest common

denominator of all the laws of all the target markets. Complying with the highest standard could increase the overall cost of the product. As a result, some companies opt to stay out of markets where compliance with the regulation would be more costly. Is it ethical to be selling a product in one country that another country deems substandard?

SPECIALIZED ENTRY MODES: CONTRACTUAL

Exporting is a easy way to enter an international market. In addition to exporting, companies can choose to pursue more specialized modes of entry—namely, contractual modes or investment modes. Contractual modes involve the use of contracts rather than investment. Let's look at the two main contractual entry modes, licensing and franchising.

LICENSING

Licensing is defined as the granting of permission by the licensor to the licensee to use intellectual property rights, such as trademarks, patents, brand names, or technology, under defined conditions. The possibility of licensing makes for a flatter world, because it creates a legal vehicle for taking a product or service delivered in one country and providing a nearly identical version of that product or service in another country. Under a licensing agreement, the multinational firm grants rights on its intangible property to a foreign company for a specified period of time. The licensor is normally paid a royalty on each unit produced and sold. Although the multinational firm usually has no ownership interests, it often provides ongoing support and advice. Most companies consider this market-entry option of licensing to be a low-risk option because there's typically no up-front investment.

For a multinational firm, the advantage of licensing is that the company's products will be manufactured and made available for sale in the foreign country (or countries) where the product or service is licensed. The multinational firm doesn't have to expend its own resources to manufacture, market, or distribute the goods. This low cost, of course, is coupled with lower potential returns, because the revenues are shared between the parties.

FRANCHISING

Similar to a licensing agreement, under a franchising agreement, the multinational firm grants rights on its intangible property, like technology or a brand name, to a foreign company for a specified period of time and receives a royalty in return. The difference is that the franchiser provides a bundle of services and products to the franchisee.

For example, McDonald's expands overseas through franchises. Each franchise pays McDonald's a franchisee fee and a percentage of its sales and is required to purchase certain products from the franchiser. In return, the franchisee gets access to all of McDonald's products, systems, services, and management expertise.

SPECIALIZED ENTRY MODES: INVESTMENT

Beyond contractual relationships, firms can also enter a foreign market through one of two investment strategies: a joint venture or a wholly owned subsidiary.

JOINT VENTURES

An equity joint venture is a contractual, strategic partnership between two or more separate business entities to pursue a business opportunity together. The partners in an equity joint venture each contribute capital and resources in exchange for an equity stake and share in any resulting profits. (In a nonentity joint venture, there is no contribution of capital to form a new entity.)

To see how an equity joint venture works, let's return to the example of Egyptian company, Vitrac. Mounir Fakhry Abdel Nour founded his jam company to take advantage of Egypt's surplus fruit products. Abdel Nour initially approached the French jam company, Vitrac, to enter into a joint venture with his newly founded company, VitracEgypt. Abdel Nour supplied the fruit and the markets, while his French partner supplied the technology and know-how for producing jams.

In addition to exporting to Australia, the United States, and the Middle East, Vitrac began exporting to Japan. Sales results from Japan indicated a high demand for blueberry jam.

To meet this demand—in an interesting twist, given Vitrac's origin—Vitrac had to import blueberries from Canada. Vitrac thus was importing blueberries from Canada, manufacturing the jam in Egypt, and exporting it to Japan.

Using French Vitrac's manufacturing know-how, Abdel Nour had found a new supply and the opportunity to enter new markets with it, thus expanding his partner's reach. The partnership fit was good. The two companies' joint venture continued for three years, until the French company sold its shares to Abdel Nour, making Vitrac a 100 percent owned and operated Egyptian company. Abdel Nour's company reached \$22 million in sales and was the Egyptian jam-market leader before being bought by a larger Swiss company, Hero.

RISKS OF JOINT VENTURES

Equity joint ventures pose both opportunities and challenges for the companies involved. First and foremost is the challenge of finding the right partner—not just in terms of business focus but also in terms of compatible cultural perspectives and management practices.

Second, the local partner may gain the know-how to produce its own competitive product or service to rival the multinational firm. This is what's currently happening in China. To manufacture cars in China, non-Chinese companies must set up joint ventures with Chinese automakers and share technology with them. Once the contract ends, however, the local company may take the knowledge it gained from the joint venture to compete with its former partner. For example, Shanghai Automotive Industry (Group)

Corporation, which worked with General Motors (GM) to build Chevrolets, has pursued plans to increase sales of its own vehicles tenfold to 300,000 in five years and to compete directly with its former partner.

WHOLLY OWNED SUBSIDIARIES

Firms may want to have a direct operating presence in the foreign country, completely under their control. To achieve this, the company can establish a new, wholly owned subsidiary (*i.e.*, a greenfield venture) from scratch, or it can purchase an existing company in that country. Some companies purchase their resellers or early partners (as VitracEgypt did when it bought out the shares that its partner, Vitrac, owned in the equity joint venture). Other companies may purchase a local supplier for direct control of the supply. This is known as vertical integration.

Establishing or purchasing a wholly owned subsidiary requires the highest commitment on the part of the international firm, because the firm must assume all of the risk—financial, currency, economic, and political.

CAUTIONS WHEN PURCHASING AN EXISTING FOREIGN ENTERPRISE

As we've seen, some companies opt to purchase an existing company in the foreign country outright as a way to get into a foreign market quickly. When making an acquisition, due diligence is important—not only on the financial side but also on the side of the country's culture and business practices. The annual disposable income in Russia, for example, exceeds that of all the other BRIC countries (*i.e.*, Brazil, India, and China).

For many major companies, Russia is too big and too rich to ignore as a market. However, Russia also has a reputation for corruption and red tape that even its highest-ranking officials admit. In a *BusinessWeek* article, presidential economic advisor Arkady Dvorkovich (whose office in the Kremlin was once occupied by Soviet leader Leonid Brezhnev), for example, advises, "Investors should choose wisely" which regions of Russia they locate their business in, warning that some areas are more corrupt than others. Corruption makes the world less flat precisely because it undermines the viability of legal vehicles, such as licensing, which otherwise lead to a flatter world.

The culture of corruption is even embedded into some Russian company structures. In the 1990s, laws inadvertently encouraged Russian firms to establish legal headquarters in offshore tax havens, like Cyprus. A tax haven is a country that has very advantageous (low) corporate income taxes.

BUILDING LONG-TERM RELATIONSHIPS

Developing a good relationship with regulators in target countries helps with the long-term entry strategy. Building these relationships may include keeping people in the countries long enough to form good ties, since a deal negotiated with one person may fall apart if that person returns too quickly to headquarters.

MAKE THE EXPORT SALE: EXPORT PRICING STRATEGY

Pricing your product properly, giving complete and accurate quotations, choosing the terms of the sale, and selecting the payment method are four critical elements in making a profit on your export sales. Of the four, pricing can be the most challenging due to different market forces and pricing structures around the world. What determines a successful export pricing strategy? The key elements include assessing your company's foreign market objectives, product-related costs, market demand, and competition. Other factors to consider are transportation, taxes and duties, sales commissions, insurance, and financing. Watch Export Pricing and Quotations, the fourth of five videos in the Make the Export Sale set.

FOREIGN MARKET OBJECTIVES

An important aspect of your company's pricing analysis is the determination of market objectives. For example, is your company attempting to penetrate a new market, seeking long-term market growth, or looking for an outlet for surplus production or outmoded products? Marketing and pricing objectives may be generalized or tailored to particular foreign markets. For example, marketing objectives for sales to a developing nation, where per capita income may be one-tenth of that in the United States, necessarily differ from marketing objectives for sales to Europe or Japan.

COSTS

The actual cost of producing a product and bringing it to market is key to determining if exporting is financially viable.

- Cost-plus method is when the exporter starts with the domestic manufacturing cost and adds administration, research and development, overhead, freight forwarding, distributor margins, customs charges, and profit. However, the effect of this pricing approach may be that the export price escalates into an uncompetitive range once exporting costs have been included.
- Marginal cost pricing is a more competitive method of pricing a product for market entry. This method considers the direct out-of-pocket expenses of producing and selling products for export as a floor beneath which prices cannot be set without incurring a loss. For example, additional costs may occur because of product modification for the export market. Costs may decrease, however, if the export products are stripped-down versions or made without increasing the fixed costs of domestic production.
- Other costs should be assessed for domestic and export products according to how much benefit each product receives from such expenditures, and may include:
 - Fees for market research and credit checks
 - Business travel expenses

- International postage and telephone rates
- Translation costs
- Commissions, training charges, and other costs associated with foreign representatives
- Consultant and freight forwarder fees
- Product modification and special packaging costs.

After the actual cost of the export product has been calculated, you should formulate an approximate consumer price for the foreign market.

MARKET DEMAND

For most consumer goods, per capita income is a good gauge of a market's ability to pay. Some products (example, popular U.S. fashion labels) create such a strong demand that even low per capita income will not affect their selling price. Simplifying the product to reduce its selling price may be an answer for your company in markets with low per capita income. Your company must also keep in mind that currency fluctuations may alter the affordability of its goods.

COMPETITION

In the domestic market, U.S. companies carefully evaluate their competitors' pricing policies. You will also need to evaluate competitor's prices in each potential export market. If there are many competitors within the foreign market, you may have to match the market price or even underprice the product or service for the sake of establishing a market share. If the product or service is new to a particular foreign market, however, it may actually be possible to set a higher price than is feasible in the domestic market.

Foreign Trade Policy

Foreign trade is nothing but trade between the different countries of the world. It is also called as International trade, External trade or Inter-Regional trade. It consists of imports, exports and entrepot. The inflow of goods in a country is called import trade whereas outflow of goods from a country is called export trade. Many times goods are imported for the purpose of re-export after some processing operations. This is called entrepot trade. Foreign trade basically takes place for mutual satisfaction of wants and utilities of resources.



TYPES OF FOREIGN TRADE

Foreign Trade can be divided into following three groups:

- **Import Trade:** Import trade refers to purchase of goods by one country from another country or inflow of goods and services from foreign country to home

country.

- *Export Trade:* Export trade refers to the sale of goods by one country to another country or outflow of goods from home country to foreign country.
- *Entrepot Trade:* Entrepot trade is also known as Re-export. It refers to purchase of goods from one country and then selling them to another country after some processing operations.

NEED AND IMPORTANCE OF FOREIGN TRADE

Following points explain the need and importance of foreign trade to a nation:

- *Division of labour and specialization:* Foreign trade leads to division of labour and specialisation at the world level. Some countries have abundant natural resources. They should export raw materials and import finished goods from countries which are advanced in skilled manpower. This gives benefits to all the countries and thereby leading to division of labour and specialisation.
- *Optimum allocation and utilisation of resources:* Due to specialisation, unproductive lines can be eliminated and wastage of resources avoided. In other words, resources are channelised for the production of only those goods which would give highest returns. Thus there is rational allocation and utilization of resources at the international level due to foreign trade.
- *Equality of prices:* Prices can be stabilised by foreign trade. It helps to keep the demand and supply position stable, which in turn stabilises the prices, making allowances for transport and other marketing expenses.
- *Availability of multiple choices:* Foreign trade helps in providing a better choice to the consumers. It helps in making available new varieties to consumers all over the world.
- *Ensures quality and standard goods:* Foreign trade is highly competitive. To maintain and increase the demand for goods, the exporting countries have to keep up the quality of goods. Thus quality and standardised goods are produced.
- *Raises standard of living of the people:* Imports can facilitate standard of living of the people. This is because people can have a choice of new and better varieties of goods and services. By consuming new and better varieties of goods, people can improve their standard of living.
- *Generate employment opportunities:* Foreign trade helps in generating employment opportunities, by increasing the mobility of labour and resources. It generates direct employment in import sector and indirect employment in other sector of the economy. Such as Industry, Service Sector (insurance, banking, transport, communication), etc.
- *Facilitate economic development:* Imports facilitate economic development of a nation. This is because with the import of capital goods and technology, a country can generate growth in all sectors of the economy, *i.e.*, agriculture, industry and service sector.

- *Assistance during natural calamities:* During natural calamities such as earthquakes, floods, famines, etc., the affected countries face the problem of shortage of essential goods. Foreign trade enables a country to import food grains and medicines from other countries to help the affected people.
- *Maintains balance of payment position:* Every country has to maintain its balance of payment position. Since, every country has to import, which results in outflow of foreign exchange, it also deals in export for the inflow of foreign exchange.
- *Brings reputation and helps earn goodwill:* A country which is involved in exports earns goodwill in the international market. For e.g., Japan has earned a lot of goodwill in foreign markets due to its exports of quality electronic goods.
- *Promotes World Peace:* Foreign trade brings countries closer. It facilitates transfer of technology and other assistance from developed countries to developing countries. It brings different countries closer due to economic relations arising out of trade agreements. Thus, foreign trade creates a friendly atmosphere for avoiding wars and conflicts. It promotes world peace as such countries try to maintain friendly relations among themselves.

THE MEANING AND DEFINITION OF FOREIGN TRADE OR INTERNATIONAL TRADE

Foreign trade is exchange of capital, goods, and services across international borders or territories. In most countries, it represents a significant share of gross domestic product (GDP). While international trade has been present throughout much of history, its economic, social, and political importance has been on the rise in recent centuries.

All countries need goods and services to satisfy wants of their people. Production of goods and services requires resources. Every country has only limited resources. No country can produce all the goods and services that it requires. It has to buy from other countries what it cannot produce or can produce less than its requirements. Similarly, it sells to other countries the goods which it has in surplus quantities. India too, buys from and sells to other countries various types of goods and services.

Generally no country is self-sufficient. It has to depend upon other countries for importing the goods which are either non-available with it or are available in insufficient quantities. Similarly, it can export goods, which are in excess quantity with it and are in high demand outside.

International trade means trade between the two or more countries. International trade involves different currencies of different countries and is regulated by laws, rules and regulations of the concerned countries. Thus, International trade is more complex.

According to Wasserman and Haltman, "International trade consists of transaction between residents of different countries".

According to Anatol Marad, "International trade is a trade between nations".

According to Eugeworth, “International trade means trade between nations”.

Industrialization, advanced transportation, globalization, multinational corporations, and outsourcing are all having a major impact on the international trade system. Increasing international trade is crucial to the continuance of globalization. Without international trade, nations would be limited to the goods and services produced within their own borders.

International trade is in principle not different from domestic trade as the motivation and the behaviour of parties involved in a trade do not change fundamentally regardless of whether trade is across a border or not. The main difference is that international trade is typically more costly than domestic trade.

The reason is that a border typically imposes additional costs such as tariffs, time costs due to border delays and costs associated with country differences such as language, the legal system or culture.

International trade consists of ‘export trade’ and ‘import trade’. Export involves sale of goods and services to other countries. Import consists of purchases from other countries.

International or Foreign trade is recognized as the most significant determinants of economic development of a country, all over the world. The foreign trade of a country consists of inward (import) and outward (export) movement of goods and services, which results into outflow and inflow of foreign exchange. Thus it is also called EXIM Trade.

For providing, regulating and creating necessary environment for its orderly growth, several Acts have been put in place. The foreign trade of India is governed by the Foreign Trade (Development & Regulation) Act, 1992 and the rules and orders issued there under. Payments for import and export transactions are governed by Foreign Exchange Management Act, 1999. Customs Act, 1962 governs the physical movement of goods and services through various modes of transportation.

To make India a quality producer and exporter of goods and services, apart from projecting such image, an important Act – Exports (Quality control & inspection) Act, 1963 has been in vogue. Developmental pace of foreign trade is dependent on the Export-Import Policy adopted by the country too. Even the EXIM Policy 2002-2007 lays its stress to simplify procedures, sharply, to further reduce transaction costs.

INTERNATIONAL TRADE

International trade is the exchange of capital, goods, and services across international borders or territories. It is the exchange of goods and services among nations of the world. In most countries, such trade represents a significant share of gross domestic product (GDP). While international trade has existed throughout history (for example Uttarapatha, Silk Road, Amber Road, scramble for Africa, Atlantic slave trade, salt roads), its economic, social, and political importance has been on the rise in recent centuries.

CHARACTERISTIC OF GLOBAL TRADE

Trading globally gives consumers and countries the opportunity to be exposed to new markets and products. Almost every kind of product can be found in the international market: food, clothes, spare parts, oil, jewelry, wine, stocks, currencies, and water. Services are also traded: tourism, banking, consulting, and transportation. A product that is sold to the global market is an export, and a product that is bought from the global market is an import. Imports and exports are accounted for in a country's current account in the balance of payments.

Industrialization, advanced technology, including transportation, globalization, multinational corporations, and outsourcing are all having a major impact on the international trade system. Increasing international trade is crucial to the continuance of globalization. Nations would be limited to the goods and services produced within their own borders without international trade. International trade is, in principle, not different from domestic trade as the motivation and the behaviour of parties involved in a trade do not change fundamentally regardless of whether trade is across a border or not. The main difference is that international trade is typically more costly than domestic trade. This is due to the fact that a border typically imposes additional costs such as tariffs, time costs due to border delays, and costs associated with country differences such as language, the legal system, or culture.

Another difference between domestic and international trade is that factors of production such as capital and labour are typically more mobile within a country than across countries. Thus, international trade is mostly restricted to trade in goods and services, and only to a lesser extent to trade in capital, labour, or other factors of production. Trade in goods and services can serve as a substitute for trade in factors of production. Instead of importing a factor of production, a country can import goods that make intensive use of that factor of production and thus embody it. An example of this is the import of labour-intensive goods by the United States from China. Instead of importing Chinese labour, the United States imports goods that were produced with Chinese labour. One report in 2010 suggested that international trade was increased when a country hosted a network of immigrants, but the trade effect was weakened when the immigrants became assimilated into their new country.

International trade is also a branch of economics, which, together with international finance, forms the larger branch called international economics.

INTERNATIONAL TRADE THEORY

International trade theory is a sub-field of economics which analyzes the patterns of international trade, its origins, and its welfare implications.

ADAM SMITH'S MODEL

Adam Smith describes trade taking place as a result of countries having absolute advantage in production of particular goods, relative to each other.

RICARDIAN MODEL

The Ricardian theory of comparative advantage became a basic constituent of neoclassical trade theory. Any undergraduate course in trade theory includes a presentation of Ricardo's example of a two-commodity, two-country model.

The Ricardian model focuses on comparative advantage, which arises due to differences in technology or natural resources. The Ricardian model does not directly consider factor endowments, such as the relative amounts of labour and capital within a country.

The Ricardian model is based on the following assumptions:

- Labour is the only primary input to production.
- The relative ratios of labour at which the production of one good can be traded off for another differ between countries.

HECKSCHER-OHLIN MODEL

In the early 1900s, a theory of international trade was developed by two Swedish economists, Eli Heckscher and Bertil Ohlin. This theory has subsequently become known as the Heckscher-Ohlin model (H-O model). The results of the H-O model are that the pattern of international trade is determined by differences in factor endowments. It predicts that countries will export those goods that make intensive use of locally abundant factors and will import goods that make intensive use of factors that are locally scarce.

The H-O model makes the following core assumptions:

- Labour and capital flow freely between sectors
- The amount of labour and capital in two countries differ (difference in endowments)
- Technology is the same among countries (a long-term assumption)
- Tastes are the same

Applicability

In 1953, Wassily Leontief published a study in which he tested the validity of the Heckscher-Ohlin theory. The study showed that the United States was more abundant in capital compared to other countries, therefore the United States would export capital-intensive goods and import labour-intensive goods. Leontief found out that the United States' exports were less capital intensive than its imports. The result became known as Leontief's paradox.

After the appearance of Leontief's paradox, many researchers tried to save the Heckscher-Ohlin theory, either by new methods of measurement, or by new interpretations.

SPECIFIC FACTORS MODEL

In the specific factors model, labour mobility among industries is possible while capital is assumed to be immobile in the short run. Thus, this model can be interpreted

as a short-run version of the Heckscher-Ohlin model. The “specific factors” name refers to the assumption that in the short run, specific factors of production such as physical capital are not easily transferable between industries. The theory suggests that if there is an increase in the price of a good, the owners of the factor of production specific to that good will profit in real terms.

NEW TRADE THEORY

New trade theory tries to explain empirical elements of trade that comparative advantage-based models above have difficulty with. These include the fact that most trade is between countries with similar factor endowment and productivity levels, and the large amount of multinational production (*i.e.*, foreign direct investment) that exists. New trade theories are often based on assumptions such as monopolistic competition and increasing returns to scale. One result of these theories is the home-market effect, which asserts that, if an industry tends to cluster in one location because of returns to scale and if that industry faces high transportation costs, the industry will be located in the country with most of its demand, in order to minimize cost.

GRAVITY MODEL

The Gravity model of trade presents a more empirical analysis of trading patterns. The gravity model, in its basic form, predicts trade based on the distance between countries and the interaction of the countries’ economic sizes. The model mimics the Newtonian law of gravity which also considers distance and physical size between two objects. The model has been shown to have significant empirical validity.

RICARDIAN THEORY OF INTERNATIONAL TRADE (MODERN DEVELOPMENT)

The Ricardian trade theory was now constructed on many-country many-product basis in a form to include intermediate input trade for the most general case of many countries and many goods. Capital goods (comprising fixed capital) are treated as goods which is produced and input in the production.

Many Countries, Many Goods

There were three waves of expansions and generalizations:

- *First phase:* Major general results were obtained by McKenzie and Jones. McKenzie was more interested in the patterns of trade specialisations (including incomplete specializations), whereas Jones was more interested in the patterns of complete specialization, in which the prices moves freely within a certain limited range. The formula he found is often cited as Jones inequality or Jones’ criterion.
- *Second phase:* Ricardo’s idea was even expanded to the case of continuum of goods by Dornbusch, Fischer, and Samuelson. This model is restricted to two

country case. It is employed for example by Matsuyama and others. These theories use a special property that is applicable only for the two-country case. They normally assume fixed expenditure coefficients.

- *Third phase:* Shiozawa succeeded to construct a Ricardian theory with many-country, many-commodity model which permits choice of production techniques and trade of input goods. All countries have their own set of production techniques. Major difference with H-O model that this Ricardian model assumes different technologies. Wages determined in this model are different according to the productivity of countries. The model is therefore more suitable than H-O models in analyzing relations between developing and developed countries.

Traded Intermediate Goods

Ricardian trade theory ordinarily assumes that the labour is the unique input. This has been thought to be a significant deficiency for Ricardian trade theory since intermediate goods comprise a major part of world international trade. This deficiency is now wiped out by the new construction of the Ricardian trade theory.

McKenzie and Jones emphasized the necessity to expand the Ricardian theory to the cases of traded inputs.

McKenzie (1954, p. 179) pointed that “A moment’s consideration will convince one that Lancashire would be unlikely to produce cotton cloth if the cotton had to be grown in England.” Paul Samuelson coined a term *Sraffa bonus* to name the gains from trade of inputs.

John S. Chipman observed in his survey that McKenzie stumbled upon the questions of intermediate products and postulated that “introduction of trade in intermediate product necessitates a fundamental alteration in classical analysis”. It took many years until Shiozawa succeeded in removing this deficiency.

Based on an idea of Takahiro Fujimoto, who is a specialist in automobile industry and a philosopher of the international competitiveness, Fujimoto and Shiozawa developed a discussion in which how the factories of the same multi-national firms compete between them across borders. International *intra-firm competition* reflects a really new aspect of international competition in the age of so-called *global competition*.

INTERNATIONAL TRADE LAW

International trade law includes the appropriate rules and customs for handling trade between countries. However, it is also used in legal writings as trade between private sectors, which is not right. This branch of law is now an independent field of study as most governments have become part of the world trade, as members of the World Trade Organization (WTO). Since the transaction between private sectors of different countries is an important part of the WTO activities, this latter branch of law is now a very important part of the academic works and is under study in many universities across the world.

OVERVIEW

International trade law should be distinguished from the broader field of international economic law. The latter could be said to encompass not only WTO law, but also law governing the international monetary system and currency regulation, as well as the law of international development.

The body of rules for transnational trade in the 21st century derives from medieval commercial laws called the *lex mercatoria* and *lex maritima* — respectively, “the law for merchants on land” and “the law for merchants on sea.” Modern trade law (extending beyond bilateral treaties) began shortly after the Second World War, with the negotiation of a multilateral treaty to deal with trade in goods: the General Agreement on Tariffs and Trade (GATT).

International trade law is based on theories of economic liberalism developed in Europe and later the United States from the 18th century onwards.

International Trade Law is an aggregate of legal rules of “international legislation” and new *lex mercatoria*, regulating relations in international trade. “International legislation” – international treaties and acts of international intergovernmental organizations regulating relations in international trade. *lex mercatoria* - “the law for merchants on land”. Alok Narayan defines “*lex mercatoria*” as “any law relating to businesses” which was criticised by Professor Julius Stone. and *lex maritima* - “the law for merchants on sea. Alok in his recent article criticised this definition to be “too narrow” and “merely-creative”. Professor Dodd and Professor Malcolm Shaw of Leeds University supported this proposition.

WORLD TRADE ORGANIZATION

In 1995, the World Trade Organization, a formal international organization to regulate trade, was established. It is the most important development in the history of international trade law.

The purposes and structure of the organization is governed by the *Agreement Establishing The World Trade Organization*, also known as the “Marrakesh Agreement”. It does not specify the actual rules that govern international trade in specific areas. These are found in separate treaties, annexed to the Marrakesh Agreement.

Scope of WTO:

- Provide framework for administration and implementation of agreements;
- Forum for further negotiations;
- Trade policy review mechanism;and
- Promote greater coherence among members economics policies

Principles of the WTO:

- Principle of non-discrimination (most-favoured-nation treatment obligation and the national treatment obligation)
- Market access (reduction of tariff and non-tariff barriers to trade)
- Balancing trade liberalisation and other societal interests

- Harmonisation of national regulation (TRIPS agreement, TBT agreement, SPS agreement).

TRADE IN GOODS

The General Agreement on Tariffs and Trade (GATT) has been the backbone of international trade law since 1948 after the charter for international trade had been agreed upon in Havana. It contains rules relating to “unfair” trading practices — dumping and subsidies. Many things impacted GATT like the Uruguay Round and the North American Free Trade Agreement. In 1994 the World Trade Organization (WTO) was established to take the place of the GATT. This is because the GATT was meant to be a temporary fix to trade issues, and the founders hoped for something more concrete. It took many years for this to come about however, because of the lack of money. The British Economy was in crisis and there was not much backing from congress to pass the new agreement. The idea of these agreements (WTO and GATT) was to create an equal field for all countries in trade. This way all countries got something of equal value out of the trade. This was a difficult thing to do since every country has a different economy size. This led to the Trade Expansion act of 1962.

TRADE AND INTELLECTUAL PROPERTY

The World Trade Organization Trade Related Aspects of Intellectual Property Rights (TRIPS) agreement required signatory nations to raise intellectual property rights (also known as intellectual monopoly privileges). This arguably has had a negative impact on access to essential medicines in some nation like least developed countries which their economy is not capable of producing more technical products

CROSS-BORDER TRANSACTIONS

Cross-border operations are subject to taxation by more than one country. Commercial activity that occurs among several jurisdictions or countries is called a cross-border transaction. Those involved in any international business development or international trade should be knowledgeable in tax law, as every country enforces different laws on foreign businesses. International tax planning ensures that cross-border businesses stay tax compliant and avoid or lessen double taxation.

DISPUTE SETTLEMENT

Most prominent in the area of dispute settlement in international trade law is the WTO dispute settlement system. The WTO dispute settlement body is operational since 1995 and has been very active since then with 369 cases in the time between 1 January 1995 and 1 December 2007. Nearly a quarter of disputes reached an amicable solution, in other cases the parties to the dispute resorted to adjudication. The WTO dispute settlement body has exclusive and compulsory jurisdiction over disputes on WTO law (Article 23.1 Dispute Settlement Understanding).

MONOPOLISTIC COMPETITION IN INTERNATIONAL TRADE

Monopolistic competition models are used under the rubric of imperfect competition in International Economics. This model is a derivative of the monopolistic competition model that is part of basic economics. Here it is tailored to international trade.

SETTING UP THE MODEL

Monopolies are not often found in practice, the more usual market format is oligopoly: several firms, each of whom is big enough that a change in their price will affect the price of the other firms, but none with an unchallenged monopoly. When looking at oligopolies the problem of *interdependence* arises. Interdependence means that the firms will, when setting their prices, consider the effect this price will have on the actions of both consumers and competitors. For their part, the competitors will consider their expectations of the firm's response to any action they may take in return. Thus, there is a complex game with each side "trying to second guess each others' strategies." The Monopolistic Competition model is used because its simplicity allows the examination of one type of oligopoly while avoiding the issue of interdependence.

BENEFITS OF THE MODEL

The appeal of this model is not its closeness to the real world but its simplicity. What this model accomplishes most is that it shows us the benefits to trade presented by economies of scale.

ASSUMPTIONS OF THE MODEL

- Each firm is presumed to be able *differentiate its product* from that of its rivals. Cars are a good example here; they are very different, yet in direct competition with each other. This means there will be some customer loyalty, which allows for some flexibility for the firm to move to a higher price. In other words, not all of a firm's customers would leave for other products if the firm raised its prices.
- This model dismisses the issue of interdependence when a firm sets its price. The firm will act *as if it were a monopoly* regarding the price it sets, not considering the potential responses from its competitors. The justification is that there are numerous firms in the market, so each receives only scant attention from the others.

TRADE ADJUSTMENT ASSISTANCE

Trade Adjustment Assistance (TAA) is a federal programme of the United States government to act as a way to reduce the damaging impact of imports felt by certain sectors of the U.S. economy. The current structure features four components of Trade

Adjustment Assistance: for workers, firms, farmers, and communities. Each cabinet-level department was tasked with a different sector of the overall Trade Adjustment Assistance programme. The programme for workers is the largest, and administered by the U.S. Department of Labour. The programme for farmers is administered by the U.S. Department of Agriculture, and the firms and communities programmes are administered by the U.S. Department of Commerce.

HISTORY

Trade Adjustment Assistance consists of four programmes authorized under the Trade Expansion Act of 1962 and defined further under the Trade Act of 1974 (19 U.S.C. § 2341 et seq) (Trade Act). The original idea for a trade compensation programme goes back to 1939. Later, it was proposed by President John F. Kennedy as part of the total package to open up free trade. President Kennedy said: “When considerations of national policy make it desirable to avoid higher tariffs, those injured by that competition should not be required to bear the full brunt of the impact. Rather, the burden of economic adjustment should be borne in part by the Federal Government.”

JUSTIFICATION

For Workers

Supporters argue that free trade offers widespread benefits among consumers, workers and firms in the U.S. in terms of lower prices, higher efficiency and quality, and more jobs. They claim that gains from negotiated trade deals are large and widely distributed across sectors. For example, in 2011 there were 9.7 million jobs supported by exports, nearly 15% more than in 2010. Benefits from free trade agreements (FTA) with Chile, Singapore, Australia, Morocco, and South Korea for the U.S. economy are estimated in \$4 billion, \$17 billion, \$19 billion, \$6 billion and \$30 billion, respectively.

In order to achieve trade benefits, however, the U.S. economy must reallocate production factors between sectors. Thus, free trade also leads to costs associated with workers displaced by import competition and offshore outsourcing. According to the Department of Labour (DOL), displaced workers are defined as “persons 20 years of age and older who lost or left jobs because their plant or company closed or moved, there was insufficient work for them to do, or their position or shift was abolished”. The International Labour Organization (ILO) states that workers bore high adjustment costs such as unemployment, lower wage during transition, obsolescence of skills, training costs, and personal costs (*e.g.*, mental suffering). These trade costs, albeit relatively smaller than the benefits, are highly concentrated by region, industry and worker demographics. For instance, some occupations, like teacher, have not experienced import competition while for shoe manufacturing occupations import competition has increased by 40 percentage points. In general, manufacturing workers are most affected by import competition compare to workers in other sectors. Furthermore, while gains

from trade require a long time to take full effect, costs are felt rapidly, particularly in less competitive sectors.

There is a strong correlation between import penetration and unemployment. Ebenstein et al. (2009) find that a 1 percentage point increase in import penetration leads to a 0.6 percentage point decrease in manufacturing employment in the U.S. resulting in a reduction of manufacturing jobs of almost 5%. According to a report by the Progressive Policy Institute, between 2007 and 2011, 1.3 million direct and indirect jobs were lost to increasing imports of goods and services. Similarly, Kletzer (2005) estimations suggest that industries facing high import competition account for 40% of manufacturing job losses. The Economic Policy Institute (EPI) estimates that by 2015 the overall U.S. trade deficit will correspond to the loss of additional 214,000 jobs.

Although trade-dislocated workers are not significantly different from workers displaced by other reasons, they present some slight differences. They tend to be older, less educated, more tenured and production-oriented, have higher earnings on the lost job and fewer transferable skills, and the prevalence on women is higher than for other displaced workers. These characteristics are associated with limited labour mobility and reemployment difficulties, especially for workers with obsolete skills who do not receive additional training, no matter the reason of displacement. Furthermore, asymmetric information in absence of good job-search skills and geographic mismatch lead to prolonged unemployment. Hence, trade-displaced workers face longer periods to find a new job and have low reemployment rates (63% during the last two decades according to Kletzer, 2005). Reemployment is particularly challenging for older workers. The DOL (2012) reports that in 2012 reemployment rates for workers ages 55 to 64 and 65 years and over were 47 and 24% respectively while the rate for those ages 20 to 54 was about 62%.

Once dislocated workers obtain a new job, they suffer significant wage reductions. About two thirds of dislocated workers have lower wages in the new job and one quarter of displaced workers from manufacturing who find a new full-time job suffer earning losses of 30% or more. The reason is that many workers find jobs in services sector where salaries are lower. Ebenstein et al. (2009) find that displaced workers from manufacturing who find a job in the services sector suffer a wage decline of between 6 and 22%. They conclude that a 1 percentage point increase in occupation-specific import competition is associated with a 0.25 percentage point decline in real wages.

Import competition impacts negatively not only dislocated workers but also their families and communities. Displaced workers fall behind in their mortgage payments and in providing health care to their families. Families must spend down assets to smooth consumption. There is evidence that displaced workers are in worse health after losing a job. According to a Report by the Corporation for Enterprise Development (CFED), more than 46% of the jobless lack health insurance and 31% of workers without insurance do not see a doctor although sick. If the worker is able to be relocated in other job in other region the whole family is displaced and children are uprooted from their

schools, increasing domestic tensions. The phenomenon of displaced workers has a broader impact because it also affects aggregate demand for goods and services and tax collections.

In brief, trade leads to an unequal redistribution of costs and benefits. The adjustment process impacts not only displaced workers but also the whole society and economy. Furthermore, labour reallocation from inefficient to competitive sectors aimed at realizing the benefits of trade can be impeded by several obstacles described above, prolonging the transition period and increasing the adjustment costs. In this framework, several scholars and policy-makers have argued that trade-related adjustment costs merit a policy response. The TAA has persisted for more than five decades showing ample political support. Having an assistance programme targeted exclusively at trade-displaced workers enjoyed wide political support among Congressional representatives in the past because the programme served to decrease political resistance to and workers' lobbying efforts against FTAs. As a 2012 Report by the Joint Economic Committee states: "TAA needs to remain an integral part of trade policy because it compensates those harmed by import competition without sacrificing the larger demonstrable benefits of trade."

SPECIFIC PROGRAMMES

Trade Adjustment Assistance for Workers

The Department of Labour Employment and Training Administration programme, Trade Adjustment Assistance for Workers, provides a variety of reemployment services including training and job-searching assistance and benefits to displaced workers who have lost their jobs or suffered a reduction of hours and wages as a result of increased imports or shifts in production outside the United States. The TAA programme aims to help programme participants obtain new jobs faster, ensuring they retain employment and earn wages comparable to their prior employment. Among the main benefits are: trade readjustment allowances (TRA) in addition to regular unemployment insurance (UI) up to 117 weeks of cash payments for all workers concurrently enrolled only in full-time training (workers must be enrolled in training 8 weeks after certification or 16 weeks after layoff, whichever is later, to receive TRA), and Reemployment Trade Adjustment Assistance (RTAA) or supplementary wages for workers age 50 and over, and earning less than \$50,000 per year in reemployment. It provides a wage supplement equal to 50% of the difference between a worker's reemployment wage and wage at the worker's certified job with a maximum benefit of \$10,000 over a period of up to two years (workers must be reemployed within 26 weeks). The TAA used to include a Health Coverage Tax Credit Programme which will definitively expire at the end of 2013 and other tax credits related to health coverage will become available (*e.g.*, Patient Protection and Affordable Care Act). The programme promotes retraining since workers receive the TRAs only if they participate in a full-time TAA training (or are under a waiver).

The programme is administered by the Department of Labour (DOL) in cooperation with the 50 states, the District of Columbia and Puerto Rico.

The Secretary of Labour was authorized to implement Trade Readjustment Assistance (TRA) and relocation allowances through cooperating state agencies. TRA are income support payments that were, at that time, paid in addition to an individual's regular unemployment compensation. The original programme had no training or reemployment component. The programme was rarely used until 1974, when it was expanded as part of the Trade Act of 1974.

The Trade Act of 1974 established the training component of the programme. In 1981, the programme was sharply curtailed by the Congress at the request of the Reagan Administration. In 2002, the Trade Adjustment Assistance Reform Act (TAARA) expanded the programme and it was combined with the trade adjustment programme provided under the North American Free Trade Agreement (NAFTA).

The TAA has recently suffered several amendments. In 2009, the TAA programme was expanded by the Trade and Globalization Adjustment Assistance Act (TGAAA) of 2009, which was part of the American Recovery and Reinvestment Act. These benefits were extended through February 2011 by the Omnibus Trade Act of 2010. After that, the programme reverted to the pre-expansion provisions under the TAARA of 2002. In October 2011, the Trade Adjustment Assistance Extension Act (TAAEA) of 2011 was signed into law, reinstating most of the benefits included in the TGAAA of 2009. The TAA is authorized through December 31, 2014 but with some modifications. The TAA will operate under its current provisions through December 31, 2013. For the additional year until its expiration on December 31, 2014, the TAA is set to operate under the eligibility and benefit levels established by the TAARA of 2002.

Trade Adjustment Assistance for Firms

The Department of Commerce programme, Trade Adjustment Assistance for Firms, provides financial assistance to manufacturers and service firms affected by import competition. Sponsored by the Department of Commerce's Economic Development Administration (EDA), this cost-sharing federal assistance programme helps pay for projects that improve firms' competitiveness. EDA, through a national network of 11 Trade Adjustment Assistance Centers (TAACs), provides technical assistance on a cost-shared basis to U.S. manufacturing, production, and service firms in all 50 states, the District of Columbia, and Puerto Rico.

Trade Adjustment Assistance for Firms provides import impacted companies with professional guidance, business recovery plan development, and cost-sharing for outside consulting services. Eligibility is established along similar lines, with companies showing that there has been a recent decrease in sales and employment, in part due to customers shifting purchases away from the applicant and to imported goods. The American Recovery and Reinvestment Act (ARRA) of 2009 expanded eligibility to service firms as well as the traditional manufacturing companies that had been the sole focus of the

programme. This expansion for service firms and workers was scheduled to expire on December 31, 2010, and the programme would revert to the pre-ARRA structure without a vote to extend the authorization.

Trade Adjustment Assistance for Farmers

Trade Adjustment Assistance for Farmers, created in 2002 by wide-ranging trade legislation (P.L. 107-210, Sec. 141), authorizes the expenditure of up to \$90 million per year through FY2007. Under the programme, certain agricultural producers can each receive payments of up to \$10,000 per year if price declines for their commodity were at least partly caused by imports. To be eligible for such assistance, such producers must be members of certified groups and meet a number of criteria specified by the law. The programme is administered by the Department of Agriculture.

PROGRAMME ELIGIBILITY

For Workers

Workers must be directly impacted by imports or by a shift in production of their firm to any country with a free trade agreement with the United States or to beneficiary countries under the Andean Trade Preference, the African Growth and Opportunity, or by certain other shifts in production. Employees of upstream suppliers are eligible if the product supplied to the primary firm consists 20% of the production or sales of the secondary workers' firm, or their employer's loss of business with the primary firm contributed significantly to the secondary workers' separation from work.

Employees of downstream producers are eligible if they perform additional, value-added production processes for articles produced by primary firms, and the primary certification was based on an increase in imports or a shift in production to Canada or Mexico.

In order to receive the benefits displaced workers must fill a petition as a group to initiate the investigation to address the reasons of their layoff. Once the DOL finds that trade has contributed notably to the layoff, the group is certified but the individual worker must still apply for benefits at a local One-Stop Career Center.

Under the current law, as modified in 2009, workers in most service jobs (call center operators, for example) are eligible for trade adjustment assistance. In 2004, a group of computer experts displaced by overseas labour tried to apply for trade adjustment assistance but were rejected because computer software was not considered an "article" by the DOL.

After a series of scathing decisions by the United States Court of International Trade criticizing the DOL's approach, the DOL revised its policies in April 2006 to extend trade adjustment assistance to more workers producing digital products such as software code. Nevertheless, the programme under the TAARA of 2002 starting on January 1, 2014 does not include trade-displaced workers in services sectors.

For Farmers

Farmers and ranchers adversely impacted by trade will be eligible to participate in a new programme operated by the Department of Agriculture and are potentially eligible to receive training under TAA. They are not eligible for the Trade Readjustment Allowance.

PROGRAMME COST**For Workers**

There are several components of the overall cost of the programme. The principal spending of the programme is in reemployment services which are set to the annual funding levels of the Trade Act of 2002: \$220 million for state grants (plus administrative allotments equal to 15% of each state's grant). The TRA income support and RTAA wage insurance programme are uncapped entitlements. In FY 2011, the cost of TRA was \$234,126,500 and the cost of RTAA was \$43,227,212, based on the number of participants of each programme in this year (25,689 and 1,133 participants respectively).

PROGRAMME EFFECTIVENESS**For Workers**

The TAA for workers have demonstrated overall low effectiveness so far which is reflected in the controversy to reauthorize the programme before the 112th Congress.

First, the programme is not very effective providing support during the transition because a significant portion of workers does not receive TRA. In FY2011 there were over 196,000 TAA participants and only around 46,000 received TRA. One reason is that the training enrollment deadline of 8/16 weeks seriously limits the ability of workers to enroll in training programmes and receive the benefit. Moreover, even for those workers receiving TRA and UI, only a portion of the lost income is replaced. The programme provides health insurance coverage but in the past it has not been very effective since participation in TAA was associated with decreased coverage in the period following job loss.

The effectiveness of the programme in terms of fostering reemployment is very low too. Data on post-TAA outcomes for programme exiters based on DOL estimations shows that the entered employment rate was 66% in 2011. The Mathematica Policy Research and SPR report finds that the TAA is not effective in terms of increasing employability. There is positive effect on the reemployment rate for participants but it is not statistically different from that for non-participants.

The effectiveness of the programme in terms of mitigating earning losses in the new job is very low too as several studies report. Reynolds and Palatucci (2008) estimate that "participating in the TAA programme causes a wage loss approximately 10 percentage points greater than if the displaced worker had chosen not to participate in

the programme.” The report by Mathematica Policy Research and SPR states that TAA was estimated to have no effect on earnings and compared to a sample of UI claimants, TAA participants worked about the same number of weeks but had lower earnings.

Moreover, a 2007 GAO report shows that in FY 2006 only 5% or less of TAA participants received wage insurance. The programme is ineffective closing the earning gap because in order to be eligible for wage insurance workers must find a job within 26 weeks after being laid off, which proved to be a very short period. Additionally, the programme only replaces half of the losses. Finally, the implementation of this programme overlaps extensively with others such as Workforce Investment Act generating extra costs and duplicating administrative efforts. The process to allocate training funds is also problematic. States receive funds at the beginning of the fiscal year but it does not properly reflect the state’s demand for training services. In addition, states do not receive funds for case management and lack flexibility to use the funds for training. Thus, states face challenges in providing services to workers properly.

POLICY ALTERNATIVES

For Workers

Over last years, the TAA programme has been subject to diverse critics due to its flawed performance and extremely high cost. The TAA was only extended to the end of 2014 and the last reauthorization process before the 112th Congress exposed a lack of consensus about the programme. Several scholars from different institutions have proposed policy alternatives.

Integrated Adjustment Assistance Programme

The Financial Services Forum, through its 2008 white paper “Succeeding in the Global Economy: An Adjustment Assistance Programme for American Workers,” proposes to combine the UI and TAA programmes into a single integrated programme for all displaced workers who qualify for UI no matter the reason of displacement. The programme includes: wage insurance, portability of health insurance (under the current programme COBRA), and reemployment services such as assistance with geographic relocation and retraining. The wage insurance would cushion the cost of lower wages in the new job for workers age 45 and older. The programme replaces 50% of workers’ lost wages for up to two years, for up to \$10,000 per year, for workers that hold the previous job for at least two years. Regarding retraining, workers would be able to deduct from their gross income, for tax purposes, the full cost of education and training expenses, and there will be no limitations in terms of area of training.

The estimated annual cost of the programme is \$22 billion. The Financial Services Forum proposes to replace the current tax system with a flat 1.2% tax on all earnings at the state level, and a flat rate of 0.12% on all earnings at the federal level to pay for the programme.

Wage Insurance and Subsidies for Medical Insurance Programme

Scholars at the Brookings Institution and the Institute for International Economics proposed a twofold programme including a wage insurance and subsidy for medical insurance in addition to the UI programme for eligible workers. On the one hand, the programme covers workers displaced by any reason, not just trade, who suffer an earning loss after reemployment. Displaced workers defined as “workers displaced due to plant closing or relocation, elimination of position or shift, and insufficient work”.

It would replace a portion between 30% and 70% of the difference between earnings on the old and new job. In order to be eligible, workers must have been employed full-time at their previous job for at least two years, and suffered a wage decrease that can be documented. The insurance would be paid only after workers found a new job and they will receive it for up to two years from the original date of job loss. Annual payments would be capped at \$10,000 or \$20,000 per year. The payments would be administered through state UI.

In addition, the programme would also offer a health insurance subsidy for all full-time displaced workers, for up to 6 months, or until they found a new job (whichever is earlier). Workers would be limited to receiving the subsidy no more frequently than once during a certain period, probably 3 or 4 years, in order to prevent job churning.

Kletzer and Litan (2001) estimate that about 20% of displaced workers reemployed full-time would have had at least 2 years' tenure on their previous job and suffered a wage loss in the new one.

The programme would cost from \$2 to \$5 billion per year. This cost is estimated with a national unemployment rate between 4.2% and 4.9%. In 2012, the average national unemployment rate was 8.9%. Consequently, the projected cost would be higher if the programme would be implemented today.

TRADE BLOC

A trade bloc is a type of intergovernmental agreement, often part of a regional intergovernmental organization, where barriers to trade (tariffs and others) are reduced or eliminated among the participating states.

Description

Historic trading blocs include the Hanseatic League, a Northern European economic alliance between the 12th and 17th centuries, and the German Customs Union, formed on the basis of the German Confederation and subsequently the German Empire from 1871. Surges of trade bloc formation occurred in the 1960s and 1970s, as well as in the 1990s after the collapse of Communism. By 1997, more than 50% of all world commerce was conducted within regional trade blocs.

Economist Jeffrey J. Scott of the Peterson Institute for International Economics notes that members of successful trade blocs usually share four common traits: similar levels of per capita GNP, geographic proximity, similar or compatible trading regimes, and

political commitment to regional organization. Many advocates of global free trade are opposed to trading blocs. Trade blocs are seen by them to encourage regional free trade at the expense of global free trade. Those who advocate for it claim that global free trade is in the interest of every country, as it would create more opportunities to turn local resources into goods and services that are both currently in demand and will be in demand in the future by consumers. However, scholars and economists continue to debate whether regional trade blocs fragment the global economy or encourage the extension of the existing global multilateral trading system.

Trade blocs can be stand-alone agreements between several states (such as the North American Free Trade Agreement) or part of a regional organization (such as the European Union). Depending on the level of economic integration, trade blocs can be classified as preferential trading areas, free trade areas, customs unions, common markets, or economic and monetary unions.

ADVANTAGES AND DISADVANTAGES

Advantages

- *Increased foreign direct investment:* An increase in foreign direct investment may result from the creation of trade blocs. This can benefit the economies of participating nations by creating jobs in new or expanded businesses.
- *Economies of scale:* The larger markets created by trade blocs permit companies to take advantage of economies of scale. Since the average cost of each good produced tends to fall as production increases, this results in lower prices for consumers.
- *Competition:* Trade blocs force the manufacturers in participating countries to compete with each other. Increased competition creates pressures for greater efficiency within firms, which results in lower prices for consumers. Home producers have to work with greater efficiency to ensure survival of their goods against the low price imported goods since tariffs are removed. Overseas producers tend to increase their production of goods as they realize that the low price goods that they produce have a better chance of competing with home-produced goods in the market.
- *Trade Effects:* Trade blocs eliminate tariffs, which drives down the cost of imports. As a result, consumers can save money by buying imported goods when cheaper than locally produced ones—they can then spend those savings on other goods. Reducing the cost of imports also reduces the cost of locally produced goods that use imported parts or components.
- *Improved Market Efficiency:* Increased competition and the removal of tariffs, which may act as a price floor, drive down prices and allow for increased consumption. This reduces deadweight loss and hence improves market efficiency.

Disadvantages

- *Regionalism vs. Multinationalism:* Trading blocs inherently favour their participating countries. For example, among NAFTA partners, the United States, Canada and Mexico, trade has risen to more than 80 percent of Mexican and Canadian trade and more than a third of U.S. trade, according to a 2009 report by the Council on Foreign Relations. However, regional economies establish tariffs and quotas that protect intra-regional trade from outside forces, according to the University of California Atlas of Global Inequality. Rather than pursuing a global trading regime within the World Trade Organization, which includes the majority of the world's countries, regional trade bloc countries contribute to regionalism rather than global integration.
- *Loss of Sovereignty:* A trading bloc, particularly when it is coupled with a political goal, is likely to lead to at least partial loss of sovereignty for its participants. For example, the European Union, started as a trading bloc in 1957 by the Treaty of Rome, has transformed itself into a far-reaching political organization that deals not only with trade matters, but also with human rights, consumer protection, greenhouse gas emissions and other issues which are only marginally related.
- *Concessions:* No country wants to let foreign firms gain domestic market share at the expense of local companies without getting something in return. Any country that wants to join a trading bloc must be prepared to make concessions. For example, in trading blocs that involve developed and developing countries, such as bilateral agreements between the U.S. or the EU and relatively poor Asian, Latin American or African countries, the latter may have to allow multinational corporations to enter their home markets, hurting the business of some local firms.
- *Interdependence:* Because trading blocs increase trade among participating countries, those countries become increasingly dependent on each other. A disruption of trade within a trading bloc as a result of a natural disaster, conflict or revolution may have severe consequences for the economies of all participating countries.

TRADE FINANCE

Trade finance signifies financing for trade, and it concerns both domestic and international trade transactions. A trade transaction requires a seller of goods and services as well as a buyer. Various intermediaries such as banks and financial institutions can facilitate these transactions by financing the trade.

DESCRIPTION

While a seller (or exporter) can require the purchaser (an importer) to prepay for goods shipped, the purchaser (importer) may wish to reduce risk by requiring the seller

to document the goods that have been shipped. Banks may assist by providing various forms of support. For example, the importer's bank may provide a letter of credit to the exporter (or the exporter's bank) providing for payment upon presentation of certain documents, such as a bill of lading. The exporter's bank may make a loan (by advancing funds) to the exporter on the basis of the export contract.

Other forms of trade finance can include Documentary Collection, Trade Credit Insurance, Finetrading, Factoring or forfaiting. Some forms are specifically designed to supplement traditional financing.

Secure trade finance depends on verifiable and secure tracking of physical risks and events in the chain between exporter and importer. The advent of new information and communication technologies allows the development of risk mitigation models which have developed into advance finance models. This allows very low risk of advance payment given to the Exporter, while preserving the Importer's normal payment credit terms and without burdening the importer's balance sheet. As trade transactions become more flexible and increase in volume, demand for these technologies has grown.

PRODUCTS AND SERVICES

Banks and financial institutions offer the following products and services in their trade finance branches.

- *Letter of credit*: It is an undertaking/promise given by a Bank/Financial Institute on behalf of the Buyer/Importer to the Seller/Exporter, that, if the Seller/Exporter presents the complying documents to the Buyer's designated Bank/Financial Institute as specified by the Buyer/Importer in the Purchase Agreement then the Buyer's Bank/Financial Institute will make payment to the Seller/Exporter.
- *Bank guarantee*: It is an undertaking/promise given by a Bank on behalf of the Applicant and in favour of the Beneficiary. Whereas, the Bank has agreed and undertakes that, if the Applicant failed to fulfill his obligations either Financial or Performance as per the Agreement made between the Applicant and the Beneficiary, then the Guarantor Bank on behalf of the Applicant will make payment of the guarantee amount to the Beneficiary upon receipt of a demand or claim from the Beneficiary. Bank guarantee has various types like:
 - Tender Bond
 - Advance Payment
 - Performance Bond
 - Financial
 - Retention
 - Labour.
- Export
- Import
- *Collection and discounting of bills*: It is a major trade service offered by the Banks. The Seller's Bank collects the payment proceeds on behalf of the Seller,

from the Buyer or Buyer's Bank, for the goods sold by the Seller to the Buyer as per the agreement made between the Seller and the Buyer.

NEW DEVELOPMENTS

Trade finance is going through a revolution. New technologies and development are energizing traditional players, transforming their offerings and pulling trade into the 21st century. One of the main developments is the introduction of blockchain technology into the trade finance ecosystem. The promise of blockchain is that it has the ability to streamline the trade finance process.

In the past, trade finance has been provided primarily by financial institutions, unchanged for years, with many manual processes on old-legacy systems that are expensive and costly to update. Such structures are mostly managed manually or through antiquated systems, which are not scalable and result in higher operational costs for financial institutions.

Blockchain technology can provide enormous benefits to solve these technological challenges in trade finance. It can be used to provide the basic services that are essential in trade finance. At its core, blockchain relies on a decentralized, digitalized ledger model, which by its nature is more robust and secure than the proprietary, centralized models which are currently used in trade finance.

As a consequence, blockchain it can lead to radical simplification and cost reduction for large parts of transactions in trade finance, whilst making it more secure and reliable. It keeps an immutable record of all the transactions, back to the originating point of a transaction, also known as the provenance, which is essential in trade finance as it allows financial institutions to review all transaction steps and reduce the risk of fraud. One of the blockchain's advantages is the speeding up of transaction settlement time which currently takes days, increasing transparency between all parties, and unlocking capital that would otherwise be tied up waiting to be transferred between parties in the transaction.

METHODS OF PAYMENT

Popular methods of payment used in international trade include:

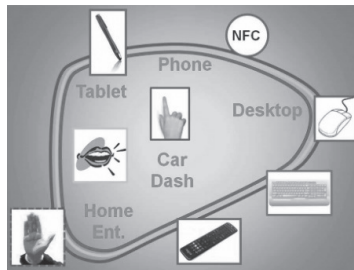
- Cash with order (CWO)-the buyers pay cash when he places an order.
- Cash on delivery (COD)-the buyer pays cash when the goods are delivered.
- Documentary credit(L/C)-a Letter of credit (L/C) is used; gives the seller two guarantees that the payment will be made by the buyer:one guarantee from the buyer's bank and another from the seller's bank.
- Bills for collection(B/E or D/C)-here a Bill of Exchange (B/E)is used; or documentary collection (D/C) is a transaction whereby the exporter entrusts the collection of the payment for a sale to its bank (remitting bank), which sends the documents that its buyer needs to the importer's bank (collecting bank), with instructions to release the documents to the buyer for payment.

- Open account-this method can be used by business partners who trust each other;the two partners need to have their accounts with the banks that are correspondent banks.

Methods of payment: Cash in Advance (Prepayment) Documentary Collections Letters of Credit Open Account Combining Methods of Payment Summary Resources Activities Assessment

THE MEANING AND DEFINITION OF EXPORT PROMOTION

Export promotion has been defined as “those public policy measures which actually or potentially enhance exporting activity at the company, industry, or national level”. Although many forces determine the international flow of goods and services, export promotion is one of the principal opportunities that governments have to influence the volume and types of goods and services exported from their areas of jurisdiction.



ADVERTISEMENTS

Government of India, like in almost all other nations, has been endeavouring to develop exports. Export development is important to the firm and to the economy as a whole. Government measures aim, normally, at an over all improvement of the export performance of the nation for the general benefit of the economy. Such measures help exporting firms in several ways.

Export Promotion strategy promotes only the industries that have potential for developing and competing with foreign rivals. Since the goal is to trade abroad, there becomes competition, which in turn remedies the returns to scale. The main goal of the export promotion is to prepare the “potential” industries for competition with the foreign rivals. So the industries at their childhood must be protected for a while.

Exporters, facing the increasing competition, have to improve their technologies, their quality continuously in order to compete with their rivals. They have to make research and development studies.

Comparative advantage theory implies that a country must specialize in the production that uses the mostly possessed factors of production. By this way the structure of the overall industry is in harmony with the country structure. If the country has advantage in human capital then the EP strategy may be a remedy to the unemployment problem.

The indirect effect of the EP strategy appears in the export values of the countries. The increase in exports raises the foreign exchange inflow. However, there may be an increase in import expenditures due to the increasing income of the country, which in turn worsens the country's trade balance.

TRADE PROMOTION (INTERNATIONAL TRADE)

Trade promotion (sometimes referred to as export promotion) is an umbrella term for economic policies, development interventions and private initiatives aimed at improving the trade performance of an economic area. Such an economic area can include just one country, a region within a country, or can encompass a group of countries involved in an economic trade area. Specific industries may be targeted. Improvement is mainly sought by increasing exports both in absolute terms, as well as relative to imports. When specific industries are targeted, trade promotion policies tend to target industries that have a comparative advantage over their foreign competitors. Ironically, trade promotion can also include expanding the supply of key inputs in a country's strongest industries, via import expansion. If successful, such a tactic would lead to Pro-trade Biased Growth.

As an economic policy with the ultimate goal of increasing domestic welfare, trade promotion comprises a large set of policy instruments. One notable tactic is the provision of trade intelligence to domestic enterprises in order to reduce transaction costs and provide them with a competitive advantage vis-à-vis foreign companies. Many countries all over the world have set up special agencies, most of them in the public domain, to implement trade promotion policies and provide support services to domestic enterprises.

Some international organizations provide assistance to so-called developing countries to help them promote their exports, most prominently the International Trade Centre in Geneva, which is a subsidiary of the World Trade Organization and the United Nations with a mandate to providing trade-related technical assistance to those countries.

ECONOMIC THEORY OF TRADE PROMOTION

The rationale for public trade promotion measures is based on the observation of market failures and the idea of creating positive externalities. All economic transaction imply so-called transaction costs. In international trade, some transaction costs are significantly higher than when carrying out business in the domestic market. For example, information about foreign consumers is less readily available, foreign jurisdictions might apply different product standards, which can pose technical barriers to trade, or transporting goods becomes more expensive and hazardous with increasing distance.

“NEW” NEW TRADE THEORY

Since the mid-2000s, research in a relatively new branch of trade theory, which emphasizes the role of firm-level heterogeneity in explaining trade, has provided first insights about how export promotion affects individual enterprises. Using panel data

for Chile and the USA, Alvarez (2004) and Bernard and Jensen (2004), respectively, find mostly insignificant firm responses to different export promotion schemes. In Alvarez (2004), only market studies and arranged meetings with experts, authorities and clients had a statistically significant effect. Görg et al. (2008), however, find that matching grant schemes for Irish enterprises helps to increase exports by existing exporters without stimulating the entry of new firms into export markets.

SPECIAL ECONOMIC ZONE

A special economic zone (SEZ) is an area in which business and trade laws are different from rest of the country. SEZs are located within a country's national borders, and their aims include: increased trade, increased investment, job creation and effective administration. To encourage businesses to set up in the zone, financial policies are introduced. These policies typically regard investing, taxation, trading, quotas, customs and labour regulations. Additionally, companies may be offered tax holidays, where upon establishing in a zone they are granted a period of lower taxation.

The creation of special economic zones by the host country may be motivated by the desire to attract foreign direct investment (FDI). The benefits a company gains by being in a special economic zone may mean it can produce and trade goods at a lower price, aimed at being globally competitive. In some countries the zones have been criticized for being little more than labour camps, with workers denied fundamental labour rights.

DEFINITION

The operating definition of a SEZ is determined individually by each country. According to the World Bank in 2008, the modern day special economic zone typically includes a "geographically delimited area, usually physically secured (fenced-in); single management/administration; eligibility for benefits based upon physical location within the zone; separate customs area (duty-free benefits) and streamlined procedures." special economic zone are those industrial zone which have been set up by government of India to attract foreign companies to invest in the country.

HISTORY

Free zones and Entrepôts have been used for centuries to guarantee free storage and exchange along trade routes.

Modern SEZs appeared from late 1950s in industrial countries. The first was in Shannon Airport in Clare, Ireland. From the 1970s onward, zones providing labour-intensive manufacturing have been established, starting in Latin America and East Asia. The first in China following the opening of China in 1979 by Deng Xiaoping was the Shenzhen Special Economic Zone, which encouraged foreign investment and simultaneously accelerated industrialization in this region. These zones attracted investment from multinational corporations. A recent trend has been for African countries to set up SEZs in partnership with China.

TYPES

The term special economic zone can include:

- Free trade zones (FTZ)
- Export processing zones (EPZ)
- Free zones/ Free economic zones (FZ/ FEZ)
- Industrial parks/ industrial estates (IE)
- Free ports
- Bonded logistics parks (BLP)
- Urban enterprise zones.

The World Bank created the following table to clarify distinctions between types of special economic zones:

Type	Objective	Size	Typical Location	Typical Activities	Markets
FTZ	Support trade	<50 hectares	Port of entry	Entrepôts and trade related	Domestic, re-export
EPZ (traditional)	Export manufacturing	<100 hectares	None	Manufacturing, processing	Mostly export
EPZ (single Unit/free enterprise)	Export manufacturing	No minimum	Countrywide	Manufacturing, processing	Mostly export
EPZ (hybrid)	Export manufacturing	<100 hectares	None	Manufacturing, processing	Export, domestic
Free port/SEZ	Integrated development	>1000 hectares	None	Multi-use	Internal, domestic, export
Urban enterprise zone	Urban revitalization	<50 hectares	Urban/rural	Multi-use	Domestic

SPECIAL ECONOMIC ZONE AND THEIR ROLE AND IMPACT ON THE INTERNATIONAL BUSINESS ENVIRONMENT

Free Trade Zone: History and Growth

Throughout the history of mankind, different mechanisms have been adopted to facilitate trading, including the introduction of Free Trade Zones. While free zones today are quite different from those of the past, it is not a new concept. Dating as far back as the Western civilizations, it existed in the Phoenician city of Tyre and during 300 BC in the Greek Island of Delos, which consequently became one of the wealthiest islands in the world for nearly a century.



The free trade zones were not considered to be mere exchange/trading points of finished goods; they were an industry-based economic activity. Ireland is of particular importance, as the first modern industrial free zone was established in Shannon, Ireland, in 1959. The Network Free Trade Zone came into existence through the law enacted

(viz. Free Trade Zone Act) by the United States (US) Congress in 1934. India too had a rich history of free trade prior to the dawn of economic liberalization. The Kandla Port at Kutch is the first Free Trade Zone in the world, established on 1 January 1965. In the year 1978, India had four other free trade zones at Mumbai, Chennai, Noida and Falta. In the same year, China had gone through a major economic shift and had realized the importance of Free Trade Zones. However, the first Chinese Free Trade Zone became operational only in 1984 at Shenzhen. During the 70's and 80's, special economic zones flourished in Southeast Asia, Latin America and to some extent in Africa, Middle East and the rest of Asia.



Since the mid-1980s, the number of newly established zones has grown rapidly in almost all regions, with dramatic growth in developing countries. For example, in 1986, the International Labour Organization's (ILO's) database of SEZs reported 176 zones in 47 countries; by 2006, this number rose to 3,500 zones in 130 countries (Boyenge 2007), although many of these zones are single companies licensed individually as free zones. SEZs are now estimated to account for more than US\$200 billion in global exports and employ directly at least 40 million workers.

Definition of SEZs

Wei Ge has defined special economic zones as “characterized in general terms as a geographic area within the territory of a country where economic activities of certain kinds are promoted by a set of policy instruments that are not generally applicable to the rest of the countries.”

Now the term Special Economy Zones (“SEZ”) covers a broad range of zones, such as free trade zones, export-processing zones, industrial parks, economic and technology development zones, high-tech zones, science and innovation parks, free ports, enterprise zones, and others.

The following are the main characteristics of Special Economic Zones (SEZ):

- Geographically demarked area with physical security.
- Administrated by single body/authority.
- Enjoying financial and procedural benefits
- Streamlined procedures

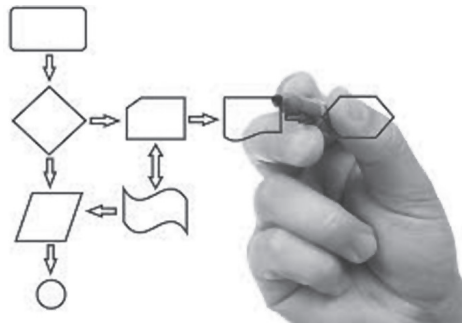
- Having separate custom area
- Governed by more liberal economic laws.

In recent times, buildings are being assigned as free zones, like those in Dubai.

Objectives of SEZs

SEZs are normally established with the aim of achieving one or more of the following objectives:

- To enhance foreign investment, especially to attract foreign direct investment (FDI), thereby increasing GDP.
- Increase shares in Global Export (international Business).
- As experimental laboratories for the application of new policies and approaches- China's large-scale SEZs are classic examples.



- Generation of additional economic activity, or in support of wider economic reform strategy, which reduces anti-export bias while keeping protective barriers intact. The SEZs of China, The Republic of Korea, Mauritius, Taiwan, and China, follow this pattern.
- Creation of employment opportunities and to serve as “pressure valves” to alleviate large-scale unemployment. SEZ programmes of Tunisia and the Dominican Republic are frequently cited as examples of programmes that have remained enclaves and have not catalyzed dramatic structural economic change, but remained robust, job-creating programmes.
- In support of a wider economic reform strategy. In this view, SEZs are a simple tool permitting a country to develop and diversify exports. Zones reduce anti-export bias while keeping protective barriers intact. The SEZs of China, The Republic of Korea, Mauritius, Taiwan, and China, follow this pattern.
- Development of infrastructure facilities.
- Exposure to technology and global market.

According Douglas Zhihua Zeng, SEZs confer two main types of benefits, which in part explain their popularity- “static” economic benefits such as employment generation, export growth, government revenues, and foreign exchange earnings; and the more “dynamic” economic benefits such as skills upgrading, technology transfer and innovation, economic diversification, productivity enhancement of local firms, etc.

Benefits and Incentives

In order to encourage participation in Special Economic Zones, companies have been provided with certain benefits and incentives, including the following:

- Tax benefits (Tax holidays, income tax exemptions etc.)
- Liberal Labour Regulations.
- Exemption from excise and customs duty on procurement of capital assets, consumable stores, raw-materials from domestic market.
- Exemption from sales tax, import duty, income tax, minimum alternative tax and dividend distribution tax.
- Streamlined procedures (online/single window).
- Liberal approach in foreign direct investments.
- Increased capital account convertibility.
- Relaxed export regulation.
- Profits could be repatriated fully.
- Reimbursement of central sales tax paid on domestic purchases.
- Non-applicability of related environmental laws.

ROLE OF SEZS IN INTERNATIONAL BUSINESS

One of the main objective of SEZ is to enhance exports, *i.e.*, to have a prominent role in international business. A main factor in determining the success of SEZ is growth in the exports made by them.

The purpose behind their establishment is to provide an internationally competitive environment to increase export, by making available goods and services free of tax and duties supported by convergent infrastructure.

In order to stimulate the exports, normally, related enactments were provisioned with the following:

- Long-term and stable policy framework with minimum regulatory regime.
- Expeditious and single window approval mechanism.
- Import and export movements of goods are based on self-declaration.
- No routine examination is made unless specific order from concerned authority.
- Packages of incentives to attract foreign and domestic investments for promoting exports-led-growth.
- Exemption from custom duty on goods imported into the SEZ by the developers to carry out their authorized operations.
- Exemption from customs duty on goods exported from the SEZ by the developer or SEZ units.
- Free Trade and Warehousing Zones, to create trade related infrastructure to facilitate import and export of goods and services and to create world-class infrastructure for warehousing with all amenities.
- Freedom to carry out trade transaction in free currency.
- “Deemed Export” Facilities in the SEZ.

SEZs & International Business: From an Indian Perspective

The establishment of SEZ in India was envisaged as an important strategic tool to expedite the growth of international trade. This manifests itself in the form of increased exports as a unit set-up to produce goods and services. Hence, the increased level of export has been critical to the success of SEZs.

With the leverage of economic liberalization and introduction of SEZs on a wide scale, India has witnessed unprecedented growth in its exports.

Although the period of 1999-2000 witnessed a big change in the government policies towards exports due to economic liberalization, its growth remained almost static during this period. Detailed export data from the period 2001 to 2016 is shown below:

Year	Total
2015-16	171,637,804.58
2014-15	189,634,841.76
2013-14	190,501,108.86
2012-13	163,431,828.96
2011-12	146,595,939.96
2010-11	113,696,426.38
2009-10	84,553,364.38
2008-09	84,075,505.87
2007-08	65,586,352.18
2006-07	57,177,928.52
2005-06	45,641,786.15
2004-05	37,533,952.62
2003-04	29,336,674.75
2002-03	25,513,727.66
2001-02	20,901,797.34
2000-01	20,357,101.09

The overall growth rate of export during the period 1966-2002 is estimated at 42.4 percent. After the SEZ Act came into place in 2005, a tremendous growth in exports has been observed. Moreover, SEZ in India has also made a remarkable progress in terms of export promotion between the periods 2005-06 and 2010-11. During 2001-2010, it has shown a 121% growth over the previous year. The same is still continuing as shown in the above table.

Despite all this growth, as per the Report of the Comptroller and Auditor General of India Report, the actual exports are far behind in comparison to the projection of companies:

Projection (RS. Cr)	Actual (RS. Cr)	%	No. of Developers	No. States
3,95,547.43 cr	1,00,579.70	-74.5%	84	9

Conclusion

With operational success, the role of the special economic zones has expanded from trade to investment technology, Research and Development, service, and training. Free zones have become the center of activity in modern economy. SEZs have played a

significant role in economic enrichment of developing countries, by improving international business. However, due to the economic slowdown prevailing globally, the export businesses especially are at stake. Some of the countries are facing turmoil and set back due to unstable SEZ business.

FTWZ

FTWZ (Free Trade and Warehousing Zones) is a policy of the Government of India (GoI). It was announced in the Foreign Trade Policy 2004-09 to set up Free Trade and Warehousing Zones (FTWZ) to create trade related infrastructure to facilitate the import and export of goods and services with freedom to carry out trade transactions in free currency.

On June 23, 2005, the Parliament of India passed the Special Economic Zones Act 2005 and on February 10, 2006 Government of India notified Special Economic Zone Rules 2006. The Free Trade and Warehousing Zones (FTWZ) is a special category of Special Economic Zone and is governed by the provisions of the SEZ Act and the Rules.

FTWZ is designated as a deemed foreign territory and are envisaged to be integrated zones and to be used as International Trading Hubs. FTWZs will be fully independent mega-trading hubs integrated with state-of-the-art warehouse and special storage infrastructure, Container Freight Stations, Environment friendly equipment, Rail sidings for hinterland connectivity, Commercial complexes for offices, Independent utility stations, banks and insurance corporations added to recreational and eventual residential complex for the FTWZ workforce.

Foreign Exchange and Foreign Currency

EXCHANGE (ORGANIZED MARKET)

An exchange, or bourse /bʊrs/ also known as a trading exchange, is an organized market where (especially) tradable securities, commodities, foreign exchange, futures, and options contracts are sold and bought.

HISTORY

The term *bourse* is derived from the 13th-century inn named *Huis ter Beurze* in Bruges, Belgium, where traders and foreign merchants from across Europe conducted business in the late medieval period. The building, which was established by Robert van der Buerze as a hostel, had operated from 1285. Its managers became famous for offering judicious financial advice to the traders and merchants who frequented the building. This service became known as the “Beurze Purse” which is the basis of *bourse*, meaning an organised place of exchange. Eventually the building became solely a place for trading in commodities.

During the 18th century, the façade of the *Huis ter Beurze* was rebuilt with a wide frontage of pilasters. However, in 1947 it was restored to its original medieval appearance. In the twelfth century, foreign exchange dealers in France were responsible for controlling and regulating the debts of agricultural communities on behalf of banks. These were actually the first brokers. They met on the Grand Bridge in Paris, the current

Pont au Change. It takes its name from the forex brokers. In the thirteenth century, the Lombard bankers were the first to share state claims in Pisa, Genoa and Florence. In 1409, the phenomenon was institutionalized by the creation of the Exchange Bruges. It was quickly followed by others, in Flanders and neighboring countries (Ghent and Amsterdam). It is still in Belgium and the first building designed to house a scholarship was built in Antwerp. The first scholarship organized in France was born in Lyon in 1540.

The first documented crash took place in 1636 in Holland. The prices of tulip bulbs reaching excessively high levels, known as the Tulip mania. The price collapsed on October 1.

In the seventeenth century, the Dutch were the first to use the stock market to finance companies. The first company to issue stocks and bonds was the Dutch East India Company, introduced in 1602.

The London Stock Exchange started operating and listing shares and bonds in 1688.

In 1774, the Paris Stock Exchange (founded in 1724), say the courts, must now necessarily be shouted to improve the transparency of operations. In the nineteenth century, the industrial revolution enables rapid development of stock markets, driven by the significant capital requirements for finance industry and transport. Since the computer revolution of the 1970s, we are witnessing the dematerialization of securities traded on the stock exchange.

In 1971, the NASDAQ became the primary market quotes computer. In France, the dematerialization was effective from November 5, 1984.

DESCRIPTION

Exchanges bring together brokers and dealers who buy and sell these objects. These various financial instruments can typically be sold either through the exchange, typically with the benefit of a clearinghouse to cover defaults, or over-the-counter (OTC), where there is typically less protection against counter-party risk from clearinghouses, although OTC clearinghouses have become more common over the years, with regulators placing pressure on the OTC markets to clear and display trades openly.

Exchanges can be subdivided:

- By objects sold:
 - Stock exchange or securities exchange
 - Commodities exchange
 - Foreign exchange market – is rare today in the form of a specialized institution
- By type of trade:
 - Classical exchange – for spot trades
 - Futures exchange or futures and options exchange – for derivatives.

In practice, futures exchanges are usually commodity exchanges, *i.e.*, all derivatives, including financial derivatives, are usually traded at commodity exchanges. This has historical reasons: the first exchanges were stock exchanges. In the 19th century,

exchanges were opened to trade forward contracts on commodities. Exchange-traded forward contracts are called futures contracts. These “commodity exchanges” later started offering future contracts on other products, such as interest rates and shares, as well as options contracts; now they are generally known as futures exchanges.

FOREIGN EXCHANGE MARKET

The foreign exchange market (Forex, FX, or currency market) is a global decentralized or over-the-counter (OTC) market for the trading of currencies. This market determines the foreign exchange rate. It includes all aspects of buying, selling and exchanging currencies at current or determined prices. In terms of trading volume, it is by far the largest market in the world, followed by the Credit market.

The main participants in this market are the larger international banks. Financial centers around the world function as anchors of trading between a wide range of multiple types of buyers and sellers around the clock, with the exception of weekends. Since currencies are always traded in pairs, the foreign exchange market does not set a currency's absolute value but rather determines its relative value by setting the market price of one currency if paid for with another. Ex: 1 USD is worth X CAD, or CHF, or JPY, etc..

The foreign exchange market works through financial institutions, and operates on several levels. Behind the scenes, banks turn to a smaller number of financial firms known as “dealers”, who are involved in large quantities of foreign exchange trading. Most foreign exchange dealers are banks, so this behind-the-scenes market is sometimes called the “interbank market” (although a few insurance companies and other kinds of financial firms are involved).

Trades between foreign exchange dealers can be very large, involving hundreds of millions of dollars. Because of the sovereignty issue when involving two currencies, Forex has little (if any) supervisory entity regulating its actions.

The foreign exchange market assists international trade and investments by enabling currency conversion. For example, it permits a business in the United States to import goods from European Union member states, especially Eurozone members, and pay Euros, even though its income is in United States dollars. It also supports direct speculation and evaluation relative to the value of currencies and the carry trade speculation, based on the differential interest rate between two currencies.

In a typical foreign exchange transaction, a party purchases some quantity of one currency by paying with some quantity of another currency.

The modern foreign exchange market began forming during the 1970s. This followed three decades of government restrictions on foreign exchange transactions under the Bretton Woods system of monetary management, which set out the rules for commercial and financial relations among the world's major industrial states after World War II. Countries gradually switched to floating exchange rates from the previous exchange rate regime, which remained fixed per the Bretton Woods system.

The foreign exchange market is unique because of the following characteristics:

- Its huge trading volume, representing the largest asset class in the world leading to high liquidity;
- Its geographical dispersion;
- Its continuous operation: 24 hours a day except weekends, *i.e.*, trading from 22:00 GMT on Sunday (Sydney) until 22:00 GMT Friday (New York);
- The variety of factors that affect exchange rates;
- The low margins of relative profit compared with other markets of fixed income; and
- The use of leverage to enhance profit and loss margins and with respect to account size.

As such, it has been referred to as the market closest to the ideal of perfect competition, notwithstanding currency intervention by central banks.

According to the Bank for International Settlements, the preliminary global results from the 2016 Triennial Central Bank Survey of Foreign Exchange and OTC Derivatives Markets Activity show that trading in foreign exchange markets averaged \$5.09 trillion per day in April 2016. This is down from \$5.4 trillion in April 2013 but up from \$4.0 trillion in April 2010. Measured by value, foreign exchange swaps were traded more than any other instrument in April 2016, at \$2.4 trillion per day, followed by spot trading at \$1.7 trillion.

The \$5.09 trillion break-down is as follows:

- \$1.654 trillion in spot transactions
- \$700 billion in outright forwards
- \$2.383 trillion in foreign exchange swaps
- \$96 billion currency swaps
- \$254 billion in options and other products.

HISTORY

Ancient

Currency trading and exchange first occurred in ancient times. Money-changers (people helping others to change money and also taking a commission or charging a fee) were living in the Holy Land in the times of the Talmudic writings (*Biblical times*). These people (sometimes called “kollybist s”) used city stalls, and at least times the Temple’s Court of the Gentiles instead. Money-changers were also the silversmiths and/or goldsmiths of more recent ancient times.

During the 4th century AD, the Byzantine government kept a monopoly on the exchange of currency.

Papyri PCZ I 59021 (c.259/8 BC), shows the occurrences of exchange of coinage in Ancient Egypt. Currency and exchange were important elements of trade in the ancient world, enabling people to buy and sell items like food, pottery and raw materials. If a

Greek coin held more gold than an Egyptian coin due to its size or content, then a merchant could barter fewer Greek gold coins for more Egyptian ones, or for more material goods. This is why, at some point in their history, most world currencies in circulation today had a value fixed to a specific quantity of a recognized standard like silver and gold.

Medieval and Later

During the 15th century, the Medici family were required to open banks at foreign locations in order to exchange currencies to act on behalf of textile merchants. To facilitate trade, the bank created the *nostro* (from Italian, this translates to “ours”) account book which contained two columned entries showing amounts of foreign and local currencies; information pertaining to the keeping of an account with a foreign bank. During the 17th (or 18th) century, Amsterdam maintained an active Forex market. In 1704, foreign exchange took place between agents acting in the interests of the Kingdom of England and the County of Holland.

Early Modern

Alex. Brown & Sons traded foreign currencies around 1850 and was a leading currency trader in the USA. In 1880, J.M. do Espírito Santo de Silva (Banco Espírito Santo) applied for and was given permission to engage in a foreign exchange trading business.

The year 1880 is considered by at least one source to be the beginning of modern foreign exchange: the gold standard began in that year.

Prior to the First World War, there was a much more limited control of international trade. Motivated by the onset of war, countries abandoned the gold standard monetary system.

Modern to Post-modern

From 1899 to 1913, holdings of countries' foreign exchange increased at an annual rate of 10.8%, while holdings of gold increased at an annual rate of 6.3% between 1903 and 1913.

At the end of 1913, nearly half of the world's foreign exchange was conducted using the pound sterling. The number of foreign banks operating within the boundaries of London increased from 3 in 1860, to 71 in 1913. In 1902, there were just two London foreign exchange brokers. At the start of the 20th century, trades in currencies was most active in Paris, New York City and Berlin; Britain remained largely uninvolved until 1914. Between 1919 and 1922, the number of foreign exchange brokers in London increased to 17; and in 1924, there were 40 firms operating for the purposes of exchange.

During the 1920s, the Kleinwort family were known as the leaders of the foreign exchange market, while Japheth, Montagu & Co. and Seligman still warrant recognition as significant FX traders. The trade in London began to resemble its modern

manifestation. By 1928, Forex trade was integral to the financial functioning of the city. Continental exchange controls, plus other factors in Europe and Latin America, hampered any attempt at wholesale prosperity from trade for those of 1930s London.

After World War II

In 1944, the Bretton Woods Accord was signed, allowing currencies to fluctuate within a range of $\pm 1\%$ from the currency's par exchange rate. In Japan, the Foreign Exchange Bank Law was introduced in 1954. As a result, the Bank of Tokyo became the center of foreign exchange by September 1954. Between 1954 and 1959, Japanese law was changed to allow foreign exchange dealings in many more Western currencies.

U.S. President, Richard Nixon is credited with ending the Bretton Woods Accord and fixed rates of exchange, eventually resulting in a free-floating currency system. After the Accord ended in 1971, the Smithsonian Agreement allowed rates to fluctuate by up to $\pm 2\%$. In 1961–62, the volume of foreign operations by the U.S. Federal Reserve was relatively low. Those involved in controlling exchange rates found the boundaries of the Agreement were not realistic and so ceased this in March 1973, when sometime afterward none of the major currencies were maintained with a capacity for conversion to gold, organizations relied instead on reserves of currency. From 1970 to 1973, the volume of trading in the market increased three-fold. At some time (according to *Gandolfo* during February–March 1973) some of the markets were “split”, and a two-tier currency market was subsequently introduced, with dual currency rates. This was abolished in March 1974.

Reuters introduced computer monitors during June 1973, replacing the telephones and telex used previously for trading quotes.

Markets Close

Due to the ultimate ineffectiveness of the Bretton Woods Accord and the European Joint Float, the forex markets were forced to close sometime during 1972 and March 1973. The very largest purchase of US dollars in the history of 1976 was when the West German government achieved an almost 3 billion dollar acquisition (a figure given as 2.75 billion in total by *The Statesman*: Volume 18 1974), this event indicated the impossibility of the balancing of exchange stabilities by the measures of control used at the time and the monetary system and the foreign exchange markets in “West” Germany and other countries within Europe closed for two weeks (during February and, or, March 1973. *Giersch, Paqué, & Schmieding* state closed after purchase of “7.5 million Dmarks” *Brawley* states “... Exchange markets had to be closed. When they re-opened... March 1 “ that is a large purchase occurred after the close).

After 1973

In developed nations, the state control of the foreign exchange trading ended in 1973 when complete floating and relatively free market conditions of modern times began.

Other sources claim that the first time a currency pair was traded by U.S. retail customers was during 1982, with additional currency pairs becoming available by the next year.

On 1 January 1981, as part of changes beginning during 1978, the People's Bank of China allowed certain domestic "enterprises" to participate in foreign exchange trading. Sometime during 1981, the South Korean government ended Forex controls and allowed free trade to occur for the first time. During 1988, the country's government accepted the IMF quota for international trade.

Intervention by European banks (especially the Bundesbank) influenced the Forex market on 27 February 1985. The greatest proportion of all trades worldwide during 1987 were within the United Kingdom (slightly over one quarter). The United States had the second amount of places involved in trading.

During 1991, Iran changed international agreements with some countries from oil-barter to foreign exchange.

MARKET SIZE AND LIQUIDITY

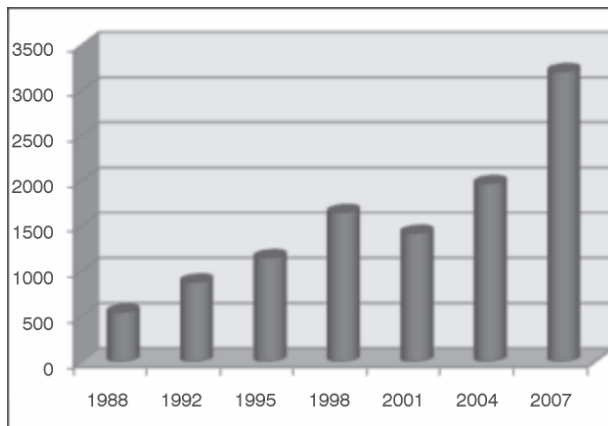


Fig. Main foreign exchange market turnover, 1988–2007, measured in billions of USD.

The foreign exchange market is the most liquid financial market in the world. Traders include governments and central banks, commercial banks, other institutional investors and financial institutions, currency speculators, other commercial corporations, and individuals. The average daily turnover in the global foreign exchange and related markets is continuously growing. According to the 2010 Triennial Central Bank Survey, coordinated by the Bank for International Settlements, average daily turnover was \$3.98 trillion in April 2010 (compared to \$1.7 trillion in 1998). Of this \$3.98 trillion, \$1.5 trillion was spot transactions and \$2.5 trillion was traded in outright forwards, swaps, and other derivatives.

In April 2010, trading in the United Kingdom accounted for 36.7% of the total, making it by far the most important centre for foreign exchange trading in the world. Trading in the United States accounted for 17.9% and Japan accounted for 6.2%. For the first time ever, Singapore surpassed Japan in average daily foreign-exchange trading

volume in April 2013 with \$383 billion per day. So the order became: United Kingdom (41%), United States (19%), Singapore (6%), Japan (6%) and Hong Kong (4%).

Turnover of exchange-traded foreign exchange futures and options has grown rapidly in recent years, reaching \$166 billion in April 2010 (double the turnover recorded in April 2007). As of April 2016, exchange-traded currency derivatives represent 2% of OTC foreign exchange turnover. Foreign exchange futures contracts were introduced in 1972 at the Chicago Mercantile Exchange and are traded more than to most other futures contracts.

Most developed countries permit the trading of derivative products (such as futures and options on futures) on their exchanges. All these developed countries already have fully convertible capital accounts. Some governments of emerging markets do not allow foreign exchange derivative products on their exchanges because they have capital controls. The use of derivatives is growing in many emerging economies. Countries such as South Korea, South Africa, and India have established currency futures exchanges, despite having some capital controls.

Foreign exchange trading increased by 20% between April 2007 and April 2010, and has more than doubled since 2004. The increase in turnover is due to a number of factors: the growing importance of foreign exchange as an asset class, the increased trading activity of high-frequency traders, and the emergence of retail investors as an important market segment. The growth of electronic execution and the diverse selection of execution venues has lowered transaction costs, increased market liquidity, and attracted greater participation from many customer types. In particular, electronic trading via online portals has made it easier for retail traders to trade in the foreign exchange market. By 2010, retail trading was estimated to account for up to 10% of spot turnover, or \$150 billion per day.

Foreign exchange is traded in an over-the-counter market where brokers/dealers negotiate directly with one another, so there is no central exchange or clearing house. The biggest geographic trading center is the United Kingdom, primarily London. According to TheCityUK, it is estimated that London increased its share of global turnover in traditional transactions from 34.6% in April 2007 to 36.7% in April 2010. Due to London's dominance in the market, a particular currency's quoted price is usually the London market price. For instance, when the International Monetary Fund calculates the value of its special drawing rights every day, they use the London market prices at noon that day.

MARKET PARTICIPANTS

Unlike a stock market, the foreign exchange market is divided into levels of access. At the top is the interbank foreign exchange market, which is made up of the largest commercial banks and securities dealers. Within the interbank market, spreads, which are the difference between the bid and ask prices, are razor sharp and not known to players outside the inner circle. The difference between the bid and ask prices widens

(for example from 0 to 1 pip to 1–2 pips for currencies such as the EUR) as you go down the levels of access. This is due to volume. If a trader can guarantee large numbers of transactions for large amounts, they can demand a smaller difference between the bid and ask price, which is referred to as a better spread. The levels of access that make up the foreign exchange market are determined by the size of the “line” (the amount of money with which they are trading). The top-tier interbank market accounts for 51% of all transactions. From there, smaller banks, followed by large multi-national corporations (which need to hedge risk and pay employees in different countries), large hedge funds, and even some of the retail market makers. According to Galati and Melvin, “Pension funds, insurance companies, mutual funds, and other institutional investors have played an increasingly important role in financial markets in general, and in FX markets in particular, since the early 2000s.” (2004) In addition, he notes, “Hedge funds have grown markedly over the 2001–2004 period in terms of both number and overall size”. Central banks also participate in the foreign exchange market to align currencies to their economic needs.

Table. Top 10 currency traders % of overall volume, May 2016

Name	Market Share
Citi	12.9 %
JP Morgan	8.8%
UBS	8.8%
Deutsche Bank	7.9%
Bank of America Merrill Lynch	6.4%
Barclays	5.7%
Goldman Sachs	4.7%
HSBC	4.6%
XTX Markets	3.9%
Morgan Stanley	3.2%

Commercial Companies

An important part of the foreign exchange market comes from the financial activities of companies seeking foreign exchange to pay for goods or services. Commercial companies often trade fairly small amounts compared to those of banks or speculators, and their trades often have little short-term impact on market rates. Nevertheless, trade flows are an important factor in the long-term direction of a currency’s exchange rate. Some multinational corporations (MNCs) can have an unpredictable impact when very large positions are covered due to exposures that are not widely known by other market participants.

Central Banks

National central banks play an important role in the foreign exchange markets. They try to control the money supply, inflation, and/or interest rates and often have official or unofficial target rates for their currencies. They can use their often substantial foreign

exchange reserves to stabilize the market. Nevertheless, the effectiveness of central bank “stabilizing speculation” is doubtful because central banks do not go bankrupt if they make large losses, like other traders would. There is also no convincing evidence that they actually make a profit from trading.

Foreign Exchange Fixing

Foreign exchange fixing is the daily monetary exchange rate fixed by the national bank of each country. The idea is that central banks use the fixing time and exchange rate to evaluate the behaviour of their currency. Fixing exchange rates reflect the real value of equilibrium in the market. Banks, dealers and traders use fixing rates as a market trendindicator.

The mere expectation or rumor of a central bank foreign exchange intervention might be enough to stabilize a currency. However, aggressive intervention might be used several times each year in countries with a dirty float currency regime. Central banks do not always achieve their objectives. The combined resources of the market can easily overwhelm any central bank. Several scenarios of this nature were seen in the 1992–93 European Exchange Rate Mechanism collapse, and in more recent times in Asia.

Investment Management Firms

Investment management firms (who typically manage large accounts on behalf of customers such as pension funds and endowments) use the foreign exchange market to facilitate transactions in foreign securities. For example, an investment manager bearing an international equity portfolio needs to purchase and sell several pairs of foreign currencies to pay for foreign securities purchases.

Some investment management firms also have more speculative specialist currency overlay operations, which manage clients’ currency exposures with the aim of generating profits as well as limiting risk. While the number of this type of specialist firms is quite small, many have a large value of assets under management and can therefore generate large trades.

Retail Foreign Exchange Traders

Individual retail speculative traders constitute a growing segment of this market with the advent of retail foreign exchange trading, both in size and importance. Currently, they participate indirectly through brokers or banks. Retail brokers, while largely controlled and regulated in the USA by the Commodity Futures Trading Commission and National Futures Association, have previously been subjected to periodic foreign exchange fraud. To deal with the issue, in 2010 the NFA required its members that deal in the Forex markets to register as such (*I.e.*, Forex CTA instead of a CTA). Those NFA members that would traditionally be subject to minimum net capital requirements, FCMs and IBs, are subject to greater minimum net capital requirements if they deal in Forex.

A number of the foreign exchange brokers operate from the UK under Financial Services Authority regulations where foreign exchange trading using margin is part of the wider over-the-counter derivatives trading industry that includes contracts for difference and financial spread betting. There are two main types of retail FX brokers offering the opportunity for speculative currency trading: *brokers* and *dealers* or *market makers*. *Brokers* serve as an agent of the customer in the broader FX market, by seeking the best price in the market for a retail order and dealing on behalf of the retail customer. They charge a commission or “mark-up” in addition to the price obtained in the market. *Dealers* or *market makers*, by contrast, typically act as principals in the transaction versus the retail customer, and quote a price they are willing to deal at.

Non-bank Foreign Exchange Companies

Non-bank foreign exchange companies offer currency exchange and international payments to private individuals and companies. These are also known as “foreign exchange brokers” but are distinct in that they do not offer speculative trading but rather currency exchange with payments (*i.e.*, there is usually a physical delivery of currency to a bank account).

It is estimated that in the UK, 14% of currency transfers/payments are made via Foreign Exchange Companies. These companies’ selling point is usually that they will offer better exchange rates or cheaper payments than the customer’s bank. These companies differ from Money Transfer/Remittance Companies in that they generally offer higher-value services. The volume of transactions done through Foreign Exchange Companies in India amounts to about USD 2 billion per day. This does not compete favorably with any well developed foreign exchange market of international repute, but with the entry of online Foreign Exchange Companies the market is steadily growing. Around 25% of currency transfers/payments in India are made via non-bank Foreign Exchange Companies. Most of these companies use the USP of better exchange rates than the banks. They are regulated by FEDAI and any transaction in foreign Exchange is governed by the Foreign Exchange Management Act, 1999 (FEMA).

Money Transfer/remittance Companies and Bureaux De Change

Money transfer companies/remittance companies perform high-volume low-value transfers generally by economic migrants back to their home country. In 2007, the Aite Group estimated that there were \$369 billion of remittances (an increase of 8% on the previous year). The four largest markets (India, China, Mexico and the Philippines) receive \$95 billion. The largest and best known provider is Western Union with 345,000 agents globally, followed by UAE Exchange. *Bureaux de change* or currency transfer companies provide low value foreign exchange services for travelers. These are typically located at airports and stations or at tourist locations and allow physical notes to be exchanged from one currency to another. They access the foreign exchange markets via banks or non bank foreign exchange companies.

Trading Characteristics

Table. Most traded currencies by valueCurrency distribution of global foreign exchange market turnover

Rank	Currency	ISO 4217 code (symbol)	% daily share (April 2016)
1	United States dollar	USD (\$)	80.6%
2	Euro	EUR (€)	37.4%
3	Japanese yen	JPY (¥)	21.6%
4	Pound sterling	GBP (£)	12.8%
5	Australian dollar	AUD (A\$)	6.9%
6	Canadian dollar	CAD (C\$)	5.1%
7	Swiss franc	CHF (Fr)	4.8%
8	Renminbi	CNY (CQ)	4.0%
9	Swedish krona	SEK (kr)	2.2%
10	New Zealand dollar	NZD (NZ\$)	2.1%
11	Mexican peso	MXN (\$)	1.9%
12	Singapore dollar	SGD (S\$)	1.8%
13	Hong Kong dollar	HKD (HK\$)	1.7%
14	Norwegian krone	NOK (kr)	1.7%
15	South Korean won	KRW (₩)	1.7%
16	Turkish lira	TRY (₺)	1.4%
17	Russian ruble	RUB (₽)	1.1%
18	Indian rupee	INR (₹)	1.1%
19	Brazilian real	BRL (R\$)	1.0%
20	South African rand	ZAR (R)	1.0%
		Other	7.1%
		Total	200.0%

There is no unified or centrally cleared market for the majority of trades, and there is very little cross-border regulation. Due to the over-the-counter (OTC) nature of currency markets, there are rather a number of interconnected marketplaces, where different currencies instruments are traded. T

his implies that there is not a *single* exchange rate but rather a number of different rates (prices), depending on what bank or market maker is trading, and where it is. In practice, the rates are quite close due to arbitrage. Due to London's dominance in the market, a particular currency's quoted price is usually the London market price. Major trading exchanges include Electronic Broking Services (EBS) and Thomson Reuters Dealing, while major banks also offer trading systems. A joint venture of the Chicago Mercantile Exchange and Reuters, called Fxmarketspace opened in 2007 and aspired but failed to the role of a central market clearing mechanism.

The main trading centers are London and New York City, though Tokyo, Hong Kong and Singapore are all important centers as well. Banks throughout the world participate. Currency trading happens continuously throughout the day; as the Asian trading session ends, the European session begins, followed by the North American session and then back to the Asian session.

Fluctuations in exchange rates are usually caused by actual monetary flows as well as by expectations of changes in monetary flows. These are caused by changes in gross domestic product (GDP) growth, inflation (purchasing power parity theory), interest rates (interest rate parity, Domestic Fisher effect, International Fisher effect), budget and trade deficits or surpluses, large cross-border M&A deals and other macroeconomic conditions. Major news is released publicly, often on scheduled dates, so many people have access to the same news at the same time. However, the large banks have an important advantage; they can see their customers' order flow.

Currencies are traded against one another in pairs. Each currency pair thus constitutes an individual trading product and is traditionally noted XXXYYY or XXX/YYY, where XXX and YYY are the ISO 4217 international three-letter code of the currencies involved. The first currency (XXX) is the base currency that is quoted relative to the second currency (YYY), called the counter currency (or quote currency). For instance, the quotation *EURUSD (EUR/USD) 1.5465* is the price of the Euro expressed in US dollars, meaning 1 euro = 1.5465 dollars. The market convention is to quote most exchange rates against the USD with the US dollar as the base currency (*e.g.*, USDJPY, USDCAD, USDCHF). The exceptions are the British pound (GBP), Australian dollar (AUD), the New Zealand dollar (NZD) and the euro (EUR) where the USD is the counter currency (*e.g.*, GBPUSD, AUDUSD, NZDUSD, EURUSD).

The factors affecting XXX will affect both XXXYYY and XXXZZZ. This causes positive currency correlation between XXXYYY and XXXZZZ.

On the spot market, according to the 2016 Triennial Survey, the most heavily traded bilateral currency pairs were:

- EURUSD: 23.0%
- USDJPY: 17.7%
- GBPUSD (also called *cable*): 9.2%.

The U.S. currency was involved in 87.6% of transactions, followed by the euro (31.3%), the yen (21.6%), and sterling (12.8%) (see table). Volume percentages for all individual currencies should add up to 200%, as each transaction involves two currencies.

Trading in the euro has grown considerably since the currency's creation in January 1999, and how long the foreign exchange market will remain dollar-centered is open to debate. Until recently, trading the euro versus a non-European currency ZZZ would have usually involved two trades: EURUSD and USDZZZ. The exception to this is EURJPY, which is an established traded currency pair in the interbank spot market.

DETERMINANTS OF EXCHANGE RATES

The following theories explain the fluctuations in exchange rates in a floating exchange rate regime (In a fixed exchange rate regime, rates are decided by its government):

- *International parity conditions*: Relative purchasing power parity, interest rate parity, Domestic Fisher effect, International Fisher effect. Though to some extent

the above theories provide logical explanation for the fluctuations in exchange rates, yet these theories falter as they are based on challengeable assumptions *e.g.*, free flow of goods, services and capital which seldom hold true in the real world.

- *Balance of payments model*: This model, however, focuses largely on tradable goods and services, ignoring the increasing role of global capital flows. It failed to provide any explanation for the continuous appreciation of the US dollar during the 1980s and most of the 1990s, despite the soaring US current account deficit.
- *Asset market model*: Views currencies as an important asset class for constructing investment portfolios. Asset prices are influenced mostly by people's willingness to hold the existing quantities of assets, which in turn depends on their expectations on the future worth of these assets. The asset market model of exchange rate determination states that "the exchange rate between two currencies represents the price that just balances the relative supplies of, and demand for, assets denominated in those currencies."

None of the models developed so far succeed to explain exchange rates and volatility in the longer time frames.

For shorter time frames (less than a few days), algorithms can be devised to predict prices. It is understood from the above models that many macroeconomic factors affect the exchange rates and in the end currency prices are a result of dual forces of demand and supply. The world's currency markets can be viewed as a huge melting pot: in a large and ever-changing mix of current events, supply and demand factors are constantly shifting, and the price of one currency in relation to another shifts accordingly. No other market encompasses (and distills) as much of what is going on in the world at any given time as foreign exchange.

Supply and demand for any given currency, and thus its value, are not influenced by any single element, but rather by several. These elements generally fall into three categories: economic factors, political conditions and market psychology.

Economic Factors

These include: (a) economic policy, disseminated by government agencies and central banks, (b) economic conditions, generally revealed through economic reports, and other economic indicators.

- Economic policy comprises government fiscal policy (budget/spending practices) and monetary policy (the means by which a government's central bank influences the supply and "cost" of money, which is reflected by the level of interest rates).
- *Government budget deficits or surpluses*: The market usually reacts negatively to widening government budget deficits, and positively to narrowing budget deficits. The impact is reflected in the value of a country's currency.

- *Balance of trade levels and trends:* The trade flow between countries illustrates the demand for goods and services, which in turn indicates demand for a country's currency to conduct trade. Surpluses and deficits in trade of goods and services reflect the competitiveness of a nation's economy. For example, trade deficits may have a negative impact on a nation's currency.
- *Inflation levels and trends:* Typically a currency will lose value if there is a high level of inflation in the country or if inflation levels are perceived to be rising. This is because inflation erodes purchasing power, thus demand, for that particular currency. However, a currency may sometimes strengthen when inflation rises because of expectations that the central bank will raise short-term interest rates to combat rising inflation.
- *Economic growth and health:* Reports such as GDP, employment levels, retail sales, capacity utilization and others, detail the levels of a country's economic growth and health. Generally, the more healthy and robust a country's economy, the better its currency will perform, and the more demand for it there will be.
- *Productivity of an economy:* Increasing productivity in an economy should positively influence the value of its currency. Its effects are more prominent if the increase is in the traded sector.

Political Conditions

Internal, regional, and international political conditions and events can have a profound effect on currency markets.

All exchange rates are susceptible to political instability and anticipations about the new ruling party. Political upheaval and instability can have a negative impact on a nation's economy.

For example, destabilization of coalition governments in Pakistan and Thailand can negatively affect the value of their currencies. Similarly, in a country experiencing financial difficulties, the rise of a political faction that is perceived to be fiscally responsible can have the opposite effect. Also, events in one country in a region may spur positive/negative interest in a neighboring country and, in the process, affect its currency.

Market Psychology

Market psychology and trader perceptions influence the foreign exchange market in a variety of ways:

- *Flights to quality:* Unsettling international events can lead to a "flight-to-quality", a type of capital flight whereby investors move their assets to a perceived "safe haven". There will be a greater demand, thus a higher price, for currencies perceived as stronger over their relatively weaker counterparts. The US dollar, Swiss franc and gold have been traditional safe havens during times of political or economic uncertainty.

- *Long-term trends:* Currency markets often move in visible long-term trends. Although currencies do not have an annual growing season like physical commodities, business cycles do make themselves felt. Cycle analysis looks at longer-term price trends that may rise from economic or political trends.
- *“Buy the rumor, sell the fact”:* This market truism can apply to many currency situations. It is the tendency for the price of a currency to reflect the impact of a particular action before it occurs and, when the anticipated event comes to pass, react in exactly the opposite direction. This may also be referred to as a market being “oversold” or “overbought”. To buy the rumor or sell the fact can also be an example of the cognitive bias known as anchoring, when investors focus too much on the relevance of outside events to currency prices.
- *Economic numbers:* While economic numbers can certainly reflect economic policy, some reports and numbers take on a talisman-like effect: the number itself becomes important to market psychology and may have an immediate impact on short-term market moves. “What to watch” can change over time. In recent years, for example, money supply, employment, trade balance figures and inflation numbers have all taken turns in the spotlight.
- *Technical trading considerations:* As in other markets, the accumulated price movements in a currency pair such as EUR/USD can form apparent patterns that traders may attempt to use. Many traders study price charts in order to identify such patterns.

FINANCIAL INSTRUMENTS

Spot

A spot transaction is a two-day delivery transaction (except in the case of trades between the US dollar, Canadian dollar, Turkish lira, euro and Russian ruble, which settle the next business day), as opposed to the futures contracts, which are usually three months. This trade represents a “direct exchange” between two currencies, has the shortest time frame, involves cash rather than a contract, and interest is not included in the agreed-upon transaction. Spot trading is one of the most common types of Forex Trading.

Often, a forex broker will charge a small fee to the client to roll-over the expiring transaction into a new identical transaction for a continuation of the trade. This roll-over fee is known as the “Swap” fee.

Forward

One way to deal with the foreign exchange risk is to engage in a forward transaction. In this transaction, money does not actually change hands until some agreed upon future date. A buyer and seller agree on an exchange rate for any date in the future, and the transaction occurs on that date, regardless of what the market rates are then. The duration

of the trade can be one day, a few days, months or years. Usually the date is decided by both parties. Then the forward contract is negotiated and agreed upon by both parties.

Non-deliverable Forward (NDF)

Forex banks, ECNs, and prime brokers offer NDF contracts, which are derivatives that have no real deliver-ability. NDFs are popular for currencies with restrictions such as the Argentinian peso. In fact, a Forex hedger can only hedge such risks with NDFs, as currencies such as the Argentinian Peso cannot be traded on open markets like major currencies.

Swap

The most common type of forward transaction is the foreign exchange swap. In a swap, two parties exchange currencies for a certain length of time and agree to reverse the transaction at a later date. These are not standardized contracts and are not traded through an exchange. A deposit is often required in order to hold the position open until the transaction is completed.

Futures

Futures are standardized forward contracts and are usually traded on an exchange created for this purpose. The average contract length is roughly 3 months. Futures contracts are usually inclusive of any interest amounts.

Currency futures contracts are contracts specifying a standard volume of a particular currency to be exchanged on a specific settlement date. Thus the currency futures contracts are similar to forward contracts in terms of their obligation, but differ from forward contracts in the way they are traded. They are commonly used by MNCs to hedge their currency positions. In addition they are traded by speculators who hope to capitalize on their expectations of exchange rate movements.

Option

A foreign exchange option (commonly shortened to just FX option) is a derivative where the owner has the right but not the obligation to exchange money denominated in one currency into another currency at a pre-agreed exchange rate on a specified date. The FX options market is the deepest, largest and most liquid market for options of any kind in the world.

SPECULATION

Controversy about currency speculators and their effect on currency devaluations and national economies recurs regularly. Economists, such as Milton Friedman, have argued that speculators ultimately are a stabilizing influence on the market, and that stabilizing speculation performs the important function of providing a market for hedgers and transferring risk from those people who don't wish to bear it, to those who do. Other economists, such as Joseph Stiglitz, consider this argument to be based more on

politics and a free market philosophy than on economics. Large hedge funds and other well capitalized “position traders” are the main professional speculators. According to some economists, individual traders could act as “noise traders” and have a more destabilizing role than larger and better informed actors.

Currency speculation is considered a highly suspect activity in many countries. While investment in traditional financial instruments like bonds or stocks often is considered to contribute positively to economic growth by providing capital, currency speculation does not; according to this view, it is simply gambling that often interferes with economic policy. For example, in 1992, currency speculation forced the Swedish National Bank (the central bank of Sweden) to raise interest rates for a few days to 500% per annum, and later to devalue the krona. Mahathir Mohamad, one of the former Prime Ministers of Malaysia, is one well-known proponent of this view. He blamed the devaluation of the Malaysian ringgit in 1997 on George Soros and other speculators.

Gregory Millman reports on an opposing view, comparing speculators to “vigilantes” who simply help “enforce” international agreements and anticipate the effects of basic economic “laws” in order to profit.

In this view, countries may develop unsustainable economic bubbles or otherwise mishandle their national economies, and foreign exchange speculators made the inevitable collapse happen sooner. A relatively quick collapse might even be preferable to continued economic mishandling, followed by an eventual, larger, collapse. Mahathir Mohamad and other critics of speculation are viewed as trying to deflect the blame from themselves for having caused the unsustainable economic conditions.

RISK AVERSION

Risk aversion is a kind of trading behaviour exhibited by the foreign exchange market when a potentially adverse event happens which may affect market conditions. This behaviour is caused when risk averse traders liquidate their positions in risky assets and shift the funds to less risky assets due to uncertainty.

In the context of the foreign exchange market, traders liquidate their positions in various currencies to take up positions in safe-haven currencies, such as the US dollar. Sometimes, the choice of a safe haven currency is more of a choice based on prevailing sentiments rather than one of economic statistics. An example would be the Financial Crisis of 2008. The value of equities across the world fell while the US dollar strengthened. This happened despite the strong focus of the crisis in the US.

CARRY TRADE

Currency carry trade refers to the act of borrowing one currency that has a low interest rate in order to purchase another with a higher interest rate. A large difference in rates can be highly profitable for the trader, especially if high leverage is used. However, with all levered investments this is a double edged sword, and large exchange rate price fluctuations can suddenly swing trades into huge losses.

THE MARKET FOR FOREIGN EXCHANGE

Currencies are bought and sold, just like other commodities, in markets called foreign exchange markets. The world's three most common transactions are exchanges between the dollar and the euro (30%) the dollar and the yen (20%) and the dollar and the pound Sterling (12%).

How currency values are established depends upon whether they are determined solely in free markets, called *freely floating*, or determined by agreements between governments, called *fixed* or pegged. Like most currencies, the pound has at times been both fixed, and floating. Between 1944 and 1971, most of the world's currencies were fixed to the US Dollar, which in turn was fixed to gold. After a period of floating, the pound joined the *European Exchange Rate Mechanism* (ERM) in 1990, but quickly left in 1992, and has floated freely ever since. This has meant that its value is largely determined by the interaction of demand and supply.

THE DEMAND FOR CURRENCY

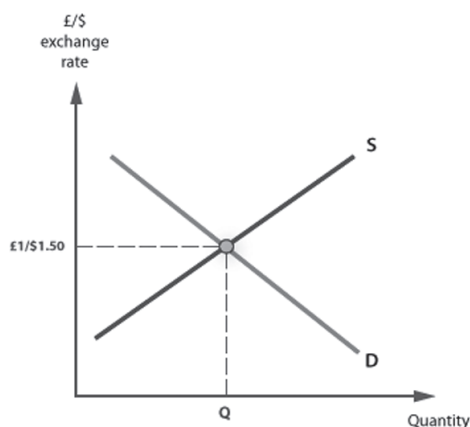
The demand for currencies is derived from the demand for a country's exports, and from speculators looking to make a profit on changes in currency values.

THE SUPPLY OF CURRENCY

The supply of a currency is determined by the domestic demand for imports from abroad. For example, when the UK imports cars from Japan it must pay in yen (¥), and to buy yen it must sell (supply) pounds. The more it imports the greater the supply of pounds onto the foreign exchange market. A large proportion of short-term trade in currencies is by dealers who work for financial institutions. The London foreign exchange market is the World's single largest international exchange market.

EXCHANGE RATES

The equilibrium exchange rate is the rate which equates demand and supply for a particular currency against another currency.



EXAMPLE

If we assume the UK and France both produce goods that the other wants, they will wish to trade with each other. However, French producers require payment in Euros and the British producers require payments in pounds Sterling. Both need payment in their own *local* currency so that they can pay their own production costs in their local currency. The foreign exchange market enables both French and British producers to exchange currencies so that trades can take place.

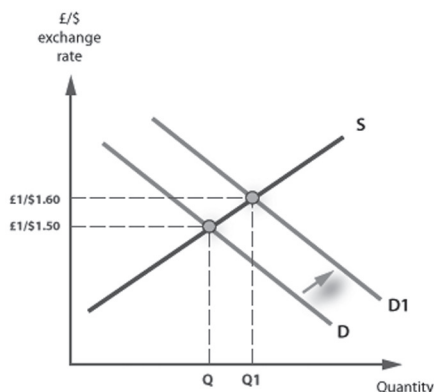
The market will create an equilibrium exchange rate for each currency, which will exist where demand and supply of currencies equates.

CHANGES IN EXCHANGE RATES

Changes in the value of a currency like Sterling reflect changes in demand and supply. On a demand and supply graph, the price of Sterling is expressed in terms of the other currency, such as the \$US.

An Increase in the Exchange Rate

For example, an increase in exports would shift the demand curve for Sterling to the right and push up the exchange rate. Originally, one pound bought \$1.50, but now buys \$1.60, hence its value has risen.

**EXCHANGE RATES AND INTEREST RATES**

Changes in a country's interest rates also affect its currency, through its impact on the demand and supply of financial assets in the UK and abroad. For example, higher interest rates relative to other countries, makes the UK attractive the investors, and leads to an increase in the demand for the UK's financial assets, and an increase in the demand for Sterling.

Conversely, lower interest rates in one country relative to other countries leads to an increase in supply, as speculators sell a currency in order to buy currencies associated with rising interest rates. These speculative flows are called *hot money*, and have an important short-term effect on exchange rates.

FOREIGN EXCHANGE MARKET: NATURE, PARTICIPANTS AND SEGMENTS

NATURE OF FOREIGN EXCHANGE MARKET

The foreign exchange market is the place where money denominated in one currency is bought and sold with money denominated in another currency. It provides the physical and institutional structure through which the currency of one country is exchanged for that of another country, the rate of exchange between currencies is determined, and foreign exchange transactions are physically completed.

The primary purpose of this market is to permit transfer of purchasing power denominated in one currency to another. For example, a Japanese exporter sells automobiles to a U.S. dealer for dollars, and a U.S. manufacturer sells instruments to a Japanese Company for yen. The U.S. Company will like to receive payment in dollar, while the Japanese exporter will want yen.

It would be inconvenient for individual buyers and sellers of foreign exchange to seek out one another. So a foreign exchange market has developed to act as an intermediary. It is the largest financial market in the world with prices moving and currencies trading somewhere every hour of every business day.

Major world trading starts each morning in Sydney and Tokyo; moves West to Hong Kong and Singapore; passes on to Bahrain; shifts to the main European markets of Frankfurt, Zurich and London; Jumps the Atlantic to New York; goes west to Chicago, and ends in San Francisco and Los Angeles.

It is the largest financial market in the world having daily turnover of over 1600 billions dollar in 2001. Bulk of the trading is accounted for by a small number of currencies the U.S. dollar, Deutschmark (DM), Yen, Pound Sterling, Swiss Franc, and Canadian dollar.

Foreign exchange market is of two types, viz.; retail market and wholesale market, also termed as the inter-bank market. In retail market, travellers and tourists exchange one currency for another. The total turnover in this market is very small.

Wholesale market comprises of large commercial banks, foreign exchange brokers in the inter-bank market, commercial customers, primarily MNCs and Central banks which intervene in the market from time to time to smooth exchange rate fluctuations or to maintain target exchange rates.

Over 90% of the total volume of the transactions is represented by inter-bank transactions and the remaining 10% by transactions between banks and their non-bank customers. It is worth noting that central bank intervention involving buying or selling in the market is often indistinguishable from the foreign exchange dealings of commercial banks or of other participants. The foreign exchange is similar to the over-the counter market in securities. It has no centralized physical market place (except for a few places in Europe and the futures market of the International Monetary Market of the Chicago

Mercantile Exchange) and no fixed opening and closing time. The trading in foreign exchange is done over the telephone, telexes, computer terminals and other electronic means of communication. The currencies and the extent of participation of each currency in this market depend on local regulations that vary from country to country.

It is interesting to note that bulk of the turnover in the international exchange market is represented by speculative transactions. Foreign exchange market in India is relatively very small. The major players in that market are the RBI, banks and business enterprises. Indian foreign exchange market is controlled and regulated by the RBI. The RBI plays crucial role in settling the day-to-day rates.

PARTICIPANTS IN FOREIGN EXCHANGE MARKET

Participants in Foreign exchange market can be categorized into five major groups, viz.; commercial banks, Foreign exchange brokers, Central bank, MNCs and Individuals and Small businesses.

Commercial Banks

The major participants in the foreign exchange market are the large Commercial banks who provide the core of market. As many as 100 to 200 banks across the globe actively “make the market” in the foreign exchange. These banks serve their retail clients, the bank customers, in conducting foreign commerce or making international investment in financial assets that require foreign exchange.

These banks operate in the foreign exchange market at two levels. At the retail level, they deal with their customers-corporations, exporters and so forth. At the wholesale level, banks maintain an inter-bank market in foreign exchange either directly or through specialized foreign exchange brokers. The bulk of activity in the foreign exchange market is conducted in an inter-bank wholesale market-a network of large international banks and brokers. Whenever a bank buys a currency in the foreign currency market, it is simultaneously selling another currency. A bank that has committed itself to buy a certain particular currency is said to have long position in that currency. A short-term position occurs when the bank is committed to selling amounts of that currency exceeding its commitments to purchase it.

Foreign Exchange Brokers

Foreign exchange brokers also operate in the international currency market. They act as agents who facilitate trading between dealers. Unlike the banks, brokers serve merely as matchmakers and do not put their own money at risk. They actively and constantly monitor exchange rates offered by the major international banks through computerized systems such as Reuters and are able to find quickly an opposite party for a client without revealing the identity of either party until a transaction has been agreed upon. This is why inter-bank traders use a broker primarily to disseminate as quickly as possible a currency quote to many other dealers.

Central Banks

Another important player in the foreign market is Central bank of the various countries. Central banks frequently intervene in the market to maintain the exchange rates of their currencies within a desired range and to smooth fluctuations within that range. The level of the bank's intervention will depend upon the exchange rate regime followed by the given country's Central bank.

MNCs

MNCs are the major non-bank participants in the forward market as they exchange cash flows associated with their multinational operations. MNCs often contract to either pay or receive fixed amounts in foreign currencies at future dates, so they are exposed to foreign currency risk. This is why they often hedge these future cash flows through the inter-bank forward exchange market.

Individuals and Small Businesses

Individuals and small businesses also use foreign exchange market to facilitate execution of commercial or investment transactions. The foreign needs of these players are usually small and account for only a fraction of all foreign exchange transactions. Even then they are very important participants in the market. Some of these participants use the market to hedge foreign exchange risk.

SEGMENTS OF FOREIGN EXCHANGE MARKET

There are two segments of foreign exchange market, viz., Spot Market and Forward Market.

Spot Market

In spot market currencies are exchanged immediately on the spot. This market is used when a firm wants to change one currency for another on the spot. The procedure is very simple. A banker can either handle the transaction for the firm or may have it handled by another bank.

Within minutes the firm knows exactly how many units of one currency are to be received or paid for a certain number of units of another currency.

For instance, a US firm wants to buy 4000 books from a British Publisher. The Publisher wants four thousand British Pounds for the books so that the American firm needs to change some of its dollars into pounds to pay for the books. If the British Pound is being exchanged, say, for US \$ 1.70, then £ 4,000 equals \$ 6800.

The US firm simply pays \$ 6800 to its bank and the bank exchanges the dollars for 4000 £ to pay the British Publisher.

In the Spot market risks are always involved in any particular currency. Regardless of what currency a firm holds or expects to hold, the exchange rate may change and the firm may end up with a currency that declines in values if it is unlucky or not careful.

There are also risks that what the firm owes or will owe may be stated in a currency that becomes more valuable and, as such possibly harder to obtain and use to pay the obligation.

Forward Market

Forward market has come into existence to avoid uncertainties. In Forward market, a forward contract about which currencies are to be traded, when the exchange is to occur, how much of each currency is involved, and which side of the contract each party is entered into between the firms. With this contract, a firm eliminates one uncertainty, the exchange rate risk of not knowing what it will receive or pay in future. However, it may be noted that any possible gains in exchange rate changes are also estimated and the contract may cost more than it turns out to be worth.

For example, suppose that the ninety-day forward price of the British pound is 2.000 (US\$ 2.00 per £) or quoted £ 0.5000 per US \$, and that the current spot price is US \$ 1.650. If a firm enters into a forward contract at the forward exchange rate, it indicates a preference for this forward rate to the unknown rate that will be quoted ninety days from now in the spot market.

However, if the spot price of the pound increases by 100 per cent during the next 90 days, the pound would be US \$ 3.3000 and the £ 5,00,000 could be converted into US \$ 1,650,000. The forward market, therefore, can remove the uncertainty of not knowing how much the firm will receive or pay. But it creates one uncertainty-whether the firm might have been better off by waiting.

FUNCTIONS OF FOREIGN EXCHANGE MARKET

Foreign exchange market plays a very significant role in business development of a country because of the fact that it performs several useful functions, as set out below:

- Foreign exchange market transfers purchasing power across different countries, which results in enhancing the feasibility of international trade and overseas investment.
- It acts as a central focus whereby prices are set for different currencies.
- With the help of foreign exchange market investors can hedge or minimize the risk of loss due to adverse exchange rate changes.
- Foreign exchange market allows traders to identify risk free opportunities and arbitrage these away.
- It facilitates investment function of banks and corporate traders who are willing to expose their firms to currency risks.

FOREIGN EXCHANGE DERIVATIVE

A foreign exchange derivative is a financial derivative whose payoff depends on the foreign exchange rates of two (or more) currencies. These instruments are commonly used for currency speculation and arbitrage or for hedging foreign exchange risk.

HISTORY

Foreign exchange transactions can be traced back to the fourteenth Century in the UK, but the coming into being and development of foreign exchange derivatives market was in the 1970s with the historical background and economic environment. Firstly, after the collapse of the Bretton Woods system, in 1976, IMF held a meeting in Jamaica and reached the Jamaica agreement. When floating exchange rate system replacing a fixed exchange rate system, many countries had gradually relaxed the control of interest rate and the risk of financial market increased. In order to reduce and avoid risks and achieve the purpose of hedging, modern financial derivatives came into being. Secondly, economic globalization promoted the globalization of financial activities and financial markets. After the collapse of the Bretton Woods system, a large number of capitals flew across the world. Countries generally relaxed restrictions on domestic and foreign financial institutions and foreign investors. Changes in macroeconomic factors led to the market risk and the demand for foreign exchange derivatives market increasing further, what promoted the development of the derivatives market. Under such circumstances, financial institutions continue to create new financial tools to meet the needs of traders for avoiding the risk. Therefore, a large number of foreign exchange derivatives was widely used, making the foreign exchange market expanded from the traditional transactions market to the derivatives market, and develop rapidly.

EXCHANGE RATE

In finance, an exchange rate is the rate at which one currency will be exchanged for another. It is also regarded as the value of one country's currency in relation to another currency. For example, an interbank exchange rate of 114 Japanese yen to the United States dollar means that ¥114 will be exchanged for each US\$1 or that US\$1 will be exchanged for each ¥114. In this case it is said that the price of a dollar in relation to yen is ¥114, or equivalently that the price of a yen in relation to dollars is \$1/114.



Fig. USD, EUR and Romanian leu

Exchange rates are determined in the foreign exchange market, which is open to a wide range of different types of buyers and sellers, and where currency trading is continuous: 24 hours a day except weekends, *i.e.*, trading from 20:15 GMT on Sunday until 22:00 GMT Friday. The spot exchange rate refers to the current exchange rate. The forward exchange rate refers to an exchange rate that is quoted and traded today but for delivery and payment on a specific future date.

In the retail currency exchange market, different buying and selling rates will be quoted by money dealers. Most trades are to or from the local currency. The buying rate is the rate at which money dealers will buy foreign currency, and the selling rate is the rate at which they will sell that currency. The quoted rates will incorporate an allowance for a dealer's margin (or profit) in trading, or else the margin may be recovered in the form of a commission or in some other way. Different rates may also be quoted for cash, a documentary form or electronically. The higher rate on documentary transactions has been justified as compensating for the additional time and cost of clearing the document. On the other hand, cash is available for resale immediately, but brings security, storage, and transportation costs, and the cost of tying up capital in a stock of banknotes (bills).

THE RETAIL EXCHANGE MARKET

Currency for international travel and cross-border payments is predominantly purchased from banks, foreign exchange brokerages and various forms of bureaux de change. These retail outlets source currency from the inter-bank markets, which are valued by the Bank for International Settlements at 5.3 trillion US dollars per day. The purchase is made at the spot contract rate. Retail customers will be charged, in the form of commission or otherwise, to cover the provider's costs and generate a profits. One form of charge is the use of an exchange rate that is less favourable than the wholesale spot rate. The difference between retail buying and selling prices is referred to as the bid-ask spread.

QUOTATIONS

In the foreign exchange market, a currency pair is the quotation of the relative value of a currency unit against the unit of another currency. The quotation EUR/USD 1.3225 means that 1 Euro will buy 1.3225 US dollars. In other words, this is the price of a unit of Euro in US dollars. Here, EUR is called the "Fixed currency", while USD is called the "Variable currency".

There is a market convention that determines which is the fixed currency and which is the variable currency. In most parts of the world, the order is: EUR – GBP – AUD – NZD – USD – others. Accordingly, in a conversion from EUR to AUD, EUR is the fixed currency, AUD is the variable currency and the exchange rate indicates how many Australian dollars would be paid or received for 1 Euro. Cyprus and Malta, which were quoted as the base to the USD and others, were recently removed from this list when

they joined the Eurozone. In some areas of Europe and in the retail market in the United Kingdom, EUR and GBP are reversed so that GBP is quoted as the fixed currency to the euro. In order to determine which is the fixed currency when neither currency is on the above list (*i.e.*, both are “other”), market convention is to use the fixed currency which gives an exchange rate greater than 1.000. This reduces rounding issues and the need to use excessive numbers of decimal places. There are some exceptions to this rule: for example, the Japanese often quote their currency as the base to other currencies.

Quotation using a country’s home currency as the price currency (for example, EUR 0.8989 = USD 1.00 in the Eurozone) is known as direct quotation or price quotation (from that country’s perspective) and is used in most countries.

Quotation using a country’s home currency as the unit currency (for example, USD 1.11 = EUR 1.00 in the Eurozone) is known as indirect quotation or quantity quotation and is used in British newspapers; it is also common in Australia, New Zealand and the Eurozone.

Using direct quotation, if the home currency is strengthening (that is, appreciating, or becoming more valuable) then the exchange rate number decreases. Conversely, if the foreign currency is strengthening and the home currency is depreciating, the exchange rate number increases.

Market convention from the early 1980s to 2006 was that most currency pairs were quoted to four decimal places for spot transactions and up to six decimal places for forward outright or swaps. (The fourth decimal place is usually referred to as a “pip”). An exception to this was exchange rates with a value of less than 1.000 which were usually quoted to five or six decimal places. Although there is no fixed rule, exchange rates numerically greater than around 20 were usually quoted to three decimal places and exchange rates greater than 80 were quoted to two decimal places. Currencies over 5000 were usually quoted with no decimal places (for example, the former Turkish Lira). *e.g.*, (GBPOMR: 0.765432 -: 1.4436 - EURJPY: 165.29). In other words, quotes are given with five digits. Where rates are below 1, quotes frequently include five decimal places.

In 2005, Barclays Capital broke with convention by quoting spot exchange rates with five or six decimal places on their electronic dealing platform. The contraction of spreads (the difference between the bid and ask rates) arguably necessitated finer pricing and gave the banks the ability to try and win transactions on multibank trading platforms where all banks may otherwise have been quoting the same price. A number of other banks have now followed this system.

EXCHANGE RATE REGIME

Each country determines the exchange rate regime that will apply to its currency. For example, the currency may be free-floating, pegged (fixed), or a hybrid. If a currency is free-floating, its exchange rate is allowed to vary against that of other currencies and is determined by the market forces of supply and demand. Exchange rates for such

currencies are likely to change almost constantly as quoted on financial markets, mainly by banks, around the world. A movable or adjustable peg system is a system of fixed exchange rates, but with a provision for the revaluation (usually devaluation) of a currency. For example, between 1994 and 2005, the Chinese yuan renminbi (RMB) was pegged to the United States dollar at RMB 8.2768 to \$1. China was not the only country to do this; from the end of World War II until 1967, Western European countries all maintained fixed exchange rates with the US dollar based on the Bretton Woods system. But that system had to be abandoned in favour of floating, market-based regimes due to market pressures and speculation, according to President Richard M. Nixon in a speech on August 15, 1971, in what is known as the Nixon Shock. Still, some governments strive to keep their currency within a narrow range. As a result, currencies become over-valued or under-valued, leading to excessive trade deficits or surpluses.

FLUCTUATIONS IN EXCHANGE RATES

A market-based exchange rate will change whenever the values of either of the two component currencies change. A currency becomes more valuable whenever demand for it is greater than the available supply. It will become less valuable whenever demand is less than available supply (this does not mean people no longer want money, it just means they prefer holding their wealth in some other form, possibly another currency).

Increased demand for a currency can be due to either an increased transaction demand for money or an increased speculative demand for money. The transaction demand is highly correlated to a country's level of business activity, gross domestic product (GDP), and employment levels. The more people that are unemployed, the less the public as a whole will spend on goods and services. Central banks typically have little difficulty adjusting the available money supply to accommodate changes in the demand for money due to business transactions.

Speculative demand is much harder for central banks to accommodate, which they influence by adjusting interest rates. A speculator may buy a currency if the return (that is the interest rate) is high enough. In general, the higher a country's interest rates, the greater will be the demand for that currency. It has been argued that such speculation can undermine real economic growth, in particular since large currency speculators may deliberately create downward pressure on a currency by shorting in order to force that central bank to buy their own currency to keep it stable. (When that happens, the speculator can buy the currency back after it depreciates, close out their position, and thereby take a profit.) For carrier companies shipping goods from one nation to another, exchange rates can often impact them severely. Therefore, most carriers have a CAF charge to account for these fluctuations.

PURCHASING POWER OF CURRENCY

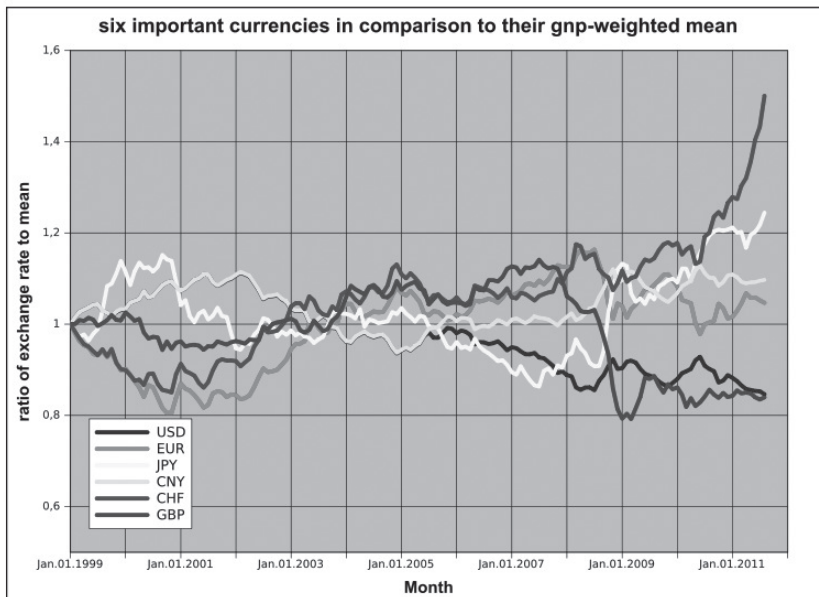
The real exchange rate (RER) is the purchasing power of a currency relative to another at current exchange rates and prices. It is the ratio of the number of units of a

given country's currency necessary to buy a market basket of goods in the other country, after acquiring the other country's currency in the foreign exchange market, to the number of units of the given country's currency that would be necessary to buy that market basket directly in the given country. There are various ways to measure RER.

Thus the real exchange rate is the exchange rate times the relative prices of a market basket of goods in the two countries. For example, the purchasing power of the US dollar relative to that of the euro is the dollar price of a euro (dollars per euro) times the euro price of one unit of the market basket (euros/goods unit) divided by the dollar price of the market basket (dollars per goods unit), and hence is dimensionless. This is the exchange rate (expressed as dollars per euro) times the relative price of the two currencies in terms of their ability to purchase units of the market basket (euros per goods unit divided by dollars per goods unit). If all goods were freely tradable, and foreign and domestic residents purchased identical baskets of goods, purchasing power parity (PPP) would hold for the exchange rate and GDP deflators (price levels) of the two countries, and the real exchange rate would always equal 1.

The rate of change of the real exchange rate over time for the euro versus the dollar equals the rate of appreciation of the euro (the positive or negative percentage rate of change of the dollars-per-euro exchange rate) plus the inflation rate of the euro minus the inflation rate of the dollar.

BILATERAL VS. EFFECTIVE EXCHANGE RATE



Example of GNP-weighted nominal exchange rate history of a basket of 6 important currencies (US Dollar, Euro, Japanese Yen, Chinese Renminbi, Swiss Franks, Pound Sterling)

Bilateral exchange rate involves a currency pair, while an effective exchange rate is a weighted average of a basket of foreign currencies, and it can be viewed as an overall measure of the country's external competitiveness. A nominal effective exchange rate (NEER) is weighted with the inverse of the asymptotic trade weights. A real effective exchange rate (REER) adjusts NEER by appropriate foreign price level and deflates by the home country price level. Compared to NEER, a GDP weighted effective exchange rate might be more appropriate considering the global investment phenomenon.

PARALLEL EXCHANGE RATE

In many countries there is a distinction between the official exchange rate for permitted transactions and a parallel exchange rate that responds to excess demand for foreign currency at the official exchange rate. The degree by which the parallel exchange rate exceeds the official exchange rate is known as the parallel premium.

UNCOVERED INTEREST RATE PARITY

Uncovered interest rate parity (UIRP) states that an appreciation or depreciation of one currency against another currency might be neutralized by a change in the interest rate differential. If US interest rates increase while Japanese interest rates remain unchanged then the US dollar should depreciate against the Japanese yen by an amount that prevents arbitrage. The future exchange rate is reflected into the forward exchange rate stated today. In our example, the forward exchange rate of the dollar is said to be at a discount because it buys fewer Japanese yen in the forward rate than it does in the spot rate. The yen is said to be at a premium.

UIRP showed no proof of working after the 1990s. Contrary to the theory, currencies with high interest rates characteristically appreciated rather than depreciated on the reward of the containment of inflation and a higher-yielding currency.

BALANCE OF PAYMENTS MODEL

The balance of payments model holds that foreign exchange rates are at an equilibrium level if they produce a stable current account balance. A nation with a trade deficit will experience a reduction in its foreign exchange reserves, which ultimately lowers (depreciates) the value of its currency. A cheaper (undervalued) currency renders the nation's goods (exports) more affordable in the global market while making imports more expensive. After an intermediate period, imports will be forced down and exports to rise, thus stabilizing the trade balance and bring the currency towards equilibrium.

Like purchasing power parity, the balance of payments model focuses largely on trade-able goods and services, ignoring the increasing role of global capital flows. In other words, money is not only chasing goods and services, but to a larger extent, financial assets such as stocks and bonds. Their flows go into the capital account item of the balance of payments, thus balancing the deficit in the current account. The increase in capital flows has given rise to the asset market model effectively.

ASSET MARKET MODEL

The increasing volume of trading of financial assets (stocks and bonds) has required a rethink of its impact on exchange rates. Economic variables such as economic growth, inflation and productivity are no longer the only drivers of currency movements. The proportion of foreign exchange transactions stemming from cross border-trading of financial assets has dwarfed the extent of currency transactions generated from trading in goods and services.



Fig. World banknotes

The asset market approach views currencies as asset prices traded in an efficient financial market. Consequently, currencies are increasingly demonstrating a strong correlation with other markets, particularly equities.

Like the stock exchange, money can be made (or lost) on trading by investors and speculators in the foreign exchange market. Currencies can be traded at spot and foreign exchange options markets. The spot market represents current exchange rates, whereas options are derivatives of exchange rates.

MANIPULATION OF EXCHANGE RATES

A country may gain an advantage in international trade if it controls the market for its currency to keep its value low, typically by the national central bank engaging in open market operations in the foreign exchange market. In the early twenty-first century it was widely asserted that the People's Republic of China had been doing this over a long period of time.

Other nations, including Iceland, Japan, Brazil, and so on have had a policy of maintaining a low value of their currencies in the hope of reducing the cost of exports and thus bolstering their economies. A lower exchange rate lowers the price of a country's goods for consumers in other countries, but raises the price of imported goods and services for consumers in the low value currency country.

In general, exporters of goods and services will prefer a lower value for their currencies, while importers will prefer a higher value.

EXCHANGE RATE POLICY

The exchange rate of an economy affects aggregate demand through its effect on export and import prices, and policy makers may exploit this connection.

Deliberately altering exchange rates to influence the macro-economic environment may be regarded as a type of monetary policy. Changes in exchange rates initially work their way into an economy via their effect on prices. For example, if £1 exchanges for \$1.50 on the foreign exchange market, a UK product selling for £10 in the UK will sell for \$15 in New York.

If the exchange rate now appreciates, so that £1 buys \$1.60, the UK product in New York will now sell for \$16. Assuming that demand in New York is price inelastic, this is good news for UK exporters because revenue in USDs will rise. However, if demand is elastic in New York, the effect of the appreciation of sterling would be damaging to UK exporters.

If the UK also imports goods from the USA, the rise in the exchange rate would mean that a \$10 US product is now cheaper in London, falling from £6.67p to £6.25p. Importers do relatively well from the appreciation of the pound, in that the cost of imported raw materials or finished goods falls.

Therefore, whenever the exchange rate changes there will be a double effect, on both import and export prices. Changes in import and export prices will lead to changes in import and export volumes, causing changes in import spending and export revenue.

Exchange rates can be manipulated so that they deviate from their natural equilibrium rate. To stimulate exports, rates would be held down, and to reduce inflationary pressure rates would be kept up. While the Bank of England does not specifically target the exchange rate, the Monetary Policy Committee (MPC) will take exchange rates into account.

Clearly, the MPC would prefer a relatively high rate, as this reduces the price of imports and works against inflationary pressure. However, the MPC must keep an eye on export competitiveness, and, if rates rise excessively, UK exports will become uncompetitive.

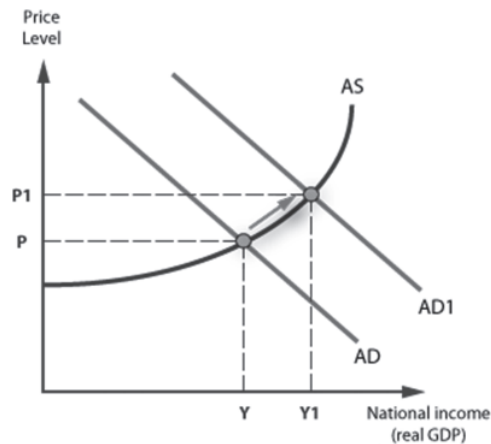
How Exchange Rates are Manipulated

Exchange rates can be manipulated by buying or selling currencies on the foreign exchange market. To raise the value of the pound the Bank of England buys pounds, and to lower the value, it sells pounds.

Rates can also be manipulated through interest rates, which affect the demand and supply of Sterling via their effect on inflows of *hot money*. Altering exchange rates is commonly regarded as a type of monetary policy.

Effects of a Reduction in the Exchange Rate

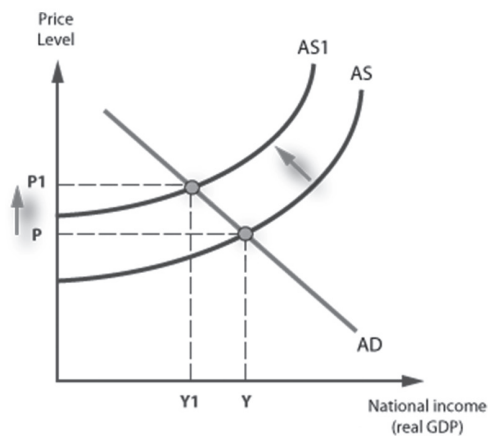
Assuming the economy has an output gap, a reduction in the exchange rate will reduce export prices, and, assuming demand is elastic, export revenue will increase.



A fall in the exchange rate will also raise import prices, and assuming elasticity of demand, import spending will fall. The combined effect is an increase in AD and an improvement in the UK balance of payments.

Cost Push Inflation

A fall in the exchange rate is inflationary for a second reason - the cost of imported raw materials adds to production costs and creates cost-push inflation.



Evaluation of Exchange Rate Policy

The main advantage of manipulating exchange rates is that, because a large share of UK output is traded internationally, changes in exchange rates will have a powerful effect on AD.

For example, lowering exchange rates, called devaluation, can:

- Raise aggregate demand
- Increase national output (GDP)
- Create jobs, amplified through the multiplier effect

- In addition, assuming the demand for imports and exports are price sensitive (price elastic), devaluation will lead to an improvement in the balance of payments - although this can also lead to inflation

Alternatively, raising exchange rates (revaluation) can:

- Help reduce excessive aggregate demand
- Keep inflation down
- Although the export sector may suffer and jobs might be lost.

On balance, UK policy makers in recent years have preferred to allow the financial markets to determine exchange rates, rather than manipulate them for policy objectives. The last time exchange rates were directly targeted was between 1985 and 1992, when the UK shadowed movements in the Deutschmark, and then, from 1990 to 1992, when the UK became a member of the exchange rate fixing *Exchange Rate Mechanism* (ERM).

EXCHANGE-RATE REGIME

An exchange-rate regime is the way an authority manages its currency in relation to other currencies and the foreign exchange market. It is closely related to monetary policy and the two are generally dependent on many of the same factors. The basic types are a *floating* exchange rate, where the economy dictates movements in the exchange rate; a *pegged float*, where a central bank keeps the rate from deviating too far from a target band or value; and a *fixed* exchange rate, which ties the currency to another currency, mostly reserve currencies such as the U.S. dollar or the euro or a basket of currencies.

FLOAT

Floating rates are the most common exchange rate regime today. For example, the dollar, euro, yen, and British pound all are floating currencies. However, since central banks frequently intervene to avoid excessive appreciation or depreciation, these regimes are often called *managed float* or a *dirty float*.

PEGGED FLOAT

Pegged floating currencies are pegged to some band or value, either fixed or periodically adjusted. During the 1950s and most of the 1960s, for example, the United States pegged the dollar to gold (\$35.00 was equal to one ounce of gold), and most other countries had pegged their currencies to the dollar (the German Mark was fixed at four marks equal to one dollar for much of this time). The U.S. government would buy or sell gold at \$35.00 per ounce to foreign governments on demand, and the German government would buy and sell dollars at a price of four marks per dollar. Pegged floats are:

Crawling Bands

The rate is allowed to fluctuate in a band around a central value, which is adjusted periodically. This is done at an unannounced rate or in a controlled way following economic indicators.

Crawling Pegs

The rate itself is fixed, and adjusted as above.

Pegged with Horizontal Bands

The rate is allowed to fluctuate in a fixed band (bigger than 1%) around a central rate. One version of the “pegged with horizontal bands” is E. Ray Canterbury’s delayed peg. Fluctuations occur within a 2 percent band, sufficiently wide to allow some trade adjustments and considerable short-term capital flows, but narrow enough to avoid unusually large fluctuations. The wide bank is allowed to move in the case of large official foreign exchange losses. China’s current “floating band” is essentially a delayed peg.

FIXED

Fixed rates are those that have direct convertibility towards another currency. In case of a separate currency, also known as a currency board arrangement, the domestic currency is backed one to one by foreign reserves. A pegged currency with very small bands ($< 1\%$) and countries that have adopted another country’s currency and abandoned its own also fall under this.

CURRENCY SUBSTITUTION

Currency substitution, also called dollarization, is the use of a foreign currency in parallel to or instead of the domestic currency. The term is applied to the use of any foreign currency as the national currency, for example Zimbabwe used a number of foreign currencies after the collapse of the Zimbabwean dollar in 2009.

FLOATING EXCHANGE RATE

A floating exchange rate or fluctuating exchange or flexible exchange rate is a type of exchange-rate regime in which a currency’s value is allowed to fluctuate in response to foreign-exchange market mechanisms. A currency that uses a floating exchange rate is known as a floating currency. A floating currency is contrasted with a fixed currency whose value is tied to that of another currency, material goods or to a currency basket.

In the modern world, most of the world’s currencies are floating; such currencies include the most widely traded currencies: the United States dollar, the Indian rupee, the euro, the Norwegian krone, the Japanese yen, the British pound, and the Australian dollar. However, central banks often participate in the markets to attempt to influence the value of floating exchange rates. The Canadian dollar most closely resembles a pure floating currency, because the Canadian central bank has not interfered with its price since it officially stopped doing so in 1998. The US dollar runs a close second, with very little change in its foreign reserves; in contrast, Japan and the UK intervene to a greater extent, whereas India has seen medium range intervention by its central bank, the Reserve Bank of India.

From 1946 to the early 1970s, the Bretton Woods system made fixed currencies the norm; however, in 1971, the US decided no longer to uphold the dollar exchange at 1/35th of an ounce of gold, so that the currency was no longer fixed. After the 1973 Smithsonian Agreement, most of the world's currencies followed suit. However, some countries, such as most of the Gulf States, fixed their currency to the value of another currency, which has been more recently associated with slower rates of growth. When a currency floats, targets other than the exchange rate itself are used to administer monetary policy.

ECONOMIC RATIONALE

There are economists who think that in most circumstances, floating exchange rates are preferable to fixed exchange rates. As floating exchange rates automatically adjust, they enable a country to dampen the impact of shocks and foreign business cycles, and to preempt the possibility of having a balance of payments crisis. However, they also engender unpredictability as the result of their dynamism.

However, in certain situations, fixed exchange rates may be preferable for their greater stability and certainty. That may not necessarily be true, considering the results of countries that attempt to keep the prices of their currency “strong” or “high” relative to others, such as the UK or the Southeast Asia countries before the Asian currency crisis.

The debate of making a choice between fixed and floating exchange rate regimes is set forth by the Mundell–Fleming model, which argues that an economy (or the government) cannot simultaneously maintain a fixed exchange rate, free capital movement, and an independent monetary policy. It must choose any two for control and leave the other to market forces. The primary argument for a floating exchange rate is that it allows monetary policies to be useful for other purposes. Under fixed rates, monetary policy is committed to the single goal of maintaining exchange rate at its announced level. Yet the exchange rate is only one of the many macroeconomic variables that monetary policy can influence. A system of floating exchange rates leaves monetary policy makers free to pursue other goals such as stabilizing employment or prices. In cases of extreme appreciation or depreciation, a central bank will normally intervene to stabilize the currency. Thus, the exchange rate regimes of floating currencies may more technically be known as a managed float. A central bank might, for instance, allow a currency price to float freely between an upper and lower bound, a price “ceiling” and “floor”. Management by the central bank may take the form of buying or selling large lots in order to provide price support or resistance or, in the case of some national currencies, there may be legal penalties for trading outside these bounds.

FEAR OF FLOATING

A free floating exchange rate increases foreign exchange volatility. There are economists who think that this could cause serious problems, especially in emerging economies.

These economies have a financial sector with one or more of following conditions:

- High liability dollarization
- Financial fragility
- Strong balance sheet effects

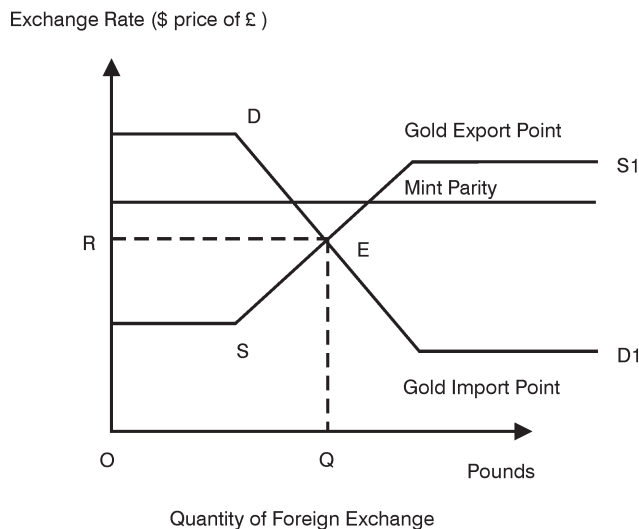
When liabilities are denominated in foreign currencies while assets are in the local currency, unexpected depreciations of the exchange rate deteriorate bank and corporate balance sheets and threaten the stability of the domestic financial system.

For this reason emerging countries appear to face greater fear of floating, as they have much smaller variations of the nominal exchange rate, yet face bigger shocks and interest rate and reserve movements. This is the consequence of frequent free floating countries' reaction to exchange rate movements with monetary policy and/or intervention in the foreign exchange market. The number of countries that present fear of floating increased significantly during the 1990s.

FOREIGN EXCHANGE RATE POLICY

FIXED CONVERSION (O) EXCHANGE RATES

Under this rates system, all conversion transactions take place at a conversion rate that is ascertained by the fiscal power. It may determine the conversion rate by legislation or interference in currency markets. It may purchase or sell currencies as per the needs of the nation or may take policy decision to enhance or depreciate the national currency. The monetary authority keeps overseas currency reserves in order to arbitrate in the conversion markets when the demand and supply of overseas conversion are not equal at the predetermined price.



This is described in the diagram below where D and S are the demand and supply curves of pound. They ascertain the conversion rate E which the authority maintains. Presume the demand for pounds is more than their supply as represented by PP' in the

diagram presented the supply curve (S Curve). This tends to increase in the conversion rate to E2 when the new demand curve intersects the supply curve S. To maintain the conversion rate at the fixed level E the monetary authority will continue to supply supplementary pounds to the market from its reserves till the conversion rate E is arrived.

In the contra case, if there is surplus supply of pounds parities to PP' in the market given the demand D curve, the exchange rate drops to E1 as represented by the rightward movement of the supply curve to S1 and it is overlapping the D curve at P1.

The monetary authority will commence purchasing these surplus pounds from the market till the exchange rate E is accomplished. The following are the applications of the above method.

Depends on General Currency

The case for fixed conversion rate among different nations depends on the case for a common currency within a nation. A nation having a common currency with a set value facilitates trade enhances manufacture and tends to faster development of the fiscal system.

Likewise, a nation would benefit if it has a fixed value of its currency in association to other nations. Therefore, fixed conversion rates encourage overseas business by making prices of commodities integrated in trade more predictable.

Encourage Long Term Capital Flows

The next case or argument for a system of predetermined conversion rates is that it motivates long term capital flows in an orderly and smooth approach. There is no ambiguity and risk resulting from a system of predetermined conversion rates.

No Dread of Currency Variations

There is no dread of currency drop or enhancement under a system of fixed conversion rates. For example, it eliminates dread that keeps large quantities of foreign currency might tend to losses if a currency's value falls. Therefore, it creates self-assurance in the power of the home currency.

No Awful Consequence of Conjecture

There is no dread of any awful consequence of conjecture on the conversion rate as conjecture performance are controlled and banned by the fiscal authorities under a system of fixed conversion rates.

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TRIANGULAR ARBITRAGE

Triangular arbitrage (also referred to as cross currency arbitrage or three-point arbitrage) is the act of exploiting an arbitrage opportunity resulting from a pricing discrepancy among three different currencies in the foreign exchange market. A triangular arbitrage strategy involves three trades, exchanging the initial currency for a second, the second currency for a third, and the third currency for the initial. During the second trade, the arbitrageur locks in a zero-risk profit from the discrepancy that exists when the market cross exchange rate is not aligned with the implicit cross exchange rate. A profitable trade is only possible if there exist market imperfections. Profitable triangular arbitrage is very rarely possible because when such opportunities arise, traders execute trades that take advantage of the imperfections and prices adjust up or down until the opportunity disappears.

MECHANICS OF TRIANGULAR ARBITRAGE

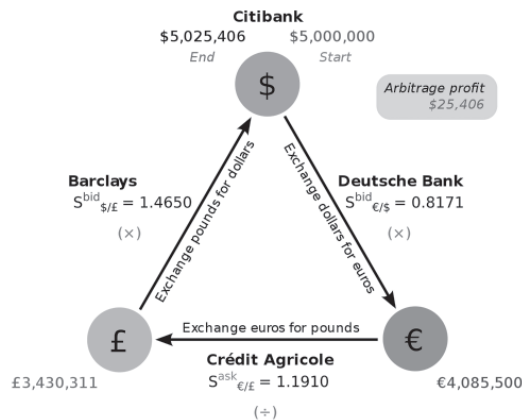


Fig. A visual representation of a realistic triangular arbitrage scenario, using sample bid and ask prices quoted by international banks.

Some international banks serve as market makers between currencies by narrowing their bid-ask spread more than the bid-ask spread of the implicit cross exchange rate. However, the bid and ask prices of the implicit cross exchange rate naturally discipline market makers. When banks' quoted exchange rates move out of alignment with cross exchange rates, any banks or traders who detect the discrepancy have an opportunity to earn arbitrage profits via a triangular arbitrage strategy. To execute a triangular arbitrage trading strategy, a bank would calculate cross exchange rates and compare them with exchange rates quoted by other banks to identify a pricing discrepancy.

For example, Citibank detects that Deutsche Bank is quoting dollars at a bid price of 0.8171 €/\$, and that Barclays is quoting pounds at a bid price of 1.4650 \$/£ (Deutsche Bank and Barclays are in other words willing to buy those currencies at those prices). Citibank itself is quoting the same prices for these two exchange rates. A trader at Citibank then sees that Credit Agricole is quoting pounds at an ask price of 1.1910 €/£ (in other words it is willing to sell pounds at that price). While the quoted market cross exchange rate is 1.1910 €/£, Citibank's trader realizes that the implicit cross exchange rate is 1.1971 €/£ (by calculating $1.4650 \times 0.8171 = 1.1971$), meaning that Credit Agricole has narrowed its bid-ask spread to serve as a market maker between the euro and the pound. Although the market suggests the implicit cross exchange rate should be 1.1971 euros per pound, Credit Agricole is selling pounds at a lower price of 1.1910 euros. Citibank's trader can hastily exercise triangular arbitrage by exchanging dollars for euros with Deutsche Bank, then exchanging euros for pounds with Crédit Agricole, and finally exchanging pounds for dollars with Barclays. The following steps illustrate the triangular arbitrage transaction.

- Citibank sells \$5,000,000 to Deutsche Bank for euros, receiving €4,085,500. ($\$5,000,000 \times 0.8171 \text{ €/\$} = \text{€}4,085,500$)
- Citibank sells €4,085,500 to Credit Agricole for pounds, receiving £3,430,311. ($\text{€}4,085,500 \div 1.1910 \text{ €/£} = \text{£}3,430,311$)
- Citibank sells £3,430,311 to Barclays for dollars, receiving \$5,025,406. ($\text{£}3,430,311 \times 1.4650 \text{ \$/\£} = \$5,025,406$)
- Citibank ultimately earns an arbitrage profit of \$25,406 on the \$5,000,000 of capital it used to execute the strategy.

The reason for dividing the euro amount by the euro/pound exchange rate in this example is that the exchange rate is quoted in euro terms, as is the amount being traded. One could multiply the euro amount by the reciprocal pound/euro exchange rate and still calculate the ending amount of pounds.

EVIDENCE FOR TRIANGULAR ARBITRAGE

Research examining high-frequency exchange rate data has found that mispricings do occur in the foreign exchange market such that executable triangular arbitrage opportunities appear possible. In observations of triangular arbitrage, the constituent exchange rates have exhibited strong correlation. A study examining exchange rate

data provided by HSBC Bank for the Japanese yen (JPY) and the Swiss franc (CHF) found that although a limited number of arbitrage opportunities appeared to exist for as many as 100 seconds, 95% of them lasted for 5 seconds or less, and 60% lasted for 1 second or less. Further, most arbitrage opportunities were found to have small magnitudes, with 94% of JPY and CHF opportunities existing at a difference of 1 basis point, which translates into a potential arbitrage profit of \$100 USD per \$1 million USD transacted.

Tests for seasonality in the amount and duration of triangular arbitrage opportunities have shown that incidence of arbitrage opportunities and mean duration is consistent from day to day. However, significant variations have been identified during different times of day. Transactions involving the JPY and CHF have demonstrated a smaller number of opportunities and long average duration around 01:00 and 10:00 UTC, contrasted with a greater number of opportunities and short average duration around 13:00 and 16:00 UTC. Such variations in incidence and duration of arbitrage opportunities can be explained by variations in market liquidity during the trading day. For example, the foreign exchange market is found to be most liquid for Asia around 00:00 and 10:00 UTC, for Europe around 07:00 and 17:00 UTC, and for America around 13:00 and 23:00 UTC. The overall foreign exchange market is most liquid around 08:00 and 16:00 UTC, and the least liquid around 22:00 and 01:00 UTC. The periods of highest liquidity correspond with the periods of greatest incidence of opportunities for triangular arbitrage. This correspondence is substantiated by the observation of narrower bid-ask spreads during periods of high liquidity, resulting in a greater potential for mispricings and therefore arbitrage opportunities. However, market forces are driven to correct for mispricings due to a high frequency of trades that will trade away fleeting arbitrage opportunities.

Researchers have shown a decrease in the incidence of triangular arbitrage opportunities from 2003 to 2005 for the Japanese yen and Swiss franc and have attributed the decrease to broader adoption of electronic trading platforms and trading algorithms during the same period. Such electronic systems have enabled traders to trade and react rapidly to price changes. The speed gained from these technologies improved trading efficiency and the correction of mispricings, allowing for less incidence of triangular arbitrage opportunities.

PROFITABILITY

Mere existence of triangular arbitrage opportunities does not necessarily imply that a trading strategy seeking to exploit currency mispricings is consistently profitable. Electronic trading systems allow the three constituent trades in a triangular arbitrage transaction to be submitted very rapidly. However, there exists a delay between the identification of such an opportunity, the initiation of trades, and the arrival of trades to the party quoting the mispricing. Even though such delays are only milliseconds in duration, they are deemed significant. For example, if a trader places each trade as a

limit order to be filled only at the arbitrage price and a price moves due to market activity or new price is quoted by the third party, then the triangular transaction will not be completed. In such a case, the arbitrageur will face a cost to close out the position that is equal to the change in price that eliminated the arbitrage condition.

In the foreign exchange market there are many market participants competing for each arbitrage opportunity; for arbitrage to be profitable a trader would need to identify and execute each arbitrage opportunity faster than competitors. Competing arbitrageurs are expected to persist in striving to increase their execution speed of trades by engaging in what some researchers describe as an “electronic trading ‘arms race’.” The costs involved in keeping ahead in such a competition present difficulty in consistently beating other arbitrageurs over the long term. Other factors such as transaction costs, brokerage fees, network access fees, and sophisticated electronic trading platforms further challenge the feasibility of significant arbitrage profits over prolonged periods.

FORWARD MARKET

The forward market is the informal over-the-counter financial market by which contracts for future delivery are entered into. Standardized forward contracts are called futures contracts and traded on a futures exchange.

It should not be confused with the futures market, as:

- Future contracts are traded in exchanges whereas a forward contract is traded over the counter.
- The forward market is highly customized.
- Each party has to deal with counterparty risk, unlike exchange-traded futures where the contracts are renovated.

FORWARD EXCHANGE MARKET

The forward exchange market is a market for contracts that ensure the future delivery of a foreign currency at a specified exchange rate. The price of a forward contract is known as the forward rate.

FORWARD RATES

Forward rates are usually negotiated for delivery one month, three months, or one year after the date of the contract’s creation. They usually differ from the spot rate and from each other. If one currency is expected to depreciate against a second, it is said the first currency is selling at a discount on the forward market. The term selling at a premium on the forward market is used for cases in which appreciation is expected.

What Determines the Forward Rate

If there is no government intervention on the value of a currency, the forward market will be governed by supply and demand. In such a case it is possible that the forward

rate provides information on the future spot rate, but ultimately uncertain. What is certain is that the forward rates reflect the expectations forward market participants have on the changes of the spot rate during the specified interval. If the forward rate and the spot rate are the same, forward market participants do not expect much change in the price of a currency over the given period of time. Forward contracts can be used to hedge or cover exposure to foreign exchange risk.

FORWARD EXCHANGE RATE

The forward exchange rate (also referred to as forward rate or forward price) is the exchange rate at which a bank agrees to exchange one currency for another at a future date when it enters into a forward contract with an investor. Multinational corporations, banks, and other financial institutions enter into forward contracts to take advantage of the forward rate for hedging purposes. The forward exchange rate is determined by a parity relationship among the spot exchange rate and differences in interest rates between two countries, which reflects an economic equilibrium in the foreign exchange market under which arbitrage opportunities are eliminated. When in equilibrium, and when interest rates vary across two countries, the parity condition implies that the forward rate includes a premium or discount reflecting the interest rate differential. Forward exchange rates have important theoretical implications for forecasting future spot exchange rates. Financial economists have put forth a hypothesis that the forward rate accurately predicts the future spot rate, for which empirical evidence is mixed.

DIFFERENCES BETWEEN SPOT AND FORWARD FOREIGN EXCHANGE

Reducing currency risk is becoming more prevalent as small business owners can cast a wider net of transactions internationally thanks to the Internet. But to protect your business (and your profits), one must learn the ins and outs of foreign exchange.

SPOT FOREIGN EXCHANGE

A spot foreign exchange rate is the rate of a foreign exchange contract for immediate delivery (usually within two days). The spot rate represents the price that a buyer expects to pay for a foreign currency in another currency. These contracts are typically used for immediate requirements, such as property purchases and deposits, deposits on cards, etc.

You can buy a spot contract to lock in an exchange rate through a specific future date. Or, for a modest fee, you can purchase a forward contract to lock in a future rate.

FORWARD FOREIGN EXCHANGE

A forward foreign exchange is a contract to purchase or sell a set amount of a foreign currency at a specified price for settlement at a predetermined future date (closed forward)

or within a range of dates in the future (open forward). Contracts can be used to lock in a currency rate in anticipation of its increase at some point in the future. The contract is binding for both parties.

HOW IT WORKS

If payment on a transaction is to be made immediately, the purchaser has no choice other than to buy foreign exchange on the spot or current market, for immediate delivery. However, if payment is to be made at some future date, the purchaser has the option of buying foreign exchange on the spot market or on the forward market, for delivery at some future date.

For example, you want to buy a piece of property in Japan in three months in Yen. You're funding the purchase from a sale of a property in the United States in U.S. dollars, and you want to take advantage of the current exchange rate from Yen to U.S. dollar. Here you could use a forward. Regardless of what happens during the next three months on the exchange rate, you would pay the set rate you have agreed on rather than the market rate at the time.

This same scenario applies to importing and exporting in terms of buying products in one currency (*e.g.*, Yen) and importing and paying for them in another currency (*e.g.*, U.S. dollar).

Where is it Done

Spot and forward foreign exchange agreements and contracts can be established through any sophisticated international banking facility—just ask. But you must first become a bank customer, complete appropriate paperwork and will, more than likely, have to make a deposit to serve as cash collateral.

Advantage to Foreign Exchange

The primary advantage to spot and forward foreign exchange is it helps manage risk: allowing you to protect costs on products and services bought abroad; protect profit margins on products and services sold overseas; and, in the case of forward foreign exchange, locks in exchange rates for as long as a year in advance.

It enables you to avoid the risk of currency fluctuations. This is called currency hedging.

The management of foreign exchange should not be done by a layperson. It should be conducted by a knowledgeable finance individual, preferably an in-house treasurer, CFO or finance specialist who coordinates efforts with the purchasing, operations (manufacturing) and marketing departments of the business. For example, if the finance specialist sees or anticipates his local currency declining or that of his supplier or subsidiary base, he may purchase a stronger foreign currency as a reserve for future use. If the specialist is on top of his finance game, substantial income can be generated through foreign exchange transactions beyond that of normal company operations.

FOREIGN CURRENCY OPTION

A foreign currency option gives its owner the right, but not the obligation, to buy or sell currency at a certain price (known as the strike price), either on or before a specific date. In exchange for this right, the buyer pays an up-front premium to the seller. The income earned by the seller is restricted to the premium payment received, while the buyer has a theoretically unlimited profit potential, depending upon the future direction of the relevant exchange rate. Foreign currency options are used to hedge against the possibility of losses caused by changes in exchange rates.

Foreign currency options are available for the purchase or sale of currencies within a certain future date range, with the following variations available for the option contract:

- *American option.* The option can be exercised on any date within the option period, so that delivery is two business days after the exercise date.
- *European option.* The option can only be exercised on the expiry date, which means that delivery will be two business days after the expiry date.
- *Burmudan option.* The option can only be exercised on certain predetermined dates.

The holder of a foreign currency option will exercise it when the strike price is more favorable than the current market rate, which is called being in-the-money. If the strike price is less favorable than the current market rate, this is called being out-of-the-money, in which case the option holder will not exercise the option. If the option holder is inattentive, it is possible that an in-the-money option will not be exercised prior to its expiry date. Notice of option exercise must be given to the counterparty by the notification date stated in the option contract.

A foreign currency option provides two key benefits:

- *Loss prevention.* An option can be exercised to hedge the risk of loss, while still leaving open the possibility of benefiting from a favorable change in exchange rates.
- *Date variability.* The treasury staff can exercise an option within a predetermined date range, which is useful when there is uncertainty about the exact timing of the underlying exposure.

There are a number of factors that enter into the price of a currency option, which can make it difficult to ascertain whether a quoted option price is reasonable. These factors are:

- The difference between the designated strike price and the current spot price. The buyer of an option can choose a strike price that suits his specific circumstances. A strike price that is well away from the current spot price will cost less, since the likelihood of exercising the option is low. However, setting such a strike price means that the buyer is willing to absorb the loss associated with a significant change in the exchange rate before seeking cover behind an option.
- The current interest rates for the two currencies during the option period.

- The duration of the option.
- Volatility of the market. This is the expected amount by which the currency is expected to fluctuate during the option period, with higher volatility making it more likely that an option will be exercised. Volatility is a guesstimate, since there is no quantifiable way to predict it.
- The willingness of counterparties to issue options.

Banks generally allow an option exercise period of no more than three months. Multiple partial currency deliveries within a currency option can be arranged.

Exchange traded options for standard quantities are available. This type of option eliminates the risk of counterparty failure, since the clearing house operating the exchange guarantees the performance of all options traded on the exchange.

Foreign currency options are particularly valuable during periods of high currency price volatility. Unfortunately from the perspective of the buyer, high volatility equates to higher option prices, since there is a higher probability that the counterparty will have to make a payment to the option buyer.

MANAGING FOREIGN EXCHANGE RISK: CURRENCY OPTIONS

FOREIGN EXCHANGE RISK MANAGEMENT

What is a Derivative

A derivative is a financial instrument whose value changes relative to another underlying instrument. It derives its value from changes in the value of the other instrument but this is not the same as buying the underlying instrument. A derivative may require little or no initial investment and is settled at a future date. A currency option is a derivative because its value depends on the future exchange rate between two currencies. The corporate treasurer has a range of approaches to manage any foreign exchange exposure, but the course taken must be in keeping with the board's policy on acceptable risk. This policy should form part of the company's treasury policy and will include a statement of whether trading in derivatives is allowed. When a company is exposed to a foreign exchange risk that its risk management policy determines should be hedged there may be a natural hedge that is available. The company may borrow in the currency or have offsetting flows in one form or another. If not, the treasurer needs to manage the exposure differently. Currency options are one option.

What is a Currency Option

A currency option gives the buyer of the option the right, but not the obligation, to exchange a quantity of one currency for an agreed quantity of another on or before (depending on the terms of the option agreement) a given date in the future.

THE DANGERS OF OPTIONS

There are certainly dangers associated with the use of options. But, as with any product, most can be avoided as long as the user understands how options work. Critically, the company needs to identify the exchange rate movement that it wants to protect against, and to ensure the option meets that risk. Buying an option can be seen as a form of insurance. For a premium, you get the right to buy or sell a currency at a certain rate. As the buyer of the option you do not have to take up (or exercise) the option. But if you do take up the option, the seller (or writer) of the option has to provide the currency at the agreed rate.

THE USES FOR A CURRENCY OPTION

Broadly speaking, there are three main reasons for entering into a currency option:

- If you have to make a payment in a foreign currency at some point in the future you can protect against an appreciation of that foreign currency. For example, a company that knows it will have to make a foreign currency payment in, say, two month's time has three choices:
 - It can take no action now and simply buy the currency in two month's time. This allows the company to benefit if its operating currency appreciates against the foreign currency. However, it also leaves the company exposed to the risk that its operating currency depreciates.
 - To counter this risk of currency depreciation, the company could fix the exchange rate by entering into a forward foreign exchange contract now. However, this commits the company to the forward exchange rate and so it will not benefit if its operating currency appreciates in the next two months.
 - Buying an option to buy the currency allows the company to fix a worst case scenario, effectively the maximum amount of its operating currency it has to pay in two month's time in order to fulfil the contract. An option contract still allows the company to benefit if its operating currency does appreciate, thus reducing the price that will have to be paid in the company's operating currency.
- The reverse situation arises when expecting receipt of a payment in a foreign currency at some point in the future. An option can protect against a depreciation of that foreign currency. The choices are the same as, albeit opposite to, those described above. A company that expects to receive a fixed foreign currency payment in two month's time may decide to enter into an options contract to sell the currency. This will fix the worst case scenario, which will be the minimum amount of its operating currency that the company will receive after the foreign currency is exchanged. The option contract still allows the exporter to benefit from a depreciation of its operating currency, which will increase the quantity it receives in settlement of the contract.

- Similarly a possible exposure in a currency can be protected. A company that has tendered for a contract can protect the economics of that contract until the decision is taken. Consider a French company that has tendered for a contract to provide the French Government with 5,000 computers in six months time. The French Government will announce its decision in one month. The company's price includes the cost of the import of 5,000 computer chips from Taiwan. The company does not want to order or import the chips now in case it doesn't win the contract. However, if the Taiwanese dollar (TWD) appreciates too much against the euro in the next month, then the cost of importing the chips will result in the company making a loss on the contract. Buying an option on TWD for one month is one way that the company can protect itself against an appreciation of the TWD until it knows whether it has won the contract. If it fails, it has lost the option premium, but at least it does not have 5,000 unwanted chips in storage or a lot of TWD it cannot use!

OPTION JARGON: A BRIEF GUIDE

Holder

The holder of the option is the purchaser of the option, who can choose to exercise the option.

Writer

The seller of the option. In most cases, this will be a bank.

Exercise the Option

A holder takes up the option to buy or sell the currency.

Strike Price/Rate

The rate at which the option applies.

In, Out of and At the Money

An option is in the money if the strike rate is more advantageous to the holder than the market rate. It is out of the money if the reverse is true. An option is at the money if the strike rate is more advantageous to the holder than the market rate. It is out of the money if the reverse is true. An option is at the money if the strike rate equals the market rate.

TYPES OF CURRENCY OPTION

There are two main types of currency option:

- *Call option:* Where the company has the right to buy foreign currency. The importer in the example would buy a call option.

- *Put option:* Where the company has the right to sell foreign currency. The exporter in the example would buy a put option.

REDUCING THE COST

Options can be expensive. Putting it bluntly, they cost a lot if they are likely to be used. The higher the chance that the option will be exercised, the higher the premium will be.

There is one way that this premium can be reduced. The buyer of an option is normally trying to protect against an adverse change in the value of a currency. The buyer of the option will be less concerned about a movement in the value the other way. Some of this “upside” potential can be given up by the buyer writing an option and receiving a premium for this. This premium can then be used to reduce or offset the premium for the original option.

If a company writes an option in this way, a risk is being taken. If the option is exercised the company will have to meet its obligation under the option agreement.

So, companies wanting to reduce the premium payable for the option can use variations of the call and put options. These can be tailored to provide the necessary “downside” protection, whilst giving up some of the potential benefits. The most common alternatives are:

Currency Collar (or cylinder) Options

The company agrees to buy a call option and at the same time writes a put option with the same counterparty, normally a bank. For example, an importer will buy a call option to protect against a depreciation of its operating currency below a certain rate, thus providing a guarantee of the maximum it will have to pay if it needs the currency. At the same time, the importer will sell a put option to the bank at another higher rate. This limits the company’s potential benefits in the event of an appreciation of its operating currency. Hence the description “collar” or “cylinder” to describe the band of rates within which the company is now working.

These simultaneous options can be structured in such a way that one premium offsets the other – but you cannot get something for nothing. The counterparty will have calculated that this gives a profit and that the company has given up more potential gain than it has protected potential loss. But the company has now secured a worst rate and best rate for the transaction, eliminated the FX risk at minimal cost and protected its profit margin on the underlying transaction. Remember, the bank will exercise its put option if the operating currency appreciates above the option rate.

Participating Forwards

Another alternative is to buy the call option and write the put option at the same strike price (or rate). There is no “collar” of rates in this case yet protection can still be achieved with no premium if the principal amounts are adjusted.

Next Month

Next month we will look in detail at how currency options work when used to manage foreign exchange risk.

The importer will buy a call option to provide a worst case price. It will simultaneously sell a put option to the bank at the same strike price. The premium the bank pays for this will be large if the rate is already “in the money”. So, by writing the put option for a smaller amount the company will get enough premium to offset the cost of the call option. Once again this will allow the importer to protect the downside risk completely by giving up some of the benefit from an appreciation in its operating currency. It has agreed a worst case rate. It is, of course, more likely that the bank will exercise its put option at the same worst case rate. The option was “in the money” when it was written and may remain so. But the company still benefits from any appreciation on the remaining amount and has protected the worst case completely.

If the operating currency weakens below the strike price on maturity, then the importer will exercise the call option, guaranteeing the worst case price. If the exchange rate strengthens and is above the strike price at maturity, the bank will exercise its option on the lesser amount.

DIFFERENCE BETWEEN FOREIGN CURRENCY OPTIONS AND FUTURES



Fig. Futures and options are two different ways to trade currencies.

Currency options and futures are both derivative contracts – they derive their values from the underlying asset — in this case, currency pairs. Currencies always trade in pairs. For example, the euro/U.S. dollar pair is denoted as EUR/USD. Buying this pair means going long, or buying, the numerator, or base, currency —the euro — and selling the denominator, or quote, currency — the dollar. If you sold the pair, these relationships would be reversed. You make money when the long currency appreciates against the short currency.

FOREIGN CURRENCY FUTURES

Currency futures oblige the contract buyer to purchase the long currency and pay for it with the short currency. The contract seller has the reverse obligation. The obligation comes due on the futures expiration date, and the ratio of bought and sold currencies is

agreed to in advance. The profit or loss arises from the difference between the agreed price and the actual price on the expiration date. Margin is always deposited for futures trades – it is cash that acts as a performance bond to ensure both parties fulfill their obligations.

OPTIONS ON CURRENCY PAIRS

The buyer of a currency pair call option may decide to execute or to sell the option on or before the expiration date. The option has a strike price that denotes a particular exchange ratio for the pair. If the actual price of the currency pair exceeds the strike price, the call holder can sell the option for a profit, or execute the option to buy the base and sell the quote on profitable terms. A put buyer is betting on the quote currency appreciating against the base currency.

OPTIONS ON CURRENCY FUTURES

Instead of having an option to buy and sell currency pairs, an option on a currency future gives holders the right, but not obligation, to buy a futures contract on the currency pair. The strategy at play here is that the option buyer can benefit from the futures market without putting down any margin. Should the futures contract appreciate, the call holder can simply sell the call for a profit and need not purchase the underlying futures contract. A put buyer profits if the futures contract loses value.

DIFFERENCES BETWEEN OPTIONS AND FUTURES

The main difference is that option buyers are not obligated to actually purchase or sell the long currency – futures traders are. Option sellers may have to buy or sell the underlying asset if the trades go against them. Option buyers need not put up any margin and their potential loss is limited to the purchase cost, or premium, of the option. Option sellers and futures traders must put up margin and have virtually unlimited risk. Finally, the premium of an options contract is almost always lower than the required margin on a similar futures contract.

FOREIGN CURRENCY AND CURRENCY EXCHANGE RATES

You must express the amounts you report on your U.S. tax return in U.S. dollars. If you receive all or part of your income or pay some or all of your expenses in foreign currency, you must translate the foreign currency into U.S. dollars. How you do this depends on your functional currency. Your functional currency generally is the U.S. dollar unless you are required to use the currency of a foreign country.

Note: Payments of U.S. tax must be remitted to the U.S. Internal Revenue Service (IRS) in U.S. dollars. You must make all federal income tax determinations in your functional currency. The U.S. dollar is the functional currency for all taxpayers except

some qualified business units (QBUs). A QBU is a separate and clearly identified unit of a trade or business that maintains separate books and records. Even if you have a QBU, your functional currency is the dollar if any of the following apply.

- You conduct the business in dollars.
- The principal place of business is located in the United States.
- You choose to or are required to use the dollar as your functional currency.
- The business books and records are not kept in the currency of the economic environment in which a significant part of the business activities is conducted.

Make all income tax determinations in your functional currency. If your functional currency is the U.S. dollar, you must immediately translate into dollars all items of income, expense, etc. (including taxes), that you receive, pay, or accrue in a foreign currency and that will affect computation of your income tax. Use the exchange rate prevailing when you receive, pay, or accrue the item. If there is more than one exchange rate, use the one that most properly reflects your income. You can generally get exchange rates from banks and U.S. Embassies.

If your functional currency is not the U.S. dollar, make all income tax determinations in your functional currency. At the end of the year, translate the results, such as income or loss, into U.S. dollars to report on your income tax return.

CURRENCY EXCHANGE RATES

An exchange rate is the rate at which one currency may be converted into another, also called rate of exchange of foreign exchange rate or currency exchange rate. Below are government and external resources that provide currency exchange rates.

Note: The exchange rates referenced on this page do not apply when making payments of U.S. taxes to the IRS. If the IRS receives U.S. tax payments in a foreign currency, the exchange rate used by the IRS to convert the foreign currency into U.S. dollars is based on the date the foreign currency is converted to U.S. dollars by the bank processing the payment, not the date the foreign currency payment is received by the IRS.

FOREIGN CURRENCY MORTGAGE

A foreign currency mortgage is a mortgage which is repayable in a currency other than the currency of the country in which the borrower is a resident. Foreign currency mortgages can be used to finance both personal mortgages and corporate mortgages.

The interest rate charged on a Foreign currency mortgage is based on the interest rates applicable to the currency in which the mortgage is denominated and not the interest rates applicable to the borrower's own domestic currency. Therefore, a Foreign currency mortgage should only be considered when the interest rate on the foreign currency is significantly lower than the borrower can obtain on a mortgage taken out in his or her domestic currency. Borrowers should bear in mind that ultimately they have a liability to repay the mortgage in another currency and currency exchange rates constantly change. This means that if the borrower's domestic currency was to strengthen

against the currency in which the mortgage is denominated, then it would cost the borrower less in domestic currency to fully repay the mortgage. Therefore, in effect, the borrower makes a capital saving.

Conversely, if the exchange rate of borrowers domestic currency were to weaken against the currency in which the mortgage is denominated, then it would cost the borrower more in their domestic currency to repay the mortgage. Therefore, the borrower makes a capital loss.

When the value of the mortgage is large, it may be possible to reduce or limit the risk in the exchange exposure by hedging.

Managed currency mortgages can help to reduce risk exposure. A borrower can allow a specialist currency manager to manage their loan on their behalf (through a limited power of attorney), where the currency manager will switch the borrower's debt in and out of foreign currencies as they change in value against the base currency. A successful currency manager will move the borrower's debt into a currency which subsequently falls in value against the base currency. The manager can then switch the loan back into the base currency (or another weakening currency) at a better exchange rate, thereby reducing the value of the loan. A further benefit of this product is that the currency manager will try to select currencies with a lower interest rate than the base currency, and the borrower therefore can make substantial interest savings.

There are risks associated with these types of mortgages and the borrower must be prepared to accept an (often limited) increase in the value of their debt if there are adverse movements in the currency markets.

A successful currency manager may be able to use the currency markets to pay off a borrower's loan (through a combination of debt reduction and interest rate savings) within the normal lifetime of the loan, while the borrower pays on an interest only basis.

A borrower can also choose from various products available at specialist money transfer providers *e.g.*; Forward Contracts and Currency options, where you can choose a future date for the transaction to take place. Both these products also allow a borrower to fix an exchange rate, which safeguards his money from the fluctuations in the currency market. Products facilitating 'Regular Payment' ensures that your mortgage payment is paid on the stipulated date as indicated by you thus preventing any default in payments.

International Marketing Environment

The key difference between domestic marketing and marketing on an international scale is the multidimensionality and complexity of the many foreign country markets a company may operate in. An international manager needs a knowledge and awareness of these complexities and the implications they have for international marketing management.

ENVIRONMENTAL INFLUENCES ON INTERNATIONAL MARKETING

SOCIAL/CULTURAL ENVIRONMENT

The social and cultural influences on international marketing are immense. Differences in social conditions, religion and material culture all affect consumers' perceptions and patterns of buying behaviour. It is this area that determines the extent to which consumers across the globe are either similar or different and so determines the potential for global branding and standardisation. A failure to understand the social/cultural dimensions of a market are complex to manage, as McDonald's found in India. It had to deal with a market that is 40 per cent vegetarian, had an aversion to either beef or pork among meat-eaters and a hostility to frozen meat and fish, but with the general Indian fondness for spice with everything. To satisfy such tastes, McDonald's discovered it needed to do more than provide the right burgers. Customers buying vegetarian burgers wanted to be sure that these were cooked in a separate area in the kitchen using separate

utensils and sauces like McMasala and McImli were developed to satisfy the Indian taste for spice. Interestingly however, these are now innovations they have introduced into other markets.

LEGAL ENVIRONMENT

Legal systems vary both in content and interpretation. A company is not just bound by the laws of its home country but also by those of its host country and by the growing body of international law. This can affect many aspects of a marketing strategy – for instance advertising – in the form of media restrictions and the acceptability of particular creative appeals.).

Product acceptability in a country can be affected by minor regulations on such things as packaging and by more major changes in legislation. It is important, therefore, for the firm to know the legal environment in each of its markets. These laws constitute the ‘rules of the game’ for business activity.

The legal environment in international marketing is more complicated than in domestic markets since it has three dimensions:

- *Local domestic laws:* These are all different! The only way to find a route through the legal maze in overseas markets is to use experts on the separate legal systems and laws pertaining in each market targeted
- *International law:* There are a number of international laws that can affect the organisation’s activity. Some are international laws covering piracy and hijacking, others are more international conventions and agreements and cover items such as the International Monetary Fund (IMF) and World Trade Organisation (WTO) treaties, patents and trademarks legislation and harmonisation of legal systems within regional economic groupings, *e.g.*, the European Union.
- *Domestic laws in the home country:* The organisation’s domestic (home market) legal system is important for two reasons. First, there are often export controls which limit the free export of certain goods and services to particular marketplaces, and second, there is the duty of the organisation to act and abide by its national laws in all its activities, whether domestic or international.

India is regarded by many firms as an attractive emerging market beset with many legal difficulties, bureaucratic delay and lots of red tape. For example, shoes cannot be imported in pairs but have to be imported one at a time – which causes huge problems for shoe manufacturers who need to import shoes as production samples. The way many of them overcome the problem is by importing the left shoe via Madras and the right shoe via Mumbai. Companies such as Mercedes Benz, Coca-Cola and Kellogg have found the vast potential of India’s market somewhat hard to break into. Its demanding consumers can be difficult to read and local rivals can be surprisingly tough. Political squabbles, bureaucratic delays and infrastructure headaches are also major obstacles.

ECONOMIC ENVIRONMENT

The purchasing power of people in a country is a crucial factor in determining the demand for products. Marketers must pay close attention to major trends in income and consumer spending patterns. In short, the economic conditions of a country – the nature of the economy, the stage of development of the economy, economic resources, the level and distribution of income, etc. are all very important factors in marketing. Further economic factors like inflation, productivity, shortages, unemployment etc have a tremendous impact on prices and incomes.

Hence, marketers must incorporate these factors while preparing marketing programmes. This understanding is important at a world level in terms of the world trading infrastructure such as world institutions and trade agreements developed to foster international trade, at a regional level in terms of regional trade integration and at a country/ market level. Firms need to be aware of the economic policies of countries and the direction in which a particular market is developing economically in order to make an assessment as to whether they can profitably satisfy market demand and compete with firms already in the market.

POLITICAL ENVIRONMENT

The political environment of international marketing includes any national or international political factor that can affect the organization's operations or its decision making. Politics has come to be recognized as the major factor in many international business decisions, especially in terms of whether to invest and how to develop markets. Politics is intrinsically linked to a government's attitude to business and the freedom within which it allows firms to operate. Unstable political regimes expose foreign businesses to a variety of risks that they would generally not face in the home market. This often means that the political arena is the most volatile area of international marketing. The tendencies of governments to change regulations can have a profound effect on international strategy, providing both opportunities and threats.

POLITICAL FACTORS INCLUDE

- *Laws:* There are laws in some countries that will greatly affect your ability to do business in them or prohibit it altogether. One such example is Thailand which has specific laws stating no foreign person or company can own more than 49% of business in Thailand, so you must be willing to take on a Thai partner in order to do business there. You must be aware of laws like this if part of your product marketing strategy includes manufacturing or distributing your wares in a foreign target market country.
- *Licensing and Permits:* There is a chance that the only way you can do business in a foreign country is to give out an expensive permit or license of another business in that country to manufacture and sell your product for you. Governments do these things as a way of making sure a larger percentage of

income from sales stays in the home country. An example of this is Pepsi's license to Heineken to bottle and sell Pepsi products in the Netherlands.

- *Taxes:* Taxes are another way that governments can cash in on foreign businesses operating and selling products in their country, so their citizens' spending does not allow much money to leave the country. Taxes can and do impact your ability to make a profit selling goods and services in a foreign country and will shape your international marketing strategy because of that. High tax rates on goods sold, like those in the USA, can make it hard for a business to stay on the right side of that fine line between profit and loss.
- *Fees:* When you market your products for sale in a foreign country, you may be subject to pay certain fees for the right to do that. These fees can be a one-time deal or recurring, and they can also be quite high in some circumstances if they involve what might be considered luxury items.
- *Tariffs:* Tariffs have long been used to balance trade between countries and to protect national companies from losing business to foreign competitors. This can be a big factor when it comes to international trade and marketing your company's products or services for sale. An example of this is China's 105.4% tariff on chicken that is shipped from the USA; it is easy to see how a high tariff like this can push a country's citizens toward buying domestically raised chicken.
- *Currency risks:* There are always risks when doing business in the currency of a foreign country that you are marketing your product or services to. If you have your money tied up in a foreign currency and economic events fall just right, your company could stand to lose millions.
- *Other Political Risks and Restrictions:*
 - *Investment restrictions:* Many countries have strict requirements on who can own businesses and do other business-related investments in their country. Your marketing department needs to be aware of these things. For instance in Malaysia, if you are an agricultural business and you want to buy land to produce fruits and vegetables to sell there, any land purchase over \$163,000 is subject to approval by the government and may come with other restrictions too.
 - *Operational restrictions:* Just how much operational control you will have over your overseas business remains to be seen, and that is a concern for some. Because of some of the restrictions that have been discussed and other requirements for doing business in a foreign country, chances are your business will need an international management team. This will affect the operational control of your business and has to be factored into any marketing decisions that your company makes.
 - *Discriminatory restrictions:* Discriminatory practices in a foreign country may inhibit or prohibit marketing your goods and services to that country too.

The USA has imposed import quotas on Japan in protest at non-tariff barriers which they view as being imposed unfairly on US exporters. They have also imposed bans on imports from Libya and Iran in the past. Such barriers tend to be such things as special taxes and tariffs, compulsory subcontracting, or loss of financial freedom.

TECHNOLOGICAL ENVIRONMENT

Technology is a major driving force both in international marketing and in the move towards a more global marketplace. The impact of technological advances can be seen in all aspects of the marketing process. The ability to gather data on markets, management control capabilities and the practicalities of carrying out the business function internationally have been revolutionised in recent years with the advances in electronic communications. Satellite communications, the Internet and the World Wide Web, client–server technologies, ISDN and cable as well as email, faxes and advanced telephone networks have all led to dramatic shrinkages in worldwide communications. Shrinking communications means, increasingly, that in the international marketplace information is power.

The technological changes result in changes in consumption pattern and marketing systems. A new technology may improve our lives in one area while creating environmental and social problem in another area. The marketers should monitor the following trends in technology: the pace of change, the opportunities for innovation, varying research and development budgets, and increased regulation. He should watch the trends in technology and adopt the latest technology so as to stay alive in the field.

MEANING OF INTERNATIONAL MARKETING ENVIRONMENT

International Marketing Environment is the combination of various factors external to an organisation that can affect the international marketing decisions of the organisation in international market. These factors are largely uncontrollable, although marketers can influence some of them. For example, Apple cannot control population trends, economic conditions, or laws once passed, but it can have some influence on relations with stakeholders, technological developments, and competitive situations.

International Marketing Environment consists of organization's internal factors, domestic marketing factors, and global marketing factors.

Internal factors are controllable which includes - organisational structure, productivity, relations with stakeholders, organisational policies and rules.

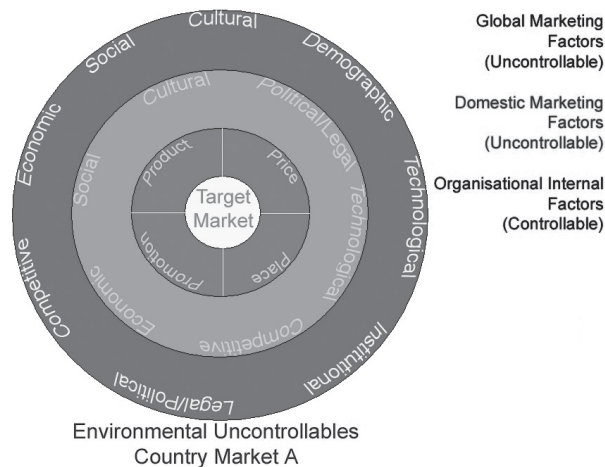
Domestic marketing factors and global marketing factors are uncontrollable. Domestic marketing factors include – availability of raw material, availability of infrastructure, legal system, and technological factors. Global marketing factors are related to the world economy. The main global marketing factors are – Political and legal factors,

economic factors, social factors, technological factors, demographic factors, cultural factors, competitive factors, and institutional factors.

ENVIRONMENTAL SCANNING: IDENTIFYING MARKET OPPORTUNITIES AND THREATS

Organisations do environmental scanning to identify important trends and determine if they represent present or future market opportunities or threats. The process of environmental scanning is consisting of identifying relevant environmental factors and trends and assessing their potential impact on the organization's markets and marketing activities. If the trend creates market opportunity marketers have to take timely decision to take advantage of the opportunity. If the trend poses marketing threat decisions are taken to minimise the threat.

ELEMENTS OF INTERNATIONAL MARKETING ENVIRONMENT



Global Marketing Environment

- Economic Environment
- Social Environment
- Cultural Environment
- Demographic Environment
- Technological Environment
- Institutional Environment
- Legal/Political Environment
- Competitive Environment

Domestic Marketing Environment:

- Domestic political climate,
- Government approach towards international trade,
- Legal system and business ethics,

- Availability and quality of infrastructural facilities,
- Availability and quality of raw-material,
- Functioning of institutions and availability of facilities,
- Technological factors, and
- Ecological factors.

Organisational Internal Environment:

- Goals and objectives of organisation,
- Managerial philosophy of organisation,
- Personal factors related to management,
- Managerial attitudes toward other nations, customers, social welfare, etc.,
- Organisational policies and rules,
- Marketing mix,
- Form of organisation and structure of organisation,
- Internal relations with other departments, and
- Company's relations with other stakeholders and service providers.

FACTORS OF INTERNATIONAL MARKETING ENVIRONMENT

Factors or forces involved in the international marketing environment can be classified into three categories. Manager dealing with international marketing has to design his marketing mix and marketing (mix) strategies in accordance with these forces.

He has to keep in mind the present them and expected impacts of such forces while taking international marketing decisions. The environment determines the degree of favourableness for any marketer for international marketing; determines level of opportunities and threats.

GLOBAL FACTORS

Such factors are related to the world economy. Broader picture of global phenomenon affects every decisions of international marketing.

Main global factors include:

- Customer-related factors
- Political and legal factors
- Social factors
- Cultural factors
- Competition
- Global relations among nations and degree of the worldwide peace.
- Geographic/ecological/climate-related factors
- Functioning of international organisations like UNO, World Bank, WTO, etc.
- Availability of marketing facilities and functioning of international agencies, etc.

DOMESTIC FACTORS

Domestic factors are related to the economy of the nation. Overall economic, social and cultural, demographic, political and legal, and other domestic aspects constitute domestic environment for international marketing. This environment affects international marketing mix in several ways.

Important domestic factors include:

- Political climate/stability/philosophy
- Government approach and attitudes toward international trade
- Legal system and business ethics
- Availability and quality of infrastructural facilities
- Availability and quality of raw-materials
- Functioning of institutions and availability of facilities
- Technological factors
- Ecological factors, etc.

INTERNAL OR ORGANISATIONAL FACTORS

These are internal and controllable factors. They are related to internal situation of the company dealing with international trade. International marketer needs to use, adjust, and organize these factors to satisfy needs and wants of the (international) target markets.

These factors include:

- Objectives of company
- Managerial philosophy of company
- Personal factors related to management
- Managerial attitudes toward other nations, customers, social welfare, etc.
- Company's policies and rules
- Resource ability of company and marketing mix
- Form of organisation and organisational structure.
- Nature and types of employees
- Internal relations with other departments
- Company's relations with other stakeholders and service providers.

THE INTERNATIONAL MARKETING ENVIRONMENTAL FACTORS THAT AFFECT GLOBAL COMPANIES

Engrained in potential clients' behaviour, cultural and social factors are of paramount importance to the international companies aiming to expand their business globally, as exemplified by the Kellogg's case study excerpt above. The business model, strategy and tactics of a company are naturally influenced by the environment where the corporation is formed. For a company operating in a limited geographical sphere the marketing techniques usually follow a linear model, which needs little alteration based

on general market trends applicable to a particular area. When a company extends into other cultures, however, their marketing must be adapted to suit the clientele that they are targeting in the new regions. The advantages of internationalisation are evident, as expansion usually brings along increased profits, due to a larger population that can purchase a company's products or services. However, there are certain disadvantages associated with globalisation of business, including the costs incurred by the company in adapting their operations and marketing tactics to a region's specific demands or the potential failure in conquering a new market.

Globalisation, the vague and highly debated term, usually indicates that businesses can extend their operation to the entire globe through launching their product in a new geographical region. The more culturally sensitive term of glocalisation indicates that internationalisation of business can succeed when a company's management takes into account the various elements that are unique to a region the firm is aiming to conquer. As such, this paper will take into account the environmental factors that influence the international marketing strategy of a multinational company (MNC), aiming to demonstrate the value of glocalisation and the importance of effectively employing an environmental analysis model. The model chosen for this particular paper is the PESTLE (political, economic, social, technological, legal and environmental factors) analysis model, a strategic tool used to determine the prevalence of specific regional factors in international business operations.

The Importance of Internationalisation and Glocalisation

The innovative term of glocalisation is a hybrid concept that links the two extreme approaches of companies of globalising or localising their operations. The golden middle between imposing a well-established model unique to a certain region into all of the targeted international markets and the adaptation to each of the existing cultural biases of a new region, glocalisation is a fusion between the present practice of a firm and the elements which may encounter cultural barriers in a new region. In other words, aiming to introduce innovative products in a new market while remaining culturally sensitive to the customer behaviour of the region can be the key to success in the internationalisation of businesses.

Many successful MNCs have adopted the glocalisation approach in their international expansion, including McDonalds, Starbucks and Coca-Cola. These companies, amongst other successful businesses, demonstrated a sensitivity and responsiveness to the existing cultural biases in their operations and their marketing tactics. For example, Starbucks has diversified their product offerings in the Asian market to include green tea based products to their clients based on the existing customer behaviour patterns which indicated a high consumption of green tea.

Another example offered by Starbucks is the change in the store design aimed to suit the existing attitudes towards coffee shops in France. Although the American company relies on quick and efficient service in their stores across the world, with a surge in

takeaway sales in some regions, they designed a more comfortable experience for their clients in France, who enter coffee shops seeking a pleasurable and sociable experience, rather than a quick service. Throughout their efforts to seek out the most important cultural elements in particular regions, Starbucks remained faithful to its initial concept and strategy of delivering freshly roasted quality coffee to their clients and allowing them to use the space in Starbucks stores as a meeting point with their friends or to use the store's free Wi-Fi. This company, therefore, provides a perfect example of glocalisation, as their international expansion kept contributing to their reputation and brand recognisability, but they have adapted to the existing cultural biases of the regions they expanded into.

PESTLE Analysis

Internationalisation, as presented above, has its challenges and rewards for companies aiming to take over a share of the global market. Marketing in an international context is a costly and complicated function of the business, as the same debate as above about operational decisions in internationalisation applies to the marketing practices of the firm. The distinct environmental elements influencing the international marketing tactics of MNCs are more stringent in instances when companies expand into diametrically different cultures. Using Hofstede's cultural dimensions framework, one can identify the Western cultures (*i.e.*, the UK or US) diametrically opposed to the Asian cultures (*i.e.*, China, Japan) from a cultural and business conduct perspective. In consequence, when a Western company expands its operations into Asia, culture comes into play when it comes to devising a successful marketing strategy. However, culture is just one of the important factors that can influence the success of a firm within a particular region. The research and development (R&D) function of a MNC must take into account political, environmental technological or legal elements that can influence the success of a business in a new region.

International companies allocate a high budget to the development of their marketing strategy and tactics, usually adapting this to incorporate emergent trends in the market, such as the increased focus on digital media. With this in mind, it is clear why many global companies sustain that the ability to maintain a standard approach to marketing irrespective of the region targeted ensures lower costs and higher profitability. However, taking into account macro-environmental factors impacting the businesses' operations, such as the technological advances specific to a country can indicate that standardisation of marketing may be counter-productive in the long term. To exemplify, the budget allocated by an MNC to digital media marketing in the UK has an excellent return on investment (ROI), whilst the same efforts in a country like Peru, where a small percentage of the population has access to social media, may be a waste of time and money for the marketing department. The PESTLE analysis aids companies to take into account all of the macro-environmental factors that can have a significant impact on the international marketing. Its variables will be critically examined in the following paragraphs, referring

specifically to the expansion of large global corporations. The analysis of the PESTLE variables will outline the barriers international firms can encounter due to each macro-environmental factor and the potential benefits that companies can enjoy from implementing a promotional strategy that adapts to the regional markets.

Political Factors

The region where a business is expanding has a political background that can influence the desire of a company to expand their operations within a particular country. The tax policies, controlled by the government, can tempt a particular business to expand into regions where the taxes paid by businesses are significantly lower than the ones in their country of origin. Political stability of a region can also influence the success of international business in a particular country. In terms of a multinational's marketing tactics in a new region, companies must invest time and effort into uncovering the sensitivity of the local customer base to particular messages, when it comes to words with concealed political meaning. For instance, marketing campaigns of Nike promote the fight for freedom and, in areas where political freedom is a sensitive subject; Nike's intended message might be interpreted in the wrong way given the political background of the region.

Government initiatives, which support local producers in certain regions, may work against international firms when it comes to their competitiveness in a foreign region. In order to combat this barrier in the global expansion, MNCs must demonstrate through their marketing tactics that their efforts to sustain local economy and the labour market within a foreign market makes them a valuable contributor to the prosperity of the region.

Economic Factors

Arguably one of the most important elements of the PESTLE micro-environmental analysis tool, economic factors have a considerable influence on the marketing techniques of MNCs. Customer behaviour and their purchase intention are often linked to the consumers' financial status, their emotional relationship with certain products and the ability to preserve or build upon their social status. Marketing and advertising in any context rely on emotional response to certain messages and the potential of customers to associate an individual lifestyle with their products. Luxury brands, from apparel to automobile or cosmetics firms, design their marketing to appeal to financially potent target audiences.

However, this approach has to be adapted to the region that a brand is penetrating. In affluent countries, these brands rarely advertise their products relying instead on their well-established name and loyal customers, whilst in emerging markets the need to invest in the marketing and advertising techniques increases, as the potential target audience for these brands are less brand-conscious. Product placement in local television and local celebrity endorsement are just two of the marketing techniques that international

companies must take into account when launching their product into an emerging market. On the other hand, marketing price competitiveness of a brand may have a greater impact in particular regions where customers are concerned with savings costs and finding cheaper alternatives to what local brands are offering. Giant supermarket chains like Lidl or Tesco have enjoyed a great success in Eastern European markets, as they offered cheaper alternatives to the local supermarkets, through their no-frills operational approach. However, to succeed in these markets, the chain supermarkets had to ensure that local produce is introduced in their range, to increase their relevance to the customer base targeted.

Social Factors

The socio-cultural factors present in a region influences a great deal of the local customers' behaviour. Demographics, the level of education and the age distribution all contribute to the marketing initiatives carried out by individual MNCs into any particular region. Hofstede's (1984) analysis of cultural factors indicates that cultural sensitivity is of paramount importance in the business sphere, which extends to the marketing tactics of international companies. Customers' motivation for purchases of products and services often stems from the perceived importance of a product for their lifestyle. Close examination of the traditions, values or social interactions between customers within a region can lead to more successful marketing messages and tactics developed by the international company in a new area.

If a customer cannot identify the perceived benefits of a product or service promoted by a company, the chances are that they will not purchase those particular goods. There are very slim chances that all cultures will perceive a product and its benefits in an identical manner and Hofstede's cultural analysis of distinct regions informs companies of the most significant differences that international brands must keep in mind when globalising their business.

One dimension highlighted by Hofstede is the importance associated with the gender roles within cultures and how the masculine and feminine cultures have distinct perspectives on the role of men and women in society and business. To exemplify, international magazines like *Cosmopolitan* must take this into account when expanding into new regions, as their focus on female empowerment in the UK could be negatively perceived in Middle Eastern countries for instance. At the same time, individuals identify themselves with those with whom they share a cultural background; so featuring celebrities from the Western world in other regions where the magazine is published may lead to a lack of success of an international magazine. Success in extending the geographical reach of an international publication is, therefore, a much more complex issue that goes beyond merely translating the editorials into the local language. That demonstrates how the socio-cultural factors contribute to the potential impact that an international brand can have in a new region. The Kellogg example at the beginning of this paper demonstrates that the well-established name and recognisability of a brand is

sometimes not enough to overcome the existing cultural biases within a country, and the tendency to take this approach may lead to a lack of success of MNCs in penetrating a new region.

Technological Factors

As mentioned previously, marketing efforts must take into account not only the general market trends for a particular industry, but also the extent to which the targeted audience has access to certain technologies. The majority of businesses in the Western world have focused on developing easily accessible mobile sites, as the number of smartphone users in this region has seen an incredible surge over the past decade. Enabling customers to make purchases via their smartphone contributes to the success and profits of businesses in the UK or US, but this is not the result of the number of users of smartphones, but also the level of confidence of customers in these regions in online payment systems. Whilst companies may experience a surge in sales through developing user-friendly smartphone applications and websites, investing time and effort into this in some regions (emerging economies) may be counterproductive, due to the level of confidence in online shopping in these particular countries. Access to modern technologies, as well as the degree of trust in using these technologies must precede the marketing efforts of international companies in new regions in order to guarantee success.

Although international trends in marketing place an increasing importance on social media promotional techniques, a global brand must ensure that the customer base of a region is prepared to respond to the digital media efforts carried out by a particular brand. Research abilities of a marketing department should inform the strategy and tactics of an MNC in a specific region. If technology is an important element of the marketing efforts of a business, their focus should instead be on educating the potential customer base, rather than taking knowledge for granted, and based on the response of clients in an existing region.

Legal Factors

Consumer protection, trade regulations and restrictions are just some of the legal factors that companies must be aware of in their international marketing efforts. To start with an example; L'Oreal, the well-established global cosmetics brand, must censor the marketing and packaging of their products to comply with the rules and regulations present in the Middle Eastern regions. Although marketing and advertising in the Western world, particularly in the fashion and beauty industries, relies heavily on provocative imagery and messages, this would not only go against the socio-cultural perception of potential customers in Middle Eastern countries, it would also be illegal. Altering their marketing tactics in these regions is, therefore, a prerequisite for MNCs penetrating this market from a legal perspective.

Global companies have often been accused of attempting to monopolise certain industries, which negatively impacts on the overall reputation of the firm and often

influences the local customers to perceive multinationals as a threat, rather than healthy competition for existing competitors. Monopoly of an industry is a threat to customers at large, as the leader of the trade can set their prices and, without any competition; they can decrease the quality of the services or products offered. Although national and international authorities that regulate the trade (*i.e.*, the Competition Commission) ensure that the monopoly of the market will not take place through mergers and acquisitions of a market leader, international marketing has a significant role to play in maintaining a company's reputation intact. The ability to communicate, through marketing messages, that the pricing strategies and level of customer services offered by a company is maintained even after mergers and acquisitions ensures that the customers can continue to perceive a company as ethical.

Environmental Factors

The extent to which a customer's purchase decision is influenced by the ethical behaviour of a firm in relation to the environment is often country-specific or, at least, region specific. The level of education and awareness of local consumers in relation to the importance of firms' corporate social responsibility (CSR) contributes to the extent to which companies should be focusing on promoting their ethical behaviour in a particular region. Whilst international trade regulations have, to a great extent, imposed strict rules in relation to the impact of businesses on the environment, marketing social responsibility is only relevant in some regions. In other words, whilst focusing the marketing efforts to change the branding tactics of a company to reflect a more environmentally friendly strategy may lead to success in some countries, it may well be an ineffective tactic in others. The attitude of consumers in the region towards environmental impact must be first and foremost analysed before a company launches an extensive rebranding campaign that focuses on the green approach of the company in their operations. This is yet another piece of evidence which proves that the standardisation of marketing strategies can be counter-productive in the long run for any global business, as the awareness of what the local customer desires to see and hear in the marketing messages precedes any other previous research findings that set the foundation for the marketing strategy and tactics.

Conclusion

The macro-environmental factors presented above indicate that the one size fits all approach is not indicated for the international marketing strategy and tactics of MNCs. The influence of each of the factors listed in relation to the specifics of the region where a firm aims to globalise their operations must be incorporated into any marketing related efforts of the company in order to ensure success in the market entry and survival of a multinational in relation to its local competitors. Going back to the issue of glocalisation, it is clear that there is an advantage in launching a recognisable global brand within a new region, but failure to comply with particular macro-environmental

factors unique to the region may limit the success of the MNC. Standardised global marketing initiatives may also prove detrimental to the company from a cost perspective due to the fact that, though research and country specific marketing departments require a financial effort, this can prove to be less costly to the business in the long-run, as the local marketing department can uncover how to cut costs based on the most relevant marketing initiatives unique to the region. Whilst global trends to focus on mobile marketing for instance, to assume that implementing this across a company's entire global reach will lead to increased profits may be a flawed perspective, as the paper demonstrates that access to technology and trust of customers in online shopping is different in each region.

Showing a willingness to understand the culture of the area and then apply any specific differences in the operations and marketing initiatives of the firm proves that a multinational is interested in understanding their consumer base. The opposite approach of standardising all transactions and tactics shows that the company is only interested in the potential for increased profits from sales in a new location. The latter approach often leads to resistance of the new customer base to any marketing initiatives of the firm, which in turn leads to failure in conquering a new market. There are, therefore, potential financial and reputation related advantages linked to understanding the macro environmental elements affecting the international marketing tactics of a global company. All in all, international marketing efforts of brands tailored to each culture in particular ensure that multinationals can compete with the local business an efficient manner, building the reputation of the company in the region and increasing the brands' profits.

THE LEGAL, POLITICAL/TRADE ENVIRONMENT

The legal/political aspect is very important in global marketing. "International law" can be defined as rules and principles that states and nations consider binding upon themselves. This raises two interesting characteristics of international law. The first is that "law" belongs to individual nations and international law only exists to the degree that individual nations are willing to relinquish their rights. The second is the lack of an adequate international judicial and administrative framework or a body of law which would form the basis of a truly comprehensive international legal system.

The international business is also subject to political decrees made by governments both in "home" and "host" countries. Home governments can apply pressure not to deal with disapproved parties. These measures may take the refusal to grant an export licence, or withdrawal of export guarantee cover. The host government may take measures like taxation, ownership controls, operating restrictions or expropriation.

LAWS, RULES, AND STANDARDS

All agricultural exports operate within an institutional environment, which is made up of a set of political, social and legal ground rules. These ground rules form the laws of all production, exchange and distribution and give rise to certain expectations and

assurances about the actions of others, and give order and stability to the means of doing business. The most important rules in any system are those defining, allocating and enforcing property rights, and rules and conventions defining allowable and non-allowable forms of cooperation and competition (standards, rules of contract, fair trading etc). Well defined and enforced systems regarding property rights are essential. Articulated ownership and rights to use, trade and alter assets is vital to market development, since this assigns to individuals the right to benefits and losses in production and marketing activities.

Rules and conventions specifying entry conditions and boundaries on cooperative and competitive policies also facilitate exchange and coordination. The establishment and enforcement of standards can reduce transaction costs by increasing the available information to buyers and consumers. Standards may include basic weights, measures, quality grades and contract forms. Quality standards may be mandatory or voluntary and minimum or multiple grades. These standards help where trade is at a distance. The EU has a strict set of standards regarding horticultural products for example, including hygiene, quality and certificates of origin.

Licensing also facilitates marketing agencies and producers by reducing transaction costs. This occurs when the criteria for licensing revolves around asset holdings, financial solvency and so on. Performance standards are built in to maintain the licensing agreement. Increasingly, consumer and trading bodies like the EU are enforcing the disclosure of more and more information. Particularly, these efforts revolve around packaging, labelling and information, for example, pesticides used on horticultural produce. As this trend to disclosure of information grows, along with the phenomenon of product liability, regulations regarding certain tests or inspection of products, handling and processing procedures may be enforced. So may ingredient and nutrition information. This is becoming an increasingly important issue as food products become more complex and varied. One of the problems with this noble effort to inform the consumer is that producers may lose their competitive differentiation advantage through divulging information to competitors.

The EU has gone to extraordinary lengths to inform the consumer, issuing directives on product descriptions and pricing. For example the EU directive on the pricing of cabbages runs to hundreds of pages and, what constitutes “chocolate” and a “sausage” to name but two products, is quite revealing. The EU is also very strict, as is the USA, on food additives or flavour substitutes. It is particularly so for any substance which may have long term harmful effects. The EU produces “E numbers” standards for product additives and artificial colorants or flavourings.

ISSUES

Most issues in the legal/political environment centre around the following:

- “Institutional environment” - made up of political, social and legal ground rules within which the global marketer must operate.

- Property rights - patents, trademarks.
- Taxation - what taxation schemes will be faced abroad?
- Recourse - possibility and length of action with the possibility of image damaging necessitating arbitration.
- Movement of equity and expropriation threats - often necessitating protocols or the signing of trade frameworking agreements.

Efforts to regulate the international legal system include individual country efforts, like the USA International Trade Commission and the GATT system. The GATT system is a set of norms and procedures which member governments have accepted to create order and predictability in international trade relations.

Case 4.1 When Is Chocolate Not Chocolate? Sometime this year the European Union will have to decide at what point chocolate stops being chocolate. As defined by a 1973 European Commission directive, chocolate can only contain cocoa butter, cocoa solids, sugar and, in the case of milk chocolate, milk. But Britain, Ireland and Denmark as well as new EU members Austria Finland and Sweden are exempted from the directive and allow manufacturers to use cocoa-butter equivalents (CBEs) such as palm oil in making chocolate. Now, as the EU brings its policies into line, it is considering whether to allow up to 5 percent CBEs in chocolate manufacturing. Chocolate producers stand to profit from relaxed standards, especially if the price of cocoa were to soar. But the ingredients are less likely to be as much a sticking point as the labelling issue.”What is to stop the chocolate industry from putting pressure on the EU to allow 10 percent or even complete substitution of cocoa butter and still call the remaining product chocolate?” said Gerrit Ribbink of the Netherlands Development Organisation (SNV) in The Hague. It’s misleading to the consumer to use other ingredients and still slick to the name chocolate.”A British consumer spokesman said Britain, which is keen on keeping its current practice of using up to 5 percent CBEs, would oppose new laws that would change labelling standards.”The UK would say the products are still called chocolate”, he said. For cocoa - producing countries, the packaging issue is secondary to the fear that an increase in the use of CBEs will lead to a drop in the demand for cocoa. In a statement last October, the 13-nation Cocoa Producers’ Alliance, which produces more than 90 percent of the world’s cocoa, urged the European Union not to enact the proposals. SNV estimated that if the EU allowed CBEs in chocolate, demand for cocoa could drop by anywhere between 100 000 and 200 000 tonnes. affecting up to 10 percent of world cocoa production. What scares producers even more is that American chocolate manufacturers could lobby the US Food and Drug Administration (FDA) to follow the EU’s example, and this could cut demand even further.

The three basic principles are:

- Nondiscrimination - each member country must treat the trade of all other member countries equally
- Open markets which are encouraged by GATT through a prohibition of all forms of protection except customs tariffs, and

- Fair trade which prohibits export subsidies on manufactured products and limits the use of export subsidies on primary products.

None of these principles is fully realized, simply because it is impossible to “police” all sovereign governments and dictate what is or is not tariff or non tariff discriminating. The need to systematically evaluate the legal/political environment cannot be overemphasized. This can be done by reference to the appropriate embassy or government agency or via magazines like “Foreign Affairs” and even by reference to a domestic agency in the host country.

THE POLITICAL ENVIRONMENT

Checks can be made on the legal/political system as to its ideology, nationalism, stability and international relations.

Ideology: A country’s ideological leaning may be capitalism, socialism, a mixture or other form. In the last years remarkable changes have been taking place in the ideologies of many countries. The most dramatic example has been the collapse of the communist USSR and Eastern Europe and its replacement with market led policies and ideologies. Similarly, many African countries are abandoning their centrist leanings in favour of market led economies, for example, Zimbabwe and Tanzania.

Nationalism: Much was said about nationalism. Whilst, primarily a phenomenon of the developing countries, Yugoslavia has shown it is not entirely so. Nationalism can lead to expropriation of foreign held assets.

Stability: Changes in regime, violence and cultural divisions based on language or other factors can lead to a very uncertain environment in which to conduct business. The current uncertainty in Liberia and Rwanda, the violence of Somalia and Yugoslavia increase the risk and diminish the confidence of doing business in these countries.

International relations: In general international relations have improved over the last twenty years. The development of GATT, NATO and the EU have gone a long way to reduce the element of “foreignness”.

Expropriation

Expropriation is an extreme form of political action. It may occur for a number of reasons, including the desire to retain national assets, as a “hostage” situation in international disputes, for example the seizure of Union Carbide’s assets after the Bhopal disaster in India.

Other government activity, which affects capital investment includes joint venturing insistence and repatriation of funds. “Partnering” remains widespread (inward investment in tandem with a domestic company) as does restrictions on repatriation of funds. In Zimbabwe, for example, HJ Heinz, the multinational food agent, has entered into partnership with Olivine industries. Over time, even if initially the investment is not favourable, the Government may relax its conditions as it sees the benefits.

If expropriation is a real possibility then the investor should seek to minimise risk by:

- Relatively rapid depreciation of assets and repatriation of funds by manipulated transfer prices
- Establish a local supply infrastructure so that any adverse action damages the host economy
- Raise as much investment capital in the country as possible
- Retain control of critical inputs and minimise local stocks of these.

However these measures may increase the risk of expropriation or reduce the potential success of the venture.

Incentives

Many countries try to reduce perceived risk by promoting inward investment through the provision of tax breaks, free ports, enterprise zones etc., which are not tied as in partnering. The key is to look at what the disadvantages are. If the government mainly wishes to attract the mobile investor, or overcome say poor local skills, one has to assess what would happen if the scheme was withdrawn once the capital had been committed. Similarly if viability depends on incentives rather than real return on investment, the question is, is the venture really worth it?

Assessing Political Vulnerability

Political vulnerability should be assessed by using a systematic checklist. Such a checklist should include the following:

- The firm's own country's relations with other countries
- Sensitivity of the product or industry
- Size and location of operation - the bigger the more vulnerable
- Visibility of firm - is it high profile say via advertising?
- Host country's political situation
- Company behaviour - is it a good corporate citizen?
- Contribution to host country, for example, employment
- Localisation of operations
- Subsidiary dependence.

Depending on the answers to these checkpoints, the amount of risk, real or perceived, can be assessed and fed into the investment discussion.

MARKETING IMPLICATIONS

Political factors give rise to a number of marketing implications. These include the following:

- Is the product ever subject to political debate regarding, say, adequacy of supply, for example, oil?
- Is the product a critical input for other industries, for example, cement?

- Is the product socially or politically sensitive, for example, food?
- Is the product of national defence significance?
- Is the product taking a disproportional amount of capital repayment?
- Is the product leading to the locus of control being held outside of the host country?

Again, the answers to these questions will enable the marketer to assess the degree to which the product being marketed has to be priced and resourced, so as to either avoid or reduce the risk of expropriation or other political reactions.

THE LEGAL ENVIRONMENT

As indicated in the introduction to this chapter, the international legal framework is somewhat confused. Most controls or regulations revolve around export and import controls, transfer pricing, taxes, regulation of corrupt practices, embargoed nations, antitrust, expropriation and distribution of equity, patents and trademarks. The following touches on a number of these issues and in particular the import/export regulations (terms of access).

INTERNATIONAL LAW

To many, the supreme body is the International Court of Justice, situated in The Hague, Holland. Here a number of international disputes may be taken for ultimate adjudication. However, a series of other bodies and legislation exists.

- FCN (Friendship, Commerce and Navigation) and Tax Treaties primarily US based and concerned with giving protection of trading rights and avoiding double taxation.
- IMF and GATT already discussed and concerned with member nations international trade restrictions and dumping.
- UNCITRAL (UN) international trade law commission set up with the intent to provide a uniform commercial code for the whole world, particularly international sales and payments, commercial arbitration and shipping legislation. Works with international chambers of commerce and Governments.
- ISO (International Standards Organisation) often works with ILO, WHO etc. and contains technical committees working on uniform standards.
- Patents and trademarks there is no such thing as international patent. The most important patent agreement is the International Convention for the Protection of Industrial Property, first signed in 1983 and now honoured by 45 countries. The treaty provides that if a filee files in a signatory country within one year of the first filing, the filee will be afforded the date of the first filing for priority purposes.

A patent cooperation treaty (PCT) and a European Patent Convention are also in effect. The PCT has 39 countries including the USA, Japan and Brazil. The EU convention covers 15 countries and gives patent protection in all 15 if signified in one.

- Air transport is covered mainly by IATA (International Air Transport Authority), ICAA (International Civil Aviation Authority) and ITU (International Telecommunication Company).
- Codes of conduct, like those in the OECP, are not technical law but important. Member countries produce guidelines for multinational enterprises covering aspects of general policy, disclosure of information, competition, financing, taxation, employment and industrial relations.
- Recourse arbitration is an attempt to reduce disputes by consultation. Some of the most widely used are the International Chamber of Commerce, the American Arbitration Association, the London Court of Arbitration and the Liverpool Cotton Exchange.

Marketing Implications

The implications of international law on marketing operations are legion. The principle ones are as follows:

- Product decisions - physical, chemical, safety, performance, packaging, labelling, warranty
- Pricing decisions - price controls, resale price maintenance, price freezes, value added systems and taxation
- Distribution - contracts for agents and distribution, physical distribution, insurance
- Promotion - advertising codes of practice, product restriction, sales promotion,
- Market research - collection, storage and transmission of data.

Other areas affected are obviously in currency and payments but these will be dealt with in later sections.

TERMS OF ACCESS

One particular area where legal/political effects are felt by international marketers is in the terms of access, so the rest of this chapter will be given over to a discussion of these. The phrase “terms of access” refers to all the conditions that apply to the importation of goods from a foreign country. The major instruments covered by this phrase include import duties, import restrictions or quotas, foreign exchange regulations and preference arrangements.

Tariff Systems

Tariff systems provide either a single rate of duty for each item applicable to all countries, or two or more rates, applicable to different countries or groups of countries.

Tariffs are usually grouped into two classifications:

- *Single-column tariff:* The single-column tariff is the simplest type of tariff and consists of a schedule of duties in which the rate applies to imports from all countries on the same basis.

Two-column tariff: Under the two-column tariff, the initial single column of duties is supplemented by a second column of “conventional” duties which show reduced rates agreed through tariff negotiations with other countries. The conventional rates, for example those agreed upon by “convention”, are supplied to all countries enjoying MFN (most favoured nation) treatment within the framework of GATT. Under GATT, nations agree to apply their most favourable tariff or lowest tariff rate to all nations who are signatories to GATT, with some substantial exceptions.

Preferential Tariff

A preferential tariff is a reduced tariff rate applied to imports from certain countries. GATT prohibits the use of preferential tariffs with the major exceptions of historical preference schemes, such as the British Commonwealth preferences and similar arrangements that existed before the GATT convention; preference schemes that are part of a formal economic integration treaty, such as free-trade areas or common markets; and the granting of preferential access to industrial country markets to companies based in less-developed countries.

Types of Duty

Customs duties are of two different types. They are calculated either as a specific amount per unit or specific duty, or as a percentage of the value of the goods or ad valorem, or as a combination of both of these methods.

Ad valorem duties: This duty is expressed as a percentage of the value of goods. The definition of customs value varies from country to country. Therefore an exporter is well advised to secure information about the valuation practices applied to his product in the country of destination. A uniform basis for the valuation of goods for customs purposes was elaborated by the Customs Cooperation Council in Brussels and was adopted in 1953. In countries adhering to the Brussels convention on customs valuation, the customs value is landed CIF cost at the port of entry. This cost should reflect the arm's-length price of the goods at the time the duty becomes payable. Major trading nations that are not members of the Brussels convention on customs valuation are the USA and Canada, which use FOB costs as the basis of valuation, and Japan, which uses CIF value.

Specific duties: These duties are expressed as a specific amount of currency per unit of weight, volume, length or number of other units of measurements; for example, fifty US cents per pound, one dollar per pair, twenty-five cents per square yard. Specific duties are usually expressed in the currency of the importing country, but there are exceptions, particularly in countries that have experienced sustained inflation. In the Chilean tariff, rates are given in gold pesos and, therefore, must be multiplied by an established conversion factor to obtain the corresponding amount of escudos.

Alternative duties: In this case both ad valorem and specific duties are set out in the custom tariff for a given product. Normally, the applicable rate is the one that yields the

higher amount of duty, although there are cases where the lower is specified. Compound or mixed duties: These duties provide for specific plus ad valorem rates to be levied on the same articles.

Anti-dumping duties: The term dumping refers to the sale of a product at a price lower than that normally charged in a domestic market or country of origin. To offset the impact of dumping, most countries have introduced legislation providing for the imposition of antidumping duties if injury is caused to domestic producers. Such duties take the form of special additional import charges designed to cover the difference between the export price and the “normal” price, which usually refers to the price paid by consumers in the exporting countries. Anti-dumping duties are almost invariably applied to articles that are produced in the importing country.

Other Import Charges

Variable import levies: Several countries, including Sweden and the European Union, apply a system of variable import levies to their imports of various agricultural products. The objective of these levies is to raise the price of imported products to the domestic price level.

Temporary import surcharges: Temporary surcharges have been introduced from time to time by certain countries, such as the UK and the USA, to provide additional protection for local industry and, in particular, in response to balance of payments deficits.

Compensatory import taxes: In theory these taxes correspond with various international taxes, such as value-added taxes and sales taxes. Such “border tax adjustments” must not, according to GATT, amount to additional protection for domestic producers or to a subsidy for exports.

In practice, one of the major tax inequities today is the fact that manufacturers in value-added tax (VAT) countries do not pay a value added tax on sales to non-VAT countries such as the USA while USA manufacturers who pay income taxes in the USA must also pay VAT taxes on sales in VAT countries. For example, EU imposition of a tax on imported horticultural products.

Adaptation to meet local requirements: The impact of adaptation to conform to local safety and other requirements can be crippling. For example, a Jaguar car made in the UK and sold in Japan would be three times its UK value. An alternative approach to the Japanese market would be to begin with the Japanese customer to identify the customer’s wants and needs and to design a product for that market or to adapt the design to a world design that would fit the needs and wants in both the domestic and the Japanese markets.

The implementation of such a programme would involve major marketing investments by the Jaguar Motor Company in establishing distribution, advertising and promotion, training and developing organisations to market the car in Japan. It would also involve significant expenditures in designing the car to appeal to the needs of the Japanese customer.

THE KENNEDY ROUND AND THE GENERAL AGREEMENT ON TARIFFS AND TRADE (GATT)

A major development of the 1960s was a series of agreements negotiated in the 1963-67 period, popularly known as the “Kennedy Round”. During these negotiations, tariff concessions on nonagricultural products by the four largest industrial participants -the USA, the UK, Japan, and the EEC - averaged slightly more than 35 percent and covered about \$20 billion of trade. On agricultural products, excluding grains, the average reduction by the major industrial countries amounted to about 20 percent and affected about one-half of the dutiable imports. Tariff reductions under the agreement took place in five equal instalments. The first was concluded on January 1, 1968 and the last on January 1, 1972. Over 60 thousand items were involved, representing approximately \$40 billion in world trade annually.

At the conclusion of the Kennedy Round negotiations, tariffs on dutiable nonagricultural products averaged 9.9 percent in the USA, 8.6 percent in the EEC, 10.8 percent in the UK and 10.7 percent in Japan.

A second “Tokyo Round” of trade negotiations was undertaken by the 97 nation GATT in the 1970s. The target in these negotiations, which were still under way in 1979, was to achieve another 35 percent tariff reduction.

The latest GATT round, the so called Uruguay Round, was long held up over subsidy wranglings between the EU and the USA. However in early 1994, an agreement was concluded, but is yet to be ratified by all signatories.

When the European Union and the USA agreed to bury their differences (primarily over subsidies and trade in television and films) on Tuesday 14 December 1992, the way was cleared for the signing of the eighth General Agreement on Tariffs and Trade (GATT) in April 1994 in Morocco, only two days before the deadline. Whilst only 20 countries took part in the first round signed in Geneva in 1947, the current round boasts 116 participants. After failing to meet two deadlines in 1990 and 1991, many thought the Uruguay round would never be concluded. However, completion of the North American Free Trade Agreement (NAFTA) and the hints of the development of a similar trading block in the Asian-Pacific Region (APEC), helped focus the minds of the negotiators.

The principal aim in the early days of GATT was to cut tariffs and to this end average tariffs have fallen from almost 40% to 4.7% and now it will be as little as 3% if the Uruguay round succeeds. GATT has, over the years, gradually gone into other areas. The Kennedy Round introduced rules against dumping exports, the Tokyo Round made it harder for countries to manipulate technical standards, import licences and customs regulations in order to keep imports out. GATT basically stands to defuse trade tension between countries and smaller countries enjoy better access to larger countries’ markets through GATT than they could if they had negotiated by themselves. The new package, which covers ten times the value of the previous seven GATT Rounds put together, touches on more than four billion Sterling Pounds worth of International Trade, nearly

twenty times the size of UK's annual budget. Economists reckon that the Uruguay Round will add about \$270 billion to world income within a decade and boost global trade by more than 12%. The deal also creates a powerful international bureaucracy, the World Trade Organisation (WTO) to police world trade and act as a bulwark against a return to the economic protectionism which proceeded war in the 1930s. But not all countries will gain. Africa will be a net loser, with Nigeria down by \$1,0 billion. Other fears are that Africa will lose out on agricultural prices but textiles will get a boost.

- *US*: Largest number of world's 500 biggest global companies, and biggest services exporter (\$2 billion benefit). Aerospace computer software, agriculture (\$9.3 billion) and textile (\$21.6 billion) sectors will also benefit. Total gain: \$36 billion a year by 2002.
- *Japan*: Set to gain from liberalisation in high tech goods, agriculture (\$22 billion), manufacturing. Loses \$0.5 billion through textile liberalisation. Total gain \$27 billion a year by 2002.
- *Asian Tigers*: Gain \$3.3 through farm liberalisation, \$1.8 billion in textiles, \$1.1 billion in services. \$7.1 billion overall gain.
- *EU*: World's biggest exporting block. Agriculture to see income increase of \$30 billion, textiles (\$27.2 billion), services (\$7 billion), manufacturing (\$7.6 billion) all set to gain-but prospects differ in each country. Total gain: \$61.3 billion a year by 2002.
- *Eastern Europe*: Textile services sectors likely to benefit. Former Soviet Union set to gain by some \$13 billion from liberalisation of services. Total gain: \$37 billion a year by 2002.
- *Australia/New Zealand*: Large gains from liberalisation of agriculture (\$1.0 billion), textile (\$1.1 billion). Total gain \$2 billion a year by 2002.
- *China*: Set to gain \$37 billion a year by 2002.
- *India*: Set to gain \$4.6 billion a year by 2002.
- *Africa (excluding Egypt and Libya)*: The continent as a whole is set to lose \$2.6 billion, with Nigeria alone down \$1.0 billion. Morocco, Algeria and Tunisia together lose \$0.6 billion, and South Africa loses \$0.4 billion.
- *South America*: Set to gain \$8.0 billion, with Brazil on its own up \$3.4 billion.

The estimates take no account of social costs arising from the structural adjustment of economies in the wake of trade liberalisation, especially on Africa and the Far East. The main provisions of the 450 pages long document covering 28 separate agreements are according to "The Economist" (December 1993); as follows:

- For the first time, a written set of rules to cover trade in services. A framework would exist for the liberalisation, not only of the \$900 billion worth of services that cross borders, but also the \$3 trillion worth of services that are provided domestically around the world - insurance, for example. The modest progress sought in this round would supply a platform for more liberalisation on future rounds.

- Protect all kinds of intellectual property, including patents, copyright and trademarks. That would be good for developed countries, which can collect higher royalties; but some of the developing countries might lose.
- Phase out over ten years of bilateral quotas which make up the multifibre arrangement for textiles and clothing. Tariffs will be cut. Developing countries should benefit.
- Forge a comprehensive agreement in GATT's biggest exception, farm trade. The details are unresolved, but the principles are clear: replace quotas with tariffs; and cut subsidies, especially export subsidies.
- Cut tariffs by at least a third. Tariffs imposed by the big economies on some important items will be eliminated altogether. Special attention has been given to a few very high tariffs and to helping developing countries by cutting tariffs on tropical products,
- Try to reform the rules against subsidies.
- Try to curb the misuse of rules on dumping. This will be difficult to enforce.
- Try to prevent the uses of voluntary export restraints-a sort of import quota which is operated by an exporter under pressure from an importing country. This is almost impossible.
- Tidy up rules on shipment, including inspection, customs, import licensing, technical standards and rules of origin.
- Phase out trade-related investment measures, such as the requirement that foreign investors buy supplies locally.
- Build on earlier agreements in government procurement and civil aircraft.
- Speed up the arbitration of disputes between GATT members. Countries will also find it harder to dissent from judgements.
- Clarify raft of GATT rules.
- Transform GATT from a provisional agreement (it was never ratified by America) into a full institution called the World Trade Organisation.

The cost of not agreeing a round will have been enormous. Suggestions are that it would cost the world economy some extra \$213 - 274 billion each year and worst of all, lead to a gradual erosion of the open trade mechanism. Protectionism would once more raise its head and the whole multilateral trading system would eventually seize up and fall apart.

Whilst the multinationals in computers and electronics etc are definitely likely to gain most, for developing countries the principle effects are likely to be in farm products, textiles and in the effect of services and intellectual property provision. Whilst opening up the world's shopping malls for agriculture products, developing countries are likely to face fierce competition, often from each other, and so will have to operate at greater volumes with lower prices. What is sure is that tariffs will replace quotas, and subsidies, particularly export, will be cut. China and India may be the principle benefactors in textile products due to lower unit cost production structures. Imported products like

drugs, film, box and television programmes are likely to be more expensive as manufacturers begin to apply the fine detail of the GATT services and intellectual property claims.

In January 1995, 81 countries and territories, including the United States, European Union and Canada, representing over 90% of international trade became founder members of the World Trade Organisation (WTO), which will absorb the 48 year old GATT over the duration of 1995.

The new trade treaty came into force on 1 January 1995. In fact, Japan was the first country to ratify the agreement on 30 December 1994. It is expected that 50 more nations will eventually ratify the treaty and altogether some 155 states including Hong Kong and Macau will eventually sign up. Significantly, China is not included as it failed to convince the “big four” (USA, EU, Japan and Canada) that it had opened up its economy enough. The WTO will administer the new trade treaty and take its place along side the World Bank and the International Monetary Fund as the “third pillar” of the post World War II economic system.

NON-TARIFF BARRIERS

With the success of the Uruguay Round tariff negotiations, attention has naturally turned to the remaining non-tariff obstacles to trade. A non-tariff trade barrier is defined by economists as any measure, public or private, that causes internationally traded goods and services to be allocated in such a way as to reduce potential real-world income. Potential real-world income is the attainable level when resources are allocated in the most economically efficient manner. To the businessman a non-tariff barrier is any measure, other than tariffs, that provides a barrier or obstacle to the sale of his products in a foreign market. The major non-tariff trade barriers are as follows:

Quotas and trade control: These are specific limits and controls. The trade distortion of a quota is even more severe than a tariff because once the quota has been filled, the price mechanism is not allowed to operate. The good is simply unavailable at any price. “State trading” refers to the practice of monopolising trade in certain commodities. In communist countries all commodities are monopolised, but there are many examples of non-communist government monopolies: the Swedish government controls the import of all alcoholic beverages and tobacco products, and the French government controls all imports of coal.

Discriminatory government and private procurement policies: These are the rules and regulations that discriminate against foreign supplies and are commonly referred to as “Buy British” or “Buy American” policies.

RESTRICTIVE CUSTOMS PROCEDURES

The rules and regulations for classifying and valuing commodities as a basis for levying import duties can be administered in a way that makes compliance difficult and expensive.

SELECTIVE MONETARY CONTROLS AND DISCRIMINATORY EXCHANGE RATE POLICIES

Discriminatory exchange rate policies distort trade in much the same way as selective import duties and export subsidies. Selective monetary policies are definite barriers to trade. For example, many countries from time to time require importers to place on deposit at no interest an amount equal to the value of imported goods. These regulations in effect raise the price of foreign goods by the cost of money for the term of the required deposit.

RESTRICTIVE ADMINISTRATIVE AND TECHNICAL REGULATIONS

These include anti-dumping regulations, size regulations and safety and health regulations. Some of these regulations are intended to keep out foreign foods while others are directed towards legitimate domestic objectives. For example, the safety and pollution regulations being developed in the United States for automobiles are motivated almost entirely by legitimate concerns about highway safety and pollution. However, an effect of the regulations, particularly on smaller foreign manufacturers, has been to make it so expensive to comply with US safety requirements that they have withdrawn from the market. In 1969 GATT published a 276 page report listing non-tariff barriers to trade. This report, which listed such obscure items as an Italian sanitary tax on foreign snake poison, is already out of date.

Packaging or pesticide regulations often erect a hurdle for exports, but not insurmountably so. The EU has strict hygiene requirements for imports of horticultural produce for Africa which require strict observance. Producers of restrictive administrative regulations are incredibly creative in establishing barriers to trade. This can be seen in the following case

The example illustrates how difficult it is to deal with non-tariff barriers to trade. The Mexicans could protest the decisions of the US Department of Agriculture, but the Florida growers who were competing with the Mexican growers, in effect, wrote their own regulations. They maintained that the regulations worked for the benefit of everyone: growers on both sides of the border and the consumer. A strong case could be made for the harm done by these regulations to Mexican growers and US consumers, but the mechanism for hearing this case did not really exist. The Mexican growers could influence this decision by pressuring the US government through diplomatic channels, or try to appeal directly to consumers and thereby influence legislative and administrative action in government. An important test of a ruling or regulation is whether it has a greater impact on foreign producers. If this is the case, and there is no apparent social benefit for consumers, the ruling is a non-tariff barrier.

Tariff Classification

Before World War II specific duties were widely used and the tariffs of many countries, particularly those in Europe and Latin America, were extremely complex. Since the

war the trend has been toward the conversion to ad valorem duties. Tariff administration has been simplified by the adoption by a large number of countries of the Brussels nomenclature (BTN). This nomenclature was worked out by an international committee of experts under the sponsorship of the Customs Cooperation Council, which in 1955 produced a convention that entered into force in 1959. The rules of this convention are now being applied by most GATT countries. Approximately two-thirds of all world trade is now conducted under tariffs based on the BTN system. It is significant, however, that among major trading nations neither the USA nor Canada uses the BTN.

The BTN groups articles mainly according to the material from which they are made. For less-developed countries, it is both easy to use and applicable to the goods they produce. An additional advantage of the BTN is its widespread use. A common basis for the classification of goods facilitates comparison of duties applied by different countries and simplifies international tariff negotiations.

In spite of the progress made in simplifying tariff procedures, the task of administering a tariff presents an enormous problem. Even a tariff schedule of several thousand items cannot clearly describe every product that enters into international trade. The constant flow of new products and new materials used in manufacturing processes introduces new problems. Often, two or more alternative classifications must be considered in assessing the rate on a particular article depending upon how it is used or its component material. The classification of a product can make a substantial difference in the duty applied. There are two important implications of this fact for export marketers. The first is that exporters should seek the most favourable classification for their products in order to minimise the duty levied in the importing country. The second is that the difficulties of classification raise serious questions about the accuracy of data on international trade patterns. When using international trade data, it is important to bear in mind the enormous problems posed by classification and recognize that the numbers in trade reports may often reflect hasty and arbitrary classifications that distort the true picture of the trade flow. Evidence of the inaccuracy of grade classification practices is provided by frequent failure of import and export figures of the same commodity to reconcile between two countries. Some clever marketers seek to get their products reclassified in order to get a lower tariff structure.

WINDS OF CHANGE

The emergence of Japan in the 1970s and 80s, coupled with more trade between developing countries, harmed the balance of payments of the Western economies. Coupled with oil shocks and debt crises, attitudes to trade changed somewhat in the 1980s. In effect free trade was reversed. The Industry and Development Global Report (1988/89) made a series of observations showing that whilst expansion of demand was there, it was patchy and therefore in some sectors excess occurred. Coupled with schemes like the CAP of the EU (Common Agricultural Policy of the European Union) which produced “mountains” of butter, sugar, etc., this excess led to downward pressure on

prices which newly emerging nations may be better equipped to deal with if raw materials are banned in country. The growth of economic unions like the EU which are limited multilateral organisations have undermined the strength of GATT agreements but only in so far as non-tariff barriers are concerned. Such non-tariff barriers may merely be devices to soften up foreign rivals and force them into regulatory voluntary restrictions on trade.

The main non-tariff barriers of recent times have been countervailing duty and anti-dumping. Protectionist measures like these can reduce global opportunities in direct ways (imposition of quotas, Health and Safety Standards, etc.), affect the attractiveness of marketing offers to intermediaries by affecting market price (tariffs), volume (voluntary restraints) and uncertainty (“proved” dumping cases) or they reduce opportunities by affecting the attractiveness of your offer to end users (cancelling out price advantages). Anti-dumping is the worst form of protection because anti-dumping creates uncertainty for producers and intermediaries, one needs not be “guilty” to be penalized for it. Anyone entering the industry after a charge of dumping against it will face the highest rate of levy. They can be fined and therefore be driven away and as a result consumers will suffer.

In order to circumvent protection, options include avoiding certain commodities or industries, teaming up with local contacts, producing from inside the market or self regulation.

The legal/political system is a minefield, with few international standards or regulations to fall back on. Thankfully, for many agricultural products and agribusinesses like timber, fish, livestock and so on, the rules are fairly well defined. However, change can occur very quickly. The imposition of a transport levy by the South Africans affected Zimbabwe’s drought relief programme costs, and the increase of duties by 40% by the same country are hitting Zimbabwe’s clothing exports there very hard. Zimbabwe and Botswana, who enjoy large beef quotas with the EU, can be affected overnight by a ban. On a number of occasions the EU has imposed a ban on beef exports from Zimbabwe because of a so called “foot and mouth” outbreak in Zimbabwe. Although minor in scale, its consequences can be major for the industry. Marketers are beholden to always keep a constant watch on changes which are and could occur in the legal/political environment.

ALGODON INTERNATIONAL

The company was founded in 1959 and has been primarily involved with the trading of cotton. Before the de-regulation of the cotton export, Algodon International defined its mission as that of export selling for the Corporation since there was no other way of doing business. The company would take a standard commission, and profit and growth of the company was limited. Quite often, the business was simple and it merely resulted “in order taking and execution” on behalf of the Corporation. In order to boost profits the company entered the business of “resident buying”. Algodon International would

buy on behalf of foreign customers the type of cotton they desired. Instead of earning a commission through a selling service, paid by the Corporation, the company switched and earned through the provision of buying services. Being a resident buyer provided the company with some additional autonomy and flexibility.

More importantly, the knowledge gained in residence buying had given the company an added experience of knowing the requirements of cotton end-users, *i.e.*, spinners, more precisely. Resident buying forced the company also to pay close attention to the crop developments in Latina. Foreign customers wanted to stay informed about the availability of the Latina quantity and quality of cotton in order to be able to buy correctly.

Besides providing its foreign clientele with information about the Latina cotton situation, a growing demand has occurred in recent years to inform them on the world market developments, including the interpretation of New York cotton figures. The firm would provide customers with opinion on cotton quality and quantity availability, appropriate buying price levels, negotiations of prices, future trend prices, and on shipment periods. If, for instance Algodon International would recommend to buy a lot of Indian cotton, it would equally charge a commission, as if it were a Latina transaction. If commissions were charged on foreign cotton, the firm would act more as a consultant than as a buying agent.

Since 1 July 1988, Algodon International has again redefined its business mission and is now acting as an export merchant. The international merchandising of cotton provides much more opportunity to increase profits than the previous commission based roles of export or buying agents. By acting as a merchant, the firm buys for its own account and can price its cotton at what the market will bear, as long as the price is above government set minimum price. Never knowing what price movements are going to be, Algodon International has to consider hedging operations combined with option trading.

The risk of a merchant is one of being the owner of the cotton with all the responsibilities of storing, transporting, financing and most of all, understanding the international cotton trade.

PROBLEM AREAS FOR ALGODON INTERNATIONAL IN ITS TRADING OPERATIONS

Algodon International as a private trader is facing a number of problems. Some of them are temporary which could be phased out in due course, but some are likely to remain for some time.

The major problems can be summarised as follows:

- *Lack of experienced personnel:* Since the export trade of raw cotton has been centralized in one organisation for more than 15 years, the development process of professional staff has been sharply reduced. Experienced personnel in the cotton business such as professionals who understand the trading in futures and options as well as marketing, documentation and transportation, are not

adequately available. Market penetration and Algodon International's competitive positioning will be severely handicapped due to the lack of knowledge people. Since no training institute in international trade exists in Latina, no immediate remedy to this problem can be envisaged.

- *Bank credit:* Before de-regulation of the cotton export sector, the commercial banks were financing the Corporation against government guarantees without hesitancy. All credit requirements were met without any consideration of probability, collateral security or financial structure of the organization. The end result has been that the banks have also neglected to train professional staff who understand the international cotton business.

The cotton business climate since 1 July 1988, has introduced, through the presence of the private sector, a large degree of risk which has to be assessed before it can extend credit. Instead, the banks require collateral security or pledges the stock. The difficulty of obtaining credit for the cotton traders, especially for the small and medium size firms, has not been an exception for Algodon International. Large amounts of credit are required for cotton operations. Sometimes Algodon International is able to provide collateral through equitable security or by pledging cotton stock.

- *Problems of non-performance of cotton importers:* Increasingly, unscrupulous foreign buyers have not respected agreed upon contracts by failing to perform when lower spot prices offered them large savings. It is a problem which can cause considerable losses for cotton exporters. Non-performers of contracts have to be explained to the State Bank of Latina where the contract was filed. The bank can keep the exporter responsible for non-performance if the problem reoccurs. The exporter can resort to the Liverpool Cotton Exchange for technical arbitration but in some countries the implementation of the arbitration settlement has been disappointing.
- *The minimum export price policy:* The introduction by the State Bank of Latina of the minimum export policy seriously limits price competition against foreign traders. Although the minimum price is established on the basis of world parity, it will be difficult to penetrate new market segments. The daily price announced by the central bank is based on the previous day's averages. As the price trend has been downwards since mid-1988, "yesterday's" average tends to lag with "today's" downward price trends.

Further, the objective of new merchant-entrants in the cotton trade is build up "market share" during the first years of operation. As potentially new customers tend to be slow to change supply sources, a competitive strategy would be to apply penetration pricing by cutting one's profit margin and set a price below the competitor's price level. With the State Bank imposed pricing policy it would be difficult for Algodon International to build new clientele through the applying of a penetration pricing policy.

FORMULATING A MARKETING STRATEGY

Mr. Funtanet realized that the formulation of a marketing strategy for his firm was one of his utmost priorities. Already some growing areas had started to ship and as a merchant he had to take a stock position or sell short. The following elements had to be considered: market target, channel mix, stock position, pricing and promotion strategies.

MARKET TARGET AND CHANNEL MIX

Mr Funtanet realized that he could buy cotton for different customers who may have different objectives for using the cotton. His most logical target would be the spinner. When his firm operated as a resident buying agent, a network of spinners had been developed and his firm had become informed about the specific criteria each customer looked for. Customer profiles had been developed and computerized.

One disadvantage of buying for the spinners was the shrinkage of the market size of the number of spinners. In Europe, Japan and the USA, the textile industry was going through a concentration and the number of spinners was declining every month. Most of the clients Algodon International served as a resident buyer were in fact the smaller spinners who are most in need of commercial intelligence.

The bigger spinners, where the future is concentrated, were served by the international merchants located in places such as New York, London or Geneva. If Algodon International would target international merchants as its future clientele, price competition rather than non-price competition would be the firm's pricing policy. The international merchant buys primarily on price and very little loyalty can be gained. Its profits objectives would have to be more modest as its mark-up would have to be halved. Only through merchandising large volumes could his firm maintain its profit objectives,

STOCK POSITION

A quantitative sales forecast should be the basis of judging his inventory requirements for the next shipping season. Various factors played a role in deciding on his purchasing needs. The most indicative index would be his past sales performance as a cotton merchant. Being a newcomer in the trade he decided that as an objective he must sell at least last years' export volume of 130,000 bales of 480 lbs each, when his firm operated as a resident buyer. As a resident buyer, however, his risk was very limited, as he merely executed orders. The spinner made the decisions. As a merchant, he would be fully exposed to all forces in the market place, including competition, changing demand and weather. Political changes were very likely through new allocation criteria brought about through the Multi-Fibre Agreement. His greatest concern was his financial position. How much credit would his bank provide him? His bales position would have to be either "long" or "short", depending on the credit availability. He figured that he could finance 25 per cent of his sales objective on his own. He could match his own resources with another 25 per cent with credit. As a newcomer in the trade he felt that ample

credit availability to his customers would be a competitive requirement. With the provision of credit to his clientele his working capital turnover would most likely be on the low side and not exceed four. The remaining questions pertained to his customer's delivery requirements.

The exporting season ran from August through January and on average he could anticipate to deliver 16 per cent of his sales forecast each month. In order to guarantee availability of cotton to his foreign customers Mr. Funtanet realized that he had to "cover" his requirement. How much should he buy on the spot and how much for future delivery? Further, should he hedge and what advantages would there be in combining hedging with options trading? He started reading the November 3 cotton supply outlook to increase his understanding of future market conditions.

PRICING

The minimum export price for 1988/89 crop lint was set by the State Bank on 4 November 1988 at \$0.4750 per lb FOB, and that for 1987/88 crop remnants at \$0.4525. The respective values a week ago were \$0.4825 and \$0.46.

Mr. Funtanet noticed that CIF prices in Europe had increased over last week and over last month but were still almost \$0.20 below last year's. Polyester prices had all increased over last year's with China (Taiwan Province) quoting, due to its recent re-evaluation, \$0.73 a pound compared to \$0.525 a year ago. New York future prices in November showed a slight decrease compared with the quotations listed in the month of October. When reflecting on the above statistics and calculating a pricing strategy, his eye caught an opinion about the state of the textile market abroad and the futures and options closing for the day.

PROMOTION

Mr. Funtanet realized that if his firm continued to serve the spinners, he had to expand his customer mix and try to gain acceptance from some large spinning mills. The "missionary" type of selling activities would result in promoting his firm as a reliable future supplier. He wondered if using sales agents would be appropriate for the initial sales push. Cultivating new customers required a lot of time without sales guarantee. Sales agents might be more appropriate as "order takers", after initial confidence had been established. Using his own salesmen would require extensive training as very few knowledgeable commercial cotton people were left in Latina. If he utilized agents in the early stages, he wondered how difficult it would be to terminate an agent agreement after some time.

Instead of using the "sales push", he also wondered if he could substitute a "sales pull" strategy of trade advertising during the take-off period of his firm. This would give him time to train his sales people and switch to a push-pull strategy after the first trading cycle. He realized a lot depended on the future cotton market conditions and the competitiveness of the services his firm could deliver.

INTERNATIONAL MARKETS ECONOMIC, POLITICAL, AND LEGAL ENVIRONMENT

An international marketer needs to get informed about the foreign countries' environments that may or will affect the business in any ways, positively or negatively. Some of the key aspects of a foreign market environment that may affect international marketer's business are:-

- *Political Context:* National leaders and governments, ideologies of the foreign political institutions and leaders, key institutions in forming and implementing regulations.
- *Economic Growth Prospects:* Level of economic affluence, level and extent of industrialization, business cycle stage.
- Per capita income levels, purchasing power of the population, disposable incomes.
- End-user industry growths trends, industrial demands are mostly derived demands and industrial buyers by materials and machinery to fulfill the end user demands.
- *Government:* Political and business orientation, legislation, regulation, standards, barriers to trade.

POLITICAL RISKS IN INTERNATIONAL MARKETS

The political risks in international markets are as follows:

- Direct interference in a foreign company's business – expropriation, confiscation, nationalization
- Campaigns against foreign goods (from governments or people / public)
- Kidnappings, terrorist threats and other forms of violence targeted against foreign firms or foreigners.
- Civil wars have the potential to disrupt businesses in many foreign countries
- Change in policies, regulations – too often and non-consistent – affect businesses in any country
- Change in governments may also result into changing national priorities
- Monetary and fiscal policies – inflation, currency devaluation, increased taxation, and currency controls etc.
- Government as business competitor – when government becomes involved in a business in its own country, then it may become a formidable competitor.

LEGAL ASPECTS IN INTERNATIONAL MARKETS

The legal aspects in international markets are as follows:

- Laws concerning employment and labour affect managing of workforce in international markets.
- Different laws in foreign countries regulate financing or operations by foreigners.
- Various countries around the world have different laws concerning marketing of products, especially food products, pharmaceuticals, hazardous materials and strategic products to a nation.

- Countries also control and regulate developing and utilizing of technologies through various laws and regulations.
- Many countries also have different laws and regulations that affect ownership of businesses by foreigners.
- Countries also regulate / restrict remittances to foreign countries and repatriation of profits.
- Some countries regulate closing of operations and in some countries businesses are not allowed to close shops especially when they have sold products that have guarantees and warranties.
- Various countries around the world have implemented different trade and investment regulations.
- Countries also have their own taxation requirements, systems and laws.
- Legal environments of countries vary that also affect dispute resolution situations and contractual relationships.

ECONOMICAL FACTOR IN INTERNATIONAL MARKETS

The factors influencing the state of economy are:

- Capital controls on any foreign currency would often work to increase its exchange rates
- Strong balance of payments statistics of any country affect that country's currency to strengthen.
- Higher foreign-exchange reserves of any country influence the currency of that country to appreciate in value
- Government spending increases the money in circulation and also affects growth to certain sectors of a country's economy
- Large money-supply growth increases inflation and accordingly affects the value of a country's currency
- Technical factors (seasonal, release of statistical data) also affect exchange rates in near-term.

INTERNATIONAL BUSINESS AND LEGAL SYSTEM

Today we are living in global economy where we use goods manufactured in one country and packaged in another country. Businesses have cross boundaries of countries and expanded themselves across the world, in search of availability of raw materials, cheap labour, talent and market for their goods. However, doing business internationally is totally different than in home country. While doing business in other countries, business people have to well aware of country's culture, people's behaviour, country's legal system, its political environment and economical conditions.

The legal system of a country is significantly important to international businesses. Differences in legal systems can affect the attractiveness of a country as market or investment site. A country's law regulate business practices, defines business policies,

rights and obligations involved in business transactions. The government of a country defines the legal framework within which firms do businesses. Therefore laws differ from country to country. For example, China has Communists government where business laws are strictly controlled by government to controlled business sectors. Where as India has democratic government and business laws are made to protect small businesses and consumers. Although different countries have different laws and regulations, knowledge of common law, civil law, contract laws, laws governing property rights, product safety and liability for a country helps business people to make business decisions.

The common law system is commonly found in former Great Britain's colonies and is based on country's legal history, past court rulings on cases and ways in which laws are applied in specific situations. Judges in a common law system have power to interpret the law under unique circumstances for an individual case. Countries like United States, Australia, India uses common law systems. In civil law system, laws are based on detailed set of written rules and codes. Judges have less flexibility and have power only to apply the law. France, Germany, Russia operate with a civil law system. Some counties have legal system, which is based on religious teachings. Countries like Pakistan, Saudi Arabia, Iran and Middle Eastern nations follow Islamic laws, which is based on holy principles of Koran. It is very important for international business to interpret law according to country and its impact on their commercial activities.

Many business transactions are regulated by contract, and contract law governs contract enforcement. It is very important for international business people to have good understanding of country's contract laws. Contracts drafted under common law system are tend to be very detailed, where as contracts are much shorter and less specific in civil law system due to already drafted civil codes. Therefore common lawa system has long and expensive jurisdiction process. However it has advantage of greater flexibility and allows judges to interpret a contract dispute in particular situatio as compare to civil law system. Businesses should consider these differences while dealing with contracts. Most of countries have laws to protect property rights but in reality local authorities do not enforce these laws. Property rights can be violated through private action or by public action. Private action refers to piracy, theft, blackmail and threats from individuals and groups. A weak legal system might not able to protect businesses from wrong doings. For example, after collapse of communism in Russia, weak legal system and local authorities were failed to protect local as well as international businesses from "Russian Mafia". Business people often have to pay these mafias to protect their businesses. Public actions involve violation by local authorities or government bureaucrats for some favour or as a part of corruption for monetary benefits. Corruption in government is very common in countries like India and Mexico. The protection of intellectual property rights differs from country to country. Weak enforcement encourages the piracy of intellectual properties like patents, copyrights and trademarks. Pirated software is widely available in China, where as selling of Rolex

watches, Levi's jeans and computer software on streets is very common in Asian countries. Courtiers are taking steps to enforce the law to protect intellectual properties, reduce piracy to attract international businesses. International business community has come together to form set of rules to resolve contract dispute by forming 'United Nations Convention on Contracts for international Sale of Goods' (CIGS). By adopting CIGS, a nation agrees to the other member nation that it will treat the convention's rule as part of its law. When firm do not wish to accept CIGS, dispute can be settled in any recognized arbitration court like 'Court of Arbitration of International Chamber of Commerce' in Paris. Many countries have also signed an agreement to crack down piracy and protect intellectual properties by signing 'Paris Convention for the Protection of Industrial Property'. In 1970s, United States government passed the 'Foreign Corrupt Practices Act' to prevent US businesses bribing foreign government officials to obtain business contracts. Considering impact of various aspects of legal system in international business, it is very important for business people to have good understanding of legal systems of countries they do business with.

INTERNATIONAL POLITICAL ECONOMY

International political economy (IPE), also known as global political economy (GPE), refers to either economics or an interdisciplinary academic discipline that analyzes economics and international relations. When it is used to refer to the latter, it usually focuses on political economy and macroeconomics, although it may also draw on a few other distinct academic schools, notably political science, also sociology, history, and cultural studies.

Political economy arose due to the fact that macroeconomics and politics are often intertwined and good macroeconomic policymaking requires knowledge of both economics and political science. Most scholars can concur that IPE ultimately is concerned with the interaction between political and economic forces.

Contemporary IPE degrees are usually heavily economics-based and usually located under political science or economics departments. IPE scholars are at the center of the debate and research surrounding globalization, international trade, international finance, financial crises, macroeconomics, development economics, (poverty and the role of institutions in development), global markets, political risk, multi-state cooperation in solving trans-border economic problems, and the structural balance of power between and among states and institutions.

ORIGIN

Political economy was synonymous with economics until the nineteenth century when they began to diverge. Early political economists included John Maynard Keynes, Karl Marx, and more.

Contemporary IPE scholars are usually from an economics or political science background.

ISSUES IN IPE

Academic courses and text books generally cover the fundamentals of economics, political science and international relations. Students then specialize in more in-depth modules.

International Trade and International Finance

Economics, as some may claim, has been viewed as dawning with the *Smithian* revolution against Mercantilism. The liberal view point generally has been strong in Western academia since it was first articulated by Smith in the eighteenth century. Only during the 1940s to early 1970s did an alternative system, Keynesianism, command wide support in universities. Keynes was concerned chiefly with domestic macroeconomic policy, however in IPE terms his mature views fall largely into the Realist camp, in that Keynes called for a middle way between public and private power and favoured a managed system of global finance for which he was one of the two chief architects at Bretton Woods. The Keynesian consensus was challenged by Friedrich Hayek and later Milton Friedman and other scholars out of Chicago as early as the 1950s, and by the 1970s, Keynes' influence on public discourse and economic policy making had somewhat faded.

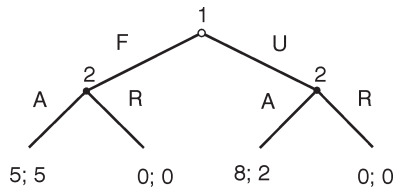
Keynes's approach to international relations, including his thinking on the economic causes of war and economic means of promoting peace, has received further attention with the onset of the global financial crisis and recession since 2008, especially through the work of Donald Markwell.

In policy making terms Western governments have generally pursued mixed agendas drawing on both the liberal and realist view point. This has been the case from the dawning of modern commerce to the present day, although there have been periods where one or the other school had gained temporary ascendancy. Sometimes the period leading up to 1914 is described as a golden age of classical economics, but in practice governments continued to be partially influenced by mercantilist ideology, and following WW1 economic freedom was constricted. After World War II the Bretton Woods system was established, reflecting the political orientation described as Embedded liberalism. This has been described as a compromise between the realist and liberal viewpoints, in that it allowed governments to manage international finance, while still allowing considerable freedom of action for private commerce.

In 1971 President Richard Nixon began the rolling back of the Bretton Woods system and until 2008 the trend has been for increasing liberalization of international trade and finance. Domestically, the Atlantic nations since the 1970s and large Asian states such as China and India since the 1990s also have largely pursued a mixture of realist and liberal policies. The only close to wholesale implementations of the liberal viewpoint being carried out is by smaller developing nations, often with some degree of coercion by actors such as the U.S. treasury or IMF, who have been able to apply financial pressure when the developing nations faced various crises. During 2008, liberal

influences began to wane in the wake of the 2008–2009 Keynesian resurgence which the *Financial Times* described as a “stunning reversal of the orthodoxy of the past several decades”. From later 2008 world leaders have also been increasingly calling for a New Bretton Woods System.

Game Theory



Some academics within IPE use game theory to explain outcomes of international negotiations, the simplest case being bilateral meetings where there are only two players.

Protectionism

The mercantilist view largely characterised policies pursued by state actors from the emergence of the modern economy in the fifteenth century up to the mid-twentieth century. Sovereign states would compete with each other to accumulate bullion either by achieving trade surpluses or by conquest. This wealth could then be used to finance investment in infrastructure and to enhance military capability. The contemporary realist view generally agrees with liberals in viewing international trade as a win-win phenomenon where firms should be allowed to collaborate or compete depending on market forces. The chief point of contention with liberals is that realists assert national interests can be served best by protecting new industries from foreign competition with high tariffs until they’ve built up the capability to compete on the world market. One of the earliest formal expressions of this view was found in Alexander Hamilton’s ‘Report on Manufacturers’ which he wrote for the U.S. government in 1791.

After WWII a notable success story for the developmentalist approach was found in South America where high levels of growth and equity were achieved partly as a result of policies originating from Raul Prebisch and economists he trained, who were assigned to governments around the continent. After the liberal view re-established its ascendancy in the 1970s, it has been asserted that high levels of growth resulted from generally favourable international conditions rather than the Realist policies. A contemporary statement of the Realist view is strategic trade theory, and there has been much debate as to whether the policies it suggests could be effective in solving some of the issues with globalisation, such as persistent north/south inequality divide.

Marxism (North-South Conflicts)

This category has been used to group together an array of different approaches which sometimes have very little in common with Marx’s focus on class, but which all believe in a strong role for public power. Labels for approaches within this category include:

feminist, radical, structuralist, critical, underdevelopment and ‘world systems’. Broadly the Marxist approach is associated with Heterodox economics.

History

Marx’s *Das Kapital* was published in 1867 and an economic system based on his ideas was implemented after the Russian Revolution of 1917. Since the collapse of the Soviet union and the COMECON trading bloc in 1991 no major group of trading partners or even single large economy has been run along Marxist lines. Problems with a Marxist command economy are seen as including the very high informational demands required for the efficient allocation of resources and corruptive tendencies of the very high degree of public power need to govern the process.

Few academics currently promote classical Marxist views, especially in America, but there are a few exceptions in Europe. More popular perspectives include feminist, environmental and radical – developmentalist. The social – constructivist view is an unusual school of thought sometimes grouped into this category. Rather than focus on the tradition factors affecting trade such as distribution of resources, technology, and infrastructure, it emphasises the role of dialogue and debate in determining future developments in international trade and globalisation.

Criticisms of the Traditional Divide into the Liberal, Nationalist, and Marxist Views

Critics have asserted there is now too much variation in the different viewpoints grouped into each category, especially those under the Nationalist and Marxist headings. Also, the names can be considered misleading for the general public. The labels nationalist and Marxist have negative connotations, with many of the perspectives grouped under the Marxist label having very little to do with the classical Marxist position. Many advocates within the nationalist tradition, being themselves strongly opposed to nationalism in the commonly understood fascist or racist sense, and some professors, have replaced the label “nationalist” with “realist” in their most recent books and courses.

Constructivism

Constructivism is an emerging field in international political economy. In general, the constructivist view propounds that material interests, which are central to liberal, realist, and Marxist views, are not sufficient to explain patterns of economic interactions or policies, and that economic and political identities are significant determinants of economic action.

American vs. British IPE

Benjamin Cohen provides a detailed intellectual history of IPE identifying American and British camps. The Americans are positivist and attempt to develop intermediate

level theories that are supported by some form of quantitative evidence. British IPE is more “interpretivist” and looks for “grand theories”. They use very different standards of empirical work. Cohen sees benefits in both approaches. A special edition of *New Political Economy* has been issued on The ‘British School’ of IPE and a special edition of the *Review of International Political Economy* (RIPE) on American IPE.

One forum for this was the “2008 Warwick RIPE Debate: ‘American’ versus ‘British’ IPE” where Cohen, Mark Blyth, Richard Higgott, and Matthew Watson followed up the recent exchange in RIPE. Higgott and Watson in particular, queried the appropriateness of Cohen’s categories.

THE EFFECTS OF TECHNOLOGICAL CHANGES IN INTERNATIONAL BUSINESS

The global economic landscape is constantly changing. A rapid growth (a rate of almost 5% per year in real terms) of global export of goods and services has been changed global economics between 1980 and 2007. It has to be noted that most of this growth in absolute values has been accounted for the *high-income economies*; however, the *developing economies* increased even further with an average of 6% rose in their global exports within the same timescale. This in turn signifies that the exports to GDP ratio increased much faster in the *developing economies* and now exceeds of the *high-income economies* figures. With the monstrous growth of China and India, it is important to understand the key factors which driving the dementedly required economic growth.

Another important factor is the increase of foreign direct investment (FDI) on a global scale, which has grown with five times in the same period of 1980 – 2007. The developing economies saw a continuous growth of inward FDI, following the dip around 2000.

Particularly China had experienced substantial inward investments, especially after 2001 when China joined the World Trading Organization (WTO). The global FDI inflows sharply declined in the years of 2001-2003 by 41%, 26% and 10% respectively; however, China saw an increase in their FDI inflow at the same period by 15%, 13% and 14%. This flow of FDI to china perhaps can justify the Chinese company’s ability to break the *appropriability theory*, which is the idea of gainsay the access to resources for competitors. Another motive for reach the agreement with investors is to gain knowledge, as Daniels et al, (2012) reveals that Chinese authorities allowing foreign investment in exchange for technology share.

The development of the emerging economies also a result of the pursuit of low cost labour to keep competitive advantage. Rugman & Collinson (2011) account for that cost is one of the primary concern in manufacturing of goods and services. To control the costs, manufacturers mainly looking into four areas, namely: *increasing the efficiency of their production processes, tap low-cost labour sources, development of new methods*

to cut costs and costing products not on an individual basis but as a part of a portfolio of related goods. This approach has been referred by Griffin & Pustay (2012), as cost leadership which can be achieved by systematic cost reduction of production and manufacturing, and it should form part of the firm's international marketing and business strategy. Whalley (2011) argues that the primary reason for large inward FDI to China was the access to high quality low cost labour, which can be used to maximize profits with the combination of foreign technology.

As of Seitz & Hite (2011) *technology is what makes economic growth and social change happen*, it also help to make things better and easier for the society. However, on the other hand technology cannot change the environment without affecting other parts of it. Both of the previous ascertainment been echoed by Smith (2009), whereby he is argued that the race to use technology to stimulate economic growth, can easily blind us from the risks that technological progress can cause in the environment. This piece of work is to asses the technological advantages, focusing on energy as a critical technology area, and how it effects the global economics, how it can change the future of the worlds population, particularly the developing countries involvement due to their strategic position in global economics.

TECHNOLOGICAL CHANGE IN GLOBAL ECONOMICS

Technological Change in the 21st Century

The 21st century introduced inevitably the biggest changes, developments in technology, and the effects of organizations. In Brooks, Weatherston, & Wilkinson (2010) reasoning, *the use, or lack of use, of technology has a strong influence upon the competitiveness of firms, sectors and nations.* Nevertheless, Seitz & Hite (2011) highlights that the inappropriate use of technology by the western, developed nations can cause harm to the globe, and the developing countries should consider an intermediate use of technologies. Both reasoning stresses the importance of technological development.

Research and Development

One of the important elements of Vernon (1991) International Product Life Cycle (IPLC) theory is technology, whereby it is a critical factor in the development of new products. The IPLC has three stages, new, mature and standardized stage. It helps to explain why a nation's export product ends up in an import position through its maturity, due to the production movement from the parent country to the scene where the cost of production is the lowest. In the treatise of Mian (2011), China's immense progress in the building of its science and technology capabilities, resulted of being the second biggest economy in the globe. *In 2004 China become the top country, in terms of absolute number of technical and R&D personnel.* This capability is acted as a magnet for big global companies to invest in China.

Robotics/Automation as a Cost Reduction Factor

To justify the investment into robotics some economic factors has to be considered. Robots present labour cost reduction, increase productivity with reduction of production time, less waste, robots also can perform hazardous tasks. All of these elements can realize major cost reductions and results in economic gains such as competitive advantage. On the other hand, automation can have negative effects on the life of individuals, whom jobs may become redundant resulting in sociological recidivation. As Smith (2009) argues that science and technology studies derive from social activities and *science is devoid of people*, automation can be seen as a reflection of this theory.

ENERGY DILEMMAS

Energy Demand

The advancement of technology and the ever-increasing importance of economic growth have significantly increased the global demand for energy. A differentiation of geographical areas in this demand is inevitable, as more developed areas of the globe require more energy, and subsequently can affect the climate due to the high use of fossil fuels to meet the demand. As Bradshaw (2013) demonstrate 75% of carbon dioxide emissions are related to energy production or consumption. Sioshansi (2011), has used Maslow's pyramid of needs to asses the need for energy by the society as a whole, and he concludes that the importance of energy production and consumption is the *primary need* for the modern civilization.

Technological changes and development was a primary source for the creation of new energy absorbing devices, which in turn enlarge the energy demand. Securing this demand is the biggest challenge that the humankind currently facing. Seitz & Hite, (2011) quotes, that predictions suggest that largest increase in demand for oil will come from big developing countries such as India and China, not from the West. China particularly fight a battle to be able to supply the increased demand of energy, in a moderate climate harming way. However China's energy consumption prevails (almost 60%) by the industry sector, which adds significantly to the global climate changing effects, dominated by China.

Climate Policy

According to the International Energy Agency, the "BRICS" economies, which refer to Brazil, Russia, India, China and South Africa as emerging economies, accounted for 33% of the global energy use and 37% of CO₂ emission from energy use. The study also highlights that, China and India are the major players from this group towards an increase in both energy use and greenhouse gas emissions. A debate in the studies of Gallaraga et al, (2011) questions the possibility of having economic growth, with less ecological impact to the globe. As of Beinhocker et al, (2011) a twofold extenuation in emissions and sustain the growth, would require a tenfold increase in carbon productivity.

Thus the possible change in carbon productivity can be achieved by the change in the mix of the fuel source for energy supply. Three main objectives been determined by the Energy Directive 2009/28/EC, namely to reduce green house gas emission by 20%, to reduce energy consumption by 20%, and raise the renewable energy production by 20%. But an interesting study should be considered here; the so called *Green Paradox*. This study is analyzing the Kyoto Protocol limits, and argues that if the suppliers are not following the decrease in demand the price of carbon can be reduced. Which then can be lead to a higher consumption, or a speed up exploitation in the hope of a quicker profit increase, which ends up in an even worse ecological situation. This realization been echoed by Sioshansi (2011), whereby he is concluded *it is not the case that pro-environment policies always lead to rapid development of environmental friendly technologies*.

ECOLOGICAL AND ECONOMIC IMPACTS OF ENERGY SOURCES

Fossil Fuels

The current energy system has three primary energy sources, fossil fuels, nuclear fuels and renewable energy sources. Fossil base fuels have maintained the industrial revolution and still the basis of many emerging economies energy supply. According to Bradshaw (2013) in 2006 the three main fossil fuels of coal, gas and oil accounted for 83.3% of the global primary energy supply. The energy transition paradigm should point to a change from the fossil fuels to and ecologically preferable renewable base, however most of the emerging economies will only go through the previous transition from biomass (mainly wood) to fossil fuels. Which then leading to a question of, would the emerging economies are willing to use less fossil fuels to drive their economic growth? A positive exemplary of the Chinese state with its energy policy is the key in the behavioral changes required, stated that China set a target of quadruple its GDP while only doubling energy consumption.

Renewable Energy Sources

As of Sorenson (2010), *renewable energy sources currently provide about 25% of the energy supplied*. The different type of renewable energy sources can be seen, from biomass to wind and solar energy. Sorenson (2010) also highlights that renewable s from a business point of view is not as interesting as the commercialized world of conventional energy sources (*i.e.*, energy trading, etc.). It has to be emphasized that governmental incentives not always attract investment into renewable s, which then could slow down the positive effects of the usage of renewable energy sources. A study by Dahlquist (2013), concluded that the use of biomass fuels compared to coal, has a significant effect on green house gas emissions, nevertheless of reduction in thermodynamic outputs. Freris & Infield (2008) highlights as one of the advantages of renewable s is *virtually nonpolluting*, and more suitable for developing countries due

to technological expedient. The exploitation of materialized energy sources will end, as of the current knowledge of available resources, and renewable s should replace them, however innovation is key to utilize all of the barriers of economic will.

Nuclear

Nuclear resources are no more exuberant than the fossil base resources, as of Sorenson (2010), new technologies are not in development, due to cost, safety and capacity factors. Other academics quoth *that nuclear energy can be competitive against coal and gas generation*, especially with the benefit of CO₂ reduction. On the other hand, the fusion technology is still holds uncertainties around radioactivity problems, also the confinement structure for material handling is still not existing. Bradshaw (2013) account for the different environmental problems that nuclear power holds, especially after the Fukushima disaster some will query the benefits of the low carbon energy it might deliver.

Conclusion

This short study has focused on the technological changes that can play vital role in the global, and particularly the emerging economies growth. From an energy perspective, the study tried to highlight the two major constraints, namely the economic and ecologic issues that surround energy supply and demand. A conclusion of the importance of R&D in technological development can be determined. Particularly in China, it was a key driver for inward investment.

The focus on energy supply security is possibly only one side of the coin; the other is ecological impacts of exploitation and use of energy resources. Environmental friendly energy supply could cost more and be more expensive to deliver. In fact, the challenge is not just secure sources, but the economic and social consequences of the higher energy price around the globe. It is important to note that every energy source has its ecological impact, and the ignorance that the humankind have been shown towards the environmental impacts of energy production must be put forgotten, and a cooperative effort should be commenced to develop a sustainable future energy supply. However, the current energy-related emission is in line with the economic development (especially the emerging economies fast pace development), which in fact is in contrast of the previously described requirement. The emerging economies can achieve emission reductions with a rapid, greater growth of their economies than their energy needs, as it can be seen in China's growth policy. Thus, a suggestion of an alternative growth model based on renewable energy should be applied, for the emerging economies.

The Future of Global Marketing

THE FUTURE OF GLOBAL MARKETING SUPPLY CHAIN MANAGEMENT

INTRODUCTION

Due to global expansion and more diverse channel distribution needs, enterprise marketers are struggling to manage and control their marketing materials. The result for many has become complex and inefficient marketing supply chains—the chain of suppliers involved in producing materials (print, promotional products, and point of sale) to market products and services. Through extensive primary research efforts, InfoTrends will draw executive insight from marketers and sourcing leads across key global markets. These insights will drive a better understanding of the current state of—and emerging trends within—the marketing supply chain for enterprises and the providers who serve it.

Through extensive primary research of marketing executives across key global markets, this study will:

- Review key marketing supply chain and technology players serving the market
- Define the current state of the marketing supply chain
- Assess needs of marketing supply chain leads (procurement, supply chain, marketing)
- Identify emerging trends and corresponding opportunities

Project Objectives.

This study will focus on four main areas:

- Overview of the Opportunity Landscape
- Assess the Current and Future State of the Market
- Identify Key Market Trends
- Define Key Success Strategies and Opportunities.

ANALYSIS AND PROJECT DELIVERABLES

InfoTrends' professional staff will perform an extensive analysis of the research to develop an understanding of the opportunities and issues surrounding marketing supply chain management.

Subscribers will receive:

- An executive summary of key issues, research findings, and overall recommendations
- A PowerPoint report for internal communication of the research results, including profiles of key market players
- Extensive data books designed for additional analysis of key survey questions by specific demographics.

FIVE NEW CHALLENGES FOR TOMORROW'S GLOBAL MARKETING LEADERS

In a global world, brands need to speak a lot of different customers' languages. And, as mobile, social and software increasingly break down traditional communications borders to transform how brands communicate with consumers, marketing leaders are facing new strategic challenges as they look to develop global marketing fluency.

The Convergence of Brand and Customer

Today, every customer is a multichannel customer and every employee is a steward of your brand's story and culture. This carries several important implications for org structure, brand strategy and enterprise technology needs.

The first is that the connection — and organizational “ownership” of the conversation — between marketing and service need to be as seamless as the experience for buyers passing from pre-purchase (interaction and exposure to marketing messages) to post-purchase (interaction and exposure to marketing, community and service communications). It's becoming more common for brands to separate service accounts on Twitter from their primary branded account to streamline social customer service (examples: @AmazonHelps, @ATTCustomerCare, @MicrosoftHelps, @WarbyParkerHelp), while simultaneously centralizing help-desk tickets and customer interaction records in one CRM or database for use across departments. In most companies, marketing is taking responsibility for a larger percentage of the customer lifecycle and service communications it includes. However, in an alternate example from Optimizely, a fast-

growing leader in A/B testing software, all social media and community management functions sit inside its service organization. A second, related takeaway is that as the customer experience happens across an increasingly diverse set of brand interaction points throughout sales, marketing, services, engineering and potentially retail for brands selling physical products, every employee is acutely becoming a brand ambassador. According to a 2014 omnichannel study from ZenDesk, 67% of consumers make e-commerce purchases through multiple channels, meaning more than two-thirds of online shoppers experience brand touchpoints from multiple teams or departments before buying. Regardless of how much planning has gone into a company's values and culture, those two attributes play a critical role in how a brand's people tell its story, both directly and indirectly via their personal social accounts, blogs and conduct. Similarly, whether or not someone is taking ownership for what your brand stands for and how it should be communicated, employees will communicate it — in sales emails, customer service interactions, recruiting interviews and everywhere else. Tomorrow's CMO will need to educate and mobilize this audience, using new channels like mobile, social and software to lead them.

THE FUTURE OF AGENCY ALIGNMENT

It's not easy to be an agency these days. Marketing and advertising have become for too dynamic, technical and multi-channel for any single agency to act as a full-service, one-stop-shop for a complex global brand. However, at the same time, agencies that historically acted as "local specialists" need to increasingly integrate their work, storytelling and/or media buying with big global ideas, themes and brand movements — as well as the creative that comes with it. Moreover, although marketing continues to become more technical and programmatic, agencies have been slow to develop true expertise in systems design and integration. Agencies can and will be key technology influencers, but — outside of a few exceptions like Acceleration, HUGE and Sapient Nitro — rarely are they architects.

Tomorrow's global marketing leaders need to think about the right approach to developing and structuring agency relationships to get the most out of their capabilities. What partnership structure will let the brand leverage talent and technical expertise across a major holding companies' agency portfolios, while simultaneously connecting local agency expertise to a global, closed-loop system for planning, execution and reporting across teams and geographies? And where and how should agency workflows be integrated with a marketing technology architecture whose goal is to reliably connect creative with revenue attribution?

A GLOBAL HUB-AND-SPOKE BRAND SYSTEM

Structure needs to follow strategy, and as marketing evolves, departments, teams and responsibilities need to as well. As core brand pillars and "big idea(s)" become globalized faster by international, borderless channels like Facebook, YouTube and

LinkedIn, top-performing marketing organizations are frequently restructuring toward a global-to-region model, where regional teams translate global ideas into regional — then ultimately local — action plans, media and campaign positioning. For CMOs and global marketing leaders this process must be planned, organized and orchestrated across six strategic layers:

The six layers of marketing strategy:

Brand pillars (Brand architecture or foundation)	The brand's promise, purpose and positioning
Brand growth plan	The strategy to build sales and market share
Big idea/story	The single global story connected to the growth plan
Global connections plan	The key points where consumers are converted or influenced to by the brand.
Local connections plan	Where global connections are mapped to local channels and media
Operating architecture	How ideas and content are shared across teams and geographies

However, global brands often vary broadly in terms of the strength of their central digital influence. Some brands, like Apple and Nike, are highly effective at centrally deploying standardized programmes to regional offices and teams. By comparison, Nestlé varies its approach significantly on a country-by-country basis depending on its local market presence, share, sophistication and resources. In the latter case, a strong, autonomous local management will have to buy in to the big idea for effective global-local marketing coordination. At Lexus, 25 senior marketers representing ten different global regions all work together to plan new product releases, then meet quarterly with local teams and agencies for feedback sessions on local implementation. Most of the world's largest CPG companies now employ a similar approach with new product launches. Product, branding and positioning are designed centrally, then local managers are invited to suggest how the global programme can be improved and adapted in their markets.

Whichever model your brand employs, cross-regional team collaboration is a key element in success global marketing orchestration. In our recent Marketing Executive Insights Study, nearly half (47%) of low-performing marketing organizations' leaders cited collaboration across different teams and stakeholders as a capability weakness. Being able to take an activation that's successful in one market then tailor and re-deploy it to other strategic markets like Brazil or India has increasingly become a critical capability for global brands.

THE INTERNET OF EVERYTHING

More and more products are becoming complex systems that use sensors and software to share data with other systems. This Internet of Things — or Internet of Everything, depending on who's writing about it — is an abstract term for a very real and tangible trend where physical things like packing labels or pill bottles become internet connected. According to Gartner, the volume of physical goods connected to the internet will increase by nearly 500% over the next five years to 25 billion units, with trillions of

dollars in economic impact coming alongside it. Smart, connected products will allow marketers to form new kinds of marketing relationships, while also gathering new data and insights on customer preferences and behaviour. Leveraged strategically, connected products will enable more personalization of marketing messages, better product storytelling, and a more inspired, immersive customer experience. Walgreens developing a mobile app for customers to print their Instagram, Facebook and Dropbox photos in store, for example, or Tesla creating software where its cars automatically schedule a valet to pick them up for service appointments so owners don't have to spend time worry about third-party garages or maintenance.

Talent and Team Structure

The evolving speed and complexity in modern marketing is making it harder for CMOs to staff teams of generalists. Both internally and with external resources, marketing leaders need to organize for expertise around a new set of key competencies, including:

- Data science, analytics and cross-channel attribution
- User experience design and development
- Mobile
- Content marketing, brand editorial and storytelling
- Connected experiences and devices
- Marketing technology evaluation and integration.

Overall, marketing leaders will need to recruit new talent and [re]educate existing teams to keep pace with a rapidly evolving landscape of channels, tactics and technologies. This may entail a portfolio of talent, employee and culture initiatives, including developing new education programmes, incentivizing marketers to participate in relevant massive open online courses (MOOCs), building internal systems to accelerate the transfer of internal expertise from subject matter experts and top-performing teams to laggards, working more closely with agency and consulting partners on digital re-education, developing venture, accelerator and center of excellence programmes that proactively evaluate, acquire and learn from startups and industry innovators.

FORCES SHAPING THE FUTURE OF B2B MARKETING

Many executives, particularly Chief Marketing Officers, are in constant pursuit of understanding changing buyer behaviors and markets. Which, for the most part, remains an elusive and challenging endeavor. In the past ten plus years, we have seen a tumultuous upheaval in both the world of buyers and how marketing is adapting. As business leaders and marketing leaders look ahead to the future, the ever-expanding global digital economy will undoubtedly cause further disruption. Charting a course for future growth

becoming increasingly difficult. Despite the advent of an overflowing introduction of new marketing approaches, acronyms, and concepts in the past decade, the ability to plan remains an inherent struggle for many organizations.

The introduction of new approaches on how to perfect marketing has been astronomical in the past decade. Creating fragmented and non-cohesive marketing being performed as companies shift their efforts to the newest and latest approaches hyped. Sometimes resembling how an elementary after-school soccer game looks where we see 20 kids chasing a soccer ball instead of a structured soccer game.

FORCES BUSINESS AND MARKETING LEADERS WILL NEED TO ADDRESS

The expansive global economy and the digital engine shaping it are causing three major forces business and marketing leaders will have to understand and address in the next ten years. Three major forces which are changing buyers and markets in ways we could not have predicted just a decade ago.

These forces business and marketing leaders will need to be competent at are:

- Increased understanding of behavioral concepts related to buyer choices and decisions
- Expanding their understanding of shifting desired digital engagements sought by buyers
- Developing data intelligence strategies allowing them to respond to buyer behavioral trends

These three major forces create three essential questions business and marketing leaders will need to answer going forward:

- How do we uncover deeper buyer insights into how choices and decisions are being made?
- How do we engage and create experiences with buyers in the digital world of today and tomorrow?
- How do we use data analytics and intelligence to be responsive to shifting buyer behaviors?

INTEGRATED VERSUS FRAGMENTED

While these three major forces have become increasingly evident, one stark deficiency remains. Meeting these challenges remain fragmented and non-cohesive as alluded to above. For example, many companies tend to adopt different labeled marketing approaches each year, whether it be content marketing, customer experience, account-based marketing, or the many others that have cropped up. Yet, they are not tied to nor integrated into specific buyer insights and data intelligence support systems. Thus, creating an unavoidable “soup du jour” cycle taking place each year as business and marketing plans are formulated. To break this cycle, business and marketing leaders will need to adopt a new insights-based paradigm and system. Whereby there is a natural and organic flow to meeting the challenges these three forces present.

THE NEW MARKETING PLANNING CYCLE

Staying ahead of the curve in changing buyer behaviors and market environments will require a robust cycle incorporating these three elements. While many companies have engaged in one or all three critical areas, the struggle is in creating a cycle that informs. However subtle this struggle may be, its' impact is significance.

Business and marketing leaders will need to move from seeing these areas as marketing “to do” tasks to one of a marketing cycle informed by insights. Where insights are involved and embedded into planning, engagement, and analytics. In other words, companies should avoid treating each area as “one-off” tasks to perform.

UNDERSTANDING DECISIONS IS THE FOCAL POINT

Particularly for B2B Marketing, it is important to not lose sight of what is at the focal point of marketing and sales. That is – buyer decisions. The hyper speed by which change is occurring in buyer behaviors, digital transformation, and in marketing, in general, may feel like a hurricane. However, in the eye of this hurricane is the core of what matters. The buyer decision.

These critical forces are tethered to understanding behavioral choices and decisions in three ways:

- *Understanding Choices and Decision Drivers:* Buyer insights in today’s digital age should be centered on understanding the behavioral aspects of understanding the multiple choices buyers make and how they impact buyer decisions. Many buyer choices and decisions involve underlying and often hidden goals and motivations. Buyer personas are intended to convey buyer insights specific to these underlying and often below the surface goals and motivations.
- *Increasing Buyer Engagement in a Digital World:* What is important to not lose sight of, especially with the trendy label of the “buyer’s journey”, is that our understanding is specific to the buyer *decision*. New digital technologies have caused significant disruption of the buyer decision journey. Creating challenges for businesses on how to engage buyers in every step of their buyer decision journey. The aim for marketers lies in integrating buyer insights into engagement strategies that are tied to a rich understanding of the buyer *decision* journey.
- *Monitoring Buyer Engagement and Buyer Decisions With Data Analytics and Intelligence:* The ability to collect and analyze data on buyers has grown exponentially in the past decade. Data analytics and intelligence can serve the purpose of continuously monitoring how buyers engage and shifting buyer decisions. Consistently examining the buyer insights and buyer engagement strategies link.

The business and marketing leaders of the modern 21st Century will need to become proficient in each of these three major forces impacting the future of marketing. While the rapidity of changing buyers and markets can create chaos, prudent executives are

not losing sight of the eye of the storm. Recognizing that a focus on meeting the challenges these three driving forces present is what matters. And, in a way that cuts through the noise and hype of today and helps them to chart the future.

FACTORS THAT SHAPE MARKET TRENDS

Trends are what allow traders and investors to capture profits. Whether on a short- or long-term time frame, in an overall trending market or a ranging environment, the flow from one price to another is what creates profits and losses. There are four major factors that cause both long-term trends and short-term fluctuations. These factors are governments, international transactions, speculation and expectation, and supply and demand.

MAJOR MARKET FORCES

Learning how these major factors shape trends over the long term can provide insight into why certain trends are developing, why a trend is in place and how future trends may occur.

Here are the four major factors:

- *Governments*
 - Governments hold much sway over the free markets. Fiscal and monetary policy have a profound effect on the financial marketplace. By increasing and decreasing interest rates the government and Federal Reserve can effectively slow or attempt to speed up growth within the country. This is called monetary policy.
If government spending increases or contracts, this is known as fiscal policy, and can be used to help ease unemployment and/or stabilize prices. By altering interest rates and the amount of dollars available on the open market, governments can change how much investment flows into and out of the country.
- *International Transactions*
 - The flow of funds between countries impacts the strength of a country's economy and its currency. The more money that is leaving a country, the weaker the country's economy and currency. Countries that predominantly export, whether physical goods or services, are continually bringing money into their countries. This money can then be reinvested and can stimulate the financial markets within those countries.
- *Speculation and Expectation*
 - Speculation and expectation are integral parts of the financial system. Where consumers, investors and politicians believe the economy will go in the future impacts how we act today. Expectation of future action is dependent on current acts and shapes both current and future trends. Sentiment indicators are commonly used to gauge how certain groups are feeling about the current economy. Analysis of these indicators as well as other forms of fundamental

and technical analysis can create a bias or expectation of future price rates and trend direction.

- *Supply and Demand*
- Supply and demand for products, currencies and other investments creates a push-pull dynamic in prices. Prices and rates change as supply or demand changes. If something is in demand and supply begins to shrink, prices will rise. If supply increases beyond current demand, prices will fall. If supply is relatively stable, prices can fluctuate higher and lower as demand increases or decreases.

EFFECT ON SHORT- AND LONG-TERM TRENDS

With these factors causing both short- and long-term fluctuations in the market, it is important to understand how all these elements come together to create trends. While these major factors are categorically different, they are closely linked to one another. Government mandates impact international transactions, which play a role in speculation, and supply and demand plays a role in each of these other factors.

Government news releases, such as proposed changes in spending or tax policy, as well as Federal Reserve decisions to change or maintain interest rates can have a dramatic effect on long term trends. Lower interest rates and taxes encourage spending and economic growth. This has a *tendency* to push market prices higher, but the market does not always respond in this way because other factors are also at play. Higher interest rates and taxes, for example, deter spending and result in contraction or a long-term fall in market prices.

In the short term, these news releases can cause large price swings as traders and investors buy and sell in response to the information. Increased action around these announcements can create short-term trends, while longer term trends develop as investors fully grasp and absorb what the impact of the information means for the markets.

THE INTERNATIONAL EFFECT

International transactions, balance of payments between countries and economic strength are harder to gauge on a daily basis, but they play a major role in longer-term trends in many markets. The currency markets are a gauge of how well one country's currency and economy is doing relative to others. A high demand for a currency means that currency will rise relative to other currencies.

The value of a country's currency also plays a role in how other markets will do within that country. If a country's currency is weak, this will deter investment into that country, as potential profits will be eroded by the weak currency.

THE PARTICIPANT EFFECT

The analysis and resultant positions taken by traders and investors based on the information they receive about government policy and international transactions create

speculation as to where prices will move. When enough people agree on direction, the market enters into a trend that could sustain itself for many years. Trends are also perpetuated by market participants who were wrong in their analysis; being forced to exit their losing trades pushes prices further in the current direction. As more investors climb aboard to profit from a trend, the market becomes saturated and the trend reverses, at least temporarily.

The S & D Effect

This is where supply and demand enters the picture. Supply and demand affects individuals, companies and the financial markets as a whole. In some markets, such as the commodity markets, supply is determined by a physical product. Supply and demand for oil is constantly changing, adjusting the price a market participant is willing to pay for oil today and in the future.

As supply dwindles or demand increases, a long-term rise in oil prices can occur as market participants outbid one another to attain a seemingly finite supply of the commodity. Suppliers want a higher price for what they have, and a higher demand pushes the price that buyers are willing to pay higher.

All markets have a similar dynamic. Stocks fluctuate on a short and long-term scale, creating trends. The threat of supply drying up at current prices forces buyers to buy at higher and higher prices, creating large price increases. If a large group of sellers were to enter the market, this would increase the supply of stock available and would likely push prices lower. This occurs on all time frames.

THE BOTTOM LINE

Trends are generally created by four major factors: governments, international transactions, speculation/expectation, and supply and demand. These areas are all linked as expected future conditions shape current decisions and those current decisions shape current trends. Government affects trends mainly through monetary and fiscal policy. These policies affect international transactions which in turn affect economic strength. Speculation and expectation drive prices based on what future prices might be. Finally, changes in supply and demand create trends as market participants fight for the best price.

TRENDS AND MARKET FORCES SHAPING THE FUTURE OF U.S. COAL INDUSTRY

The coal industry has been on a bumpy ride in recent years. The industry has seen a wave of bankruptcies and mine closures in the face of falling demand and efforts to reduce carbon emissions. Jobs losses in the industry have led to economic devastation in already struggling communities across eastern Kentucky, southern West Virginia, and southwestern Virginia.

Bringing back coal mining jobs and reviving the coal industry is at the top of President Donald Trump's energy agenda. But it is unclear whether the federal government has the power to disrupt a complex set of trends that have to do with market forces and technology, in addition to regulations.

This brief first looks at the current state of the U.S. coal industry. It then discusses a variety of trends that have impacted the coal industry over the past several decades as well as in the last few years. While environmental regulations have certainly played a part, this brief argues that there are other, likely stronger influences at work. The brief closes by discussing the outlook for coal's future.

THE STATE OF COAL IN THE UNITED STATES

Coal production in the United States totaled 739 million short tons (MMst) in 2016, a 17.5 percent decline from 2015. This is the lowest level of coal production since 1978. This decline in coal production has not occurred uniformly across the major coal producing regions of the country. Production declines in the Appalachia region have been more dramatic, falling by 53 percent since 2008. The Western region, including the Powder River Basin that spans parts of Wyoming and Montana, witnessed a 36 percent decline since 2008. Although over the past 60 years, the output of coal more than doubled, 2011 marked the start of a steep decline in coal production.

Coal mining employment in the United States totaled approximately 50,475 workers in 2016, the lowest level since the U.S. Energy Information Administration began collecting coal mining employment data in 1978. Loss in coal mining jobs has been happening for decades. Nationwide employment in the coal mining industry peaked in 1920, when it employed roughly 785,000 people. Employment has declined more or less steadily since then. In 1980, the industry employed approximately 229,000 people. By 2000, 15 years before the Environmental Protection Agency first proposed the Clean Power Plan and released new pollution guidelines to cut toxic emissions from power plants, industry employment had dropped to 72,000. By 2016, coal mining had shed 78 percent of its workforce, compared to 1980. The job loss has been especially precipitous in the Appalachian region, encompassing communities in Kentucky and West Virginia.

In short, the above trends point to a simple pair of facts. Coal production in the country has declined recently after experiencing decades of growth. Job loss in the coal industry is almost a century long story. With those two trends in mind, it is worth taking a closer look at the various forces that have been impacting the U.S. coal industry over the years. While some of those forces, such as automation in coal mining, have been decades in the making, the U.S. coal industry is also facing headwinds from a variety of market forces that have emerged in the past decade.

MAJOR FORCES AFFECTING THE MARKET FOR U.S. COAL

The fate of the U.S. coal industry depends heavily on its continued dominance in one single market: U.S. electric power generation. About 93 percent of coal consumed

in the United States is for power generation. Given coal's dependency on U.S. power sector demand, the industry has been particularly vulnerable to four significant changes in the domestic power sector that have reduced demand for coal. In addition to the trends shaping the U.S. power sector, two other—namely a decline in global demand for coal and increasing automation—have put great pressure on the industry.

Competition from Cheap Natural Gas Sparks Wave of Coal Plant Retirements

The decline in coal's fortunes is largely a result of competition from cheap and abundant natural gas, which was freed in soaring volumes during the last decade due to technological advancements in horizontal drilling and hydraulic fracturing. Utilities are increasingly choosing natural gas over coal for meeting electricity demand, as cheap gas has kept power prices low, making it uneconomic for generators to upgrade older coal plants to meet increasingly strict federal and state environmental rules. Since 2005, coal's share of the U.S. electricity mix declined from about half to just 30 percent in 2016 while natural gas generation's share grew from 19 percent to 34 percent.

Regionally, coal remains the dominant fuel for electricity generation only in the Midwest, although even there its share has decreased significantly in the past several years. In the Northeast, natural gas-fired generation has exceeded coal-fired generation since February 2011, while in the South natural gas generation surpassed that of coal in every month since January 2015. Electricity generated by coal and natural has remained in close competition in the West.

According to the U.S. Energy Information Administration, nearly 228 gigawatts (GW) of capacity fueled by natural gas was added in the country in the past 15 years, far exceeding retirements of 54 GW. In comparison, 20 GW of coal-fired capacity was added, while more than 53 GW was retired. These retirements help explain a sharp decline in U.S. coal demand for electricity generation.

Renewable Energy Makes Deeper Inroads into U.S. Energy Mix, Further Eroding Coal's Market Share

Renewables are surging in the United States and renewable energy has increased its share of net electricity generation in the past few years. In 2016, of the 4.08 trillion kilowatthours (kWh) of electricity generated at utility-scale facilities in the country, about 15 percent was from renewable energy sources: hydropower (6.5 percent), wind (5.6 percent), biomass (1.5 percent), solar (0.9 percent), and geothermal (0.4 percent). Renewable energy provided 10 percent of electricity in 2010.

According to the U.S. Energy Information Administration, most renewable energy generation comes from Western states, which accounted for 63 percent of all U.S. hydroelectric power and 77 percent of all solar generation in 2016. Nearly 72 percent of wind power came from the Midwest and the South, while 24 percent came from Western states. The growth in wind and solar generation has been particularly significant. In 2016, 14 states generated more than 10 percent of their total electricity from wind,

with Iowa (36.6 percent), South Dakota (30.4 percent) and Kansas (29.6 percent) leading the pack. Only three states had this share of wind generation in 2010. Utility-scale solar installations, including photovoltaic and thermal technologies, grew at an average rate of 72 percent per year between 2010 and 2016, faster than any other generating technologies. Nearly 10 percent of California's total electricity now comes from solar while for Nevada, Vermont, and Arizona the shares are 6.4 percent, 4.0 percent and 3.5 percent respectively.

Policies at both the state and federal levels, such as renewable portfolio standards and other financial incentives including state net metering policies and federal tax credits, have been an important driver of growth in non-hydro renewable capacity and generation since 2008. In addition, dramatic decline in costs of solar and wind technologies have stimulated significant growth in wind and solar installations in the country. Recent numbers from the investment firm Lazard reveal that the average levelized cost of energy (LCOE) for unsubsidized wind generation is between \$32/MWh and \$62/MWh, lower than the average LCOE for natural gas, which is between \$48/MWh and \$56/MWh, and also cheaper than coal.

As renewable projects come online, providing an increasing share of electricity generation, they are contributing to a reduction in coal-fired generation in many parts of the country. The U.S. Energy Information Administration's most recent long-term projections estimate that renewable energy and natural gas will continue growing, regardless of what happens with the Clean Power Plan.

Electricity Demand has Flatlined, Limiting the Market in Which Coal Plants Can Compete

During the better part of the past century, demand for electricity increased year after year, except during economic downturns. Now that trend has come to a screeching halt. After decades of growth, U.S. electricity demand has essentially flatlined.

The initial drop in electricity use in 2008 and 2009 could be attributed to the Great Recession and the resulting economic hangover. However, the economy has grown since 2010. And yet, electricity use in 2016 was below its 2007 level.

The slowdown in electricity consumption in the United States reflects a combination of factors. Energy efficiency has clearly played a role in moderating growth of electricity consumption. While some improvements in energy efficiency have been market driven, much of it has been driven by federal and state policies. As of July 2017, thirty states and the District of Columbia have adopted energy efficiency policies—either mandated requirements, voluntary goals, or pilot programmes—with the goal of lowering the growth of electricity consumption by using electricity more efficiently. At the same time, America's feeble economic growth has also contributed to flattening of electricity demand. The U.S. Energy Information Administration suggests that a decline in industrial activity has more to do with the nationwide shift than do energy efficiency. The factors influencing electricity use are complex and difficult to boil down to a few key explanatory

factors. However, lower than expected demand for electricity has kept the total market size of the power sector relatively flat in terms of demand for electricity from different generating technologies and fuels, thereby limiting the market in which coal plants can compete.

Environmental Regulations Have Kept the Pressure on Coal-Fired Generation

Environmental regulations have also played a role in the switch from coal to natural gas and renewables in the U.S. electricity supply by accelerating coal plant retirements. Over the years, the Environmental Protection Agency has proposed and/or enacted a portfolio of regulations that have significant impacts on coal plants including Mercury and Air Toxics Standards (MATS), National Ambient Air Quality Standards (NAAQS), Cross State Air Pollution Rule (CSAPR), and the Clean Power Plan. Federal regulations and the growing cost of compliance have made many coal plants too expensive to operate, leading to their retirements. About 30 percent of the coal capacity that retired in 2015 was pulled offline in April, when the EPA's MATS rule went into effect.

Industry representatives, academics, and market experts agree though that cheaper natural gas from the shale gas revolution is the biggest factor contributing to coal's decline. Environmental regulations have played a minor role and in many ways only served to reinforce the market trends that have been underway in the electric industry. A report from Columbia University's Center on Global Energy Policy analyzed the factors leading to the coal industry's sharp decline over the past six years and concluded that environmental regulations might account for about 3 to 5 percent of industry's decline over the last several years.

The four trends discussed above have led to rapid decline in use of coal for power generation in the United States. This shift has been remarkably fast, at least by energy industry standards. In 2000, coal accounted for more than half of all U.S. power generation. In 2016, that share dropped to 30 percent, with a significant portion of the difference made up by natural gas, a shift which the U.S. Energy Information Administration described was "mainly a market-driven response to lower natural gas prices."

Additionally, two other forces are worth mentioning: decrease in global demand for coal and increasing automation.

COAL EXPORTS CONTINUE TO FALL, STANDING IN THE WAY OF A U.S. COAL RECOVERY

In the past, the U.S. coal industry has weathered the storm by exporting more coal abroad. But the future of coal exports is also under question. According to the U.S. Energy Information Administration, even though the United States remained a net exporter of coal in 2016, coal exports fell for the fourth consecutive year by 18.5 percent to 60.3 million short tons. The drop in exports was driven by slow growth in global coal demand and a higher supplier competition. On the demand side, 10 countries accounted

for nearly 80 percent of U.S. coal exports in 2016 and exports declined in nine of them. On the supply side, lower mining costs, cheaper transportation costs, and favorable exchange rates continued to provide a market advantage to other major coal-exporting countries such as Australia, Indonesia, Colombia, Russia, and South Africa.

Coal exports from January through May 2017 totaled 36.79 million tons, up 60 percent from 22.94 million tons in the same period in 2016. While reflecting a bounce from 2016, these numbers remained well below export volumes recorded in equivalent periods the previous five years. Recent shifts in global coal markets do not suggest that coal's strength lies outside of U.S. borders. In 2016, global demand for coal fell for the second consecutive year by 1.7 percent, marking a striking reversal of fortune for coal, which was the largest source of energy demand growth until four years ago. Coal consumption has been declining for three years in China, as its economic boom and output has tailed off in energy-intensive sectors such as iron, steel, and cement. Together with its enormous investment in renewables, China's coal consumption is expected to decline as a portion of the energy mix over the longer term—limiting the market opportunities for U.S. exports. Coal demand in India is likely to grow in the years ahead as the country continues to push to provide electricity to more of its poor, but they may not be enough to make up for the slow-down in China. The same is true for other emerging economies, many of whom have been negatively impacted by slowdown in Chinese commodities demand themselves.

Increased Automation Indicates a Less Than Positive Outlook for Coal Jobs

Jobs in the coal industry have declined due to the same productivity gains that have led to fewer manufacturing jobs across the country. With workers producing more output per hour, the industry can see an increase in coal production and still see a decrease in coal jobs. Coal automation has been ongoing for decades and is poised to accelerate.

After World War II, the adoption of 'continuous miner' machine, which uses a large rotating drum and teeth to scrape coal from underground seams much faster than humans, transformed coal mining into more of a factory job. Similarly, 'long-wall mining' technology—heavily automated devices that can shear off thousands of tons per shift and drop the coal onto long conveyor belts—led to rising productivity and declining jobs. More recently, since the 1990s, surface mining, which is more mechanized and less labour-intensive, has outpaced underground mining. With the rise of surface mining, the focal point of production has moved west from Appalachia to the Powder River and Illinois basins. Correspondingly, through the 1990s and 2000s, coal production increased even as coal mining employment declined.

The mining industry in general is poised for automation in the coming years, given that it is highly capital intensive, pays relatively well, and buys expensive equipment. The industry has already adopted various automated technologies such as autonomous haul trucks and loaders; autonomous long-distance haul trains; semi-autonomous crushers, rock breakers, and shovel swings; automated drilling and tunnel-boring

systems; automated long-wall plough and shearers; autonomous equipment monitoring; and GIS and GPS technologies. The deployment of these technologies is likely to be accelerated in the coming decades. 40 to 80 percent of today's mining jobs are at risk of being replaced by robots and self-driving trucks.

Outlook for Coal's Future

Despite the challenges facing the U.S. coal industry, the fuel will remain a viable option for years to come. The U.S. Energy Information Administration's latest annual report indicates that coal-fired power will regain its place at the top of the U.S. generation mix in 2019 and hold its position into the 2030s if the Clean Power Plan is repealed. This forecast is contingent upon expected price trends for other technologies, especially natural gas. The U.S. Energy Information Administration recently projected a slight increase in domestic coal production through 2018 as a result of projected increase in natural gas prices. However, that increased production would occur in Western coal mining regions, not the Appalachian Basin.

Having said that, coal is also unlikely to rebound to its pre-2000 position, even without the Clean Power Plan. The various market forces—competition from gas-fired plants and renewable energy projects, flat demand in the power sector, declining global demand for coal—all point to lower overall demand for coal in the future. A new survey of utility executives found that just 4 percent think coal use will increase moderately or significantly in their utility's power mix over the next decade. 27 percent said coal use would decrease moderately and 52 percent said it would decrease significantly.

Over the long run, the future of U.S. coal industry will depend on its ability to innovate. Breakthroughs and cost reductions with advanced coal technology, including carbon capture, utilization and storage, could upend the negative perceptions about coal's environmental impacts and enable it to regain cost advantages.

THE GLOBALIZATION OF COMPANIES AND INDUSTRIES

“Going global” is often described in incremental terms as a more or less gradual process, starting with increased exports or global sourcing, followed by a modest international presence, growing into a multinational organization, and ultimately evolving into a global posture. This appearance of gradualism, however, is deceptive. It obscures the key changes that globalization requires in a company's mission, core competencies, structure, processes, and culture. As a consequence, it leads managers to underestimate the enormous differences that exist between managing international operations, a multinational enterprise, and managing a global corporation. Research by Diana Farrell of McKinsey & Company shows that industries and companies both tend to globalize in stages, and at each stage, there are different opportunities for and challenges associated with creating value.

THE FIVE STAGES OF GOING GLOBAL

In the first stage (market entry), companies tend to enter new countries using business models that are very similar to the ones they deploy in their home markets. To gain access to local customers, however, they often need to establish a production presence, either because of the nature of their businesses (as in service industries like food retail or banking) or because of local countries' regulatory restrictions (as in the auto industry).

In the second stage (product specialization), companies transfer the full production process of a particular product to a single, low-cost location and export the goods to various consumer markets. Under this scenario, different locations begin to specialize in different products or components and trade in finished goods.

The third stage (value chain disaggregation) represents the next step in the company's globalization of the supply-chain infrastructure. In this stage, companies start to disaggregate the production process and focus each activity in the most advantageous location. Individual components of a single product might be manufactured in several different locations and assembled into final products elsewhere. Examples include the PC industry market and the decision by companies to offshore some of their business processes and information technology services.

In the fourth stage (value chain reengineering) companies seek to further increase their cost savings by reengineering their processes to suit local market conditions, notably by substituting lower-cost labour for capital. General Electric's (GE) medical equipment division, for example, has tailored its manufacturing processes abroad to take advantage of low labour costs. Not only does it use more labour-intensive production processes—it also designs and builds the capital equipment for its plants locally.

Finally, in the fifth stage (the creation of new markets), the focus is on market expansion. The McKinsey Global Institute estimates that the third and fourth stages together have the potential to reduce costs by more than 50% in many industries, which gives companies the opportunity to substantially lower their sticker prices in both old and new markets and to expand demand. Significantly, the value of new revenues generated in this last stage is often greater than the value of cost savings in the other stages.

It should be noted that the five stages described above do not define a rigid sequence that all industries follow. As the McKinsey study notes, companies can skip or combine steps. For example, in consumer electronics, product specialization and value chain disaggregation (the second and third stages) occurred together as different locations started to specialize in producing different components (Taiwanese manufacturers focused on semiconductors, while Chinese companies focused on computer keyboards and other components).

UNDERSTANDING INDUSTRY GLOBALIZATION

Executives often ask whether their industry is becoming more global and, if so, what strategies they should consider to take advantage of this development and stake out an

enduring global competitive advantage. This may be the wrong question. Simple characterizations such as “the electronics industry is global” are not particularly useful. A better question is *how* global an industry is, or is likely, to become. Virtually all industries are global in some respects. However, only a handful of industries can be considered truly global today or are likely to become so in the future. Many more will remain hybrids, that is, global in some respects, local in others. *Industry globalization, therefore, is a matter of degree.* What counts is which elements of an industry are becoming global and how they affect strategic choice. In approaching this issue, we must focus on the drivers of industry globalization and think about how these elements shape strategic choice. We should also make a distinction between *industry globalization*, *global competition*, and the degree to which a *company has globalized* its operations. In traditionally global industries, competition is mostly waged on a worldwide basis and the leaders have created global corporate structures. But the fact that an industry is not truly global does not prevent global competition. And a competitive global posture does not necessarily require a global reorganization of every aspect of a company’s operations. Economies of scale and scope are among the most important drivers of industry globalization; in global industries, the minimum volume required for cost efficiency is simply no longer available in a single country or region. Global competition begins when companies cross-subsidize national market-share battles in pursuit of global brand and distribution positions. A global company structure is characterized by production and distribution systems in key markets around the world that enable cross-subsidization, competitive retaliation on a global basis, and world-scale volume. Hamel and Prahalad (1985, July-August).

So why are some industries more global than others? And why do global industries appear to be concentrated in certain countries or regions? Most would consider the oil, auto, and pharmaceutical industries global industries, while tax preparation, many retailing sectors, and real estate are substantially domestic in nature. Others, such as furniture, lie somewhere in the middle. What accounts for the difference? The dominant location of global industries also poses interesting questions. Although the machine tool and semiconductor industries originated in the United States, Asia has emerged as the dominant player in most of their segments today. What accounts for this shift? Why is the worldwide chemical industry concentrated in Germany while the United States continues to dominate in software and entertainment? Can we predict that France and Italy will remain the global centers for fashion and design? These issues are important to strategists. They are also relevant as a matter of public policy as governments attempt to shape effective policies to attract and retain the most attractive industries, and companies must anticipate changes in global competition and locational advantage.

Minicase: Cemex’s Globalization Path: First Cement, Then Services

When Lorenzo Zambrano became chairman and chief executive officer of Cemex in the 1980s, he pushed the company into foreign markets to protect it from the Latin

American debt crisis. Zambrano first focused on the United States. But attempts to sell cement north of the border were greeted by hostility from producers, who convinced the U.S. International Trade Commission to levy a stiff antidumping duty. Despite a General Agreement on Tariffs and Trade's (GATT) ruling in Cemex's favour, the company was still paying the fine a dozen years later.

Rebuffed in the world's biggest market, Zambrano turned to Spain, investing in port facilities and outmaneuvering European rivals for control of the country's two largest cement firms. When he discovered how inefficiently they were run, Zambrano sent a team of his Mexican managers to Spain to introduce his distinctive way of doing business. Called the "Cemex Way," it is a culture that blends modern, flexible management practices with cutting-edge technology.

From Spain, where profits increased from 7% to 24% during Cemex's first 2 years there, the company expanded around the globe. Blending state-of-the-art technology with the making and selling of one of the world's most basic products, Cemex has achieved remarkable customer service in some of the most logistically challenged countries. Whether Venezuela, Mexico, or the Philippines, Cemex trucks equipped with GPS navigational systems promise deliveries within 20 minutes.

After gaining a solid international footing, Zambrano went back to the United States. In 2000, he bought Houston-based Southdown Cement—one of the largest purchases ever by a Mexican company in the United States. Soon, Cemex was the biggest U.S. cement seller. In less than two decades, Zambrano had transformed Cemex from a domestic company into the world's third-largest cement firm by investing heavily and imaginatively not only in plants and equipment, which is what one would expect in the cement industry, but also in information technology and particularly in Cemex's people.

The corporation has consistently been more profitable than either of its two biggest competitors, France's Lafarge and Switzerland's Holcim. Sales in 2008 were almost \$22 billion, with an operating margin of almost 12%.

Today, Cemex has a presence in more than 50 countries across 5 continents. It has an annual production capacity of close to 96 million metric tons of cement, approximately 77 million cubic meters of ready-mix concrete and more than 240 million metric tons of aggregates. Its resource base includes 64 cement plants, over 2,200 ready-mix concrete facilities, and a minority participation in 15 cement plants, and it operates 493 aggregate quarries, 253 land-distribution centers, and 88 marine terminals.

Zambrano's embrace of technology is central to Cemex's efficiency. Fiber optics link the system, and satellite communications are used to connect remote outposts. Whether at the Monterrey headquarters or on the road, the chief executive officer can tap into his computer to check kiln temperatures in Bali or cement truck deliveries in Cairo.

Because he believes many companies use technology ineffectively, Zambrano spun off Cemex's technology arm to sell its services. Organized under the CxNetworks Miami subsidiary, which is devoted to creating growth by building innovative businesses around

Cemex's strengths, Zambrano formed a consulting service called Neoris. With more than half of its customers coming from outside Cemex, the operation has already become hugely profitable. It has been grouped with another start-up—Arkio, a distributor of building material products to construction companies in developing nations. "We're selling logistics," says the president of CxNetworks. "We can assure our customers that they can have the materials from our warehouse to their construction site within 48 hours."

CLUSTERING: PORTER'S NATIONAL DIAMOND

The theory of comparative economic advantage holds that as a result of natural endowments, some countries or regions of the world are more efficient than others in producing particular goods. Australia, for example, is naturally suited to the mining industry; the United States, with its vast temperate landmass, has a natural advantage in agriculture; and more-wooded parts of the world may have a natural advantage in producing timber-based products. This theory is persuasive for industries such as agriculture, mining, and timber. But what about industries such as electronics, entertainment, or fashion design? To explain the clustering of these industries in particular countries or regions, a more comprehensive theory of the geography of competition is needed.

In the absence of natural comparative advantages, industrial clustering occurs as a result of a relative advantage that is created by the industry itself. Krugman (1993). Producers tend to locate manufacturing facilities close to their primary customers. If transportation costs are not too high, and there are strong economies of scale in manufacturing, a large geographic area can be served from this single location. This, in turn, attracts suppliers to the industry.

A labour market is likely to develop that begins to act like a magnate for "like" industries requiring similar skills. This colocation of "like" industries can lead to technological interdependencies, which further encourage clustering. Clustering, therefore, is the natural outcome of economic forces. A good example is provided by the semiconductor industry. Together, American and Asian firms supply most of the world's needs. The industry is capital intensive, research and development costs are high, the manufacturing process is highly complex, but transportation costs are minimal. Technology interdependencies encourage colocation with suppliers, whereas cost and learning curve effects point to scale efficiencies. Clustering, therefore, is mutually advantageous.

Only when transportation costs are prohibitive or scale economies are difficult to realize—that is, when there are disincentives to clustering—do more decentralized patterns of industry location define the natural order. The appliance industry illustrates this. Companies such as GE and Whirlpool have globalized their operations in many respects, but the fundamental economics of the industry make clustering unattractive. The production of certain value-added components, such as compressors or electronic

parts, can be concentrated to some extent, but the bulky nature of the product and high transportation costs make further concentration economically unattractive. What is more, advances in flexible manufacturing techniques are reducing the minimum scale needed for efficient production. This allows producers to more finely tailor their product offerings to local tastes and preferences, further thwarting the globalization of the industry.

Thus, classical economic theory tells us why clustering occurs. However, it does not fully explain why *particular* regions attract certain global industries. Porter addressed this issue using a framework he calls a “national diamond.” Porter (1990). It has six components: *factor conditions, home-country demand, related and supporting industries, competitiveness of the home industry, public policy, and chance*.

FACTOR CONDITIONS

The explanation why *particular* regions attract *particular* industries begins with the degree to which a country or region’s endowments match the characteristics and requirements of an industry. Such factor conditions include natural (climate, minerals) as well as created (skill levels, capital, infrastructure) endowments. But to the extent that such factors are mobile, or can be imitated by other countries or regions, factor conditions alone do not fully explain regional dominance. In fact, the opposite is true. When a particular industry is highly profitable and barriers to entry are low, the forces of imitation and diffusion cause such an industry to spread across international borders. Oster (1994). The Japanese compete in a number of industries that originated in the United States; Korean firms imitate Japanese strategies; and Central European nations are conquering industries that were founded in Western Europe. Industries that depend on such mobile factors as capital are particularly susceptible.

Home-Country Demand

Porter’s second factor is the nature and size of the demand in the home country. Large home markets act as a stimulus for industry development. And when a large home market develops before it takes hold elsewhere in the world, experienced firms have ample incentives to look for business abroad when saturation at home begins to set in. The motorcycle industry in Japan, for example, used its scale advantage to create a global presence following an early start at home. Oster (1994). Porter found that it is not just the *location* of early demand but its *composition* that matters. A product’s fundamental or core design nearly always reflects home-market needs. As such, the nature of the home-market needs and the sophistication of the home-market buyer are important determinants of the potential of the industry to stake out a future global position.

It was helpful to the U.S. semiconductor industry, for example, that the government was an early, sophisticated, and relatively cost-insensitive buyer of chips. These conditions encouraged the industry to develop new technologies and provided early opportunities to manufacture on a substantial scale.

Related and Supporting Industries

The presence of related and supporting industries is the third element of Porter's framework. This is similar to our earlier observation about clustering. For example, Hollywood is more than just a cluster of moviemakers—it encompasses a host of suppliers and service providers, and it has shaped the labour market in the Los Angeles area.

Competitiveness of the Home Industry

Firm strategies, the structure, and the rivalry in the home industry define the fourth element of the “national diamond” model. In essence, this element summarizes the “five forces” competitive framework described earlier. The more vigorous the domestic competition is, the more successful firms are likely to compete on a global scale. There is plenty of evidence for this assertion. The fierce rivalry that exists among German pharmaceutical companies has made them a formidable force in the global market. And the intense battle for domestic market share has strengthened the competitive position of Japanese automobile manufacturers abroad.

Public Policy and Chance

The two final components of Porter's model are public policy and chance. There can be no doubt that government policy can—through infrastructure, incentives, subsidies, or temporary protection—nurture global industries. Whether such policies are always effective is less clear. Picking “winners” in the global marketplace has never been the strong suit of governments. The chance element allows for the influence of random events such as where and when fundamental scientific breakthroughs occur, the presence of entrepreneurial initiative, and sheer luck. For example, the early U.S. domination of the photography industry is as much attributable to the fact that George Eastman (of Eastman Kodak) and Edwin Land (of Polaroid) were born here than to any other factor.

INDUSTRY GLOBALIZATION DRIVERS

Yip identifies four sets of “industry globalization drivers” that underlie conditions in each industry that create the potential for that industry to become more global and, as a consequence, for the potential viability of a global approach to strategy. George S. Yip first developed this framework in his book *Total global strategy: Managing for worldwide competitive advantage* (1992), chaps. 1 and 2. Market drivers define how customer behaviour distribution patterns evolve, including the degree to which customer needs converge around the world, customers procure on a global basis, worldwide channels of distribution develop, marketing platforms are transferable, and “lead” countries in which most innovation takes place can be identified. Cost globalization drivers—the opportunity for global scale or scope economics, experience effects, sourcing efficiencies reflecting differentials in costs between countries or regions, and technology advantages—shape the economics of the industry. Competitive drivers are defined by

the actions of competing firms, such as the extent to which competitors from different continents enter the fray, globalize their strategies and corporate capabilities, and create interdependence between geographical markets. Government drivers include such factors as favorable trade policies, a benign regulatory climate, and common product and technology standards.

MARKET DRIVERS

One aspect of globalization is the steady convergence of customer needs. As customers in different parts of the world increasingly demand similar products and services, opportunities for scale arise through the marketing of more or less standardized offerings. How common needs, tastes, and preferences will vary greatly by product and depend on such factors as the importance of cultural variables, disposable incomes, and the degree of homogeneity of the conditions in which the product is consumed or used. This applies to consumer as well as industrial products and services. Coca-Cola offers similar but not identical products around the world. McDonald's, while adapting to local tastes and preferences, has standardized many elements of its operations. Software, oil products, and accounting services increasingly look alike no matter where they are purchased. The key to exploiting such opportunities for scale lies in understanding which elements of the product or service can be standardized without sacrificing responsiveness to local preferences and conditions.

Global customers have emerged as needs continue to converge. Large corporations such as DuPont, Boeing, or GE demand the same level of quality in the products and services they buy no matter where in the world they are procured. In many industries, global distribution channels are emerging to satisfy an increasingly global customer base, further causing a convergence of needs. Finally, as consumption patterns become more homogeneous, global branding and marketing will become increasingly important to global success.

COST GLOBALIZATION DRIVERS

The globalization of customer needs and the opportunities for scale and standardization it brings will fundamentally alter the economics of many industries. Economies of scale and scope, experience effects, and exploiting differences in factor costs for product development, manufacturing, and sourcing in different parts of the world will assume a greater importance as determinants of global strategy. At bottom is a simple fact: a single market will no longer be large enough to support a competitive strategy on a global scale in many industries.

Global scale and scope economics are already having far-reaching effects. On the one hand, the more the new economies of scale and scope shape the strategies of incumbents in global industries, the harder it will be for new entrants to develop an effective competitive threat. Thus, barriers to entry in such industries will get higher. At the same time, the rivalry within such industries is likely to increase, reflecting the

broadening scope of competition among interdependent national and regional markets and the fact that true differentiation in such a competitive environment may be harder to achieve.

COMPETITIVE DRIVERS

Industry characteristics—such as the degree to which total industry sales are made up by export or import volume, the diversity of competitors in terms of their national origin, the extent to which major players have globalized their operations and created an interdependence between their competitive strategies in different parts of the world—also affect the globalization potential of an industry. High levels of trade, competitive diversity, and interdependence increase the potential for industry globalization. Industry evolution plays a role, too. As the underlying characteristics of the industry change, competitors will respond to enhance and preserve their competitive advantage. Sometimes, this causes industry globalization to accelerate. At other times, as in the case of the worldwide major appliance industry, the globalization process may be reversed.

Government Drivers

Government globalization drivers—such as the presence or absence of favorable trade policies, technical standards, policies and regulations, and government operated or subsidized competitors or customers—affect all other elements of a global strategy and are therefore important in shaping the global competitive environment in an industry. In the past, multinationals almost exclusively relied on governments to negotiate the rules of global competition. Today, however, this is changing. As the politics and economics of global competition become more closely intertwined, multinational companies are beginning to pay greater attention to the so-called nonmarket dimensions of their global strategies aimed at shaping the global competitive environment to their advantage. This broadening of the scope of global strategy reflects a subtle but real change in the balance of power between national governments and multinational corporations and is likely to have important consequences for how differences in policies and regulations affecting global competitiveness will be settled in the years to come.

MINICASE: GLOBAL VALUE CHAINS IN THE AUTOMOTIVE INDUSTRY: A NESTED STRUCTURE STURGEON, VAN BIESEBROECK, AND GEREFFI (2009).

From a geographic point of view, the world automotive industry, like many others, is in the midst of a profound transition. Since the mid-1980s, it has been shifting from a series of discrete national industries to a more integrated global industry. In the automotive industry, these global ties have been accompanied by strong regional patterns at the operational level. Market saturation, high levels of motorization, and political pressures on automakers to “build where they sell” have encouraged the dispersion of

final assembly, which now takes place in many more places than it did 30 years ago. According to Automotive News Market Data Books, while seven countries accounted for about 80% of world production in 1975, 11 countries accounted for the same share in 2005.

The widespread expectation that markets in China and India were poised for explosive growth generated a surge of new investment in these countries. Consumer preferences require that automakers alter the design of their vehicles to fit the characteristics of specific markets. They also want their conceptual designers to be close to “tuners” to see how they modify their production vehicles. These motivations led automakers to establish a series of affiliated design centers in places such as China and Southern California. Nevertheless, the heavy engineering work of vehicle development, where conceptual designs are translated into the parts and subsystems that can be assembled into a drivable vehicle, remain centralized in or near the design clusters that have arisen near the headquarters of lead firms.

The automotive industry is therefore neither fully global, consisting of a set of linked, specialized clusters, nor tied to the narrow geography of nation states or specific localities, as is the case for some cultural or service industries. Global integration has proceeded at the level of design and vehicle development as firms have sought to leverage engineering effort across regions. Examples include right- versus left-hand drive, more rugged suspension and larger gas tanks for developing countries, and consumer preferences for pick-up trucks in Thailand, Australia, and the United States.

The principal automotive design centers in the world are Detroit, Michigan, in the United States (GM, Ford, Chrysler, and, more recently, Toyota and Nissan); Cologne (Ford Europe), Rüsselsheim (Opel, GM’s European division), Wolfsburg (Volkswagen), and Stuttgart (Daimler-Benz) in Germany; Paris, France (Renault); and Tokyo (Nissan and Honda) and Nagoya (Toyota) in Japan. This is just nine products sold in multiple end markets.

As suppliers have taken on a larger role in design, they have, in turn, established their own design centers close to those of their major customers in order to facilitate collaboration. On the production side, the dominant trend is regional integration, a pattern that has been intensifying since the mid-1980s for both political and technical reasons. In North America, South America, Europe, Southern Africa, and Asia, regional parts production tends to feed final assembly plants producing largely for regional markets. Political pressure for local production has driven automakers to set up final assembly plants in many of the major established market areas and in the largest emerging market countries, such as Brazil, India, and China. Increasingly, as a precondition to being considered for a new part, lead firms demand that their largest suppliers have a global presence.

Because centrally designed vehicles are manufactured in multiple regions, buyer-supplier relationships typically span multiple production regions. Within regions, there is a gradual investment shift toward locations with lower operating costs: the U.S.

South and Mexico in North America; Spain and Eastern Europe in Europe; and Southeast Asia and China in Asia. Ironically, perhaps, it is primarily local firms that take advantage of such cost-cutting investments within regions (*e.g.*, the investments of Ford, GM, and Chrysler in Mexico), since the political pressure that drives inward investment is only relieved when jobs are created within the largest target markets (*e.g.*, the investments of Toyota and Honda in the United States and Canada).

Automotive parts, of course, are more heavily traded between regions than finished vehicles. Within countries, automotive production and employment are typically clustered in one or a few industrial regions. In some cases, these clusters specialize in specific aspects of the business, such as vehicle design, final assembly, or the manufacture of parts that share a common characteristic, such as electronic content or labour intensity.

Because of deep investments in capital equipment and skills, regional automotive clusters tend to be very long-lived. To sum up the complex economic geography of the automotive industry, we can say that global integration has proceeded the farthest at the level of buyer-supplier relationships, especially between automakers and their largest suppliers. Production tends to be organized regionally or nationally, with bulky, heavy, and model-specific parts production concentrated close to final assembly plants to assure timely delivery, and with lighter, more generic parts produced at a distance to take advantage of scale economies and low labour costs. Vehicle development is concentrated in a few design centers. As a result, local, national, and regional value chains in the automotive industry are “nested” within the global organizational structures and business relationships of the largest firms. While clusters play a major role in the automotive industry, and have “pipelines” that link them, there are also global and regional structures that need to be explained and theorized in a way that does not discount the power of localization.

GLOBALIZATION AND INDUSTRY STRUCTURE

Yoffie suggests 5 propositions that help explain how the structure of an industry can evolve depending on, among other factors, the dynamics that shape competition in the industry and the role governments play in stimulating or obstructing the globalization process. Yoffie (1993), chaps. 1 and 10. The reader is encouraged to consult this excellent book for further details.

Proposition 1 is that when industries are relatively fragmented and competitive, national environments (factors of production, domestic market and domestic demand, and so forth) will largely shape the international advantage of domestically headquartered firms and the patterns of trade. A correlate to this proposition is that in emerging industries, country advantages also play a dominant role in determining global competitive advantage.

In other words, in fragmented industries relative cost is a key determinant of global success, and since countries differ in terms of their factor costs, as long as entry barriers remain low, production will gravitate to the lowest cost, highest efficiency manufacturing

location. Another way of saying this is that the presence of multinational firms, by itself, should not influence the pattern of international trade in globally competitive, fragmented industries; other things being equal, country factors determine the location of production and the direction of exports. Oligopolistic global industry structures define a very different strategic context, as the next proposition illustrates.

Proposition 2 stipulates that if an industry becomes globally concentrated with high barriers to entry, then location, activity concentration, export, and other strategic decisions by multinational companies are determined to a greater extent by the nature of the global oligopolistic rivalry. Thus, while in concentrated industries country characteristics remain important, the dynamics of the global, oligopolistic competitive climate become the principal drivers of global strategy. This is intuitive. In global oligopolies, more so than in fragmented market structures, the success of one firm is directly affected by that of a few, immediate competitors. Entry into the industry is often restricted in some way—by factors such as economies of scale or scope, high levels of capital investment, and the like, or by restrictions imposed by governments. Furthermore, in many global oligopolies, participating firms earn above-average returns, which may make the difference in cost between producing locally and exporting a less critical determinant of strategy. Opportunities to cross-subsidize businesses and geographies further reduce the importance of geography in production or export decisions. As a consequence, the moves and countermoves of direct, global competitors heavily influence company strategies. For example, it is quite common for companies to enter some other firm's home market, not just because that market is likely to generate additional profits but mainly to weaken its global competitive position. This line of reasoning directly leads to a third proposition, which relates organizational and strategic attributes of global competitors to global strategic choice.

Proposition 3 suggests that in global oligopolies, specific firm characteristics—the structure of ownership, strategies employed, and organizational factors, to name a few—directly affect strategic posture, the pattern of trade, and, sometimes, the competitiveness of nations. In global oligopolies with a relatively small number of competitors, issues such as *who* owns the resources necessary for creating value and *who* sets the global priorities take on a greater strategic significance. Executives from different cultures approach strategy differently—state-owned enterprises are often more motivated by public policy considerations, employment, and other nonprofit concerns. These differences can have a direct impact on the relative attractiveness of global strategy options. The influence of governments in global markets is captured further in the fourth proposition.

Proposition 4 suggests that extensive government intervention in global oligopolistic industries can alter the relative balance between firms of different countries—even in fragmented industries, it can alter the direction of trade and affect major corporate trade decisions. The degree and influence of government intervention varies from industry to industry. Whereas in fragmented industries the influence of governments is

naturally somewhat limited by market conditions, government intervention can have a pronounced influence in industries with significant economies of scale effects or other market imperfections. For example, governments can protect “infant” industries with such characteristics. While a case can be made for the temporary protection of strategically important industries, in reality, such protection is rarely temporary. This can create a global strategic environment in which anticipating and capitalizing on the actions of governments become the driving forces of global strategy.

Proposition 5 suggests that in industries where firms make long-term commitments, corporate adjustments and patterns of trade tend to be “sticky.” This fifth and final proposition addresses the issue of corporate inertia. Although the global competitive climate changes every day, choices made by multinational companies and governments tend to have an enduring impact on the industry environment. This proposition has at least two implications. First, the study of how industries evolve globally and what decisions different competitors made and how they made them is relevant to understanding what drives strategy in a particular global context. Second, the commitments already made by industry participants and governments may spell opportunity or impose constraints for years to come.

These 5 propositions define 2 important dimensions for classifying globalizing industries according to the nature of the strategic challenge they represent: *the degree of global concentration and the extent to which governments intervene*. In industries with a relatively low degree of concentration and little government intervention, the classical economic laws of *comparative advantage* are the primary drivers of international competition. Here, factor costs are a primary determinant of global competitiveness. It would seem natural, therefore, to focus on a global strategy aimed at minimizing costs. But this can be extremely difficult in a fast-changing world. Comparative country costs change continuously. In cars, semiconductors, and computers, among other industries, the comparative (cost) advantage has shifted a number of times since World War II from the United States to Japan to East Asia to Southeast Asia. What is more, there is good reason to believe it will shift again, perhaps to Africa or Latin America. And, with new technological breakthroughs, Western nations may once again become the low-cost production centers. So what should companies do? While companies should definitely take advantage of opportunities to minimize costs, especially in their initial investments, Yoffie suggests that long-term global strategic choices should emphasize *commitments to countries that are likely to act as the best platforms over time for a broad array of activities*.

In globally concentrated industries where the role of governments is limited, characterized by *oligopolistic competition*, company strategies are often heavily influenced by the moves and countermoves of direct competitors. Strategies such as making significant investments in competitors’ markets, regardless of their short- or medium-run profitability—which would not work in highly competitive markets—can only be explained in terms of a strategic posture aimed at maintaining a long-term

global competitive balance between the various participants. Caterpillar invested heavily in Japan while Komatsu and European construction equipment manufacturing moved into the United States at a time when such moves offered limited immediate returns. In this kind of competitive environment, the potential for overglobalization—the globalization of different aspects of strategy well in advance of proven benefits—exists as the relatively small number of competitors and high barriers to entry encourage “follow-the-leader” competitive behaviour. On the other hand, not responding directly to major competitors can be equally dangerous. Komatsu’s challenge to Caterpillar, in part, was made possible because, early on, Caterpillar focused its strategy on keeping John Deere, International Harvester, and Dresser Industries at bay rather than on beating Komatsu. This suggests a number of strategic implications. First, while imitation cannot be the sole basis for developing strategy, in oligopolies, it may be necessary, at times, to match a competitor in order to reduce the risk of competitive disadvantage. A related implication is that in global oligopolies, companies cannot allow their competitors to have uncontested home markets in which profit sanctuaries can be used to subsidize global competitive moves. This explains Kodak’s extraordinary efforts to pry open the Japanese market—it knew Fuji would be at a considerable advantage if it remained dominant in Japan. Finally, the use of alliances can make such global moves more affordable, flexible, and effective. Alliances can be powerful vehicles for rapidly entering new countries, acquiring new technologies, or otherwise supporting a global strategy at a relatively low cost.

Dealing effectively with governments is a prerequisite for global success in oligopolistic industries such as telecommunications, where extensive government intervention creates a global competitive climate known as regulated competition. Here, nonmarket dimensions of global strategy may well be as important as market dimensions. Political involvement may be necessary to create, preserve, or enhance global competitive advantage since government regulations—whether in infant or established industries—are critical to success. As a consequence, strategy in global, regulated industries should be focused as much on shaping the global competitive environment as on capitalizing on the opportunities it offers.

Political competition, characteristic of fragmented industries with significant government intervention, also calls for a judicious mix of market and nonmarket-based strategic thinking. In contrast to regulated competition, in which government policy has a direct impact on individual companies, however, government intervention in political competition often pits one country or region of the world against another. This encourages a whole range of cooperative strategies between similarly affected players and strategic action at the country-industry level.

Finally, it is worth remembering that patterns of competition are not static. Industries evolve continuously, sometimes dramatically. Similarly, the focus of government action in different industries can change as national priorities change and the global competitive environment evolves.

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